Safaricom Limited.

An offer for sale by the Government of Kenya of 10,000,000,000 ordinary shares with a par value of Kshs. 0.05 each in Safaricom at an offer price of Kshs. 5.00 per share. Minimum application size is for 2,000 shares with a minimum outlay of only Kshs. 10,000.

Lead Transaction Advisor: Morgan Stanley • Dyer & Blair Investment Bank
Lead Sponsoring Stockbrokers: Faida Investment Bank • Afrika Investment Bank
Lead Legal Advisors: Muriu Mungai & Company • Muthaura Mugambi Ayugi & Njonjo • Kipkorir Titoo & Kiara

Prospectus

DATED 14TH MARCH 2008 (REVISED 28 MARCH 2008)

The Better Option.

Republic Of Kenya

Safaricom

SAFARICOM LIMITED

(Incorporated in Kenya under the Companies Act (Cap 486))

Registration Number C.8/2002

("Safaricom" or the "Company")

Prospectus

in respect of

an offer for sale by the Government of Kenya of 10,000,000,000 shares with a par value of Kenya Shillings Five Cents (KShs 0.05) each in the ordinary share capital of Safaricom (the "Offer Shares") comprising a public offer of 25% of the issued ordinary Safaricom shares (the "Offer")

and incorporating

share application forms

Proposed Listing Date Monday, 9 June, 2008

This Prospectus is issued in compliance with the Companies Act (Cap 486), the Capital Markets Act, (Cap 485A) and the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002.

1. Important Notice

This document is important and requires your careful attention

A copy of this Prospectus together with the documents required by Section 43 of the Companies Act to be attached hereto, have been delivered to the Registrar of Companies in Nairobi for registration and to the Capital Markets Authority ("CMA") for approval. Prospective investors should carefully consider the matters set forth in this document. In case of any discrepancy between an electronic copy of this Prospectus and the printed version, the printed version will prevail. Investors should read the printed version of this Prospectus before making an investment decision.

This document is a Prospectus inviting applications for 25% of the issued ordinary shares of Safaricom under terms outlined herein, which are being offered for sale by the Government of Kenya, acting through the Permanent Secretary to the Treasury ("GoK"). The Offer consists of five pools: (i) domestic retail; (ii) qualified institutional investor; (iii) Safaricom dealer; (iv) employee; and (v) international (the "International Pool"). The domestic retail, qualified institutional investor, Safaricom dealer and employee pools are collectively referred to as the "Domestic Pool", each as more fully described herein. If you are in doubt as to the meaning of the contents of this Prospectus or as to what action to take, please consult your investment bank, financial advisor, stockbroker or other professional advisor authorised under the Capital Markets Act who specialises in advising on the acquisition of shares and other securities, immediately.

If you wish to apply for shares in terms of the offer for sale then you must complete the procedures for application and payment set out in the applicable part of the section entitled "Features of the Offer".

The CMA has granted permission for the public offering and listing of the ordinary shares of Safaricom at the Nairobi Stock Exchange ("NSE"). As a matter of policy, the CMA assumes no responsibility for the correctness of any statements or opinions made or reports contained in this Prospectus. Approval of the Offer and/or Listing is not to be taken as an indication of the merits of the Company or of the Offer Shares.

Approval has been obtained from NSE for the admission of the ordinary shares of Safaricom to the Main Investment Market Segment ("MIMS"). Subject to compliance with the NSE Listing Rules, the NSE will admit to listing the ordinary shares of Safaricom under the security code "SFCOM".

The Offer Shares will carry the right to participate in all future dividends to be declared and paid on the ordinary share capital of the Company. The Offer Shares rank pari passu with the other ordinary shares of Safaricom and each ordinary share carries one vote at a general meeting of the Company.

After the closing of the Offer, the ordinary share capital of Safaricom will comprise 119,999,999,600 authorised ordinary shares and 40,000,000,000 issued ordinary shares with a par value of KShs 0.05 each. These shares will be freely transferable and will not be subject to any restrictions on marketability or any pre-emptive rights. The Cabinet of the Government of Kenya has approved the Offer and no objection has been raised by the Board of Directors of Safaricom.

This Prospectus contains information that is provided in compliance with the requirements of the Companies Act and the Capital Markets Act as well as the rules and regulations made thereunder.

The directors of Safaricom, whose names appear on page 9 of this Prospectus, accept responsibility for the information contained in this Prospectus except the information at sections 1 – 3, 5, 7, 9, 12, 22 and Parts II, III, IV and V of the Appendix for which the GoK takes responsibility.

To the best of the knowledge and belief of the directors of Safaricom (who have taken all reasonable care to ensure that such is the case) the information contained in this Prospectus for which they take responsibility is in accordance with facts and does not omit anything likely to affect the import of such information. To the best of the knowledge and belief of the GoK (which has taken reasonable care to ensure that such is the case) the information contained in this Prospectus for which it takes responsibility is in accordance with facts and does not omit anything likely to affect the import of such information.

The Offer does not constitute an offer to issue or sell, or the solicitation of an offer to subscribe for or buy, securities in any jurisdiction in which such an offer or solicitation would be unlawful. The Offer consists of an offering outside the United States of America (the "United States") of shares pursuant to Regulation S ("Regulation S") under the US Securities Act 1933, as amended (the "Securities Act"). The shares have not been, and will not be, registered under the Securities Act or any state securities laws and may not be offered, sold, pledged or otherwise transferred in the United States or to, or for the account or benefit of, U.S. persons absent registration or an exemption from registration under the Securities Act.

The Offer does not constitute an offer or solicitation of an offer to the public in the United Kingdom or Germany. The Offer Shares have not been, nor will they be, registered under the applicable securities laws of Australia, Canada and Japan. Subject to certain exceptions, the Offer Shares may not be offered or sold, directly or indirectly, in or into Australia, Canada or Japan or to or for the account or benefit of any national, resident or citizen of Australia, Canada or Japan.

A description of these and certain other restrictions to which the Offer and sale of the Offer Shares are subject are set out in full in the section of this Prospectus entitled "Features of the Offer—Part I-General—Selling Restrictions".

This Prospectus contains statements from Deloitte & Touche, the Reporting Accountants, which constitute a statement made by an expert in terms of Section 42(1) of the Companies Act. The Reporting Accountants have given and not withdrawn their consent to the issue of the said statements in the form and context in which they are included in this Prospectus.

Muriu Mungai & Co, Muthaura Mugambi Ayugi & Njonjo, and Kipkorir Titoo & Kiara, the Legal Advisors, have given and not withdrawn their written consent to the inclusion in this Prospectus of their letter in the Appendix—Legal Opinion, and the references to their names, in the form and context in which they appear, and have authorised the contents of said letter.

Forward-looking statements

This Prospectus contains "forward-looking statements" relating to the Company's business. These forward-looking statements can be identified by the use of forward-looking terminology such as "believes", "expects", "may", "is expected to", "will", "will continue", "should", "would be", "seeks" or "anticipates" or similar expressions or the negative thereof or other variations thereof or comparable terminology, or by discussions of strategy, plans or intentions. These statements reflect the current views of the Company with respect to future events and are subject to certain risks, uncertainties and assumptions. Many factors could cause the actual results, performance or achievements of the Company to be materially different from the future results, performance or achievements that may be expressed or implied by such forward-looking statements. Some of these factors are discussed in more detail under "Risk Factors" and "Business Overview". Should one or more of these risks or uncertainties materialize, or should underlying assumptions prove incorrect, actual results may vary materially from those described in this Prospectus as anticipated, believed, estimated or expected. The Company does not intend, and does not assume any obligation, to update any industry information or forward-looking statements set out in this Prospectus.

Dated: 14 March, 2008

2. Letter from Permanent Secretary to the Treasury

14 March, 2008

Dear Investor,

It is with great pleasure that I present to you this Prospectus for the offer for sale of 10,000,000,000 ordinary shares of Safaricom. The Government of Kenya, acting through the Permanent Secretary to the Treasury, is giving all Kenyans and the investing community at large the opportunity to be co-owners in Safaricom, the leading mobile telecommunications company in Kenya.

Key among the Government's privatisation objectives is the need to broaden the shareholding of state owned corporations among Kenyans, as well as to deepen the capital market and raise resources for infrastructure development. The NSE has undoubtedly been a major catalyst to the growth of our country. It is for this reason that the Government seeks to encourage every Kenyan to participate in the benefits of investing through the stock market.

Safaricom is the leading mobile telecommunications network operator in Kenya and has grown at extraordinary rates. As a result, Safaricom is one of the top taxpayers in Kenya, and in this way, has contributed significantly to the country's budget which, as Kenyans are aware, is financed 95% internally.

Safaricom is also among the most profitable companies in East Africa with revenues of KShs 28,650 million and after tax profits of KShs 7,289 million for the half year ended 30 September, 2007. As of 30 September, 2007, Safaricom boasted a subscriber base of approximately 8 million. Safaricom is a financially stable company and possesses a solid balance sheet.

This Offer is of great significance not only to the capital market, but to Kenya as a whole. This IPO is the largest ever in East Africa and has drawn tremendous interest from both the domestic as well as international markets. For this transaction, we have hired Morgan Stanley which, working with Dyer and Blair Investment Bank, brings a new perspective and is raising the bar of our market.

In keeping with the promise His Excellency the President made to Kenyans at the beginning of 2007, we are proud to present this Offer, and encourage every Kenyan to take part in this proud success story.

This Prospectus sets out the details of the Offer and the listing of the ordinary shares of Safaricom on the Main Investment Market Segment of the NSE. Please read the full Prospectus to obtain a better understanding of the potential rewards and risks relating to investing in Safaricom.

In 2004, the Central Depository System ("CDS") was introduced. Under this system, before shareholders can buy, sell or even buy more shares at the NSE, they must first open an account with Central Depository & Settlement Corporation Limited ("CDSC"), then deposit the shares they own with CDSC after which they are issued a share statement showing the securities that are held for them by CDSC. All Applicants are urged to open their CDS accounts immediately by visiting the offices of stockbrokers and the branches of the investment banks listed in this Prospectus. However those shareholders who do not wish or are not able to open CDS accounts before the Offer closes will still be free to request paper share certificates and may open CDS accounts later when they wish to trade. For the first time we have also introduced electronic applications for those who choose to use this mode of application. However, this mode of application is available to only those who have CDS accounts.

I look forward to welcoming you as a co-shareholder of Safaricom.

Joseph Kinyua, CBS

Permanent Secretary to the Treasury

Table of Contents

Appendix:

I(A). Reporting Accountants' Report – Fiscal Year 2007

I(B). Reporting Accountants' Interim Review Report for the Nine Months ended 31 December 2007

II. Legal Opinion

III. Authorised Selling Agents

IV. Licensed Authorised Depositories

V. Form of Guarantee

3. Advisors to the Company and Vendor for the Offer

<table>
<tr><th colspan="6">SOLE GLOBAL COORDINATOR AND SOLE BOOKRUNNER</th></tr>
<tr><td colspan="6">Morgan Stanley & Co. International plc
20 Bank Street, Canary Wharf, London, E14 4AD
Tel: +44-20-7425-8000</td></tr>
<tr><th colspan="6">LEAD TRANSACTION ADVISORS</th></tr>
<tr><td colspan="3">Morgan Stanley & Co. International plc
20 Bank Street, Canary Wharf, London,
E14 4AD
Tel: +44-20-7425-8000</td><td colspan="3">Dyer & Blair Investment Bank Ltd
10th Floor Loita House, Loita Street,
P.O.Box 45396-00100 Nairobi
Tel: +254-20-3240000</td></tr>
<tr><th colspan="6">LEAD SPONSORING BROKERS</th></tr>
<tr><td colspan="3">Afrika Investment Bank Ltd
Finance House, 13th Floor,
P.O.Box 11091-00100, Nairobi
Tel: +254-20-210178</td><td colspan="3">Faida Investment Bank Limited
Windsor House, 1st Floor,
P.O.Box 45236-00100, Nairobi
Tel: +254-20-243811</td></tr>
<tr><th colspan="6">CO- SPONSORING BROKERS</th></tr>
<tr><td colspan="2">Discount Securities Limited
International House,
4th Floor, Mama Ngina Street
P.O. Box 42489 00100,
Nairobi
Tel: +254-20-277000</td><td colspan="2">Ngenye Kariuki and Company Limited
8th & 15th Floors, Corner House,
Kimathi St.
P.O. Box 12185 00400
Nairobi
Tel: +254-20-224333/
220052/220141</td><td colspan="2">Sterling Investment Bank Limited
11th Floor, Finance House,
Loita Street
P.O. Box 45080 00100,
Nairobi
Tel: +254-20-213914/244077</td></tr>
<tr><th colspan="2">REPORTING ACCOUNTANTS</th><th colspan="2">REGISTRAR</th><th colspan="2">PUBLIC RELATIONS</th></tr>
<tr><td colspan="2">Deloitte & Touche
Kirungii, Ring Road
Westlands,
P.O. Box 40092-00100, Nairobi
Tel: +254-20-4441344/5</td><td colspan="2">Image Registrars
8th Floor, Transnational Plaza,
P.O. Box 9287-00100
Nairobi
Tel: +254-20-212065</td><td colspan="2">Gina Din Corporate Communications
Gitanga Road,
P.O. Box 42518-00100
Nairobi
Tel: +254-20-3589000</td></tr>
<tr><th colspan="6">TRANSACTION LEGAL ADVISORS</th></tr>
<tr><td colspan="2">Muriu Mungai & Co. Advocates
Britak Centre,
Ground Floor,
P.O. Box 75362-00200,
Nairobi
Tel: +254-20-2736332</td><td colspan="2">Muthaura Mugambi Ayugi & Njonjo Advocates
1st Floor, Co-op Trust Plaza,
P.O. Box 8418-00200
Nairobi
Tel: +254-20-2737575</td><td colspan="2">Kipkorir, Titoo & Kiara Advocates
4th Floor Posta Sacco Plaza,
P.O. Box 10176-00100
Nairobi
Tel: +254-20-250554</td></tr>
</table>

<table>
<tr><th colspan="2">TRANSACTION LEGAL ADVISORS</th><th colspan="2">ADVERTISING AGENTS</th></tr>
<tr><td colspan="2">Stephenson Harwood
One St Paul's Churchyard
London EC4M 8SH
Tel: +44 207 809 2301</td><td colspan="2">Redsky
Unit C, Nairobi Business Park,
Ngong Road,
P.O. Box 34537-00100
Nairobi
Tel: +254-20-3872950</td></tr>
<tr><th colspan="4">LEGAL ADVISORS TO THE COMPANY</th></tr>
<tr><td colspan="4">Daly & Figgis
Lonhro House, 8^{th} Floor
Standard Street
P.O. Box 40034
Nairobi
Tel.: +254-20-310304</td></tr>
<tr><th colspan="4">INTERNATIONAL LEGAL ADVISORS TO THE COMPANY</th></tr>
<tr><td colspan="4">Linklaters LLP
One Silk Street
London E12Y 8HQ
Tel.: +44-20-7456-2000</td></tr>
<tr><th colspan="4">LEGAL ADVISORS TO SOLE GLOBAL COORDINATOR AND SOLE BOOKRUNNER</th></tr>
<tr><td colspan="4">Davis Polk & Wardwell
99 Gresham Street
London EC2V 7NG
Tel: +44-20-7418-1300</td></tr>
<tr><th colspan="4">RECEIVING BANKS</th></tr>
<tr><td>Citibank NA Kenya
Upper Hill Road,
P.O. Box 30711-00100,
Nairobi
Tel: +254-20-2711221</td><td colspan="2">National Bank of Kenya
National Bank Building
Harambee Avenue
P.O. Box 728666-0200,
Nairobi
Tel: +254-20-2828000</td><td>Equity Bank
NHIF Building, 14^{th} Floor,
P.O. Box 75104-00200,
Nairobi
Tel: +254-20-242736620/17</td></tr>
<tr><td colspan="4">Postbank
PostBank House, Banda Street
P.O. Box 30311-00100
Nairobi
Tel: +254-20-229551</td></tr>
</table>

4. Summary Corporate Information

For more information regarding the Company's Board of Directors and senior management, see the section entitled "Board of Directors, Senior Management and Corporate Governance".

Directors:

Name	**Occupation**	**Address**	**Nationality**
Nicholas Ng'ang'a D.O.B: 14.11.1938	Company Director	P O Box 66519 – 00800, Nairobi	Kenyan
Gavin John Darby D.O.B: 15.02.1956	Chief Executive Officer Vodafone, Americas/Africa/China/ India	c/o Vodafone Group Services Ltd, Vodafone House, The Connection, Newbury, Berkshire, RG14 2FN, UK	British
Joseph Kinyua D.O.B: 3.8.1951	Permanent Secretary to the Treasury, Ministry of Finance	P O Box 30007-00100, Nairobi	Kenyan
Bitange Ndemo D.O.B: 4.12.1959	Permanent Secretary, Ministry of Information and Communications	Address: P O Box 30025-00100, Nairobi	Kenyan
Suthaharan Sivagnanasundaram (Alternate – Gavin John Darby & Robert William Collymore) D.O.B: 24.10.1970	Director	c/o Vodafone Group Services Ltd, Vodafone House, The Connection, Newbury, Berkshire, RG14 2FN, UK	British
Robert William Collymore D.O.B: 13.01.1958	Director	P O Box 4029, Dainfern 2055, Johannesburg, South Africa	British
Esther Jepkemboi Koimett (Alternate – Joseph Kinyua) D.O.B: 14.09.1956	Investment Secretary, Ministry of Finance	P O Box 48183 – 00100 Nairobi	Kenyan
Nancy Wambaire Macharia D.O.B: 20.04.1965	Lecturer	c/o JKUAT IT Centre, P O Box 62000 – 00200 Nairobi	Kenyan

Senior Management:

Name	**Address**
Michael Joseph D.O.B: 3 January, 1946	P. O. Box 46350 00100 Nairobi
Les Baillie D.O.B: 14 July, 1954	P. O. Box 46350 00100 Nairobi
Peter Arina D.O.B: 3 February, 1964	P. O. Box 46350 00100 Nairobi
John Barorot D.O.B: 21 April, 1966	P. O. Box 46350 00100 Nairobi
Eddie Irungu D.O.B: 13 January, 1969	P. O. Box 46350 00100 Nairobi
Joseph Ogutu D.O.B: 12 October, , 1956	P. O. Box 46350 00100 Nairobi

Name	Address
Francis Murabula D.O.B: 23 March, 1967	P. O. Box 46350 00100 Nairobi
Fred S. Moturi D.O.B.: 24 April, 1971	P. O. Box 46350 00100 Nairobi
Betty Mwangi-Thuo D.O.B.: 20 October, , 1968	P. O. Box 46350 00100 Nairobi

COMPANY SECRETARY:
John L G Maonga
Livingstone Associates
P.O. Box 30029 – 00100
Nairobi

COMPANY AUDITORS:
Kenya National Audit Office
Anniversary Towers
P.O. Box 30084 – 00100
Nairobi

COMPANY ADVOCATES:
Daly & Figgis Advocates
8th Floor, Lonrho House,
Standard Street
P.O. Box 40034 – 00100
Nairobi

REGISTERED OFFICE OF THE COMPANY:
L.R. No. 209/13263, Safaricom House, Waiyaki Way, Westlands P.O. Box 46350, Nairobi

HEAD OFFICE OF THE COMPANY:
L.R. No. 209/5029, Safaricom House, Waiyaki Way, Westlands P.O. Box 46350, Nairobi

SUBSIDIARIES:
NONE

BANKERS:
Barclays Bank of Kenya Limited,
P.O. Box 46661-00100,
Nairobi
CFC Bank Limited,
P.O. Box 78833-00200,
Nairobi
Citibank Kenya Limited,
P.O. Box 30711-00100,
Nairobi
Commercial Bank of Africa Limited,
P.O. Box 30437-00100,
Nairobi
Co-operative Bank of Kenya Limited,
P.O. Box 48231-00100,
Nairobi
Kenya Commercial Bank Limited,
P.O. Box 48400-00100,
Nairobi
NIC Bank Limited,
P.O. Box 44599-00100,
Nairobi
Stanbic Bank Limited
P.O. Box 30550-00100,
Nairobi
Standard Chartered Bank Limited,
P.O. Box 40310-00100,
Nairobi

5. Important Dates and Times

Domestic Pool Opens	9:00 a.m. on Friday, 28 March, 2008
International Pool Bookbuilding Opens	9:00 a.m. on Wednesday, 9 April, 2008
Offer Closes	3:00 p.m. on Wednesday, 23 April, 2008
Announcement of Allocation Results	Friday, 30 May, 2008
Date of Payment on Guarantees (Domestic and International)	Monday, 2 June, 2008
CDS Accounts Commence Allotments and Electronic Credit	Wednesday, 4 June, 2008
Share Certificates, Electronic Refunds and Refund Cheques dispatched (if applicable)	Monday, 9 June, 2008
NSE Trading of Safaricom Shares Commences	10:30 a.m. on Monday, 9 June, 2008

6. Glossary of Definitions and Abbreviations

The following terms and abbreviations shall have the following meaning in this document.

Term/Abbreviation	Description
"3G"	Third generation mobile communications
"Act"	Kenya Communications Act (No. 2 of 1998)
"Amending Agreement"	Agreement dated 21 November, 2007 among the GoK, TKL, VKL, VIHBV and the Company relating to the Shareholders Agreement
"Articles"	The Articles of Association of the Company
"Authorised Central Depository Agents"	The licensed authorised depositories listed in Part IV of the Appendix to this Prospectus, as well as the licensed investment banks and licensed stockbrokers listed in Part III of the Appendix to this Prospectus
"Authorised Safaricom Dealer"	A limited liability company appointed by Safaricom under a Safaricom Dealer Agreement to promote and sell Safaricom products and services and which (i) has been actively and exclusively trading in Safaricom's products and promotion of Safaricom services for at least six (6) months from the date of the appointed commencement of the Safaricom Initial Public Offering and has over the six (6) months period averaged monthly sales of at least Kenya Shillings Five Million (KShs 5,000,000); and (ii) has been compliant with the provisions of the Safaricom Dealer Agreement and has not during the period mentioned in (i) above been suspended more than once or terminated and subsequently reinstated on appeal; and (iii) is not at the appointed commencement date of the Safaricom Initial Public Offering in debt to Safaricom for any sum in excess of its approved bank guarantee; and (iv) is not a Key Account Dealer.
"Authorised Selling Agents"	The selling agents listed in Part III of the Appendix to this Prospectus
"Applicant"	An entity or person that applies for ordinary shares of the Company in the Offer
"Application Form"	The application form for purchase of Offer Shares
"Application Processing Agent"	Citibank
"ARPU"	Total revenue generated by outgoing calls, incoming calls, monthly fees, value-added services, SMS and other data services over a particular period, divided by the average customer base over the same period. ARPU excludes revenue derived from the acquisition of subscribers as well as SIM card replacements. The average customer base in a given period is the average of each month's customer base over the period.
"BSCs"	Base Station Controllers
"Capital Markets Act"	Capital Markets Act (Cap 485A of the Laws of Kenya)
"CBK"	Central Bank of Kenya
"CCK"	Communications Commission of Kenya
"CDMA"	Code Division Multiple Access, a digital wireless transmission technology
"CDS"	Central Depository System

Term/Abbreviation	Description
"CDSC"	Central Depository and Settlement Corporation Limited
"Churn"	For a description of churn, see the "Operating and Financial Review—Main Factors Affecting Revenues—Churn" section of this Prospectus
"Closing Date"	3:00 p.m. on Wednesday, 23 April, 2008, being the last day for receipt of applications in respect of Offer Shares
"CMA"	Capital Markets Authority established by the Capital Markets Act (Cap 485A of the laws of Kenya)
"Companies Act"	Companies Act (Cap 486 of the Laws of Kenya)
"Company" or "Safaricom"	Safaricom Limited, incorporated in Kenya with registration number C.8/2002
"CPI"	Consumer Price Index
"DCNOs"	Data Carrier Network Operators
"Directors" or "Board"	The persons named herein as Directors of the Company
"Domestic Pool"	As defined under "Important Notice" and more fully described under "Features of the Offer —Part I - General" and "—Part II - Domestic Pool"
"East African Community" or "EAC"	Regional intergovernmental organisation of the Republic of Kenya, Uganda, the United Republic of Tanzania, Republic of Burundi and Republic of Rwanda with its headquarters in Arusha, Tanzania
"Econet"	Econet Wireless Kenya
"EDGE"	Enhanced Data Rates for GSM Evolution
"EFT"	Electronic Funds Transfer
"Euros" or "EUR"	The currency introduced at the start of the third stage of European economic and monetary union pursuant to the Treaty establishing the European Community, as amended by the Treaty on European Union and as amended by the Treaty of Amsterdam
"GDP"	Gross domestic product
"Global Coordinator"	Morgan Stanley & Co. International plc, Sole Global Coordinator and Sole Bookrunner
"GoK"	The Government of Kenya, acting through the Permanent Secretary to the Treasury
"GPRS"	General Packet Radio Service
"GSM"	Global System for Mobile Communications
"ICT"	Information and Communication Technology
"IGS"	International Gateway Systems
"International Pool"	As defined under "Important Notice" and more fully described under "Features of the Offer —Part I - General" and "—Part II – International Pool"
"ITS"	International Telecommunications Services
"ITU"	International Telecommunications Union
"Kenya"	The Republic of Kenya

Term/Abbreviation	Description
“Key Account Dealer”	A company appointed by Safaricom as a retail channel to promote and sell Safaricom products and services alongside its other range of products on a non-exclusive basis.
“KShs” or “Shs”	Kenya Shillings, the lawful currency of the Republic of Kenya
“KPTC”	Kenya Posts and Telecommunications Corporation
“Lead Transaction Advisors”	Morgan Stanley & Co. International plc and Dyer & Blair Investment Bank Ltd.
“Legal Advisors”	Muriu Mungai & Company, Muthaura Mugambi Ayugi & Njonjo and Kipkorir Titoo & Kiara Advocates
“Listing”	Admission of the Shares to the Official List of the NSE
“MIMS”	The Main Investment Market Segment at the NSE
“MNP”	Mobile Number Portability
“MSC”	Mobile Switching Centres
“NMC”	Network Management Centre
“NSE”	Nairobi Stock Exchange
“Offer”	The offer to sell the Offer Shares
“Offer Shares”	The 10,000,000,000 shares with a par value of 0.05 Kenya Shillings each in the ordinary share capital of Safaricom being offered by GoK
“Qualified Institutional Investor”	Collective investment schemes licensed by the Capital Market Authority under the Capital Markets Act, Investment Banks licensed by the Capital Markets Authority under the Capital Markets Act, schemes licensed by the Retirement Benefits Authority under the Retirement Benefits Act (No 3 of 1997) and Life insurance companies licensed by the Commissioner of Insurance under the Insurance Act (Cap 487) of the Laws of Kenya; Collective Investment Schemes and Pension funds registered under the Capital Markets Authority and Retirement benefit authority of East African Community Partner States; Institute Nationale De Securite’ Social (INSS) of Burundi, National Social Security Fund (NSSF) of Rwanda, National Social Security Fund (NSSF) of Uganda, National Social Security Fund (NSSF) of Tanzania and Parastatals Pension Fund (PPF) of Tanzania
“Receiving Banks”	Those banks specified as such in the “Advisors to the Company and Vendor for the Offer” section of this Prospectus
“Regulation S”	Regulation S under the Securities Act
“RTO”	Regional Telecommunications Operator
“Securities Act”	U.S. Securities Act of 1933, as amended
“Share Registrar”	Image Registrars located at 8th Floor, Transnational Plaza, P.O. Box 9287-00100, Nairobi (Tel: +254-20-212065)
“Shareholders Agreement”	Shareholders Agreement relating to the Company dated 25 January, 1999, as amended on 26 May, 2000
“Shares”	Ordinary shares of KShs 0.05 each in the capital of the Company
“SIM”	Subscriber identity module
“SNO”	Second national operator, licensed by CCK

Term/Abbreviation	Description
“Telkom Kenya” or “TKL”	Telkom Kenya Limited
“USD” or “US$”	United States Dollars, the lawful currency of United States of America
“Vendor”	GoK
“VIHBV”	Vodafone International Holdings B.V.
“Vodafone”	Vodafone Group Plc
“Vodafone Kenya” or “VKL”	Vodafone Kenya Limited

7. Features of the Offer

This section, which contains certain important information relating to the Offer, is divided into three parts: (i) Part I contains information relating to the Offer in general and is applicable to all potential investors; (ii) Part II contains information relating to the Domestic Pool and is applicable only to those investors that are eligible to participate in the Domestic Pool; and (iii) Part III contains information relating to the International Pool and is applicable only to those investors that are eligible to participate in the International Pool. In order to determine whether Part II or Part III of this section applies to you, please see "—Part I-General—Eligibility" below. The relevant parts (i.e., Parts I and II or I and III) of this section should be read in their entirety for a full appreciation of the subject matter contained therein. If you are in any doubt as to the meaning of the contents of this Prospectus or as to what action to take, please consult your investment bank, financial advisor, stockbroker, or other professional advisor authorised to provide investment advice by the CMA, immediately.

PART I - GENERAL

Background to and Purpose of the Offer

In accordance with the GoK's policy of divesting its ownership in public enterprises, the GoK through the Treasury is making available 10,000,000,000 ordinary shares, par value KShs 0.05 each, of Safaricom (i.e. 25% of the total issued share capital of Safaricom from the GoK's shareholding in Safaricom) to the individuals, corporations, institutions, and eligible international investors described below under "Eligibility". The sale of such shares by the GoK is driven by its ongoing divestiture policy which seeks to:

1. Implement its long-term reform agenda of divesting from commercial activities;
2. Generate additional government revenue by selling the Offer Shares at a fair value;
3. Raise resources for infrastructure development;
4. Ensure as wide an ownership as possible; and
5. Deepen the Kenyan capital market.

Offer Statistics

Offer Price per Offer Share in Domestic Pool	KShs 5.00
Offer Price per Offer Share in International Pool	See "Basis for Setting Offer Price" in Part III below
Par value of each Offer Share	KShs 0.05
Authorised share capital of the Company	KShs 6,000,000,000*
Total number of issued ordinary shares of the Company	40,000,000,000
Total number of Offer Shares	10,000,000,000
Net profits for the twelve (12) month period ended 31 March, 2007	KShs 12,010,431,000
Dividend in respect of twelve (12) month period ended 31 March, 2007	KShs 4,000,000,000**

Dividend per share ("DPS") for the twelve (12) month period ended 31 March, 2007	KShs/ share 400,000**
Earnings per share ("EPS") for the twelve (12) month period ended 31 March, 2007	KShs/ share 1,201,043.10**
Implied price-earnings ("PE") (historical) (at IPO price of KShs 5.00) based on the EPS for the twelve (12) month period ended 31 March, 2007	13.81 times***
Average historical PE Multiple for NSE Indexed Companies over the pastsix months	17.33 times****

* Consisting of 119,999,999,600 ordinary shares, par value KShs 0.05 each, and 5 non-voting, non-participating redeemable preference shares, par value KShs 4.00 each.

** These figures are based on the dividend declared at the annual general meeting held on 11 September, 2007 in respect of the fiscal year end 31 March, 2007 under the Company's former share capital structure. Recently, the Company changed its share capital structure by reducing the par value of its shares and increasing the amount of its issued ordinary shares, as described under "Additional Corporate Information." For a further description of the Company's dividends per share, see Note 6 to the Reporting Accountant's Report in Part I of the Appendix to this Prospectus.

*** Equity Value at IPO of KShs 200 billion (Ksh 5.00 * 40,000 MM shares) divided by LTM Net Income of KShs 14,483 MM (Ksh 12,010 MM + (Ksh 10,867 MM - Ksh 8,394 MM)).

**** Calculated as of 14 March, 2008.

Eligibility

As described above, the Offer consists of a Domestic Pool (consisting of four sub-pools – retail, qualified institutional investor, authorised Safaricom dealer and employee) and an International Pool. Set out below is a description of who is eligible to participate in each of the pools:

Domestic Pool

Retail Pool: a natural person who is a citizen or resident of Kenya or a citizen of any other East African Community Partner State (Uganda, Tanzania, Rwanda and Burundi) or

any company or other body corporate incorporated or established under the laws of Kenya or any other East African Community Partner State.

Notwithstanding the above, a company or other corporate entity meeting the requirements set forth above that is formed for the purpose of participating in the Domestic Pool shall not be eligible to participate in the Retail Pool unless all of its shares or other ownership interests are directly and indirectly owned by individuals meeting the requirements described under "Retail Pool" or other entities meeting the requirements described above, including this sentence.

Qualified Institutional Investor Pool:	qualified institutional investors consisting of: Collective investment schemes licensed by the CMA under the Capital Markets Act, Investment Banks licensed by the CMA under the Capital Markets Act, schemes licensed by the Retirement Benefits Authority under the Retirement Benefits Act (No 3 of 1997) and Life insurance companies licensed by the Commissioner of Insurance under the Insurance Act (Cap 487) of the Laws of Kenya; Institute Nationale De Securite' Social (INSS) of Burundi, National Social Security Fund (NSSF) of Rwanda, National Social Security Fund (NSSF) of Uganda and National Social Security Fund (NSSF) of Tanzania Notwithstanding the above, a collective investment scheme or other scheme meeting the requirements set forth above that is formed for the purpose of participating in the Domestic Pool shall not be eligible to participate in the Qualified Institutional Investor Pool unless all of its shares or other ownership interests are directly and indirectly owned by individuals, companies or other body corporates meeting the requirements described under "Retail Pool" above or other entities meeting the requirements described above, including this sentence.
Authorised Safaricom Dealer Pool:	Authorised Safaricom dealers as at the date of this Prospectus
Employee Pool:	Any individual employed by, or seconded to, Safaricom as of the date of this Prospectus

Notwithstanding the above, in the case of individuals or entities, as the case may be, meeting the requirements described under "Retail Pool", "Qualified Institutional Investor Pool", "Authorised Safaricom Dealer Pool" or the "Employee Pool" above who are resident or physically located outside Kenya, such individuals or entities shall only be eligible to participate in the Offer if it is permissible under the laws of their residency or location for them to receive the Prospectus and participate in the Offer and the offer to such individuals or entities complies with the selling restrictions set out below under "Selling Restrictions".

International Pool

Institutional investors outside the East Africa Community Partner States, if it is permissible under the laws of their residency or location for them to receive the Prospectus and participate in the Offer and the offer to such entity complies with the selling restrictions set out below under "Selling Restrictions."

Offer Shares and Allocation between Domestic Pool and International Pool

The GoK is offering 10,000,000,000 shares in Safaricom, which constitute 25% of the existing issued ordinary share capital of the Company. The Offer is being made to the individuals and entities described under "Eligibility" above. It is currently expected that 65% of the Offer Shares will be included in the Domestic Pool and 35% in the International Pool, provided that if the Domestic Pool is over-subscribed by more than 200%, the Domestic Pool may be increased by up to a total of 15% of the Offer Shares, on a pro rata basis to maintain a ceiling of 200% over-subscription, if possible, with a corresponding decrease in the International Pool. Similarly, if the international price is equal to the domestic price, the Vendor reserves the right to claw back up to 15% of the Offer Shares to the Domestic Pool. In the event of an under-subscription of the Domestic Pool, the International Pool will clawback the under-subscribed position subject to existing capital markets regulations. For a description of the allocation policy within the Domestic Pool and International Pool, see Parts II and III below.

Minimum Aggregate Applications

The Vendor shall not proceed with the Offer unless valid applications for the Offer Shares are received from not less than 1,000 Applicants for a total consideration of at least KShs 50,000,000,000 representing 100% of the Offer Shares.

Lock-Ups

The Company has agreed, subject to certain limited exceptions, that it will not, during the period ending 180 days after the date of this Prospectus:

- offer, issue, pledge, contract to purchase, purchase any option, grant any option, right or warrant to purchase, lend, or otherwise transfer or dispose of, directly or indirectly, any Shares or any securities convertible into or exercisable or exchangeable for Shares; or

- enter into any swap or other arrangement that transfers to another, in whole or in part, any of the economic consequences of ownership of the Shares.

The GoK and VKL have agreed, subject to certain limited exceptions, that they will not, during the period ending 180 days after the date of this Prospectus:

- offer, pledge, sell, contract to sell, sell any option or contract to purchase, purchase any option or contract to sell, grant any option, right or warrant to purchase, lend, or otherwise transfer or dispose of, directly or indirectly, any Shares or any securities convertible into or exercisable or exchangeable for Shares; or

- enter into any swap or other arrangement that transfers to another, in whole or in part, any of the economic consequences of ownership of the Shares.

Proceeds of the Offer

For information relating to the proceeds of the Offer, see the section of this Prospectus entitled "Use of Proceeds".

Approval for the Offer

The Cabinet of the GoK has approved the Offer and no objection has been raised by the Board of Directors of Safaricom to the Offer.

Stock Exchange Listing

Approval of the Offer and the listing has been received from the CMA and permission for the admission to listing of 40,000,000,000 shares on the Main Investment Market Segment at the NSE has been received from the NSE subject to procuring a minimum number of 1,000 shareholders holding in aggregate at least 25% of the issued shares of Safaricom and achieving the minimum number of shares to be purchased.

It is expected that trading in the shares will commence on or about Monday, 9 June, 2008.

Shares will be certificated or in immobilized form on the CDS. However, for trading purposes the Shares in certificated form will have to be immobilized prior to trading on the NSE.

Status of Applicant

Every Applicant is required to complete the declaration on the Application Form declaring, as the case may be, the Applicant's status as a foreign investor, local investor, or local institutional investor, with supporting documentation evidencing such status.

The Capital Markets (Foreign Investors) Regulations, 2002 as amended ("the Foreign Investors Regulations") defines the following:

> "Local investor" in relation to an individual, means a natural person who is a citizen of an East African Partner State; and in relation to a body corporate, means a company incorporated under the Companies Act of Kenya or such similar statute of an East African Partner State in which citizens of an East African Partner State or the Government of an East African Partner State have beneficial interest in one hundred per centum of its ordinary shares for the time being or any other

body corporate established or incorporated in an East African Partner State under the provisions of any written law.

"Foreign investor" means any person who is not a local investor.

"Institutional investor" means a body corporate including a financial institution, collective investment scheme, fund manager, dealer or other body corporate whose ordinary business includes the management or investment of funds whether as principal or on behalf of clients.

The East African Community Partner States include such states as may be deemed to be the members from time to time of the East African Community, currently Kenya, Uganda, Tanzania, Rwanda and Burundi. Citizens of those States and corporate persons incorporated or registered in those States, in which citizens of those States hold one hundred per centum of the beneficial interest should therefore declare their status as local investors and provide supporting evidence.

Whereas the Regulations as stated above include citizens of East African Community States as local investors, this Prospectus and the Application Form may not be used for, or in connection with, any offer, or solicitation by, anyone in the East African Community Partner States where such offer or solicitation is not authorised or is otherwise unlawful in the said jurisdictions.

Foreign investors may apply for shares in Safaricom, subject to certain restrictions set out below. The offer of shares of Safaricom to foreign investors may be affected by laws and regulatory requirements of the relevant jurisdictions. Any foreign investors wishing to apply for the Offer Shares must satisfy themselves as to the full observance of the laws of the relevant territory and governmental and other consents to ensure that all requisite formalities are adhered to and pay any issue, transfer or other taxes due in such territory. Foreign investors are advised to consult their own professional advisors as to whether they require any governmental or other consents or need to observe any applicable legal or regulatory requirements to enable them to apply for and purchase the Offer Shares.

Regulation 6(9A) and 6(9B) Capital Markets (Securities) (Public Offers, Listing and Disclosure) Regulations, 2002 provides that:

> *"In developing an allocation policy, every issuer or offeror shall ensure that such policy reserves at least 40% of the ordinary shares that are the subject of an initial public offering and subsequent listing for investment by local investors.*
>
> *Provided always that where the per centum reserved for local investors is not subscribed for in full by local investors, the issuer or offeror may, with prior written approval of the Authority, allocate the shares so remaining to foreign investors."*

Accordingly, at least 40% of the Offer Shares will be reserved for allocation to local investors in accordance with the Capital Markets (Securities) (Public Offers, Listing and Disclosure) Regulations, 2002.

Where, in the case of public offerings, the per centum reserved for local investors is not subscribed for in full by local investors, the issuer may with the prior written approval of the CMA, allot the shares so remaining to foreign investors.

Regulation 4(1) of the Foreign Investors Regulations, imposes a duty on a listed company to maintain a register of shareholders at all times with an indication of whether they are foreign investors, individual local investors or institutional local investors.

Certificates for shares owned by foreign investors must be deposited with an authorised depository in Kenya in accordance with the Regulations. Any foreign investor who wishes to apply for shares should obtain guidance from an Authorised Selling Agent before completing and lodging an Application Form.

In light of the above, the GoK reserves the right to treat as invalid any application or purported application to purchase the Offer Shares which appears to the GoK or its agents to have been executed, effected, or dispatched in a manner which may involve a breach of any applicable legal or regulatory requirement of any jurisdiction outside Kenya.

Transfer of Shares

All shares offered and transferred in terms of this Prospectus will be transferred to successful Applicants at the expense of the Vendor. So long as the Offer Shares are listed on the NSE, no stamp, registration or similar duties or taxes are payable in Kenya in connection with the transfer of the Offer Shares under current legislation. Other costs of subsequent transactions will be borne by the relevant shareholders.

All shares transferred in terms of this Prospectus will be allocated and transferred subject to the provisions of the Memorandum and Articles of Association of Safaricom, and will rank pari passu in all respects.

Applicants may be able to collect their share certificates or have their shares credited to their CDS account and collect any refund cheques from their respective agents as chosen on their Application Forms from Monday, 9 June, 2008. The share certificates (or credit to the CDS account of the Applicant) and any refund cheques will be sent by registered mail to the Applicant as requested in the Application Form, at the Applicant's risk, starting Monday, 9 June, 2008.

The Share Registrar accepts no liability for any certificates that may be lost in the post. No request for the issue of replacement certificates will be considered before Monday, 9 June, 2008.

Thereafter, only requests made in writing and accompanied by an indemnity form available from the Share Registrar will be considered.

Consents and Approvals

A copy of this Prospectus, together with the documents required by Section 43 of the Companies Act to be attached hereto, has been delivered to the Registrar of Companies at Nairobi for registration.

This Prospectus contains information that is provided in compliance with the requirements of the Companies Act and the Capital Markets Act as well as the rules and regulations made thereunder. The CMA has approved the Prospectus for purposes of the Offer and Listing in the Republic of Kenya.

No approval for the distribution of this Prospectus in any other jurisdiction where such approval may be required has been obtained. This Prospectus does not constitute an offer or solicitation by anyone in any jurisdiction in which such offer or solicitation is not authorised or to any person to whom it is unlawful to make such an offer or solicitation.

Governing Law

This Prospectus and any contract resulting from the acceptance of an application to purchase Offer Shares of Safaricom shall be governed by and construed in accordance with the Laws of Kenya and it shall be a term of each such contract that the parties thereto and all other interested parties submit to the exclusive jurisdiction of the Courts of Kenya.

Selling Restrictions

Each of the following selling restrictions (a) to (j) apply equally to the Domestic Pool and to the International Pool.

(a) **General**:

(i) Each Authorised Selling Agent and the Global Coordinator has acknowledged that no action has been or (except to the extent indicated in sub-paragraph (b)) will be, taken in any jurisdiction by any of the Authorised Selling Agents, the Global Coordinator or the Vendor that would permit a public offering of the Offer Shares, or possession or distribution (in electronic form or hard copy form) of the Prospectus (in preliminary or final form) or any other offering or publicity material relating to the Offer Shares, in any country or jurisdiction where action for that purpose is required. Each Authorised Selling Agent and the Global Coordinator has undertaken that it will comply with all applicable laws and regulations in each jurisdiction in which it acquires, offers, sells or delivers Offer Shares or has in its possession or distributes (in electronic form or hard copy form) the Prospectus (in preliminary or final form) or any such other material, in all cases at its own expense. Each Authorised Selling Agent and the Global Coordinator has also undertaken to ensure that no obligations are imposed on the Vendor, Safaricom, either Lead Transaction Advisor, any Authorised Selling Agent or the Global Coordinator in any such jurisdiction as a result of any of the foregoing actions. The Vendor, Safaricom and the Lead Transaction Advisors will have no responsibility for, and each Authorised Selling Agent and the Global Coordinator will obtain, any consent, approval or permission required by it for, the acquisition, offer, sale or delivery by it of the Offer Shares under the laws and regulations in force in any jurisdiction to which it is subject or in or from which it makes any acquisition, offer, sale or delivery. No Authorised Selling Agent or the Global Coordinator is authorised to make any representation or use any information in connection with the Offer and sale of the Offer Shares other than as contained in the Prospectus (in final form) or any amendment or supplement to it.

(ii) The distribution (in electronic form and hard copy form) of this Prospectus and the offer for sale of the shares the subject of the Offer is restricted by law in certain jurisdictions. Persons into whose possession this Prospectus may come are required by the Vendor to inform themselves about and to observe such restrictions. This Prospectus may not be used for or in connection with any offer to, or solicitation by, anyone in any jurisdiction or in any circumstances where such offer or solicitation is not authorised or is unlawful.

(b) **Republic of Kenya**: The approval of the CMA has been obtained for the offer of the Offer Shares to the public in the Republic of Kenya. The sale or transfer of the Offer Shares by the Vendor will be subject to the Rules and Regulations of the NSE and CMA. There are no other restrictions on the sale or transfer of the Offer Shares under Kenyan law. In particular, there are no restrictions on the sale or transfer of the Offer Shares by or to non-residents of Kenya, save for the restrictions under Kenyan law relating to foreign investors as defined in the section entitled "—Status of Applicant" above.

(c) **East African Community Partner States**: This Prospectus may not be used for, or in connection with, any offer to, or solicitation by, anyone in the East African Community Partner States where such offer or solicitation is not authorised or is otherwise unlawful.

(d) **United States**: The Offer Shares have not been and will not be registered under the U.S. Securities Act of 1933, as amended (the "Securities Act") and may not be offered or sold within the United States or to, or for the account or benefit of, U.S. persons except in accordance with Regulation S under the Securities Act ("Regulation S"). Terms used in this paragraph have the meanings given to them by Regulation S. Each Authorised Selling Agent and the Global Coordinator has represented and agreed that it has not offered and sold the Offer Shares, and will not offer and sell the Offer Shares within the United States or to, or for the account or benefit of U.S. persons:

(i) as part of their distribution at any time; and

(ii) otherwise until 40 days after the later of the commencement of the Offer and the Closing Date (as defined in this Prospectus), except in accordance with Rule 903 of Regulation S under the Securities Act. Accordingly, neither it, its affiliates, nor any persons acting on its or their behalf have engaged or will engage in any directed selling efforts (within the meaning of Regulation S) with respect to the Offer Shares, and it and they have complied and will comply with the offering restrictions requirement of Regulation S. Each Authorised Selling Agent and the Global Coordinator has agreed that, at or prior to confirmation of sale of the Offer Shares, it will send, or will have sent to each distributor, dealer or person receiving a selling concession, fee or other remuneration that purchases the Offer Shares from it during the distribution compliance period a confirmation or notice substantially to the following effect:

"The Shares covered hereby have not been registered under the U.S. Securities Act of 1933 (the "Securities Act") and may not be offered and sold within the United States or to, or for the account or benefit of, U.S. persons (i) as part of their distribution at any time or (ii) otherwise until 40 days after the later of the commencement of the offering and the Closing Date (as defined in the Prospectus), except in either case in accordance with Regulation S under the Securities Act. Unless otherwise noted, terms used above have the meanings given to them by Regulation S."

In addition, until 40 days after the completion of the Offer, an offer or sale of the Offer Shares within the United States by any dealer that is not participating in the Offer may violate the registration requirements of the Securities Act.

Each Authorised Selling Agent and the Global Coordinator has represented that it has not entered and has agreed that it will not enter into any contractual arrangement with any distributor (as that term is defined in Regulation S) with respect to the distribution or delivery of the Offer Shares, except with its affiliates or with the prior written consent of the Company.

(e) **United Kingdom**:

(i) No Offer Shares have been marketed to, or are available for subscription or purchase in whole or part by, the public in the United Kingdom. This Prospectus does not constitute an offer or solicitation of an offer in the United Kingdom to subscribe for or buy any securities in Safaricom or any other entity.

(ii) This Prospectus is being distributed only to, and directed only at, persons who have professional experience in matters relating to investments falling within Article 19(1) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 ("FPO"), who are high net worth entities falling within Article 49(1) of the FPO or other persons to whom the Prospectus may lawfully be communicated (each, a "relevant person") and must not be acted on or relied on by any person who is not a relevant person. Any investment or investment activity to which this Prospectus relates and any invitation, offer or agreement to subscribe, purchase or otherwise acquire such investments or identify such other investment activity is available only to relevant persons, will be engaged in only with relevant persons and must only occur in circumstances in which section 21(1) of the Financial Services and Markets Act 2000 ("FSMA") does not apply to the Company. Any person who is not a relevant person should not act or rely on this document or any of its content.

(iii) Each Authorised Selling Agent and the Global Coordinator has represented and agreed that:

(a) it has only communicated or caused to be communicated and will only communicate or cause to be communicated any invitation or inducement to engage in investment activity (within the meaning of section 21 of FSMA) received by it in connection with the issue or sale of the Offer Shares in circumstances in which section 21(1) of FSMA does not apply to the Company; and

(b) it has complied and will comply with all applicable provisions of FSMA with respect to anything done by it in relation to the Offer Shares in, from or otherwise involving the United Kingdom.

(f) **European Economic Area**: In relation to each Member State of the European Economic Area which has implemented the Prospectus Directive (each, a "Relevant Member State"), each Authorised Selling Agent and the Global Coordinator has represented and agreed that with effect from and including the date on which the Prospective Directive is implemented in that Relevant Member State (the "Relevant Implementation Date") it has not made and will not make an offer of Offer Shares to the public in that Relevant Member State, except that it may, with effect from and including the Relevant Implementation Date, make an offer of Offer Shares to the public in that Relevant Member State in accordance with the following exemptions under the Prospectus Directive, if they have been implemented in that Relevant Member State:

(a) at any time to legal entities which are authorised or regulated to operate in the financial markets or, if not so authorised or regulated, whose corporate purpose is solely to invest in securities;

(b) at any time to any legal entity which has two or more of (1) an average of at least 250 employees during the last financial year; (2) a total balance sheet of more than €43,000,000 and (3) an annual net turnover of more than €50,000,000, as shown in its last annual or consolidated accounts;

(c) at any time in any other circumstances falling within Article 3(2) of the Prospectus Directive,

provided that no such offer of Offer Shares shall require the Company, the Global Coordinator, the Vendor or any Authorised Selling Agent to publish a prospectus pursuant to Articles 3 and 4 of the Prospectus Directive or supplement a prospectus pursuant to Article 16 of the Prospectus Directive.

In the case of any Offer Shares being offered to a “financial intermediary”, as used in Article 3(2) of the Prospectus Directive, such financial intermediary will also be deemed to have represented, warranted to and agreed with the relevant Authorised Selling Agent or the Global Coordinator and Safaricom that (i) the Offer Shares acquired by it have not been acquired on behalf of, nor have they been acquired with a view to their offer or resale to, persons in any Relevant Member State other than qualified investors, or in circumstances in which the prior consent of such Authorised Selling Agent or the Global Coordinator has been obtained to each such proposed offer or resale; and (ii) where Offer Shares have been acquired by it or on behalf of persons in any Relevant Member State other than qualified investors, the offer of those Offer Shares to it is not treated under the Prospectus Directive as having been made to such persons.

For the purposes of this provision, the expression an “offer of Offer Shares to the public” in relation to any Offer Shares in any Relevant Member State means the communication in any form and by any means of sufficient information on the terms of the Offer and any Offer Shares to be offered under this document so as to enable an investor to decide to purchase the Offer Shares, as the same may be varied in that Member State by any measure implementing the Prospectus Directive in that Member State and the expression “Prospectus Directive” means Directive 2003/71/EC and includes any relevant implementing measure in each Relevant Member State.

(g) **Germany**: This Prospectus does not constitute an offer to the public within the meaning of Section 2 No.4 of the German Securities Prospectus Act (*Wertpapierprospektgesetz*) as of June, 22, 2005 which implements Directive 2003/71/EC of the European Parliament and of the Council of 4 November, 2003. This Prospectus has not been filed with or approved by the German Federal Financial Supervisory Authority (*Bundesanstalt für Finanzdienstleistungsaufsicht*). In Germany the Offer Shares may only be offered to, and this Prospectus or any other offering material may only be distributed, directly or indirectly, to (1) qualified investors in accordance with the exemption in Section 3 (2) No. 1 of the German Securities Prospectus Act and/or to (2) less than 100 individuals or legal entities in accordance with the exemption in Section 3 (2) No. 2 of the German Securities Prospectus Act. Each Authorised Selling Agent and the Global Coordinator has represented and agreed that it has not offered or sold and that it will not offer or sell Offer Shares in Germany other than in accordance with the German Securities Prospectus Act and any other laws applicable in Germany governing the issue, sale and offering of securities. Any resale of the Offer Shares in Germany may only be made in accordance with the provisions of the German Securities Prospectus Act and any other laws applicable in Germany governing the sale and offering of securities.

(h) **South Africa**: This Prospectus does not constitute an offer for the sale of or subscription for, or the solicitation of an offer to buy and subscribe for, shares to the public as defined in the South African Companies Act, No. 61 of 1973 (as amended or otherwise). This Prospectus does not, nor is it intended to, constitute a prospectus prepared and registered under such Companies Act. It is only distributed in South Africa to: (i) banks, mutual banks or insurers acting as principal or those who are wholly owned subsidiaries of any such banks, mutual banks or insurers acting as agents in the capacity of authorised portfolio manager for a registered pension fund or as manager for a registered collective investment scheme as registered under the applicable South African legislation and (ii) addressees acting as principals who are willing to subscribe for Offer Shares to a value of at least ZAR100,000, provided in either case that they are persons whose ordinary business, or part of whose ordinary business is to deal in shares, whether as principals or agents. Qualifying South African residents wishing to participate in the Offer should be aware that they may be required to comply with South African exchange control requirements and should seek advice from a person properly qualified to advise them if they are in any doubt as to what this may involve. Please note that neither the Company nor the GoK is responsible for obtaining any exchange control consents that any investor may need in order to participate in the Offer.

(i) **United Arab Emirates**: The Offer Shares have not been and will not be offered, sold or publicly promoted or advertised in the United Arab Emirates or the Dubai International Financial Centre other than in compliance with any laws applicable in the United Arab Emirates or the Dubai International Financial Centre governing the issue, offering or the sale of securities.

(j) **Canada, Australia and Japan**: The Offer Shares have not been and will not be registered under the applicable securities laws of Canada, Australia or Japan. Each Authorised Selling Agent and the Global Coordinator has represented and agreed and each further Authorised Selling Agent appointed under the Offer will be required to represent and agree that the Prospectus may not be distributed in, and the Offer Shares may not be offered or sold in Canada, Australia or Japan or to, or for the account or benefit of, any resident of Canada, Australia or Japan.

PART II – DOMESTIC POOL

The Offer

1. In the Domestic Pool, the Vendor is offering to sell 6,500,000,000 Offer Shares to eligible investors, subject to increase as described under Part I-General—Offer Shares and Allocation in Domestic Pool and International Pool".

2. The application period for the Offer Shares in the Domestic Pool will open at 9:00 a.m. on Friday, 28 March, 2008 and will close at 3:00 p.m. on Wednesday, 23 April, 2008.

Basis for Setting Offer Price

3. The offer price for the Domestic Offer is KShs 5.00 per share.

4. The Vendor, in consultation with the Lead Transaction Advisors, has determined the offer price using the anticipated valuation parameters set out in the section above entitled "Part I—Offer Statistics". The offer price also takes into account the following factors:

- The country's macro-economic outlook;
- The financial performance of the Company;
- The observed relative values at which the shares of comparable companies in Kenya and other developing countries were trading shortly prior to the Offer;
- Observed capital markets performance indicators in Kenya; and
- The discounted cash flow of the Company.

Authorised Selling Agents

5. The Vendor has appointed Authorised Selling Agents to this Offer and these Authorised Selling Agents have signed Agency Agreements with the Vendor. These Agreements set out various terms and conditions that each Authorised Selling Agent is required to comply with.

6. The Authorised Selling Agents are either members of the NSE as licensed by the CMA or commercial banks licensed by the Central Bank of Kenya. The list of the members of the NSE who have been appointed as Authorised Selling Agents is in Part III of the Appendix to this Prospectus. The commercial banks appointed are Citibank, Equity Bank, Postbank or National Bank of Kenya.

Receiving Bank, Agent & Registrar

7. The Vendor has appointed Citibank, Equity Bank, Postbank and National Bank of Kenya to form the Receiving Bank consortium in respect to the Offer.

8. The Vendor has appointed Citibank as the application processing agent (the “Application Processing Agent”) to the Offer.

9. The Share Registrar for the Offer is Image Registrars.

Allocation Policy

10. The allocation policy has been designed to comply with the requirements of the Capital Markets (Securities)(Public Offers, Listing and Disclosure) Regulations, 2002 with regard to the share ownership structure of the Company to ensure that at least 25% of Safaricom shares are held by not less than 1,000 shareholders, as well as the requirement that at least 40% of the Offer Shares are reserved for local investors.

11. The Vendor wishes to achieve a balanced distribution of the Offer Shares between institutions, companies and individual members of the public in addition to ensuring that employees of Safaricom participate in the Offer. In this regard, the Vendor has determined that the Offer Shares shall be allocated in accordance with the following allocation policy:

Category of Applicant	Number of Offer Shares[1]	% of Domestic Pool Offer Shares
Retail	3,380,000,000	52%
Qualified Institutional Investors	2,730,000,000	42%
Authorised Safaricom Dealers	130,000,000	2%
Employees	260,000,000	4%
Total	6,500,000,000	100%

12. In the event that the total number of Offer Shares applied for by Applicants in any of the categories (except for employees, the allocation policy for whom is described below) equates to the respective total number of Offer Shares reserved for that category, all valid applications will be allocated in full as per the number of Offer Shares applied for by such Applicants.

13. In the event that the total number of Offer Shares applied for by Applicants in a particular category is below the total number of Offer Shares reserved for that category, the following will apply:

[1] The number of shares in the Domestic Pool may be increased as described under “Part I—Offer Shares and Allocation between Domestic Pool and International Pool” above.

All valid applications received from Applicants will be allocated in full as per the number of Offer Shares applied for taking into account the minimum number of shares that may be applied for by any Applicant in each category.

The balance of Offer Shares will be available for allocation to Applicants in the other categories which are over-subscribed, and such excess Offer Shares will be aggregated and the pool of excess Offer Shares available will be allocated pro-rata to the excess shares applied for in the other categories.

14. Applicants in any over-subscribed category may receive fewer Offer Shares than the number applied for. Applicants will be allocated 100 Offer Shares in the first instance and thereafter in multiples of 100 Offer Shares on a pro rata basis, rounded down to the nearest 100 shares, until all shares in the category, plus remaining unallocated balances from the other categories, if any, are fully exhausted; provided that the allocation for the employee pool will be decided by an allocation committee of the Company. Details of the allocation policy to be applied to the employee pool are outlined below.

15. In the event that the results of the subscription make the above policy impractical then an amendment to the allocation policy shall be made with the approval of the CMA and such amendment will be announced within twenty four hours of the grant of such approval.

16. In the event of any doubt whatsoever as to the eligibility of an Applicant in a particular category, the decision of the Vendor will be final.

17. The Vendor will announce the manner in which the Offer Shares have been allocated among the above four categories (‘the Allocation Results’) on the date of Announcement of Allocation Results.

Allocation Policy for Employees

18. Employees must apply via manual application forms. They cannot apply through the electronic application method. The allocation policy for employees has been designed to comply with the requirements of the Capital Markets regulations 2002.

19. The directors and management of Safaricom wish to achieve balanced distribution of the Offer Shares between individual members of the staff of Safaricom. In this regard, it has been determined that the Offer Shares shall be allocated applying the following allocation policy:

Pool	Percentage of Offer Shares	Number of shares to be offered	Guaranteed Application (shares)	Thereafter multiples of: (shares)
Employee Pool – for Safaricom employees	4%	260,000,000	Up to 40,000 shares	200 shares

20. There will be an allocation of up to 40,000 shares or such numbers applied for if less than 40,000.

21. There are no maximum restrictions to the total number of Offer Shares for which an employee can apply.

22. In the event that the total number of Offer Shares applied for by Applicants in the Employee Pool equates to the respective total number of Offer Shares reserved for this pool, all valid applications will be allocated in full as per the number of Offer Shares applied for by such Applicants.

23. **Under-subscription** - In the event that the aggregate number of Offer Shares applied for within Employee Pool are fewer than the Offer Shares available for sale into that pool, all valid

Applicants will receive an allocation of Offer Shares equal to the amount they applied for in full. The balance of the available Offer Shares will be re-assigned to the Retail Pool.

24. **Over-subscription** – In the event of an over-subscription, Applicants may receive fewer Offer Shares than the number applied for. In this event, when the aggregate applications exceed the Offer Shares available for sale in the Employee Pool, the available Offer Shares will be distributed amongst the applicants in the following manner:

- In the first instance, all valid Applicants in the Employee Pool will receive an allocation of all Offer Shares applied for up to a maximum of 40,000 Offer Shares.
- Thereafter, all valid Applicants in the Employee Pool will be allocated in multiples of 200 Offer Shares on a pro-rata basis, rounded down to the nearest 200 Offer Shares up to a maximum value of their annual gross salary as at the Opening Date, until all Offer Shares in the Employee Pool are fully allocated.

In the event that the results of the subscription make the above policy impractical, then an amendment to the allocation policy shall be made with the approval of the CMA and such amendment will be announced within twenty four hours of the grant of such approval.

25. In the event of any doubt whatsoever as to the eligibility of an Applicant in the Employee Pool, the decision of the Company shall be final.

Application Procedure

26. Persons wishing to apply for shares in Safaricom must complete the appropriate Application Form and, where applicable, CDS Securities Account Opening Form (Form 1). Such forms must be completed in accordance with the provisions contained in this Prospectus and the instructions set out on the Application Form and physically returned to one of the Authorised Selling Agents listed in Part III of the Appendix to this Prospectus. In the event of a rejection, for any of the reasons set out in "—Rejections Policy" below, any such Application Forms and accompanying cheques shall be returned to the Authorised Selling Agent to which the Application Form was submitted for collection by the relevant Applicant.

27. Copies of this Prospectus, with the accompanying Application Form, may be obtained from the Authorised Selling Agents referred to in Part III of the Appendix to this Prospectus.

28. Save in the case of negligence or wilful default on the part of the Vendor, their Advisors or any of the Authorised Selling Agents, neither the Vendor, nor any of the Advisors nor any of the Authorised Selling Agents shall be under any liability whatsoever should an Application Form not be received by the Closing Date.

29. The minimum application size for each category and any application for additional Offer Shares above the indicated minimum shall be as provided in the table below:

Category of Applicant	Minimum Application Size	Thereafter in multiples of
Retail	2,000	100
Qualified Institutional Investors	100,000	10,000
Authorised Safaricom Dealers	2,000	100
Employees	2,000	200

30. An Applicant shall qualify to apply for Offer Shares in one category only.

31. Joint applications may only be made by individuals (not corporations) and in all cases both applicants submitting an application must fall within the domestic pool. They cannot apply through the electronic application method.

32. Presentation of cheques for payment or receipt of funds transferred shall not amount to the acceptance of any application.

33. All alterations on the Application Form, other than the deletion of alternatives, must be authenticated by the full signature of the Applicant.

34. Neither Safaricom nor the Vendor will be directly receiving any applications or payments. No receipts will be issued by Safaricom or the Vendor for applications and/or remittances.

35. Applications sent by facsimile or by any means other than the methods stipulated in this Prospectus will not be accepted.

36. Applications once given are irrevocable and may not be withdrawn once submitted.

37. By signing an Application Form or submitting an electronic application form, as the case may be, each Applicant:

    i. agrees that having had the opportunity to read this Prospectus, it shall be deemed to have had notice of all information and representations concerning the Company contained herein;

    ii. confirms that in making such application it is not relying on any information or representation in relation to the Company other than those contained in this Prospectus and it accordingly agrees that no person responsible solely or jointly for this Prospectus or any part thereof shall have any liability for such other information or representation; and

    iii. authorises a director of the Company to sign on behalf of the Applicant any share transfer required to be signed by a transferee in respect of any Offer Shares that shall have been allocated to the Applicant.

38. A prospective investor (other than Qualified Institutional Investors) wishing to apply for the Offer Shares must duly complete and sign the accompanying Application Form and return the same in its entirety or complete the electronic application form accompanied by payment by way of a bankers or Authorised Selling Agents cheque (as may be applicable) (an "Authorised Cheque") so that it is received by a Receiving Bank by the Closing Date. All such Application Forms must be accompanied by an Authorised Cheque for the full amount due for the applicable Offer Shares **<u>and</u> if the Applicant is applying through a CDS Account, an additional KShs 30.00 should be added, the amount being the cost of postage of a CDS Account Statement (see paragraph 67 under "CDS Accounts"). All Authorised Cheques must be in Kenya Shillings and should be drawn on a licenced bank, a member of the Central Bank of Kenya Clearing House and should be made payable to "Safaricom IPO", A/C No 0300001001, Citibank N A Kenya Nairobi Branch" and be crossed "A/C payee only".**

39. For Qualified Institutional Investors applying for Offer Shares who wish to make payment after the allotment of shares, payment must be secured by an irrevocable on demand bank guarantee or an irrevocable on demand bank guarantee from a licensed authorised depository (listed in Part IV of the Appendix), in the format required by the Vendor (see Part V of the Appendix for the required format). Payment for the shares allotted will be made as per the section titled "Important Dates and Times" following the Vendor notifying the Applicant of its proposed allocation of Offer Shares. If such payment is not made, then the Vendor shall call in the bank or custodian guarantee. Allocation of Offer Shares to Applicants shall only be made after payment in full for the Offer Shares has been received by the Vendor.

40. The Authorised Selling Agent receiving an Authorised Cheque will issue the Applicant with a receipt in respect of the same.

41. Cash or personal cheques made directly payable to the Receiving Bank will not be accepted.

42. The Authorised Selling Agents and the Receiving Banks are entitled to ask for sufficient identification to verify that the person(s) making the application has authority or capacity to duly complete and sign the Application Form. The Authorised Selling Agents are therefore expected to undertake all "Know your Client" procedures and activities on nominee accounts as required by law. The Lead Transaction Advisors and the Vendor have the right to demand and be provided with the details of the nominee accounts held by the Authorised Selling Agents to ascertain the eligibility of the Applicant. In default, the Vendor may at its sole discretion treat such an application as invalid.

43. Applicants may approach any licensed commercial bank, at their risk, for loan facilities to facilitate participation and payment of the full amount due in respect of the Offer Shares.

44. All bank charges incurred in submitting an Application Form, together with requisite funds, are for the account of the Applicant.

45. The Vendor reserves the right to present all cheques for payment on receipt, to reject any application not in all respects duly completed, and to accept or reject or scale down any other application in whole or in part. Scaling down will apply only if there is an over-subscription.

46. Corporate investors must state the citizenship of the beneficial shareholders and the total percentage of shareholding attributable to citizens of each country.

47. Every Applicant is required to tick the appropriate box on the Application Form as regards his/her residency and or citizenship status, where applicable.

48. In the case of employees, the Application Forms together with the accompanying banker's cheque must be delivered to the Human Resources department of the Company for clearance. The forms will subsequently be forwarded to the Application Processing Agent through an Authorised Selling Agent.

49. Applicants may elect to receive allocated Offer Shares in material form (share certificates) or in immobilized form by way of crediting their CDS Accounts with the allocated number of Offer Shares. In this regard, Applicants are advised to indicate the preferred method of receiving allocated Offer Shares by completing the appropriate box on the enclosed Application Form.

50. Applicants who elect to receive share certificates in respect of the applicable number of allocated Offer Shares must indicate in the appropriate box in the Application Form whether the share certificates will be posted by registered mail to their own address, or submitted to the Authorised Selling Agent through whom the Application Form was submitted, for collection.

51. Where Applicants elect to receive share certificates in respect of allocated Offer Shares by way of mail to the postal addresses set out in the Application Form, the Share Registrar will dispatch the share certificates to such Applicant's postal address, at the Applicant's risk, following the date of Announcement of the Allocation Results in accordance with the instructions set out in the Application Form.

52. By signing an Application Form or submitting an electronic application form, an Applicant agrees to the transfer of such number of Offer Shares (not exceeding the number applied for) as shall be transferred to the Applicant upon the terms and conditions of the Prospectus and subject to the Company's Memorandum and Articles of Association, and agrees that the Company may enter the Applicant's name in the register of members of the Company as holder of such Offer Shares. The number of Offer Shares transferred (if any) to an Applicant will be inserted by the Vendor in the Share Transfer to be executed by the Vendor following allocation.

53. For Applicants that have a CDS account and wish to apply for shares online, they can complete an online application form and then save/print/e-mail the completed and submitted form. The Applicant will be required to select an agent where payments will be made. This agent will be one of the Authorised Selling Agents. An applicant may elect, for convenience, to make payment at an agent other than the broker where his CDS account is domiciled. The completed form will be

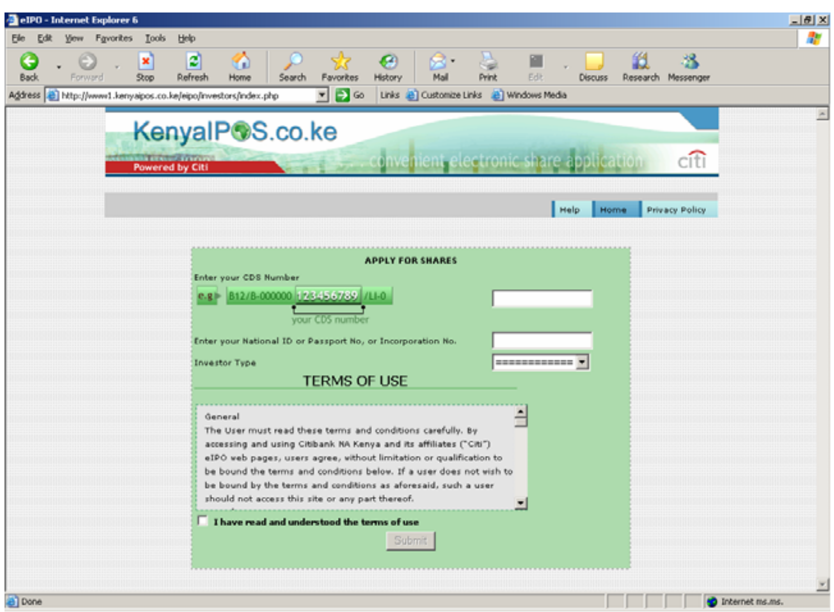
assigned a unique serial number. The Applicant should note this serial number as it will be required by the agent during payment.

54. Corporates and QIIs must apply via manual application forms. In addition, joint applications must be made via manual application forms. They cannot be done through the electronic application method.

55. The process will be as follows:

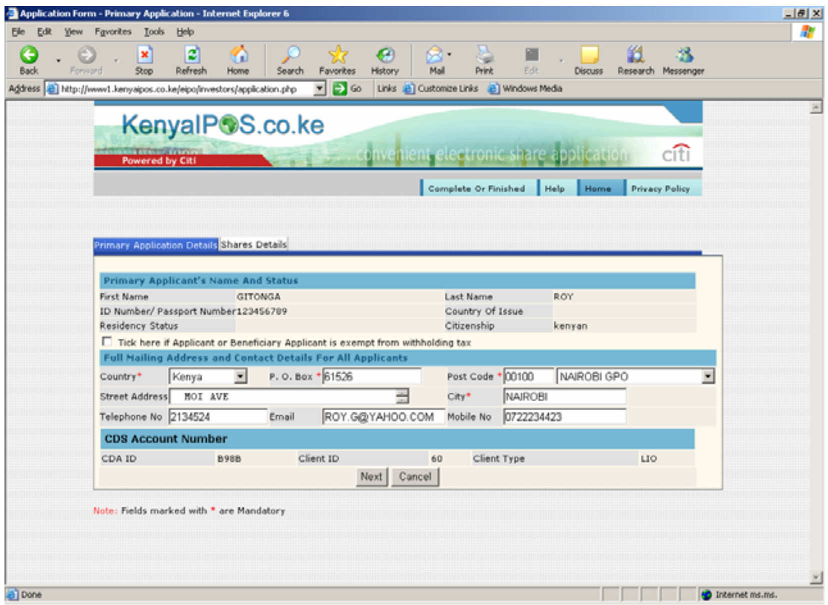
- The Applicant must access the following website: http://www.KenyaIPOS.co.ke. The home page for the said site is as per the screen below:

- The Applicant goes into the system by clicking on to the “ENTER” tab in the middle screen headed KenyaIPOS.CO.KE shown above. This will bring the Applicant to the screen shown below:

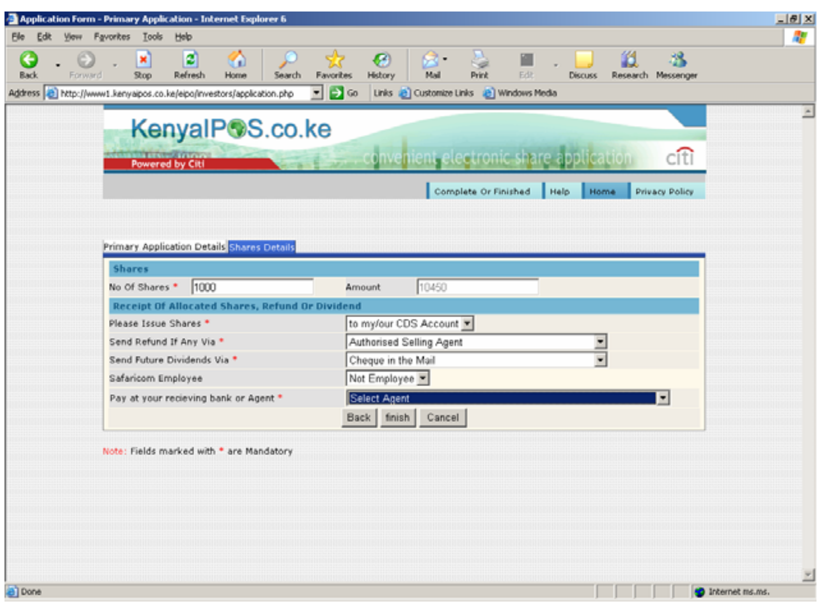


- The Applicant will then be requested to key in his/her CDSC and national identity card details for individuals. The screen above will contain terms and conditions of use of the online system as well as the terms and conditions of the Offer. All Applicants must read, understand and accept the said terms and conditions before they can proceed with the application. This they will do by checking the box confirming that they have read and understood the said terms and conditions.

- The system already contains the Applicant's details as held by the CDSC and these details will be automatically displayed onto the Application form immediately when the Applicants enter their CDSC account number and national identification number as shown below and accepts the terms and conditions of use and of the Offer. It is important to note that an Applicant will not be able to amend the said details as captured from the CDSC records. If the said details are incorrect, the Applicant should ensure that they go and change the said details at the CDSC.

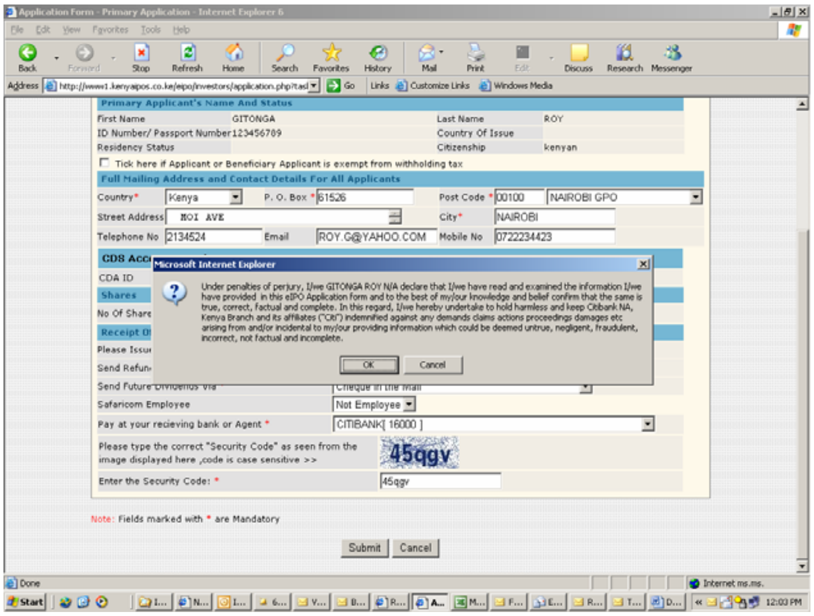


- After confirming the details, the Applicant should proceed to the next screen shown below:



- On this screen the Applicant will complete the following: (i) the number of shares; (ii) the mode of refund in case of over-subscription; and (iii) the Agent where the Applicant will make the payment. It is important to note that one can only make payment at the Agent that one selects.

- After completing all the details on the online application form, the Applicant will be requested to confirm that the details, as shown on the screen below, are correct and that he has read and understood the terms and conditions. By confirming, the Applicant will bind themselves to the terms and conditions of the offer. It is therefore imperative that an Applicant read the said terms and conditions in full and if in doubt seek appropriate advice before submitting the application.



- The Applicant will thereafter submit the application. A reference will be generated by the system for that specific application for tracking purposes.

- After submitting the application a summary of the application details will be displayed as shown below and the Applicant will be given an option to print and email the details.

Application Summary	
Serial No	5001150
CDS Account No	60
Agent Name	CITIBANK
Name of Applicant/s	GITONGA ROY
Date Applied	Friday 18th January 2008
No Of Shares	1,000
Value (Kshs.)	10,450.00
Email The Summary	Print Summary Done

Please Pay at Any of CITIBANK Offices
Thank You.

Print/View Entire Form

- After completing all of the above, the Applicant must then make the necessary payment at the respective chosen agent noting the reference number given by the system.

56. So long as the Offer Shares are listed on the NSE no stamp, registration or similar duties or taxes will be payable in Kenya in connection with the transfer of the shares in accordance with current legislation.

57. No interest will be paid on monies received in respect of applications for Offer Shares, nor will interest be paid on any amounts refunded or indeed deposited at the time of application.

58. Commission at the specified rate of 1.5% and 1.0% of the Offer price will be paid to Authorised Selling Agents that are members of the NSE and commercial banks licensed by the Central Bank of Kenya, respectively, on all allocations made to Application Forms received in respect of the Offer which bears the stamp of the Authorised Selling Agent or Receiving Bank (as applicable). No commission will be paid on Application Forms which bear more than one placement bank's stamp.

CDS Account

59. Applicants are strongly advised to receive allocated Offer Shares in electronic (i.e. immobilized) form by way of crediting their CDS Accounts with the allocated number of Offer Shares, though they may opt to receive them in material form (share certificates).

60. If an Applicant opts for a material form (share certificate) then he/she can not trade until he/she opens a CDS Account. A CDS Account is mandatory for trading purposes on the NSE.

61. To open a CDS Account, individual Applicants will be required to complete a CDS Securities Account Opening Form (Form 1) available from an Authorised Central Depository Agent listed in Part III (licensed investment banks and licensed stockbrokers only) and Part IV (licensed authorised depositories) of the Appendix to this Prospectus.

62. For Applicants who elect to receive allocated Offer Shares in electronic form by way of crediting their CDS Accounts with the allocated number of Offer Shares, the Company will authorise the CDSC to credit the CDS Accounts of such Applicants with the applicable number of allocated Offer Shares as specified in the "Important Dates and Times" section and in accordance with the instructions set out in the Application Form.

63. In the case of joint applications, the joint Applicants should have a CDS account in the name of the two Applicants, in default of which a share certificate shall be issued in the name of the two Applicants.

64. Applicants who elect to receive share certificates, which we discourage, in respect of the applicable number of allocated Offer Shares shall be unable to trade on the NSE until such time as a CDS Account has been opened in the name of the Applicant and the immobilisation of the shares has been completed, pursuant to which the shares shall be credited to the CDS Account.

65. On acceptance of any application, the directors will, as soon as possible after the fulfilment of the conditions relating to applications and completion of Application Forms, register the allocated shares in the name of the Applicant concerned.

66. Safaricom will issue block certificates in the name of the CDSC for the shares allocated and transferred in terms of the Offer where the Applicant has elected to immobilise their allocated shares in the CDS.

67. In accordance with the Central Depository (Regulation of Central Depositories) Regulations, 2004, the cost of postage of the statement issued on each CDS account upon allocation of the Offer Shares will be borne by the respective Applicant at the rate of KShs 30.00 per statement. This cost should be included in the banker's cheque or Authorised Selling Agent's cheque by which payment for the Offer Shares is made.

Loan Facilities

68. The decision on whether to take a loan or other form of financing offered by any commercial bank or third party financier in order to make payment for the Offer Shares applied for is the decision of each Applicant and neither Safaricom nor the Vendor will be in any way liable for the consequences of such a decision for the Applicant or the financier.

69. Where Applicants with CDS Accounts have been extended finance by a bank which insists on taking the Offer Shares as collateral, the following procedure must be followed:

    (i) The Applicant and or financing bank must complete a CDS Securities Pledge Form (Form 5) and record the pledge details on the Application Form. The Securities Pledge Form shall be submitted to the Authorised Selling Agent who will in turn submit it to CDSC. The Application Form together with payment will then be forwarded to the Receiving Bank/Application Processing Agent by the Authorised Selling Agent.

    (ii) Upon completion of any additional documentation prescribed by CDSC, all pledges will be effected through entries in the Central Depository maintained by CDSC. The pledging of such shares will at all times be subject to Rule 63 of the Central Depository Rules, 2004.

Rejections Policy

70. The Authorised Selling Agents will present through a Receiving Bank all Authorised Cheques for payment on receipt on behalf of the Vendor. Delivery of an Application Form accompanied with payment by way of an Authorised Cheque will constitute a warranty that the cheque will be honoured on first presentation. If any Authorised Cheque accompanying an application is not paid on first presentation and the application has already been accepted in whole or part, such acceptance may at the option of the Vendor be rescinded and the Offer Shares comprised therein may be transferred to another person upon such terms and conditions as the Vendor deems fit. The entire proceeds of such transfer shall be retained for the account of the Vendor, as the case may be, and the original Applicant shall be responsible for any losses and all costs incurred.

71. The Vendor shall not be under any liability whatsoever should any Application Form fail to be received by a Receiving Bank or by any Authorised Selling Agent by the Closing Date referred to in paragraph 2 above. In this regard, such Application Forms and accompanying cheques shall be returned to the Authorised Selling Agent or Receiving Bank where the Application Form was submitted, for collection by the applicable Applicants.

72. Applications can be rejected if full value has not been received. It is not sufficient to merely present a cheque for the full amount payable.

73. Applications will also be rejected for the following reasons:

    i. Incorrect CDS Account No;

    ii. Missing or illegible name of primary or joint applicant in any Application Form;

    iii. Missing or illegible identification number, including corporation registration number, or in the case of Kenyan residents, missing or illegible alien registration number;

    iv. Missing or illegible address (either postal or street address);

    v. Missing residence and citizenship indicators (for primary Applicant in the case of an individual) or missing residency for tax purposes for corporate investors;

    vi. Missing or incomplete CDS Form no. 5 in the case of financed applications where the Offer Shares are to be taken as collateral;

vii. Insufficient documentation is forwarded including missing tax exemption certificate copies for companies that claim to be tax exempt;

viii. In the case of nominee applications, incomplete information or lack of declaration from the agent submitting the application;

ix. Missing or inappropriately signed Application Form including (for manual application only):

a. Primary signature missing from Signature Box 1;

b. Joint signature missing from Signature Box 2 (if applicable);

c. Two directors or a director and company secretary have not signed in the case of a corporate application;

x. Number of Offer Shares does not comply with the rules as set out in Prospectus i.e.:

a. Fewer than 2,000 Offer Shares are applied for in the case of retail investors, Authorised Safaricom Dealers and employees and

b. Offer Shares not in multiples of 100, in the case of retail investors, authorised Safaricom Dealers and employees

c. Fewer than 100,000 Offer Shares applied for in the case of Qualified Institutional Investors

d. Offer Shares not in multiples of 10,000, in the case of Qualified Institutional Investors

xi. Amount as payment for number of Offer Shares Applied for is less than the correct calculated amount;

xii. Authorised Cheque has unauthenticated alterations;

xiii. Cheque is not signed, or dated or if amount in figures and words do not tally; and

xiv In the case of individuals or entities, as the case may be, meeting the requirements described under “Retail Pool”, “Qualified Institutional Investor Pool”, “Authorised Safaricom Dealer Pool” or the “Employee Pool” who are resident or physically located outside Kenya, where such individuals or entities are not eligible to participate in the Offer or receive the Prospectus under the laws of their residency or location and the offer to such individuals or entities does not comply with the selling restrictions set out above under “Selling Restrictions”.

Refunds Policy

74. Applicants have a choice on how refunds are to be returned. The preferred method is via direct credit to their bank account through an EFT. If requested, or if bank details are not provided, a default refund cheque will be delivered through the Authorised Selling Agent through whom the application was lodged. Applicants must indicate the preferred method of receiving their refund by ticking the appropriate box on the Application Form. EFTs will only be credited to accounts held at commercial banks. In the event that an EFT fails, a refund cheque will be sent in its place and delivered through the Authorised Selling Agent through whom the Application Form was submitted.

75. Applicants who elect to receive their refund directly are required to provide bank account details to ensure payment of refunds is effected via EFT only.

PART III – INTERNATIONAL POOL

The Offer

In the International Pool, the Vendor is offering to sell 3,500,000,000 Offer Shares to eligible investors, subject to decrease as described under "—Part I-General—Offer Shares and Allocation between Domestic Pool and International Pool".

The application period for the Offer Shares in the International Pool will open at 9:00 a.m. on Wednesday, 9 April, 2008 and will close at 3:00 p.m. on Wednesday, 23 April, 2008.

Conduct of Offer

For this purpose, "International Pool" refers to the shares of Safaricom to be sold in the Offer to eligible investors. The International Pool will be conducted pursuant to an international placing agreement between the Vendor and the Global Coordinator. This agreement shall provide that all orders in the International Pool from local brokers and investment banks shall be made through the Application Processing Agent to the Global Coordinator and shall be accompanied by a bank guarantee.

The Vendor, in consultation with the Lead Transaction Advisors, will determine the offer price for the International Pool by using the bookbuilding method with the price so determined not being lower than the fixed price of the Domestic Pool.

Order Taking

- Orders may be placed either directly with the Lead Transaction Advisors, or, alternatively, with a local broker or investment bank
- Local brokers may, during the international bookbuilding period, take orders from international institutional investors. All orders need to be accompanied by a bank guarantee or an irrevocable on demand bank guarantee from a licensed authorised depository (listed on Part IV of the Appendix) for the full value to the Application Processing Agent
- No orders from retail investors outside of the Domestic Pool will be accepted
- Orders can only be taken from institutional investors in jurisdictions where the Offer Shares are permitted to be sold by law
- To reflect these orders, the Application Processing Agent will provide the Global Coordinator with a spreadsheet on a daily basis, with the details of each order, including the full details of each beneficial owner, and confirmation of the bank guarantees
- The Global Coordinator will subsequently enter the aggregated orders of each broker into the international book of demand

Basis for Setting Offer Price

During the International Pool offering period, orders will be taken from institutional investors in permitted jurisdictions. As is customary in international bookbuilt equity offerings, orders may be placed by Authorised Selling Agents or the Global Coordinator at different price and size levels determined by the investor. Each Authorised Selling Agent may submit orders from their international institutional clients to the Global Coordinator (provided that such orders were obtained in accordance with all applicable laws in the countries in which offers or sales may be made and are otherwise in compliance with the selling restrictions set out under "—Part I-General—Selling Restrictions"). Each International Pool participant's orders for the International Pool will be submitted to the Application Processing Agent together with a bank guarantee or an irrevocable on demand bank guarantee from a licensed authorised depository (listed on Part IV of the Appendix) for the full amount of the order in the case of orders through local brokers and investment banks. The Application Processing Agent will enter the information provided in a spreadsheet, including price, number of Offer Shares subscribed for, and the full name, address, contact details of the institutional investor and details of any bank guarantee. The Application Processing Agent will forward the spreadsheets to the Global Coordinator by the end of business each day, and the Global Coordinator will subsequently enter each International Pool participant's orders into the institutional book of demand. The Global Coordinator will provide daily updates to the Vendor as to the progress of the book building process.

The bookbuilding process enables the Global Coordinator to build a picture of international investor interest and demand for the Offer, and facilitates the setting by the Vendor (in agreement with the Global Coordinator) of the offer price in the International Pool. The Vendor, in consultation with the Global Coordinator, will determine the offer price for the International Pool by using this book building method with the price so determined not being lower than the offer price for the Domestic Pool, which is set out above in the section "—Part II-Domestic Pool—Basis for Setting Offer Price".

Minimum Application Size

The minimum application size in the International Pool will be KShs 30 million per order.

Allocation

The Global Coordinator seeks to build a book of demand consisting of a mix of investors who are likely to be long term holders of the securities or providers of liquidity. Some or all the following factors will determine the allocations to each investor: investor's price limit, and the level; the size of the investor's expressed interest (both absolute and relative to the investor's portfolio or assets under management); the behaviour of the investor in, and following, past offerings, if any; the investor's interest in, and past dealings in other issuers in the telecommunications sector and in Kenya; the extent to which the investor's expressed interest and the size of the allocation requested appears consistent with the investor's expressed investment strategy and objectives and purchasing capacity; the timeliness of the investor's indication of interest, i.e. how early in the issue process the investor expressed interest; the nature and level of interest shown by the investor in the issuer and the offering, for example its involvement in roadshows, meetings and valuation discussions and other contact with the issuer; the category or description into which the investor falls (e.g. retail fund, tracker fund, emerging markets specialist, industry specialist fund); the geographic spread of investors in the book of demand; the need to comply with applicable selling restrictions or other relevant legal or regulatory restrictions in each jurisdiction where potential investors are located; based on experience, the investor's likely long-term interest in the issuer (whether in the market or potential future offerings); any indication or reasonable belief that an investor has exaggerated its indication of interest in anticipation of being scaled back; and the desirability of avoiding allocations in inconvenient or uneconomic amounts.

The allocation decision is a matter of judgment based on the Global Coordinator's and the Lead Transaction Advisors' extensive experience in distributing offerings of securities. Normally, no one factor would be determinative in the allocation process and the particular facts and circumstances of the issuer and the investor will ultimately determine the basis of allocation.

- All orders will be evaluated according to the same criteria, as per the allocation principles for the transaction outlined above.
- The Global Coordinator will prepare an allocation recommendation with regards to the International Pool allocation, in order to create an optimal international shareholder base and promote a favourable aftermarket in the stock.
- The Vendor will sign off on the allocation recommendation before allocations are executed.

Allocations will be communicated to all successful institutional investors as soon as possible following the pricing and announcement of allocations of the International Pool, which is scheduled to occur on 23 April, 2008.

Kenyan taxation

For a description of the tax consequences under Kenyan law relating to the position of persons shown are the absolute beneficial owners of the Offer Shares, see the "Taxation on Income of Shares" section of this Prospectus.

Investors are urged to consult their tax advisors regarding the tax consequences of acquiring, holding and disposing of the Company's ordinary shares.

8. Additional Corporate Information

Legal Status

Safaricom Limited was incorporated on 3 April, 1997 under the Companies Act as a private limited liability company (registration number C.75645). It was converted into a public company with limited liability on 16 May, 2002 (registration number C.8/2002).

By virtue of the 60% shareholding held by the GoK, Safaricom is a state corporation within the meaning of the State Corporations Act (Chapter 446) Laws of Kenya, which defines a state corporation to include a company incorporated under the Companies Act which is owned or controlled by the Government or a state corporation. Until 20 December, 2007, the shares now held by the GoK were held by Telkom Kenya Limited ("TKL"), which is a state corporation under the Act.

Following the Offer and sale of 25% of the issued shares in Safaricom held by the GoK to the public pursuant to this Offer for sale, and assuming full subscription, the GoK shall cease to have a controlling interest in Safaricom under the State Corporations Act. The Company shall therefore cease to be a state corporation and the provisions of the State Corporations Act shall no longer apply to it.

Principal Objects

The principal objects of Safaricom as set out in the Memorandum of Association of the Company are:

Clause 3 (1): To take on license, install, establish and operate commercial cellular telecommunications systems.

Clause 3 (2): To purchase, take on license, otherwise acquire construct, install, establish, maintain, operate, turn to account and deal with apparatus equipment for the transmission of messages and information by any means.

Shares and Shareholders

Safaricom has an authorised share capital of 119,999,999,600 ordinary shares with a par value of KShs 0.05 each and five non-voting, non-participating redeemable preference shares with a par value of KShs 4.00 each. The share capital structure of the Company as at the date of this Prospectus is as follows:

Description	Number of Shares	Nominal Value of Shares
Authorised Capital	119,999,999,600 ordinary shares, par value KShs 0.05 each; 5 non-voting, non-participating redeemable preference shares, par value KShs 4.00 each	KShs 5,999,999,980 KShs 20
Issued Capital	40,000,000,000 ordinary shares, par value KShs 0.05 each 5 non-voting, non-participating redeemable preference shares, par value KShs 4.00 each	KShs 2,000,000,000 KShs 20
Unissued Capital	79,999,999,600 ordinary shares	KShs 3,999,999,980

Of the unissued share capital, the Company has not made any commitments to issue any of this to any person, nor does any person have preferential subscription rights to this capital, save in respect of the Employee Share Option Scheme ("ESOP") and Employee Share Purchase Plan ("ESPP") discussed in the section of this Prospectus entitled "Employee Stock and Option Plans".

Alterations to Share Capital

By an ordinary resolution passed on 19 December, 1995 the authorised share capital of the Company was increased from KShs 20,000.00 divided into 1,000 ordinary shares of KShs 20.00 each to KShs 2,000,000.00 divided into 19,999,800 ordinary shares of KShs 0.10 each and five non voting non participating deferred shares of KShs 4.00 each.

By a resolution passed on 3 March, 2008 (i) the 19,999,800 ordinary shares of the Company of KShs 0.10 each were sub-divided into 39,999,600 ordinary shares of KShs. 0.05 each, (ii) the authorised share capital of the Company was increased by KShs 5,998,000,000.00 made up of 119,960,000,000 ordinary shares of KShs 0.05 each and (iii) bonus shares, in the proportion of 1,999,999 new ordinary shares for each of the 20,000 ordinary shares in issue, were issued to GoK and VKL. In addition, each of the five non-voting non-participating deferred shares of par value KShs 4.00 each was converted into a non-voting redeemable preference share carrying only the right to preference to repayment of the paid up par value in the event of a liquidation of the Company. Such shares may be redeemed at any time by the Board of the Company, subject to and in accordance with the provisions of the Companies Act.

The issue of bonus shares was effected by way of a capitalisation of the share premium account of the Company, applying the sum of KShs 1,999,999,000.00 standing to the credit of the share premium account towards the issue of ordinary shares credited as fully paid to both GoK and VKL in the proportion of 1,999,999 shares for each ordinary share held by them in the Company.

Issue of Shares

There have been no changes in the percentage ownership held by any Shareholders during the past three years. The only change in shareholding in the past three years was the transfer of shares from TKL to the GoK discussed under "Additional Corporate Information—Legal Status".

Shareholding Structure Before the Offer

The names of the shareholders of the Company and their respective holdings of issued and allotted share capital of the Company as at the date of this Prospectus is as set out in the table below:

Name of Shareholder	**Number and Class of Share**	**Percentage of Issued Ordinary Shares**
Government of Kenya through Permanent Secretary to the Treasury	24,000,000,000 ordinary shares	60%
Vodafone Kenya Limited	16,000,000,000 ordinary shares	40%

There are five non-voting, non-participating shareholders who hold five redeemable preference shares (only with preferential rights as to payment of paid up par value on liquidation) in the issued share capital of the Company. These shares, which do not have any right to vote or otherwise participate in the operations or profits of the Company, were created when the Company converted from a private company to a public company, in order to comply with the legal requirement that a public company must have not less than seven shareholders. The shares were originally deferred shares but were converted into redeemable preference shares on 3 March, 2008 to allow for their disposal. One redeemable preference share has been issued to each of Paul Bongo Jilani, John Kipngetich Mosonik and Augustine Kiptoo Cheserem (deceased) (as nominees of Telkom Kenya Ltd, the GoK's predecessor in title to the ordinary shares), and Ashwini Bhandari and Kenneth Hamish Wooler Keith (as nominees of Vodafone Kenya Limited). The Board has the power to redeem the shares as it sees fit.

There are no differences in the voting rights of the shares held by the major shareholders of the Company (i.e. Vodafone Kenya Limited and GoK.)

No director of the Company holds a direct or indirect interest in the share capital of the Company.

As of the date of this Prospectus, there are two persons with beneficial interests in the shares of Vodafone Kenya Limited. More specifically, Vodafone International Holdings B.V. beneficially holds 350 shares (equivalent to an 87.5% beneficial interest in Vodafone Kenya Limited ("VKL")) and Mobitelea Ventures Limited beneficially holds 50 shares (equivalent to a 12.5% beneficial interest in VKL).

Expected Shareholding Structure After the Offer

Assuming that the Offer Shares are fully subscribed for, the shareholding structure of the Company after the Offer is expected to be as follows:

Shareholder	Pre-Offer	Post-Offer
GoK	60%	35%
Vodafone Kenya Limited	40%	40%
Public	0%	25%
Total	100%	100%

In addition, there are five redeemable preference shares in the Company's share capital.

Future Changes to Shareholding Structure

The Cabinet of the GoK has approved the sale of its shares in Safaricom such that its shareholding after the conclusion of the Offer is expected to be 35%. Vodafone Kenya Limited has not disclosed an intention to dispose of any part of its 40% shareholding in the Company. Except as otherwise contemplated in the Company's Memorandum and Articles of Association, there is therefore no arrangement known to the Company, the operation of which may at a subsequent date result in a change of control of the Company. There is no arrangement known to the Vendor, the operation of which may at a subsequent date result in a change of control of Safaricom.

9. Use of Proceeds

The proceeds of the Offer will accrue to the GoK. In the case of the Domestic Pool, the gross proceeds will amount to KShs 32,500,000,000 (if fully subscribed). In the case of the International Pool, the gross proceeds will amount to at least KShs 17,500,000,000 (if fully subscribed), such figure being an estimate based on the price of the Offer Shares in the International Pool being fixed at the Domestic Pool Offer Price. For more about the expenses relating to the Offer, see "Statutory and General Information—Estimated Expenses of the Offer".

10. Capitalisation

The following table sets forth the cash and cash equivalents, borrowings and capitalisation of the Company as of 30 September, 2007, as reported in the Company's audited financial statements for the six-month period ended 30 September, 2007. The figures are adjusted to reflect the impact of the repayment of the Company's outstanding shareholder loans.

The capitalisation table below should be read in conjunction with this Prospectus as a whole, including, in particular, the audited financial statements of Safaricom for the six-month period ended 30 September, 2007. Save for the repayment of the shareholder loans and a KShs 3 billion drawdown on 14 December, 2007 from a loan facility (each as described in the "Operating and Financial Review" section), there has been no material change in the capitalisation of the Company since 30 September, 2007.*

	As of 30 September, 2007			
	Actual		As adjusted	
(MM)	KShs	USD	KShs	USD
		('000)		
Cash and cash equivalents	3,918	58	3,236	48
Borrowings				
Bank borrowing	6,200	93	9,200	137
Shareholder loans	3,682	55	0	0
Total long-term liabilities	**9,882**	**147**	**9,200**	**137**
Shareholders' equity				
Share capital	0	0	0	0
Paid-in-surplus	3,850	57	3,850	57
Retained earnings	32,228	481	32,228	481
Total shareholders' equity	**36,078**	**538**	36,078	538
Total capitalisation	**45,960**	**685**	**45,278**	**676**

* USD figures based on KShs/USD exchange rate of 67.0; provided purely for the purposes of comparison.

Shares in issue

Subsequent to the Offer, the Company will have 119,999,999,600 ordinary shares authorised for issue and 40,000,000,000 ordinary shares issued.

11. Dividend Policy

The Board of Directors adopted its current dividend policy on 6 November, 2007. Under the policy, in considering the level of dividends, the Board of Directors of Safaricom will take account of the outlook of earnings growth, operating cash flow generation, capital expenditure requirements, acquisitions and divestments, together with the amount of debt.

The first priority of the Company will be to maintain sufficient distributable reserves and liquidity to ensure that operational needs and/or business growth are not limited by the unavailability of funds and also that facilities are available to cover all known contingencies. Additionally, any dividends will only be declared and paid where allowable under any covenants included in any funding facilities.

Subject to the foregoing, the Company intends to operate a progressive distribution policy based on what it believes to be sustainable levels of dividend payments.

Whenever possible, it will be the Company's intention to, at least, maintain annual dividend payments at the level declared in the previous year; however, with respect to the initial dividend payment under the current policy, such dividends will not necessarily be at the level declared in the previous year(s), as the Company's previous dividend policy was based on other considerations and past dividend payments should not be taken as an indication of future payments. Not only are dividend payments not guaranteed and subject to the absolute discretion of the Board of Directors, but, to the extent that they are paid, this could restrict the Company's cash reserves. If this happened, the Company's ability to meet its financing needs may be adversely affected. Moreover, as a result, the Company may be required to borrow additional money or raise additional capital. See also "Risk Factors – Risks relating to this Offering – The Company may not be able to fulfil its dividend policy in the future."

12. Country Overview and Nairobi Stock Exchange Overview

Overview of Kenyan Economy

Location and Population

Kenya is located in Eastern Africa. The country shares its boundaries with five countries, Somalia to the east, Ethiopia and Sudan to the north, Uganda to the west and Tanzania to the south. Kenya possesses one of Sub Saharan Africa's most diverse economies and is one of the most developed countries in East and Central Africa.

Kenya has a relatively young demographic makeup with 33% of the population being under 14 years old. The 15-24 year old age bracket accounts for 22% of the population while 25-44 years accounting for 32%. The population is concentrated around Nairobi and the southwestern quadrant of the country. Kenya's primary economic activity is based around tourism, agriculture, professional services and a burgeoning manufacturing and technological base.

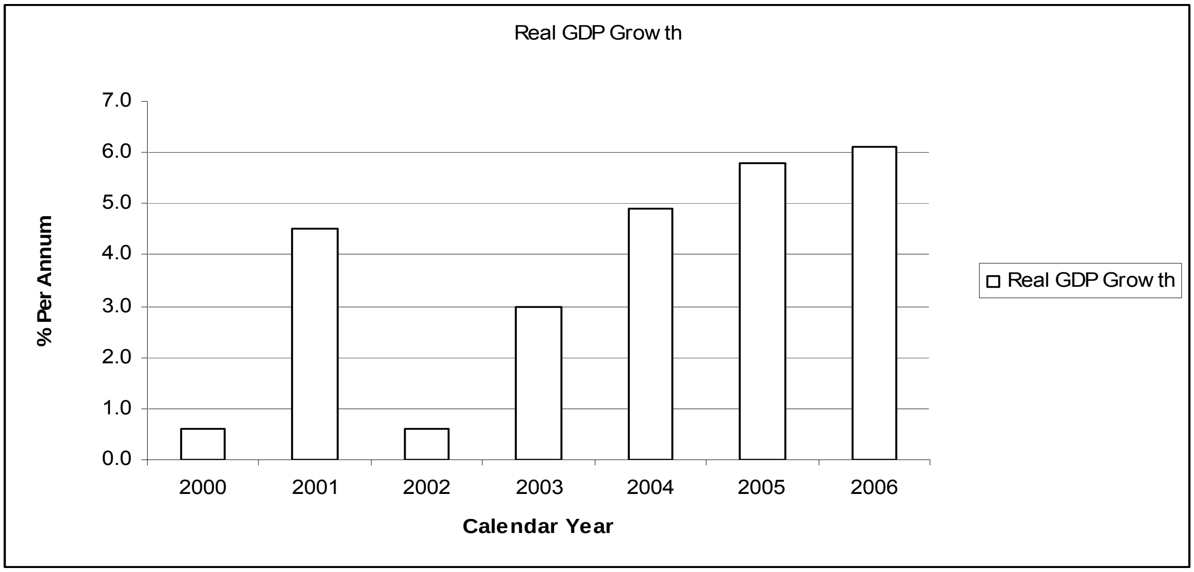
Key Economic Indicators

Indicator for Calendar Year end December	2002	2003	2004	2005	2006
GDP at market prices (KShs Million)	1,035,374	1,138,061	1,286,462	1,445,477	1,642,405
Real GDP growth (%)	0.6	3.0	4.9	5.8	6.1
Exports (KShs 000)	169,283,373	183,153,548	214,792,872	260,423,071	250,993,689
Imports (KShs 000)	257,710,043	281,843,865	364,557,203	443,092,766	521,482,804
Exchange rate (KShs: USD)	77.072	76.139	77.344	72.367	69.397
Annual inflation Rate (%)	2.0	9.8	11.6	10.3	14.5
NSE 20 share price index	1,363	2,738	2,946	3,973	5,646
Population	32,222,534	33,171,488	34,179,344	35,138,644	36,138,744
Source: Kenya National Bureau of Statistics Statistical Abstract 2007					

The first nine months of 2007 estimated the economy to have grown by 6.9%, compared to 5.8% over the same period in 2006. However, Real GDP showed a slowdown in growth. It is estimated to have grown by 6.9% in the third quarter of 2007, compared to a growth of 7.5% in the third quarter of 2006. *(Source: KNBS Gross Domestic Product, Third Quarter, 2007).*

Economy

Prior to recent events related to post-election violence, Kenya's recent economic turnaround since 2002 had been well documented. During the last five years the Government implemented key economic reforms and programmes to combat corruption leading to an accelerated economic growth rates and a resumption of cooperation with international donors. Rising from a stagnant economy in the 1990s, Kenya's Gross Domestic Product ("GDP") grew by real annual rates of 4.9%, 5.8% and 6.1% in 2004, 2005 and 2006 respectively. According to the Central Bank of Kenya, the economy grew by 6.9% in the first nine months of 2007. These gains are attributable to private sector expansion, declining budget deficits, interest rate and currency stability. See also "Risk Factors—Risks Relating to Kenya—Political, economic and social developments in Kenya".



Source: Central Bank of Kenya Economic Monthly Report August, 2007

The key sectors contributing to growth are agriculture, tourism, manufacturing, transportation and communication. The agricultural sector grew by 7.6% during the first 11 months of 2007, in comparison to 5.5% over the same period in 2006. The largest contributors to this sector were tea and horticulture, which grew by 23.4% and 16.8% respectively. Growth in these two subsectors was supported by improvements in infrastructure and good weather, which saw Kenya produce its largest tea crop. *Source: CBK Economic Monthly Review January, 2008*). January to November of 2007, saw tourist arrivals increasing by 11.3% compared to the same period in 2006. The tourism sector has been adversely affected following the post election stalemate in the county. According to the Kenya Tourism Board, arrivals in January 2008, declined by 90%. However, with the signing of the peace agreement, there is hope that the sector will get back on track and recover considerably by the end of the year.

Key developments in the financial sector include privatisations, growing competition in the banking sector and significant gains in capitalisation and trading volume on the NSE.

Fiscal policy remains intact. Annual budget deficits measured 2.51%, 1.54%, and 2.39% in 2003, 2004, and 2006, respectively. The year 2005 saw a surplus of 0.42%. (*Source: CBK Economic Monthly Review August, 2007*).

After bouts of volatility, interest rates regained composure and had been on a steady decline since the second half of 2005. From January, 2007 through August, 2007, the average interest rate for the 91-day Treasury—the benchmark rate—was 6.54%, with a standard deviation of only 0.39%. However, the average 91-day Treasury bill rate increased from 6.87% in January 2008, up to 6.95%. Similarly, the 182-day Treasury bill rate increased from 7.87% in December 2007 to 8.09% in January 2008. The Kenya Shilling, in 2007, strengthened against most international currencies. (*Source: CBK Economic Monthly Review August, 2007 & January 2008*).

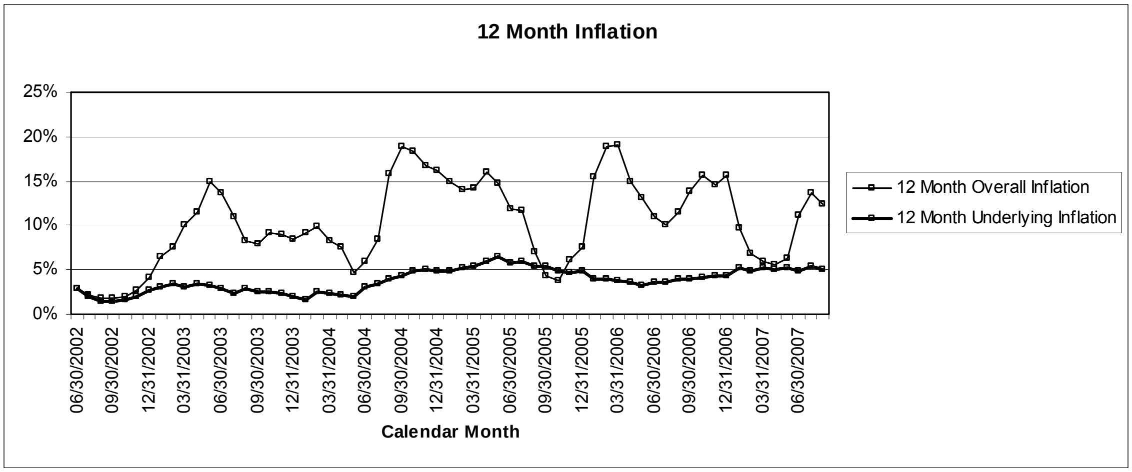
Inflation

The average annual inflation rate was 10.3% and 14.5% in 2005 and 2006, respectively. After a decrease in the beginning of 2007, inflation increased again in August, to an average annual rate of 10.72% and a 12 month rate of 12.37% (Source: CBK Economic Monthly Review August, 2007). Increases in inflation were attributable to a rise in food prices due to adverse weather conditions, as food represents 50% of Kenya's CPI. However, by the close of the year, the average annual inflation rate had decelerated to 9.8% (Source: KNBS Leading Economic Indicators January, 2008).

Twelve month underlying inflation, which disregards prices of food and drink and fuel and energy, remained stable. It rose from 2.7% at the end of 2002 to 5.06% in August, of 2007. Over the same period, 12 month underlying inflation averaged 3.9%, with a standard deviation of only 1.2%. (*Source: CBK Economic*

Monthly Report August, 2007). Following the unrest experienced in the country, the month-on-month underlying inflation rate accelerated in January 2008 to 7.6% from 5.9% in December 2007 (Source: KNBS Leading Economic Indicators January, 2008).

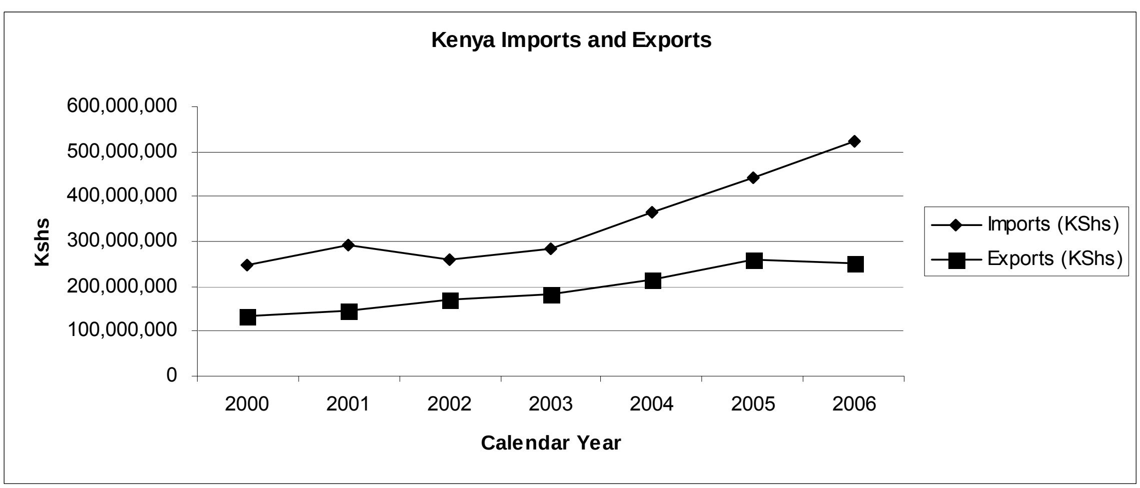
Leading into the end of 2007 food inflation was starting to ease. Monetary policymakers, who use underlying inflation as their key indicator, monitor broad money supply effectively despite overall volatility. Looking forward, the inflation rate will depend among others, on developments in food prices, international oil prices and the performance of the Kenya Shilling against other international currencies. However, this will also depend on the ongoing negotiations on the coalition government and its subsequent implementation.



Source: Central Bank of Kenya Economic Monthly Reports: July, 2002 –August, 2007

Balance of Payments

The current account deficit continues to widen, driven by imports of machinery and transport equipment as well as chemical, petroleum and telecommunication products. Exports, which rose only steadily, are made up of fruits, vegetables, tea and flowers as well as chemicals, machinery equipment and other manufactured goods. Total exports rose by 10.8% in 2007, while imports rose by 14.9% (Source: KNBS Leading Economic Indicators January, 2008). January to November of 2007, showed a 38.7% decline in the balance of payment surplus compared to the same period in 2006. The widening deficit resulted from an increase in merchandise imports, and can also be attributed in part to the appreciation of the Kenya Shilling.

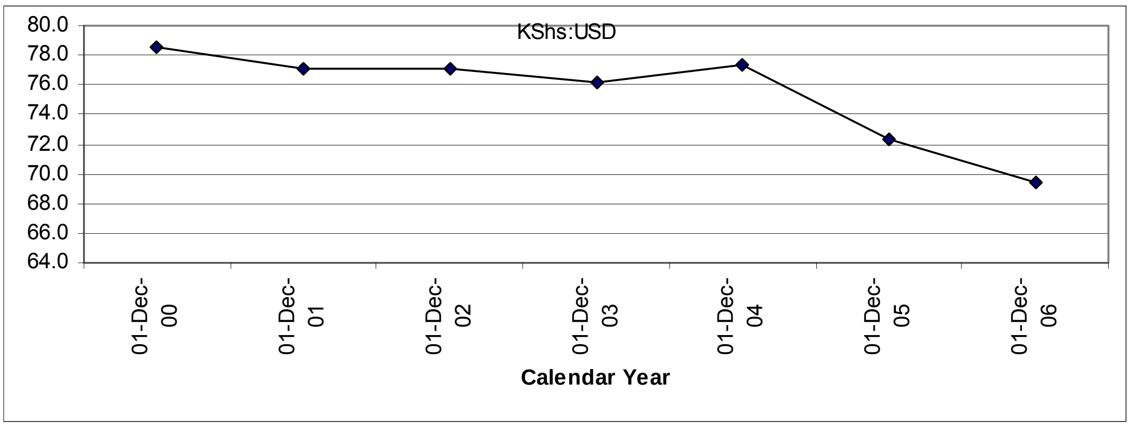


Source: Kenya National Bureau of Statistics Statistical Abstract 2007

Exchange Rates

Stabilizing interest rates, decreasing external debts and improving economic performance strengthened the Kenya Shilling against most international currencies. The US Dollar traded at 78.60 KShs in December, 2000 and 66.95 KShs at the end of August, 2007 (Source: CBK Economic Monthly Report August, 2007). As a result of the uncertainties resulting from the general election, the Kenya Shilling weakened against all major international currencies in January 2008. Against the Euro the Kenya Shilling lost to trade at an average of KShs 100.2, in January 2008, compared to KShs 92.2 in December 2007. Similarly, in January 2008 the shilling depreciated against the Sterling Pound, US dollar and the Japanese Yen to trade at KShs 134.0, KShs 68.1 and KShs 63.2 per 100 Japanese Yen respectively, compared to KShs 128.5 per Sterling Pound, KShs 63.3 per US Dollar and KShs 56.5 per 100 Japanese Yen in December 2007. (*Source: CBK Economic Monthly Review January, 2008*).

However, the Kenya Shilling still appreciated against regional currencies of Tanzania and Uganda. (Source: KNBS Leading Economic Indicators January, 2008)



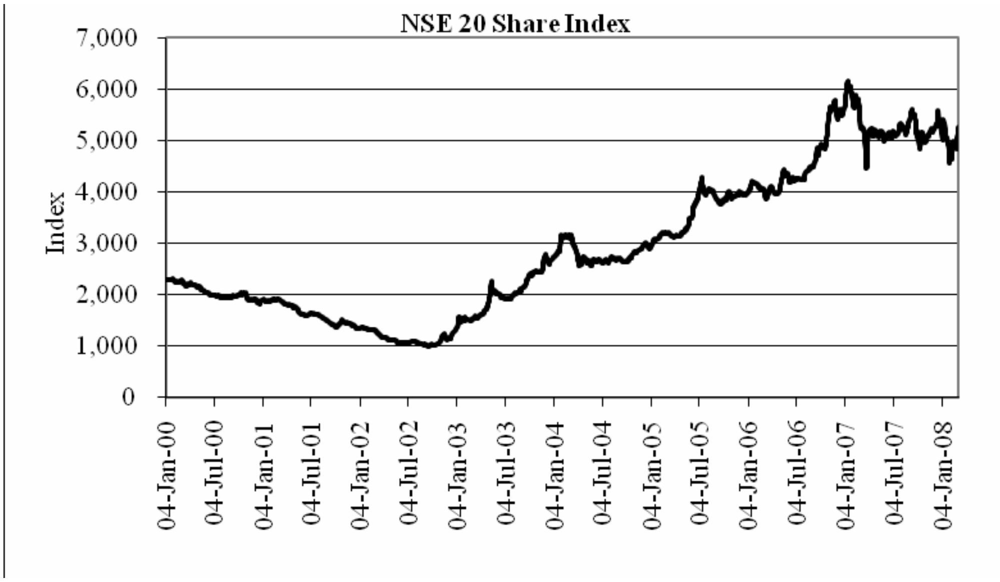
Source: Kenya National Bureau of Statistics Statistical Abstract 2007

Overview of Nairobi Stock Exchange

The Kenyan stock market achieved significant growth starting in 2003. As articulated in many publications, the lacklustre performance of the economy and the stock market were largely attributed to poor governance of domestic institutions and natural resources.

Regime change in December, 2003, together with changes in trading mechanics on the NSE increased investor interest. Trading activity has been robust ever since. The introduction of the CDS and the implementation of the Automated Trading System (ATS) have improved transactions efficiencies. This, in turn, has increased investor interest in the stock market, particularly institutional and foreign investors. 2006 and 2007 saw a lot of activity on the exchange. Six companies were listed on the exchange over the two year period, a marked improvement from the previous periods where new listings averaged about one over a two year period. Most of this interest in the exchange had paid off from the publicity that the exchange got during the KenGen privitisation.

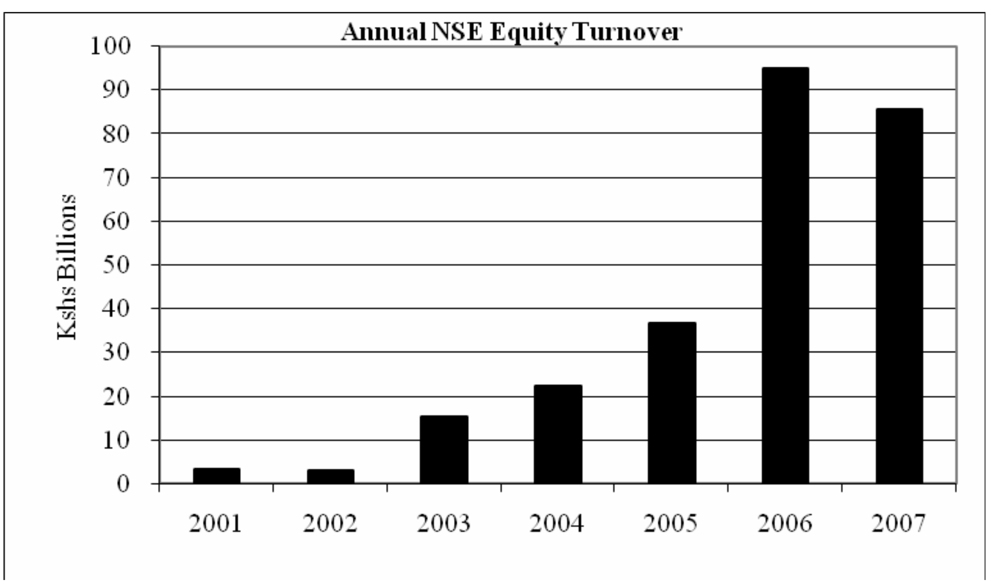
Recently however the Nairobi Stock Exchange share index (NSE 20) has been adversely affected by the uncertainty of investors related to the post-election crisis that engulfed the country in January and early February 2008. The NSE index closed at 5,444.8 points on December 24 2007 and declined by 13.4% through January 2008 to close at 4,712.7 points. Total value of shares traded during the month of January rose by 17.1% from KShs 6 billion to KShs 7 billion. (Source: KNBS Leading Economic Indicators January, 2008)



Source: Nairobi Stock Exchange

The number of shares traded on the exchange in January 2008 increased by 40% from 140.8 million in December 2007 to 197.0 million. As a result, equity turnover in January increased by KShs 1.03 billion from December 2007. However, market capitalization declined by KShs 75.9 billion from KShs 851.1 billion in December 2007 to KShs 775.2 billion in January 2008. This decrease is attributed to the price declines recorded on the counters, as a result of the political uncertainty that the country experienced. Subsequently, the market liquidity ratio rose from 1% in December 2007 to 1.3% in January 2008.

During the month of January 2008, the Finance and Investment sector continued to be the most active segment on the Main Investment Market, followed by the Industrial and Allied sector and the Commercial and Services sector, which traded 49.6 million shares, representing 25.2% of the total volume of shares traded.



Source: Nairobi Stock Exchange

The bond market was quite active, and rose by 9.0% in January 2008, with bonds worth KShs 7.6 billion being traded, up from KShs 7 billion in December 2007.

A Review of the Developments Following the Disputed Election

Kenya held its national elections on 27 December, 2007. The incumbent, Mwai Kibaki, was declared the winner by the Electoral Commission of Kenya. The opposition Orange Democratic Movement "ODM" disputed the results. Consequently violence broke out in opposition strongholds targeted at perceived supporters of President Mwai Kibaki. Major towns such Eldoret and Kisumu were affected by the political violence. The violence spilt over into pro-Government towns of Nakuru and Naivasha where the perceived "ODM" supporters were forced to flee the towns. Thousands of Kenyans became displaced and moved into shelters or safer parts of the country.

The economy suffered in January 2008. Transportation into Uganda and the landlocked countries of Rwanda, Democratic Republic of Congo and Southern Sudan was impeded by spontaneous blockades of the major roads in western Kenya by "ODM" supporters. Nairobi and Mombasa suffered some disruptions in the first 2 weeks of the year brought about by mass action. There is no firm figure on business losses during the period of unrest. However the Minister for Finance put the loss at approximately KShs 56.3 billion in the month of January. Kenya Manufacturers of Association estimate a loss of over KShs 260 billion in the first half of 2008 of which KShs 10 billion occurred in January and over 400,000 jobs are likely to be lost during the first half. It should however be noted that these estimates were made before the signing of the power sharing agreement. (*Source: Kenya Manufacturers Association Report: Post-Election Violence on Manufacturers)*.

Traffic flow into western Kenya picked up in mid January 2008 albeit with convoys of transporters under police escort. Safaricom suffered some loss of revenue due to shortages of pre-paid scratch cards in several towns during the period of heavy unrest following the disputed election results. The tourist sector was hard hit by the negative press following the political violence. Hotel capacity in January and February was below 20% for most tourist hotels (*Source: Kenya Tourist Board)*. The transport sector was hurt by the blockades of roads in western Kenya. The Mombasa port has been congested by the pile up of containers bound for neighboring countries that were unable to leave for approximately the first two weeks of 2008. Manufacturing activity was rather mute in January due to supply chain disruptions and mass action unrest. Most employees opted to stay at home for fear of being attacked. The large tea estates were also affected by the absence of frightened migrant workers.

The introduction of the mediation efforts led by the former Secretary General of the UN, Mr. Kofi Annan, resulted in the suspension of mass action by the ODM on 19 January, 2008. Business operations went back to normal following the uneasy calm brought about by the mediation efforts. Flower exports from the volatile Naivasha region posted a new record high during the "Valentine" week as flowers could not be transported from Eldoret and other parts of the country. 60% of Kenya's flower export comes from Naivasha. However, flower farms were not affected as adversely as perceived. The Kenya Revenue Authority was also able to hit its revenue collection targets in January 2008.

The first phase of the mediation exercise ended with a power sharing deal between the Government and Opposition. Parliament is expected to pass new bills that will introduce the position of the Prime Minister that will be taken by the leader of the largest parliamentary party or coalition. The second phase of the mediation began on 3 March, 2008. The second phase involves long term issues of constitutional reforms, land reforms and equitable distribution of resources.

The spill over of the negative political events may linger on into the second quarter. The February overall inflation year on year was 19.1% compared to 12.0% for December 2007. Tourism may take some time to rebound. The Government has already introduced austerity measures to cope with probable lower tax revenues in the first quarter of 2008. The announcement of major real estate developments by Mr Mukesh Ambani and Arrow Webtex, a Mumbai-based real estate firm, on a 3.3 acre land worth KShs 1.4 billion, and the subsequent construction of a tourist hotel and a shopping mall is a good indication of investor confidence in the future of the economy. The Kenya Shilling has regained some of its value against the Euro. As of 30 January, 2008 the Euro was trading at KShs 112.80 compared to KShs 97.87 on 4 March, 2008. On 9 February, 2008, the USD hit a high of KShs 75.55 but it has since depreciated to trade at KShs 70.21 as of 5 March, 2007.

Tea production was severely affected as a result of the violence. As such due to less production, the industry expects much more favorable prices by the end of the year. The Average Auction price realised during the month of January 2008 was $2.33 per Kg against $1.79 recorded during the corresponding month of 2007.

Despite the uncertainty created by the eruption of nationwide violence, interest rates have remained largely at the same level. The 91-Day Treasury Bill rate moved up marginally from 7.88% on 24 December, 2007 to 7.99% on 29 February, 2008.

13. Telecommunications Overview

Kenyan mobile market overview

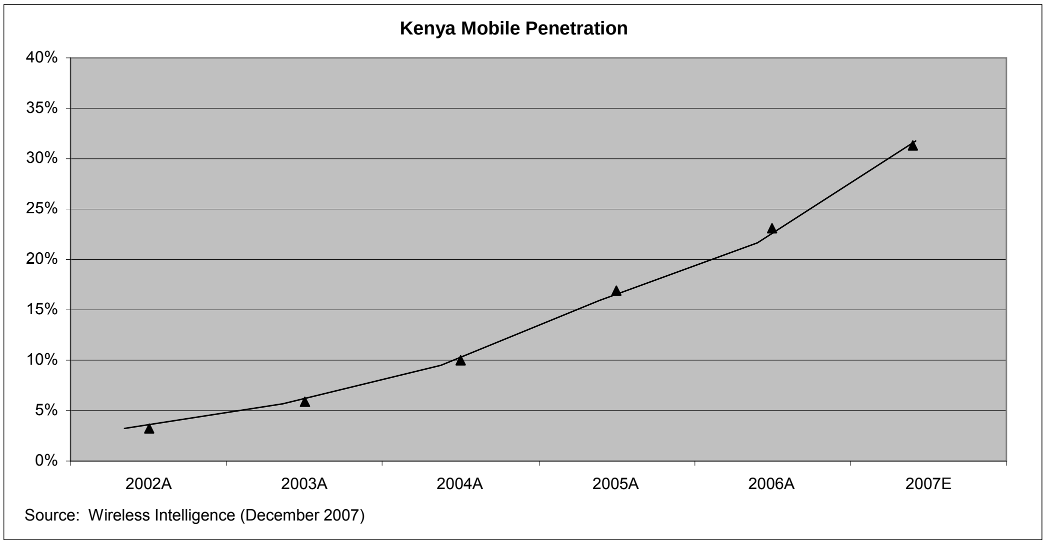
The Kenyan mobile market currently has three major telecommunications operators:

- Safaricom, which started as a department of Kenya Posts & Telecommunications Corporation, the former monopoly operator, launched operations in 1993 based on an analogue ETACS network and was upgraded to GSM in 1996 (licence awarded in 1999)
- Celtel (formerly KenCell), which launched GSM services in 2000
- Telkom Kenya, the fixed line operator that has already commenced a wireless (CDMA) network. Telkom Kenya has been awarded a mobile licence. A consortium led by France Telecom SA recently won an auction for a 51% stake in TKL.

Additionally, the Kenyan regulator issued a third GSM licence to Econet Wireless Kenya ("Econet") in December, 2003. The Company believes that it is likely that the operator will launch commercial services in mid- to late- 2008.

Furthermore, the Kenyan Government intends to award additional telecommunications licences. A fifth mobile licence is to be issued as part of a second tender for the country's second national operator (SNO) licence. This has become necessary following the failure of the first auction, in which the winning party – Dubai-based Vtel – failed to pay its licence fee by January, 2007. A new timetable for issuing the SNO licence has not yet been published.

The mobile market has grown rapidly over the past few years, with the number of subscribers growing from 2.8 million in September, 2004 to 11.6 million in December, 2007.[2] Total mobile subscriber penetration in Kenya is expected to reach 32% by December, 2007 as shown in the chart below.[3]

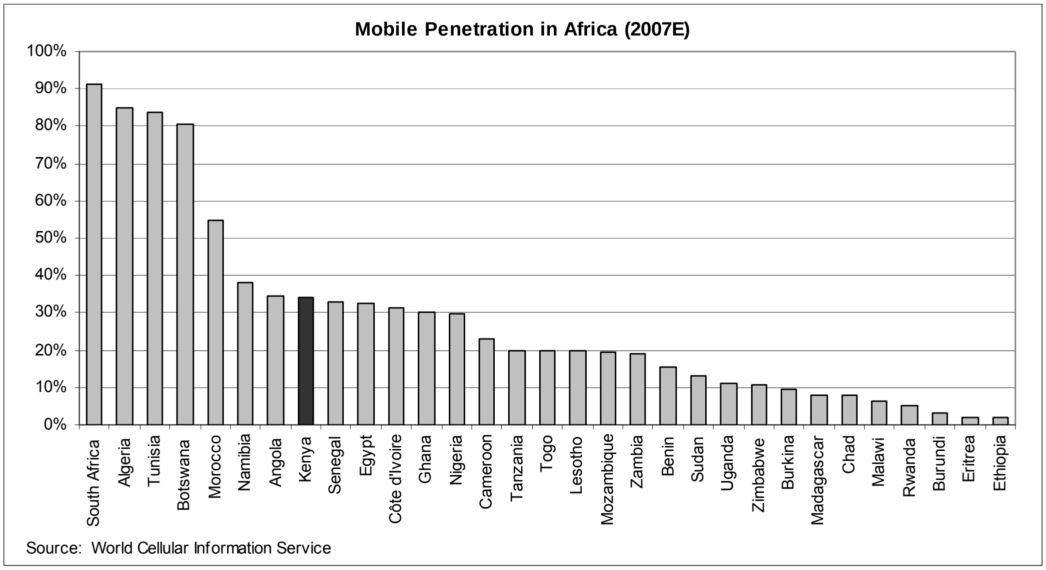


Source: Wireless Intelligence (December 2007)

[2] Total subscribers of 11.6 million as of December, 2007 is based on the following: 9.2 million Safaricom subscribers and 2.1 million CelTel subscribers as of December, 2007, and 0.2 million Telkom Kenya (CDMA) subscribers as of December, 2007. The 2.1 million Celtel subscribers are defined by the company as 'active' and represent customers who have made a chargeable event within the previous 90 day period. Safaricom defines active subscribers as customers who have made or received a chargeable event during the previous month. The 9.2 million Safaricom subscribers include both active and inactive subscribers.

[3] Based on Company estimates.

Kenya is currently positioned towards the upper-end of the mid-range of penetration rates observed in African countries, as shown in the following chart.[4]

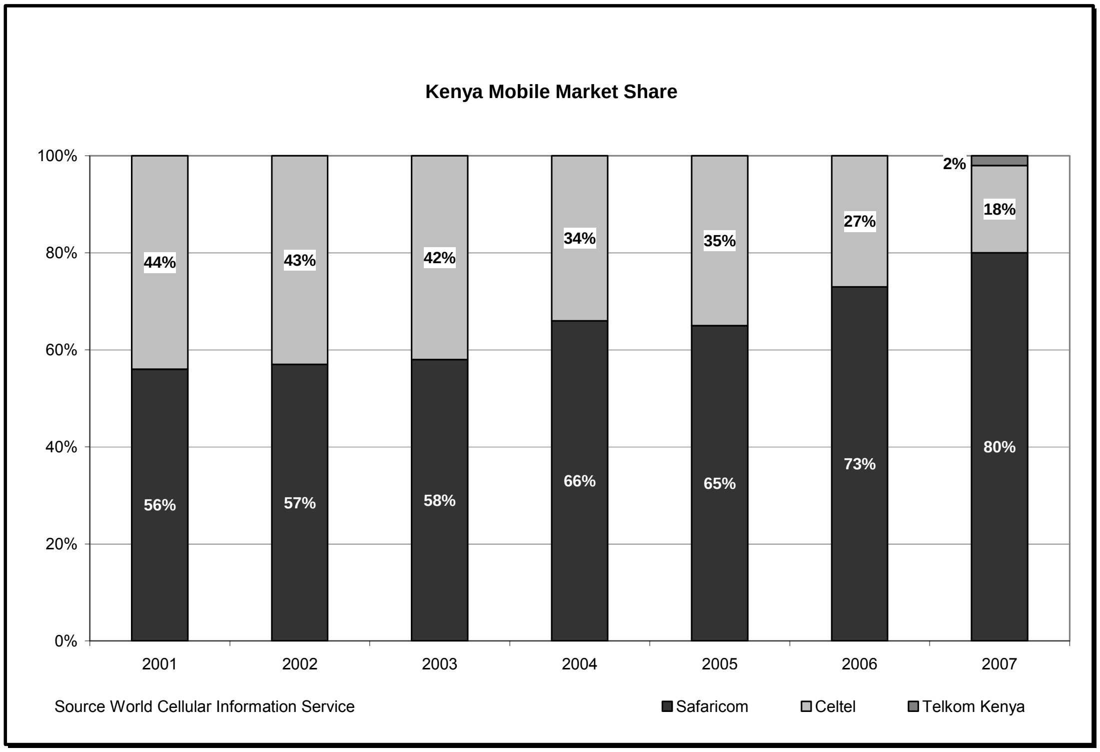


The Kenyan market is largely comprised of prepaid subscribers, which accounted for approximately 99% of total Safaricom subscribers as of December, 2007. Safaricom is the market leader in the overall mobile market with an estimated market share of 80% as of December, 2007, while Celtel held a 18% market share.[5] It is not uncommon for prepaid mobile customers to have more than one SIM card from competing operators, so that two mobile operators may be counting the same user in their customer numbers.

Safaricom has strengthened its leadership in the mobile market over the past five years, increasing its market share from 57% in 2002 to 80% as of December, 2007, as shown in the chart below. However, it is expected that new entrants (Telkom Kenya and Econet, expected to launch in 2008) will erode part of this market share in future years. See also “Risk Factors—Risks Relating to the Company’s Business and Industry—The Company faces competition from other operators in the telecommunications sector.”

[4] Kenya 2007E penetration based on Company estimates.

[5] Based on 9.2 million Safaricom subscribers and 2.1 million Celtel subscribers as of December, 2007, and 0.2 million Telkom Kenya (CDMA) subscribers as of December, 2007. The 2.1 million Celtel subscribers are defined by the company as 'active' and represent customers who have made a chargeable event within the previous 90 day period. Safaricom defines active subscribers as customers who have made or received a chargeable event during the previous month. The 9.2 million Safaricom subscribers include both active and inactive subscribers.



The following table gives an overview of the two main mobile companies in the market. Each offers similar technology and coverage to a similar primarily-prepaid customer profile.

	Safaricom	*Celtel*
Ownership	Government of Kenya (60%) Vodafone Kenya Limited (40%)	Celtel International (80%) Sameer Group (20%)[6]
Market share[7]	80%	18%
Technology	GSM-900 and GSM-1800: 1996, GPRS: July, 2004, 3G Full Licence: November, 2007	GSM-900: August, 2000, GPRS: December, 2005
Subscribers	9,245,000 as of 31 December, 2007	2,104,000 as of 31 December, 2007[6]
Prepaid share	98.8% as of 31 December, 2007	98.0% as of 31 December, 2007[6]
Revenues[8]	USD677million (first nine months)	USD194 million (2007)[6]

[6] Based on Company public disclosure for the 12 months ended 31 December, 2007.

[7] Based on 9.2 million Safaricom subscribers, 2.1 Celtel subscribers and 0.2 million Telkom Kenya (CDMA) subscribers. The 2.1 million Celtel subscribers are defined by the company as 'active' and represent customers who have made a chargeable event within the previous 90 day period. Safaricom defines active subscribers as customers who have made or received a chargeable event during the previous month. The 9.2 million Safaricom subscribers include both active and inactive subscribers.

[8] Converted at average KShs/USD exchange rate of 67.0.

EBITDA margin	44.4% (first nine months)[9]	16.0% (2007)[6]
ARPU	USD9.8[10]	USD7.0[6]

Source: Telegeography, WCIS, Zain

Safaricom

For a description of the ownership structure of Safaricom, see the section entitled "Additional Corporate Information—Shareholding Structure before the Offer".

Safaricom was set up in 1997 and became a joint venture vehicle between TKL and VKL (a subsidiary of Vodafone Group Plc) in 2000.

Safaricom offers mobile voice services using GSM-900 and GSM-1800 technologies. It launched GPRS services in July, 2004, and Enhanced Data Rates for GSM Evolution ("EDGE") services in June, 2006. In November, 2006, Safaricom ran a 3G technology trial and is planning to commercially launch 3G services in April, 2008 after being formally granted Kenya's first licence to operate a 3G network in October, , 2007 for $25 million. Safaricom's 3G network has already been available to Nairobi subscribers, although commercial launch is planned for April, 2008.

Celtel

According to public records, Celtel is 80% owned by Celtel International, which is in turn owned by the Zain Group. The remaining 20% portion is owned by the local, family-run Sameer Group.

Celtel won a GSM-900 licence in January, 2000 and launched services in August, of the same year. The company launched under the KenCell brand and took on the Celtel banner in November, 2004.

Telkom Kenya (CDMA2000)

Telkom Kenya, the fixed line operator in Kenya, launched fixed wireless services based on CDMA-2000 technology in the 800MHz frequency band in July, 2007. Telkom Kenya offers the services using the InstaPhone licence, which allows it to offer wireless telephone services within a restricted area. However, because the CDMA 2000 devices are small in comparison to mobile handsets, users have actually been using the service as a mobile substitute.

This move attracted the opposition of Safaricom and Celtel, who argued that Telkom Kenya was offering mobile services in the absence of an adequate licence. Since excise duty only applies to services offered by operators owning a mobile licence, this meant that Telkom Kenya was able to offer much reduced prices compared to those of GSM operators.

As a result, the Kenyan Government has formalised an authorisation to Telkom Kenya to offer mobile services using CDMA and/or GSM technology, with a gazette notice published on 28 September, 2007. Upon the award of the mobile licence to Telkom Kenya, it will also have to comply with the excise duty regime applicable to mobile services (currently 10%).

[9] The Company defines EBITDA for any period to be its operating profit plus depreciation. The Company believes that EBITDA provides meaningful additional information to investors since it is commonly reported and widely accepted by analysts and investors as a base for comparing a company's underlying profitability with other companies in the industry. This is particularly the case in a capital intensive industry such as wireless telecommunications. It is also a widely accepted indicator of a company's ability to service its long term debt and other fixed obligations and to fund its continued growth. EBITDA is not an IFRS measure. You should not construe EBITDA as an alternative to operating profit or loss or cash flows from operating activities determined in accordance with IFRS as a measure of liquidity. EBITDA is not defined in the same manner by all companies and may not be comparable to other similarly titled measures of other companies unless the definition is the same.

[10] Based on Company public disclosure for the nine months 1 January, 2007 to 30 September, 2007.

Kenyan fixed market overview

The Kenyan wireline telecommunications market is still dominated by Telkom Kenya. Despite the end of its monopoly in 2004 with the entrance of licensed regional telecommunications operator ("RTO") Bell Western, and the start of the process to award a licence for a second national operator ("SNO"), Telkom Kenya is still the leading operator. In fact, Bell Western has failed to launch operations so far, and the award of a SNO licence has been stopped twice: First in 2004 because only one party (Norwegian Telenor) had met the Government's criteria, and then again in 2006 because the entity awarded the licence (a consortium headed by Dubai-based Vtel) failed to pay the licence fees within the due term.

As a result of these delays in liberalising the wireline telecommunications market, Telkom Kenya's only competition is in the form of wireless local loop operators Flashcom and Popote Wireless. These operators offer fixed wireless access services in the Nairobi region using CDMA-2000 technology in the 1900MHz frequency band. These two operators, which launched commercial services in November, 2005 and May, 2006, respectively, attracted a total of around 10,000 subscribers at the end of 2006.

The Kenyan Internet market is still in its infancy, as PC ownership is still at very low levels. Internet penetration in Kenya, measured as a proportion of population, was estimated by the ITU in December, 2005 to be as low as 0.2%, based on an estimate of 80,000 Internet subscriptions. The ITU estimates that at the end of 2006 there were around 300,000 PCs in use in Kenya, with approximately 1.2 million Internet users.

Corporate customers can choose from a number of alternative providers, such as Telkom Kenya and Kenya Data Networks ("KDN"), which is part of the Sameer group of companies. KDN also operates a WiMAX data network covering 190,000 square km of territory in Kenya.

Internet access is mainly through dial-up connections, while broadband access is reserved mainly for businesses. For instance, although Telkom Kenya has launched a limited ADSL product, only business users are offered its peak 2Mbit/s download rates while home users only have access at 128 Kbit/s.

A study by the CCK indicated that dial-up services – at an average cost of 233% of the GNI per capita – are not affordable by the majority of Kenyans. In comparison, mobile Internet services are relatively cheap, at an average cost of 8.8% of GNI per capita. Mobile data services are priced on usage rather than time spent on a call. It is likely that mobile prices will drop as the number of users increases, resulting in a subsequent drop in price for fixed Internet services.

Leased lines are mostly used by commercial businesses to connect to ISPs; less than 2% of educational institutions connected use leased lines. The Government outside Nairobi is also not connected to the Internet. Nairobi, in fact, accounts for 80% of Internet subscriptions.

As a result of Telkom Kenya's monopoly on the provision of telecommunications services until 2004, the tariffs for Internet bandwidth and leased lines remained high and unchanged. However, when Telkom Kenya's exclusivity period came to an end, the regulator licensed new operators to compete in both Internet backbone gateway and leased line services. The resulting competition caused Internet tariffs to come down and international Internet bandwidth to increase. There are currently 113 such licensed operators and service providers in Kenya, of which 67 are currently operational.

In its Kenyan Telecommunications Market Data study published in December, 2006, Africa Analysis forecasts that the overall market for Internet services in Kenya will grow by 242% between 2006 and 2011. The growth rate in fixed broadband connections is forecast to be 583% over the same time period, resulting in a total of 18,100 connections by 2011.

The key challenges facing Internet growth in recent years have been:

- the high cost of Internet services in comparison to the income levels of Kenyans
- the availability and reliability of the local access network
- the small amount of relevant local content available

- the strong focus of ISPs on Internet access rather than services and applications
- a licensing framework that has not been in line with the convergence of technologies
- a lengthy process to obtain interconnection.

14. Business Overview

General

Safaricom operates a mobile telecommunications network in Kenya and is currently the country's leading mobile operator, with an estimated market share of 73% at the end of September, 2007. The Company has the broadest mobile network coverage in Kenya. The Company has the benefit of experienced shareholders, attractive tariffs, a nationwide network of experienced and effective dealers and customer service, a modern network and high calibre management, enabling it to maintain its position as Kenya's mobile market leader.

The following table presents the Company's number of subscribers, revenues, EBITDA and blended ARPU for each of the last five fiscal years and the six months ending 30 September, 2006 and 2007[11] .

	Year ended 31 March					Six months ended 30 September	
	2003	2004	2005	2006	2007	2006	2007
Subscribers (end of period) (in thousands)	865	1,529	2,513	3,944	6,082	4,644	7,956[12]
Revenue (in KShs millions)	14,304	18,858	26,912	34,972	47,447	21,410	28,650
EBITDA (in KShs millions)	6,816	9,814	14,106	18,570	24,508	10,877	12,985
Blended monthly ARPU[13]	1,622	1,223	1,105	902	799	802	665

History

Telkom Kenya acquired a 60% interest in Safaricom by contributing its ETAC and GSM network and subscriber base valued at US$30 million. It subsequently lent Safaricom US$33 million as its portion of the US$55 million fee that Safaricom paid for its Kenyan cellular licence. Vodafone Kenya Limited acquired a 40% interest in Safaricom by contributing US$20 million in cash. It subsequently lent Safaricom US$22 million as its portion of the fee paid by the Company for its initial licence.

On 20 December, 2007, the GoK purchased Telkom Kenya's entire shareholding in Safaricom. Consequently, as of the date of this Prospectus, Safaricom is owned 60:40 by the GoK and VKL.

Vodafone

Safaricom has benefited and continues to benefit, both in terms of customers and market capitalisation, from the extensive experience of Vodafone, the world's largest mobile telecommunications company. Vodafone has extensive international and operational experience in 25 countries, including a number of emerging markets.

Vodafone is the world's leading international mobile communications group by revenue, with over 252 million proportionate customers as at 31 December, 2007. Vodafone currently has equity interests in mobile networks situated in 25 countries, with a significant presence in Europe, the Middle East, Africa, Asia Pacific and the United States.

Internationally, Vodafone has built a highly regarded portfolio of GSM and 3G licensed businesses. Vodafone has demonstrated its operational and competitive strengths across many markets, and developed leading operators in terms of market share and competitive strength in many of its mobile investments. Vodafone has an Egyptian operating company and Vodacom, in which Vodafone holds a

[11] Based on company public disclosure for the six months 1 April, 2007 to 30 September, 2007.

[12] As at 30 October, 2007, the Company had approximately 8.4 million subscribers.

[13] Based on management accounts. See "Operating and Financial Review" for further detail.

50% equity interest, has operations in Tanzania, Democratic Republic of Congo, Mozambique, Lesotho and South Africa.

Competitive Strengths

The Company believes that the following strengths will enable it to maintain and enhance its position as the leading provider of mobile communications services in Kenya:

- *Established presence in the market*. Leveraging the Company's price and products, coverage (including rural area coverage exceeding that of its competitors) and quality, customer service, brand awareness and distribution infrastructure, Safaricom has solidified its market leading position.

- *Strong brand affinity*. Safaricom enjoys strong brand recognition in Kenya. The Company has focused on enhancing its image by involving itself in the community and focusing on local themes, which may resonate with the targeted customer base.

- *Ability to anticipate and react to customer needs and product offerings*. Recognizing that its customer base is diverse (i.e., corporate v. individual, urban v. rural, wealthy v. poor), the Company has a history of introducing innovative products and services (most recently, M-PESA) designed to meet its current subscriber needs and the anticipated needs of future subscribers. Such products and services include introducing per second billing, offering low denomination airtime vouchers, distinguishing between peak and off-peak tariffs, offering lower pricing due to on-net advantage, and avoiding "hidden" charges (e.g., set-up fees).

- *Ability to react quickly to competitive threats*. The Company regularly scrutinizes competitor activities and promotions from public sources so that it can react quickly and effectively to competitor offerings/promotions to retain market share.

- *Effective retail distribution network*. The Company has a vast distribution network (including direct and indirect channels), through established dealers, which permits the Company to market its products and services to customers more easily, enables the Company to further enhance its brand recognition and facilitates its ability to meet customer demand for its products.

- *Modern network infrastructure*. The Company is able to offer wide-ranging network coverage due to its extensive infrastructure. See "–Network" below for further information.

Business Strategy

Against the background of a growing telecommunications market in Kenya, in part stimulated by favourable economic and demographic conditions, Safaricom's goal is to retain its leading position in the mobile market as the provider of choice, while maintaining and growing its profitability. The principal elements of the Company's business strategy are:

- *Maintain Market Leading Position*. Growth in the subscriber base is expected to continue for the next few years. See "Telecommunications Overview" section for more information on this anticipated growth. As the mobile market grows, the Company is focused on maintaining and strengthening its position as the leading provider of communications services to the Kenyan mass market.

- *Capture Potential of Data Market*. The usage of telecommunications data services in Kenya is currently relatively low compared to many other countries. As a result, the Company may have significant growth potential. In order to exploit potential growth opportunities, the Company aims to take advantage of the opportunities to gain subscribers that are afforded by new technology. For example, the Company's recent acquisition of a 3G licence will permit the Company to offer enhanced data products.

- *Increase Penetration of New Products*. The Company's growth strategy is focused on identifying and meeting the needs of potential and existing subscribers by offering new products with mass appeal. If this happens, it will not only improve the Company's product range, but could lead to an increase in ARPU. Critical to the success of a new product is the Company's ability to expand its usage. In this regard, one of the Company's priorities is to expand coverage for M-PESA, the Company's recently launched mobile cash transfer system, both in terms of subscribers and retail presence.

- *Provide Best Quality Service for Offered Products*. In Kenya, the telecommunications industry has encountered difficulties providing services to its customers, given the existing infrastructure and demand. Recognizing that improvements can be made, Safaricom aims to continuously increase network capacity and secure transmission between switches in order to stay ahead of consumer demand. In addition, the Company seeks to improve network quality, as demonstrated by its recent acquisition of a 3G licence, which will provide increased spectrum availability and capacity in key areas, such as Nairobi.

- *Be a Leader in Corporate Responsibility*. In addition to making an effort to identify with the local community through its branding, which is discussed in more detail below under "Branding and Advertising", Safaricom allocates funds for the purpose of community development and support initiatives, focusing particularly on small localised youth initiatives to benefit recipients directly. Examples of such activities include tree planting activities and sponsoring local sporting events. The Company has a strong history of providing support for local organisations, demonstrated by the establishment of the Safaricom Foundation in 2003. The Safaricom Foundation is a public charitable trust focused on sharing the benefits of mobile communications technology as widely as possible, protecting the natural environment and supporting communities.

Products and Services

Safaricom offers products and services that are designed to match the characteristics of the local subscriber base. Safaricom's existing subscriber base consists almost exclusively of prepaid subscribers, who accounted for approximately 99% of the Company's total subscriber base as of 30 September, 2007. These subscribers, as in similar emerging markets, tend to have lower disposable income and typically generate lower ARPU. In March, 2005, the Company had approximately 2,474,000 prepaid subscribers and by 30 September, 2007, this figure grew to 7,850,000. During the same period, the number of postpaid subscribers increased from approximately 39,000 to 106,000. Together, this represents a combined annual growth rate of approximately 59% for the period. Even though the Company's postpaid subscribers represent only 1% of its total subscribers, they account for approximately 10% of the Company's total revenues. These subscribers consist of approximately 42% corporates and small- to medium-size enterprises, and tend to generate higher ARPU than the prepaid subscribers. These subscribers also tend to have lower churn rates.

In order to satisfy the needs of both types of subscriber, the Company aims to develop products that are geared toward the price-conscious mass market (i.e., prepaid), as well as premium-paying postpaid customers. In order to meet the needs of prepaid subscribers, the Company offers low denomination airtime vouchers (50 KShs, 100 KShs), loyalty programmes that award points for spending on usage which can be redeemed for merchandise, affordable on-net tariffs with per second billing, and reduced cost SIM swaps with increased availability of SIM cards, all of which are measures to minimize churn. Company products that are specifically designed to meet the needs of postpaid subscribers include corporate top-ups so that businesses may offer monthly airtime allowances to staff directly on their phones, and pay-as-you-go payments plans for credit card holders. In order to meet the needs of both types of subscribers, while also attempting to smooth out the load on the network to improve service, the Company offers the Flashback 130 initiative. This initiative seeks to prevent subscribers from calling one another for just long enough to request that person to call the caller back to save airtime (this is referred to as "flash calling"). Instead, the Company permits customers to send free "Please call me back" SMS messages so that the network does not experience as many processing delays.

M-PESA

In March, 2007 Safaricom, in conjunction with the Vodafone Group, launched M-PESA in Kenya. M-PESA is an innovative new mobile payment solution that enables users to complete simple financial transactions by mobile phone. As of 30 September, 2007, M-PESA had 635,761 total mobile active customers, 764,672 total registered users and an average of 6,774 new customers per day.

M-PESA is aimed at mobile customers who do not have a bank account. Typically, these customers do not have access to a bank or they do not have sufficient income to justify a bank account. After registering with an authorised M-PESA Agent by providing their Safaricom mobile number and identification card, an M-PESA Account is created. This is a virtual money account (E-Money) attached to their Safaricom Mobile number into which they can deposit money at participating agents.

Once registered, customers can:

- put E-Money into their M-PESA Account by depositing cash at a local agent (typically local Safaricom dealers and other retailers);
- send E-Money to other mobile phone users by SMS instruction, even if the recipient is not a Safaricom subscriber;
- withdraw cash from their M-PESA Account at a local agent; and
- buy Safaricom airtime for themselves or other Safaricom subscribers.

Charges for M-PESA services are deducted directly from each customer's M-PESA Account and no fee is paid directly by the customer to the agent.

All cash in the M-PESA system is held in a Kenyan bank account by a trustee for and on behalf of all M-PESA Account holders.

The Vodafone Group, which owns the M-PESA solution, has entered into a Managed Services Agreement with Safaricom under which Vodafone agrees to provide the M-PESA solution to Safaricom as a managed service and Safaricom agrees to market and offer the M-PESA services throughout Kenya (as more particularly set out in the Managed Services Agreement, a summary of which is set out in the section of this Prospectus entitled "Statutory and General Information—Material Contracts—M-PESA Agreements").

M-PESA technology supports value movement between different types of customers. Current person-to-person money transfer capability may in the future be expanded to enable other transaction types including: customer to business payments (to allow for the purchase of goods from authorised retailers and bill payment, whether remotely or with the customer present), business to customer payments (to allow for dispersal of salaries and allowances to field staff), and business to business payments.

Prepaid Products

Balance Enquiry. Safaricom prepaid subscribers can instantly check their credit balance on 141 by either dialling *144# or sending an SMS with the word 'Balance' to 100. This service is free of charge.

3rd Party Top Up. All Safaricom subscribers (prepaid and postpaid) can remotely credit an airtime voucher into any prepaid subscriber's mobile number via an SMS. This is borne by the need for customers to transact airtime value without the limitation of physical presence and is free of charge.

Voicemail (111). Safaricom subscribers may opt not to miss calls to their mobile number. Customers may set up their personalized voicemail and have callers leave a message when they are unavailable, busy or outside coverage. Voicemail retrieval is free of charge to all Safaricom subscribers.

Recall Service. All Safaricom subscribers who have voicemail enabled on their mobile numbers additionally receive an SMS notification free of charge detailing their missed calls while switched off or out of coverage.

Easy Switch. Safaricom prepaid subscribers can switch from one prepay tariff plan to any other preferred tariff plan. This service's simple instructions are available on Interactive Voice Response by calling 100 or typing *212#.

Prepaid Roaming. Safaricom enters into agreements with roaming partners to add the number of networks into which prepaid subscribers can roam out of the Safaricom network, and from which outside subscribers can roam on the Safaricom network.

Paym8 for Prepaid: This cutting edge service is provided through a 3rd party and enables prepaid subscribers to top-up on airtime through their bank accounts and credit cards from anywhere within the Safaricom network. This service is particularly useful to credit airtime in either very remote areas where airtime cards are unavailable or during odd hours when retail shops are closed.

Sambaza. Safaricom prepaid customers may share their airtime credit balance with another prepaid subscriber via SMS. This is a free service to all Safaricom prepaid customers.

PostPaid Products

Contract Bundles. This product offers Safaricom Advantage customers a choice from several bundled offers comprising attractive handsets and competitive rate usage plans for a fixed monthly fee over a specified period.

Multi-SIM. Safaricom Advantage customers with multiple service contracts on multiple devices e.g. voice and data, business phone and social phone, have the convenience of two SIM cards with the same mobile number for each service and/or device. Postpaid customers no longer have to transfer the card from one device to the other.

Advantage Hybrid. Advantage Hybrid bundles allows subscribers to control their postpaid usage by specifying a limit on their accounts over and above which they can top up with airtime vouchers to stay connected. Handset offers are included with the Hybrid contract.

Balance Enquiry. Safaricom Advantage customers can instantly check their current usage by simply dialling *200# This is a real-time balance enquiry service allowing users to monitor their spending.

BlackBerry® for Individuals. Safaricom is the pioneer in introducing BlackBerry® services into the Kenyan market. The service gives individuals the freedom to manage their emails on the go anywhere within the Safaricom 3G/EDGE/GPRS data network. The service extends to Safaricom international roaming partners, offering the Safaricom Advantage customer overseas global connectivity.

Business and Enterprise Products

Call Hunting. Call hunting offers enterprises the ability to distribute multiple incoming calls to their pilot line towards a range of numbers that have been included in a hunting group. It administers the function traditionally performed by PABX systems.

Multiple Top-Up. This product allows corporate customers with large workforces on prepaid to have them automatically topped-up in bulk by Safaricom. The client settles the bills in arrears.

Corporate Advantage Hybrid. Corporate clients with large numbers of prepaid employees now have the convenience to share the cost of their monthly mobile phone usage. The client sets limits for their employees and, once usage reaches the set limit, employees stay connected at competitive tariffs by topping up with airtime vouchers.

Toll Free services. Toll Free Service allows for service-oriented enterprises to have their customers on the Safaricom network call them free of charge. The enterprise (e.g. taxi companies, banks etc.) is then charged for the total number of calls against their toll free number at very competitive tariffs.

BlackBerry® for Corporates. The service extends all corporate data functionality to handheld smart phones including e-mail, organiser and corporate data while maintaining corporate-class security. This is a successful data service for business class users who need access to business information resources on the go.

International and Roaming

International Voice. All Safaricom subscribers that have international dialing service provided on their phones can make direct international calls abroad at competitive rates since the commissioning of Safaricom's international gateway.

Kama Kawaida. Typically it is very expensive to call home while roaming in a foreign country but with Kama Kawaida service, Safaricom subscribers both prepaid and postpaid carry their home tariff anywhere they travel to in East Africa. This partnership with MTN – in Uganda and Rwanda, Vodacom Tanzania and Uganda Telecoms (UTL) will shortly enable subscribers of the participating network operators to use local airtime of the operator in the territory they travel. Subscribers are also able to call the local network at local rates instead of higher roaming rates.

Roaming Coverage. Safaricom continues to sign on new global roaming partners enabling Safaricom subscribers to access services on their Safaricom mobile number when they travel overseas. International subscribers are invited to enjoy Safaricom services via a welcome/welcome back message upon arrival at Kenya's international airports.

Data and Messaging Products

SMS. Short Messaging Service is amongst the most popular service for Safaricom subscribers. This reliable, discrete and convenient messaging service used by all categories of customers. Safaricom currently offers one of the most competitive rates for SMS in the East African region.

Group SMS. Group SMS is a mobile chat service that enables subscribers to send the same message to several members of a group from a single SMS without having to manually resend the same message to all members of the given group.

411. This is Safaricom's information service that allows Safaricom subscribers to receive information automatically by sending an SMS to 411. This is delivered via SMS in the form of alerts or updates.

Multimedia Service (MMS). MMS allows the sending of multiple media in a single message (voice, picture, video) and the ability to send a message to multiple recipients (other mobile numbers or e-mail). All Safaricom subscribers, both prepaid and postpaid, can create and send multimedia messages as long as their handset supports MMS functionality.

GPRS/EDGE/HSDPA. General Packet Radio Service/Enhanced GPRS/High Speed Downlink Packet Access (3G) are advanced data access technologies on the Safaricom network allowing subscribers enjoy multiple data services and a multitude of IP applications at competitive speeds and rates.

Branding and Advertising

Part of the Company's strategy in getting people to notice its various products and services is through effective branding. Safaricom clearly identifies itself as a Kenyan company. The Company's principal colour, green, is one of the main colours of the Kenyan flag, which resonates closely with Kenyan people and reflects the Company's environmentally-conscious mentality. Safaricom uses the Swahili language in its product names and advertising campaigns. Safaricom thus retains its Kenyan identity and its Kenyan heritage.

Safaricom advertises itself as "the better option" through advertising in newspapers, on billboards and on the radio. Given the market that Safaricom is targeting, it was decided to focus on print and radio media as the primary means to effectively get its message across. The high rate of literacy in Kenya and the high readership of newspapers in Kenya influenced this decision. Safaricom advertises on 12 vernacular stations in order to effectively communicate through Kenya's many regional dialects. To date, these advertising strategies have proved effective and cost efficient.

Customer Retention Strategy

The Safaricom loyalty programme (Bonga Points) was launched in January, 2007. The goals of the programme are to:

- Increase customer loyalty and reduce churn
- Maximize customer lifetime value

Under the programme, subscribers who enroll are awarded points based on usage, length of stay on the network and special events, such as registrations and anniversaries. The points are accumulated automatically and subscribers can track their points on their phones through SMS.

Subscribers can then redeem the points based on predefined thresholds for free minutes, free SMS, phones and data cards. Safaricom is working with suitable partners to extend the reward catalogue and make the programme more relevant to different customer segments.

To date, approximately 53% of the subscriber base, contributing about 70% of revenues have joined the programme. The programme is open to both prepaid and postpaid subscribers. Safaricom runs a loyalty programme for corporate customers where free handsets are given on renewal of contracts.

SIM SWAP. All subscribers can retain their Safaricom mobile number for life and receive a replacement SIM if their current SIM has been lost or damaged at no cost to the subscriber at many of the Safaricom dealer networks across the country.

Sales and Distribution

As part of the Company's strategy to fully penetrate the Kenyan mobile market, it is committed to making the purchase of its services easy and accessible. The Company offers calling plans, value-added services, handsets, accessories and related services through a broad network of direct and indirect (through dealers and agents) sales channels.

Direct channels

Safaricom operates 11 of its own retail stores located within high traffic areas; Nairobi, Kisumu, Mombasa, major international airports and Nakuru. Products available for sale include handsets, connection packages, scratch cards and accessories.

The stores are presently geared towards customer service, but Safaricom's aim is to increase the volume of sales in the future. Directly-owned outlets provide Safaricom with the advantage of:

- Direct interaction and feedback from customers
- Control over introduction of new products and services
- Enhanced branding presence
- Customer service for postpaid customers.

Safaricom intends to expand its number of stores significantly in each of Kenya's larger urban centres through its phased roll out plan over the next two years.

Safaricom's strategy has been to access the blue chip Kenyan corporate market directly by exclusively offering them a highly competitive postpaid tariff. Through dedicated corporate managers, its corporate accounts are serviced in a personalised manner.

Indirect Channels

The majority of Safaricom sales are registered through its extensive, wide-reaching and cost-effective dealer network. Dealers earn a commission by either purchasing Safaricom products (top-up cards and handsets) at a discount and selling them at the fixed retail price or by purchasing starter packs at the retail price and then receiving a connection commission once an initial top-up is made by a new subscriber. In addition, dealers earn a 5% commission on top-ups made by customers connected by those dealers. All purchases made by dealers are settled either in cash in advance, or on credit at a pre-agreed limit, subject to a bank guarantee.

Currently, the dealer network comprises over 300 independent dealers that are committed to distribute only Safaricom products (except for handsets) through approximately 1,200 Safaricom-branded retail outlets.

Prior to being designated as an authorised Safaricom dealer, applicants are evaluated on the merits of a submitted business plan. Among the criteria used in evaluating the business plans are: location, prior business experience, track record, and evidence of adequate management capacity.

Safaricom provides a variety of support to its authorised dealers, including: signage and promotional material at a subsidised cost, basic training to the dealer's staff, as well as handsets at subsidised cost for promotional use.

Given the lack of strict regulation in imported handsets, dealers source many of their handsets from intermediaries. As a result of recent measures introduced by the Government aimed at curbing illegal imports - such as the reduction of duty payable on the import of handsets, Safaricom currently offers some of the most competitive prices for handsets in the East African region.

Dealers and sub-dealers distribute Safaricom products and services to a retail network of over 100,000 small outlets, or kiosks. These small retail outlets are accessibly-located across the country.

Safaricom also consistently invests in relevant point of sale material to enhance awareness and visibility of its products at relevant points of purchase.

M-PESA Agents

Agents contracted to provide M-PESA services have mainly been agents providing mobile services. Accordingly, the scope for M-PESA subscriber expansion is as wide as the area presently covered by existing Agents, and all areas covered by the mobile service network.

The M-PESA Agent network (also discussed under "—Products and Services—M-PESA" above) has grown to over 960 outlets, including Safaricom dealer outlets, Kenya Post Office Savings Bank branches, courier companies, supermarkets, fuel retailers and other shops. M-PESA can provide a complementary service to their existing businesses.

Under the terms of the agreements entered into with M-PESA Agents, agents are paid fees based on a number of criteria, including the number and value of M-PESA transactions carried out. The Company believes that the number, type and distribution of M-PESA Agents will continue to grow.

Innovative distribution strategy

In order to cater to the varying demands of its dealer networks, and in anticipation of the need to effectively distribute its products and services countrywide safely and securely, Safaricom approached DHL Worldwide Express Limited ("DHL") to offer a customised solution.

This strategy assigns all aspects of shipping, tracking, and distributing handsets, connection packs and scratch cards to DHL. Using dedicated staff and an exclusive customs gate, DHL clears all incoming shipments of Safaricom products, and stores them in a custom built secure warehouse in Nairobi.

Following receipt and processing by Safaricom, dealer orders are communicated to DHL and delivered by DHL using third party services.

Apart from reducing delays associated with processing and delivery, this secure and innovative distribution strategy also allows Safaricom to concentrate on its core business - the provision of mobile telecommunications services. The distribution strategy with DHL has operated successfully since the re-launch of the Company in October, 2000.

Customer Service

The Company services and supports its subscribers through the Safaricom Care Centre, a customer call centre located in Nairobi staffed with 679 customer care representatives as of 30 September, 2007.

Subscribers have the ability to make contact with customer care by phone (toll-free), SMS, email, post, fax or in person visits. The majority of the calls received relate to questions regarding product offerings, handset functions and GPRS settings. The Company currently plans to outsource incremental customer care facilities in the future due to the heavy volume of call attempts per day which has at times resulted in an overloaded system.

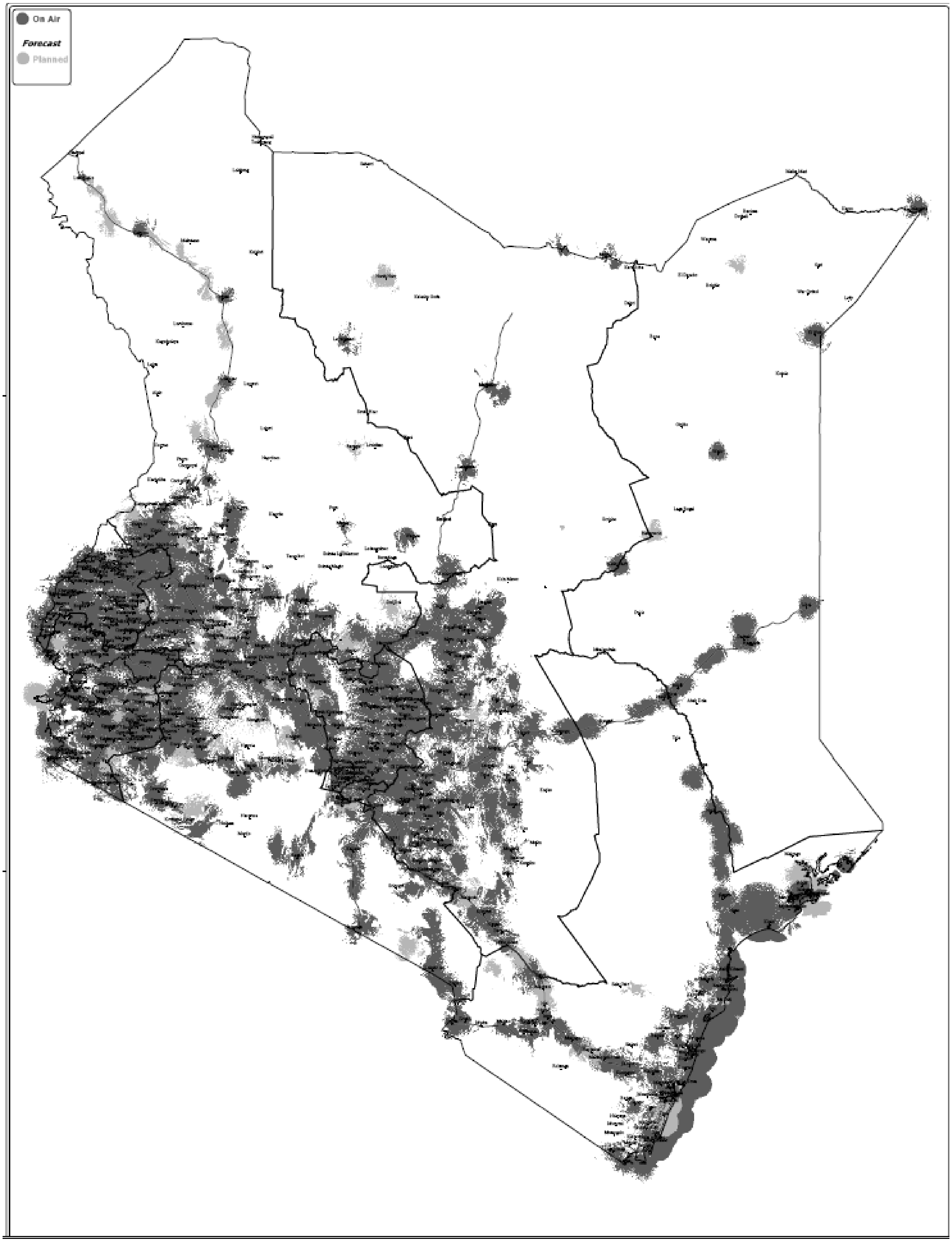
Billing

Safaricom utilises a Portal (Oracle) billing system for postpaid subscribers, and a Nokia-Siemens prepaid billing system. All systems are fully integrated with network and accounting systems. The Company is contemplating additional methods of bill payment in the future, such as through M-PESA, local bank accounts or Nakumatt (the largest retail chain in Kenya).

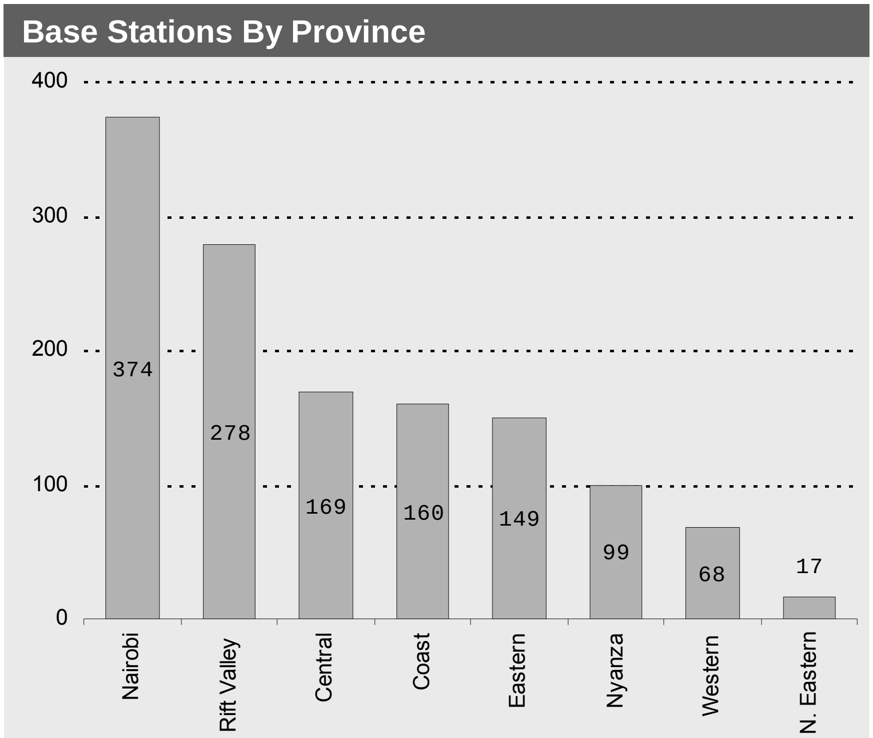
Network

The Company's network operates on both the 900 MHz and 1800 MHz bands, and covers approximately 71% of the population of Kenya and 20% of its geographical area as of March, 2007. As of September, 2007, the network consisted of over 1,300 base stations — approximately one-third of which were located in Nairobi — as compared to a total of approximately 500 in September, 2005. For fiscal years 2005, 2006 and 2007, the Company had total capital expenditure of KShs 12.4 billion, KShs 11.4 billion and KShs 16.3 billion, respectively. The Company expects to make significant additional capital expenditure in the future to increase its network capacity and coverage.

The diagram on the next page illustrates the Company's current and proposed areas of coverage.


On Air
Forecast
Planned

The diagram below shows the number of base stations that Safaricom has in each province.



Safaricom has a 24-hour Network Management Centre ("NMC"), overseeing network maintenance and support. The NMC coordinates solutions to service interruptions that are the result of external suppliers' failures (e.g., power suppliers) and also directs field staff, who are on call 24 hours a day, to fix faulty equipment in a timely manner. The network is monitored not only in real time, but on a more detailed, in depth basis so that the system is optimised depending on the particular system's trends and problems. Performance measurements are assessed regularly against international standards set by both Vodafone and other international organisations.

Safaricom currently has 302 signed international roaming agreements in place. Safaricom's roaming strategy targets countries which historically have had the most visitors to Kenya, including UK, Italy, Spain, Sweden, South Africa, and Kenya's neighbouring countries. The Company is also in the process of establishing roaming agreements with other countries. Safaricom's postpaid customers are currently able to roam in over 100 countries.

Licence

Licence and Award date		One GSM-900 licence of 12.5 MHz awarded on 1 July, 1999
Fees		US$ 55,000,000 paid up front. An additional 0.5% of revenues is payable annually
Duration		Licence is issued for a period of 15 years, until 2014. The licence can be renewed for an additional ten years subject to review from CCK
Coverage Requirement	Phase 1 (2000-2001)	- Mombasa, Nairobi
		- Greater Nairobi
		- Nakuru, Naivasha, Gilgil, Kisumu, Kericho, Eldoret, Kabarnet, Molo, Njoro, Magadi, Nairobi-Kisumu Highway, Nyeri, Embu, Meru
	Phase 2 (2001-2002)	- Malindi, Nanyuki, Kitale, Kisii, Siaya, Busia, Bungoma, Kakamega, Webuye, Mumias, Voi, Nairobi-Mombasa Highway

Quality of service	- At a minimum the mobile operator shall maintain a long-term busy hour grade of service of 0.03 for all calls generated and terminated on its network - At a minimum the mobile operator shall maintain a long-term busy hour grade of service of 0.03 for all calls generated within its network and terminating in interconnected networks and for calls generated in interconnected networks and terminating within its network - The mobile operator shall maintain a network availability of greater than 99.9% in areas where it has coverage - Provide free public emergency services
Roaming/Interconnection	- Enter into agreements (within six months of the initial request) with requesting facility operator. - Any agreement must be subject to reasonable terms and conditions
Change of Ownership Control	Licencee must notify the Commission if: - Any undertaking becomes a parent undertaking in relation to the licencee - There is any change in proportion of the shares held by any person in the Licencee within the limits specified - When acquisition of any new shares held directly in a Licencee by a person not already holding shares takes place The notification requirements only apply where certain thresholds are reached. The CCK may prohibit changes in shareholding where it considers that such prohibition is in the public interest

Subsequent to the issuance of the above licence, which included an initial allocation of spectrum on the 900 MHz band, the Company has been issued with additional spectrum on the 1800 MHz band by way of letters of authorisation that have been treated as an extension of the above licence.

3G Licence

By a licence granted to Safaricom on 18 October, 2007, Safaricom became the first telecommunication company in Kenya to be granted a licence to install and operate 3G systems and services.

3G allows for a variety of services including faster access to data with speeds of up to 2 Megabits per second. The Safaricom 3G licence is, in essence, an enhancement of the mobile telecommunications licence granted to Safaricom in 1999. The Safaricom 3G licence was granted for a period of fifteen years, but is only valid for as long as the initial mobile telecommunications licence is valid. It is renewable for a further period of ten years or for so long as the initial mobile telecommunications licence is valid.

Description: The 3G licence is a countywide licence to construct, install and operate 3G network systems, to form part of and be read together with the Safaricom GSM licence. The licence grants the authority to operate within assigned frequencies and allows Safaricom to provide (a) wireless voice telephony, (b) narrow and broadband wireless data, (c) multimedia services and (d) any other services for which no separate licence is required. In the context of the licence, 3G Mobile Communications Systems and Services means public mobile and wireless electronic communications systems and services operated and provided in accordance with International Telecommunications Union ("ITU") International Mobile Telecommunications Standards (IMT-2000) and any subsequent revisions thereto.

Licence Award and Date: The licence was granted on 18 October, 2007 for a period of 15 years provided that the Safaricom GSM licence shall remain in force. Upon termination the licence may be renewed for a further period of 10 years or until the expiry of the Safaricom GSM licence.

Fees: An additional US$ 25 million above the fees for the Safaricom GSM licence as well as any other fees related to use of frequency spectrum resource.

Coverage Requirement: Not specifically applicable to the 3G licence.

Quality of Service: Pegged to the most current standards of the ITU.

Roaming Interconnection: Not specifically applicable to the 3G licence.

Change of Ownership Control: Not specifically addressed in the 3G licence, but captured in the Safaricom GSM licence.

International Gateway Systems and International Telecommunications Services Licence

In addition to the above licence, Safaricom was on 30 June, 2006 granted a licence to construct, install and operate International Gateway Systems ("IGS") and to provide International Telecommunications Services ("ITS"). In the context of the licence an IGS is a switching/routing system that facilitates the transmission and receipt of telecommunications traffic from a point or points within Kenya to points outside the country. In the same context, ITS means the provision of communication services (including voice and data) to and from Safaricom customers to other interconnecting operators and service providers and includes the provision of dedicated international links to interconnecting operators, service providers and other entities.

The period of validity of the Safaricom IGS/ITS licence is pegged to and shall expire on the same date as the Safaricom GSM licence. That notwithstanding the Safaricom IGS/ITS licence may be revoked under circumstances specified therein which include non-compliance or breach of the material conditions of the licence.

Description: The Safaricom IGS/ITS licence grants Safaricom the rights to construct, install and operate a telecommunications system that allows for direct interconnection (for voice and data) between Safaricom customers and the various operators, service providers and other entities outside the Republic of Kenya.

Licence Date and Duration: The Safaricom IGS/ITS licence was granted on 30 June, 2006 and shall expire on same date as the Safaricom GSM licence, but can be extended for an additional ten (10) year period following a review two years before the expiry date.

Fees: An additional KShs 15,000,000 at the grant of the Safaricom IGS/ITS licence. In addition, an annual operating fee of the higher of either (a) zero point five percent (0.5%) of the audited gross revenues accruing from the services rendered under the Safaricom IGS/ITS licence and the Safaricom GSM licence, or (b) KShs 5,000,000; as well as any fees related to use of frequency.

Coverage Requirement: Safaricom is required to provide or participate in the provision of any services prescribed by the CCK as being required to meet Kenya's Universal Services Obligations.

Quality of Service: Pegged to the prevailing ITU Telecommunications Standardisation Sector's recommendations pertaining to quality of service for international gateway systems and services.

Roaming Interconnection: Safaricom is required to provide the international telecommunications services permitted under the Safaricom IGS/ITS licence to any person who reasonably requests for the provision of the services unless in CCK's view it is not reasonable to do so.

Change of Ownership Control: Safaricom is required to notify the CCK of change in shareholding within limits specified in the licence. However, this requirement is specifically excluded in the case of shares which are already listed on any stock exchange.

15. Risk Factors

Prior to investing in Safaricom, prospective investors should carefully consider the risk factors relating to Safaricom's business and the mobile telecommunications industry together with all other information contained in this Prospectus. These risks and uncertainties are not the only issues that the Company faces; additional risks and uncertainties not presently known to it or that it currently believes not to be material may also have a material adverse effect on Safaricom's financial condition or business success. If any or a combination of these risks actually occurs, Safaricom's business, financial condition and operating results could be adversely affected. If this occurs, the price of Safaricom's shares may decline and investors could lose part of or all of their investment.

Risks relating to the Company's Business and Industry

The Company faces competition from other operators in the telecommunications sector.

Although Safaricom is currently the leading wireless network operator in terms of subscriber market share, it faces competition from several entities, such as Celtel and Telkom Kenya, as well as from local loop operators, such as Flashcom and Popote Wireless, and Wimax operators. In the data segment, Safaricom is likely to continue to face growing competition from Data Carrier Network Operators ("DCNOs") and Internet Service Providers ("ISPs") with broadband offerings. Safaricom will soon be facing additional competition from Econet, which was awarded Kenya's third GSM-900 licence in December, 2003 (although it was not approved for network roll-out until July, 2007) and whose majority (70%) shareholder, Econet Wireless International Limited, recently sold 49% of its shares to Essar Communication Holdings ("Essar"), a subsidiary of Essar Global. A new strategic investor may provide Econet with greater financial resources to fund capital projects such as network roll out, which in turn could result in the mobile telecommunications industry becoming even more competitive sooner than expected. In addition, Safaricom will also soon be facing additional competition from Telkom Kenya which has been awarded a mobile licence by the Communication Commission of Kenya. Recently, a consortium led by France Telecom SA won an auction for a 51% stake in TKL. Safaricom may also face further competition upon the entrance of a second national operator or the launch of services by regional telecommunications operators. In addition, the CCK has considered the implementation of mobile number portability ("MNP") as a measure to reduce barriers to entry for new operators. Recently, the CCK announced that it does not plan to introduce MNP at this time. However, it is possible that it may do so in the future. MNP would permit the Company's subscribers to change to another network operator without having to change their telephone numbers.

In the medium- to long-term, the growth of the Company's customer base will become increasingly vulnerable to market saturation. As a result, the growth in the Company's customer base may be significantly lower than in past years. As the Company continues to attract new subscribers who previously did not subscribe to mobile telecommunications services, it must take into account that their spending power may be lower than that of existing customers, thus reducing the Average Revenue per User ("ARPU"). In addition, an abundance of players in a price sensitive market could lead to subscribers using different service providers for different types of communication (e.g. voice or data) depending on perceived value for money, thus driving the ARPU down. In any case, mobile telecommunications charges are expected to fall, resulting in increased pressure on the Company's revenues and margins. With greater choice, the churn rate is likely to increase, possibly reducing the Company's market share, turnover and profitability.

Mobile telecommunications operators compete for customers principally on the basis of services offered, price, marketing skills, quality, reliability and coverage area. As market saturation approaches, the focus of competition will likely shift from customer acquisition to customer retention. Accordingly, if the Company is unable to offer higher quality of service and better value to its customers, its market share and revenues may not increase to the extent anticipated in its growth plans.

The Company's historical operating results and growth should not be relied upon as an indication of future performance.

The Company's operating results may fluctuate in the future due to a number of factors, many of which may be out of its control. The Company has a limited operating history upon which it can be evaluated, having re-launched operations in the year 2000. As a result, the Company does not believe that period-to-period comparisons of its initial operating results are necessarily meaningful. Accordingly, the Company's past performance (turnover, costs, subscribers, tariff levels, usage characteristics or otherwise) should not be relied on as an indication of future performance or growth, especially as market saturation becomes a reality.

Rapid growth and expansion may cause the Company difficulty in obtaining adequate managerial and operational resources and restrict Safaricom's ability to expand its operations.

The Company's turnover and operations may suffer if it does not effectively manage its growth. The rapid growth it has experienced presents challenges with regard to its operational capacity and financial controls, placing significant demands on its management. However, the Company will need growth in order to achieve its business objectives. Management of continued growth will require, among other things:

- stringent control of network build-out and other costs, which, if unchecked, could derail its expansion. To this end, the Company has a long-range plan to monitor its costs actively (by maintaining operating expenses at a reasonable percentage of ongoing revenue) so that its costs are more likely to remain in line with its goals;
- continued development of financial and management controls and information technology systems;
- implementation of adequate internal controls;
- attraction, retention and motivation of its human resources in line with the Company's growth in the face of competition for capable and qualified employees (especially those with technical or industry expertise); and
- retention of key senior personnel, whose management of the Company and expertise in the industry is crucial to the success of the Company.

No guarantees can be given that effective evaluation of risks and timely implementations of required operational or other enhancements will always be completed. Any failure by the Company to do so could have a material negative effect on its business and results of operations.

The Company may be adversely affected by the significant technological and other changes in the mobile communications industry.

The mobile telecommunications market is known for rapid and significant technological change. The Company's technologies, including its network based on the GSM standard and its proposed roll-out of a 3G mobile system, may be overtaken rapidly, requiring it to invest in alternative technologies to remain competitive. As new technologies develop, equipment may need to be replaced or upgraded or a mobile telecommunications network may need to be rebuilt in whole or in part — at a potentially substantial cost to the Company — to remain competitive. The Company cannot assure that unforeseen technological developments will not render its services unpopular with customers or obsolete. In addition, to the extent its equipment or systems become obsolete, the Company may be required to recognise an impairment charge to such assets, which may have a material adverse effect on the Company's results of operations.

If the Company has difficulty in successfully executing planned network roll-outs, this could have a negative effect on its business and results of operations.

The Company has made capital expenditure in excess of KShs 40 billion in the last three fiscal years, the majority of which has been to expand network coverage and capacity. It also plans to make substantial investments for the foreseeable future to expand its business, meet customer expectations with regard to the quality and types of services provided, and to finance its general business plan. From time to time the Company has experienced network quality and capacity problems, including in attractive urban markets and satellite capacity.

Failure to have proper planning and implementation of a network roll-out could affect the Company in various ways:

- **Inadequate capacity**: In order to sell a service, the appropriate technical capacity and ability needs to be planned for, rolled out and maintained on time. This technical capacity needs to be constantly reviewed and updated as necessary.

- **Lowered quality of service**: To attract and retain subscribers, the services offered need to meet regulatory and subscriber expectations.

The build-out of the Company's networks is subject to risks and uncertainties which could delay the introduction of service in some areas, increase the cost of network construction and/or prevent the network build-out altogether. To the extent the Company fails to continue to expand or improve its network on a timely basis, it could experience difficulty in expanding or meeting the needs of its subscriber base.

The Company relies on a limited number of third parties for key equipment and services.

The Company depends upon a small number of suppliers to provide it with key equipment and services. For example, the bulk of Safaricom's network equipment (including hardware, BTS and switches) is sourced from Nokia Siemens Network (previously Siemens ATEA) ("Siemens") under framework agreements. The Company does not have operational or financial control over Siemens, and it has limited influence with respect to the manner in which Siemens conducts its business. If Siemens fails to provide equipment or services to Safaricom on a timely basis, the Company may be unable to provide services to its subscribers in an optimal manner until an alternative source can be found. In addition, as the market gains new entrants, it is possible that some of them (or existing market players) may compete for similar services from dealers that the Company uses. If they are successful, such agreements may provide more favourable terms for the particular dealer than those provided under the Company's arrangements with that dealer. This may result in downward pricing pressure on these contracts and the Company may not be able to renew its contracts at all or at the same rate as in the past. If any of these contracts are terminated and/or the Company is unable to renew them on favourable terms or negotiate agreements for replacement services with other providers at comparable rates, its business will suffer.

The majority of the Company's customers receive services from it on a prepaid basis and therefore the Company is exposed to a higher risk of customer churn.

Prepaid customers, those customers that pay for service in advance through the purchase of wireless airtime, represented approximately 99% of Safaricom's subscribers as of 30 September, 2007. Prepaid subscribers who are retail customers do not sign service contracts, which make the Company's customer base susceptible to switching to other wireless service providers. Termination of usage of the Company's services by subscribers is referred to as churning, though it can be difficult to determine actual churn rates as they can be artificially inflated when existing customers have lag time between the usage of one SIM card and its replacement by another SIM card. In addition, many of Safaricom's subscribers are first time users of wireless telecommunications services. First time users have a tendency to migrate between service providers more frequently than established users. To the extent Safaricom's competitors offer incentives to the Company's subscribers to switch wireless service providers, the risk of churn will increase. The Company's inability to retain existing prepaid customers and manage churn levels could have a material adverse effect on its business and results of operations.

The Company is dependent upon interconnection agreements, transmission, leased lines and properties, roaming arrangements and international connectivity.

The Company is dependent upon access to networks that it does not control. For example, the Company leases lines for use in its operations from Telkom Kenya. It also has interconnection agreements with other telecommunications providers, such as Telkom Kenya and Celtel, which permit customers of Safaricom to make calls to other networks. The Company's failure to enter into or maintain acceptable interconnection agreements with other wireless service providers could prevent its subscribers from calling the subscriber of other wireless service providers in a particular market, which may restrict the growth of the wireless services in any such market, having a material adverse effect on Safaricom's business and results of operations. In addition, any failure or delay in securing renewed interconnection agreements on favourable terms could adversely affect the Company's business, operating results and financial condition.

The Company's cash flows may be adversely affected to the extent it does not receive timely payments under interconnection agreements. In the past, the Company has experienced substantial delays in receiving such payments from Telkom Kenya.

Safaricom's financial results are affected by the cost of transmission and leased lines to effect interconnection. There can be no assurance that the Company will be able to maintain interconnect or leased line agreements on appropriate terms to maintain or grow its business.

Roaming is an important feature to many of the Company's subscribers. Subscribers can only access another telecommunication provider's wireless network if that other provider allows them to roam on its network. The Company relies on agreements with other wireless providers to provide roaming capability for its customers. Currently, Safaricom's postpaid customers are able to roam in over 100 countries. Some of the Company's competitors may be able to obtain lower roaming rates or more favourable roaming arrangements because of their affiliation with, or ownership by, other wireless service providers. Any perceived or actual differences in the quality of service, extent of roaming capability or cost of roaming as compared to Safaricom's competitors may result in a loss of subscribers, which could have a material adverse effect on Safaricom's business and results of operations.

Safaricom is also dependent upon roaming agreements with other telecommunication service providers as a source of revenue when the other providers' subscribers roam on the Company's network. The Company currently has over 300 international roaming agreements in place. If any of the roaming partners from key in-bound and out-bound roaming destinations in Europe, South Africa, and Asia were to terminate or fail to renew agreements, Safaricom's roaming revenue would decrease, which could affect its profitability.

In addition, because currently there is no international fibre optic network linking Kenya to the rest of the world the Company depends on satellite connections for conveyance of international traffic and business communication requirements. There is the potential that future satellite capacity would not be available due to the fact that demand for satellite bandwidth far exceeds supply of the same. If this happened, the Company's business would suffer.

Delay in the development and supply of communications equipment may hinder the deployment of new technologies and services and cause the Company's growth rates and net profit to decline.

Safaricom's operations depend in part upon successful and timely supply of evolving communications technologies. If technologies are not developed by the Company's suppliers on time or do not perform according to expectations or achieve commercial acceptance, the Company may be required to delay service introductions and make additional capital expenditures. The Company may be required to write-off investments in failed technology, causing its growth rates and net profit to decline.

System failure due to natural or man-made disruptions could result in reduced user traffic and reduced revenues and could harm the Company's reputation and results.

The success of the Company's business depends on providing subscribers with reliable and secure services and making available significant network capacity. The services Safaricom provides may be damaged or disrupted by numerous factors, including fires and other natural disasters, power failures, human error, terrorist attacks, security breaches, capacity limitations and unauthorised use of or alterations to its network and information technology infrastructure. Problems with the Company's switches, data transmission technologies, backbone network or at one or more of its base stations or relating to its network management or information technology systems, whether or not within its control, could result in service interruptions or significant damage to its network. Automatic transfer to the back-up capacity may not be seamless and may cause network service interruptions. Any interruption of services could harm the Company's business reputation, reduce the confidence of its subscribers and, consequently, impair the Company's ability to obtain and retain subscribers, leading to violation of the terms of its licences, all of which could have a material adverse effect on the Company's business, results of operations, and financial condition.

The Company may incur significant costs from fraud, which could negatively affect its operating results.

The Company may incur costs and revenue losses associated with the unauthorised use of its networks, including administrative and capital costs associated with the unpaid use as well as with detecting, monitoring and reducing incidences of fraud. Fraud also impacts interconnect costs, capacity costs, administrative costs and payments to other carriers for unbillable fraudulent roaming charges.

Alleged health and environmental risks associated with mobile telecommunications could lead to decreased usage of services and products and increased difficulty in obtaining sites for base stations, as well as potential liability.

Media reports have suggested that radio frequency emissions from wireless mobile devices and base stations may raise various health concerns, including cancer, and may interfere with various electronic medical devices (e.g. hearing aids and pacemakers) and the operation of certain electronic equipment (e.g. automobile braking and steering systems). In the UK and other jurisdictions, research on perceived adverse health effects is in progress and, although no report has conclusively shown use of mobile telephony to be harmful, the Company cannot give assurance that further medical research will not establish credible links between radio frequency emissions of mobile handsets and/or base stations and health concerns. Whether or not such research concludes there is such a link, popular concerns about radio-frequency emissions may discourage the use of wireless mobile devices and may result in significant restrictions on both the location and operation of cell sites, either or both of which could have a material adverse effect on the Company's growth rates, customer base and ARPU. In addition, the Company may be exposed to property depreciation claims, increased regulatory costs and/or health-related claims. An adverse outcome to, or settlement of, any litigation against the Company or any other provider of wireless services could have a material adverse effect on the Company's results of operations, financial condition or prospects.

The Company is exposed to, and currently is (or may become) engaged in, a variety of legal and/or regulatory proceedings.

The Company is subject to numerous risks relating to legal and regulatory proceedings, in which it is currently a party or in which it could be a party in the future. In addition, one of the Company's competitors is currently engaged in litigation with the Kenyan tax authorities relating to the tax deductibility of a tax write-down of a licence fee. While that company has thus far prevailed in the court proceedings, the matter is ongoing. If the tax authorities ultimately prevail, it is possible that Safaricom would suffer adverse consequences, such as becoming engaged in similar litigation or needing to pay penalties and interest to the tax authority. Litigation and regulatory proceedings are inherently unpredictable, and those in which the Company is, or comes to be, involved in (or settlements thereof) may have a material effect on its results of operations or financial condition.

The Company is subject to foreign exchange risk.

The great majority of the Company's capital expenditure is denominated in Euro and USD, whereas its revenues are predominantly denominated in Kenya Shillings. The Company cannot assure that fluctuations in the exchange rates of the Kenya Shilling against the Euro and USD will not have a material adverse effect on its business, financial condition and results of operations. To the extent possible, the Company uses forward contracts to mitigate these risks. Such hedging arrangements are not used for speculative purposes.

The Company may consider mergers, acquisitions or strategic investments, which may subject it to integration and other risks.

Historically, the Company has grown its business organically. However, subject to its existing and future contractual obligations, it may consider mergers, acquisitions or strategic investments to obtain increased market share or access to new technology. Risks the Company may encounter include: (i) negotiation of potential acquisitions could cause it to incur significant costs; (ii) potential acquisitions may not contribute to the Company's business strategy; (iii) such acquired assets or operations may not result in sales or profits that justify the investments made in such acquisitions; (iv) it may have difficulty assimilating the acquired technologies or products into its products and services; (v) its relationship with current and new employees, customers and distributors could be impaired; (vi) the Company's due diligence process may fail to identify technical problems, such as issues with the acquired company's product quality or product structure; (vii) the Company may face contingencies related to product liability, intellectual property, financial disclosures and accounting practices or internal controls; (viii) potential acquisitions may result in litigation from terminated employees or third parties; (ix) potential acquisitions may divert its management's attention from the Company's existing operations; and (x) the Company may be unable to obtain the timely authorisations from governmental authorities to the extent required to complete such potential acquisitions. These factors could have a material adverse effect on the Company's business, results of operations, financial condition or cash flows, particularly in the case of the acquisition of a larger company or a high number of acquisitions. To the extent that the Company issues shares in connection with future acquisitions, existing shareholders may be diluted and earnings per share may decrease.

Risks relating to Regulatory Environment

The mobile telecommunications operations market is regulated by the CCK and changes in regulation could adversely affect the Company's business.

The licensing, construction, ownership and operation of mobile telecommunications networks, and the grant, maintenance and renewal of mobile telecommunications licences, as well as radio frequency allocations and interconnection arrangements, are regulated by the CCK. In the discharge of its duties the CCK is mandated to have regard to gazetted government policy.[14] The CCK has interpreted the Law and Regulations as empowering it to regulate, inter alia, the interconnection charges between service providers. On 22 February, 2007,[15] in a determination that took effect on 1 March, 2007 and which is binding on all fixed and mobile telecommunications operators in Kenya, the CCK set a cap on the retail rates charged by operators for calls across all networks. This, as well as consumer demand for lower tariffs, led the Company to adjust its tariffs downwards. Further changes in the regulatory framework, such as changes in terms of interconnection arrangements with other mobile telecommunications networks or requirements for increased capital investments or uncertainty as to the regulatory environment, could have a material adverse effect upon the Company's business and results.

In addition, the regulatory environment could change as a result of new legislation. The Kenya Communications Amendment Bill 2007 was withdrawn from Parliament in August, 2007.

The Company's GSM licence was awarded on 1 July, 1999 and is valid for a period of fifteen years. It may be extended for an additional ten years, subject to review from the CCK, including confirmation that the Company has complied with the provisions of its licence and the applicable law, has continuously invested in the improvement of the service and network, and has demonstrated the ability to do so in the future. In addition, the Company has recently been granted a licence to operate a 3G mobile system, which is valid for fifteen years or for as long as Safaricom has a GSM licence that remains valid (its current GSM licence expires in 2014). The Company's licences may not be extended when necessary, or, if extended, the extension may be granted on terms that are not favourable to the Company. In addition, the CCK may modify the Company's licences in a manner that could limit the Company's freedom to conduct its business or revoke them for non-payment of fees or breach of or inability to meet the

[14] Section 5(4) of the Kenya Communications Act, No. 2 of 1998

[15] Determination No. 1 of 2007

conditions of the licence. Any such amendments would need to be gazetted and can be challenged by the licencee in court.

The Company may not be able to obtain permits to construct and operate cell sites.

The Company depends on its network of cell sites to maintain and enhance network coverage for the Company's subscribers. The construction and operation of these various facilities are highly regulated and require the Company to obtain various consents and permits. Obtaining such permits may be difficult, which could delay launches of, or improvements to, the Company's networks. In addition, the Company could become subject to claims or regulatory actions relating to any past or future non-compliance with permit requirements.

Some of the Company's services may become subject to new statutory financial regulations.

Some of the Company's innovative products could be subject to new financial regulations. For example, there is ongoing review and reform of the regulatory framework in the area of money transfer. M-PESA, the fast growing electronic money transfer service would come under such framework which may come with restrictions, reporting and other compliance requirements that may impede or otherwise affect the growth or scope of the service. The implementation of such reforms may affect service delivery, growth or necessitate financial and/or operational overheads, which ultimately affects profitability. For a discussion of M-PESA, see the section of this Prospectus entitled "Business Overview—Products and Services—M-PESA".

Safaricom could be affected by regulators' application of the legislation relating to competition.

Under The Kenya Communications Act, no. 2 of 1998 the CCK's duties include monitoring and ensuring the observance of fair competition among operators. The Kenya Communication Bill 2007 contained provisions that sought to extend and enhance these powers with regard to freedom of pricing and competition. The CCK has and may have occasion to rule on matters relating to the competitive environment of the telecommunications market. Safaricom cannot forecast to what extent the CCK's rulings in this area might affect its operations.

In addition the Company is subject to Kenya's general laws as to competition. Under Sections 23 and 24 of the Monopolies Act (Cap 504), the relevant Minister is empowered to regulate and limit "unwarranted concentration of Economic Power." Safaricom cannot forecast to what extent the Monopolies Commission and the Minister under that act's rulings in this area might affect its operations.

The Government's efforts to provide universal access to information and communication services may be paid for by a levy on the annual turnover of operators.

To correct the prevailing inequalities in access to Information and Communication Technology ("ICT") services, the Government identified universal access as one of the pillars in the ICT policy and mandated the CCK to facilitate the provision of communications services throughout the country. The Government also adopted a number of measures aimed at enhancing universal access. These include:

- Licence obligations for operators to meet certain targets, such as coverage
- Proposing the establishment of a Universal Access Fund to leverage the provision of service to rural, unserved and high cost areas
- Liberalization of the sector to permit more players to participate, thus pushing down the cost of service and forcing operators to move to other frontiers
- Development and adoption of a unified licencing framework. This framework would permit a licensed service provider to operate varied services, such as GSM and 3G, under a single licence.

The funding for the universal access initiatives may be obtained from a levy charged on the annual turnover of operators, such as Safaricom. This would lower the Company's profit margins.

Risks relating to Kenya

Political, economic and social developments in Kenya

Safaricom derives virtually all of its revenues from Kenya. All Company infrastructure and other assets are located in Kenya and most of the officers and directors are residents in Kenya. The operations and financial results and the market price and liquidity of Safaricom's equity shares may be affected by Kenyan Government policy or taxation of earnings and/or revenues or political, social, ethnic, economic or other developments in or affecting Kenya.

In the past, the performance of the Kenyan economy has been affected by its political situation. In national elections held on 27 December, 2007, the official results declaring President Kibaki the winner were called into question by challenger Raila Odinga, leader of the Orange Democratic Movement ("ODM") in Kenya's closest election in history. As a result of the outcome of, and reaction to, the elections, Kenya experienced a period of social and political turmoil, which included civil unrest, riots, protests and street demonstrations. On 28 February, 2008 a power sharing agreement was reached between President Kibaki and the ODM which is expected to create a new post of Prime Minister within a broader coalition government between the leading parties in parliament. Although this agreement has been hailed as a critical first step, there are numerous details still to be worked out and constitutional changes to be implemented and there is no assurance that it will be implemented smoothly or effectively. It is also too early to tell whether implementation of the agreement will be sufficient to resolve the underlying political and social tensions. Furthermore, it is difficult to quantify the effect that the recent political and social environment has had or that any ongoing or future unrest will have on Kenyan economic activity, tourism to Kenya, or the level of funds provided by foreign donors to Kenya or obstruction of the country's infrastructure (such as roads which are used to distribute phone credit), decreases in any of which could adversely impact the Company's operations.

Since achieving independence in 1963, Kenya has remained a relatively small mixed economy largely relying on agriculture and tourism. Such lack of sufficient diversification of the economy means that there can be dramatic swings in economic performance in any one year that could translate into changes in the demand for, among other things, mobile telecommunications services. Adverse developments that significantly affect the economy of Kenya such as major unexpected currency fluctuation, withdrawal or suspension of bilateral and multilateral aid, significant price inflation, decreased tourism, terrorism, imposition of currency controls or measures to curtail foreign investment could also have an impact on the demand for Safaricom's services.

In addition, there are significant differences in the level of economic and social development amongst Kenyan people, with large parts of the population, particularly in the rural areas, having limited ability to take advantage of the higher-end product offerings Safaricom is rolling out e.g. mobile broadband and other data services.

Policy changes in Kenya could ultimately lead to changes in the regulatory environment.

The Executive arm of Government has considerable power to determine governmental policies and actions that relate to the Kenyan economy and, consequently, affect the operations and financial performance of businesses. For example, the Executive is charged with appointing the board of directors of the CCK, and any change in the current management of CCK could affect its policies. As discussed above, on 28 February, 2008 a power sharing agreement was announced, which establishes a two-party coalition government in which, among other things, cabinet posts are be split between the parties and with the expected position of Prime Minister going to the head of the largest single party in parliament. Details of the agreement are still being negotiated, but the structure of having both a President and a Prime Minister in a coalition government may, in the short or long term, make it more difficult for the Executive to implement its policies.

It is possible that in the future the Executive may seek to implement new policies, such as further lowering interconnection charges and further removing barriers to entry in the mobile telecommunications market by, among other things, requiring existing operators to make investments in the telecommunications infrastructure with the result that new entrants would benefit from having such infrastructure in place. The

Company cannot predict what policies will ultimately be adopted by the Kenyan Government and whether these policies will negatively affect the economy or its business or financial performance. With increased uncertainty in the political and regulatory landscape, engaging in future planning is difficult for Kenyan companies, such as Safaricom.

Because definitions of telecommunications-related terms are not standardised in the industry and Kenya's system for publishing statistical information relating to the telecommunications industry is not comprehensive, it may be difficult to evaluate different companies.

The methodology for calculating customer numbers varies substantially and is not standardised across the mobile telecommunications industry. As a result, customer numbers reported by various companies may vary from the numbers that would result from the use of a single methodology. In addition, it is not uncommon in the countries in which the Company operates for prepaid mobile customers to have more than one subscriber identity module ("SIM") card from competing operators, so that two mobile operators may be counting the same user in their customer numbers. Customers of the Company may be removed following a period of inactivity and may rejoin many times. Therefore, it may be difficult to compare customer numbers, ARPU and/or churn rates from period to period or between different mobile operators. The methodology for calculating other performance indicators, such as those based on minutes of usage and churn rates, varies among mobile operators, making it difficult to draw comparisons between these figures for different mobile operators.

In addition, there is no published statistical data that allows for adequate comparison of telecommunication companies. There is therefore an increased risk that the data prepared and published by Kenyan telecommunications companies may be inconsistent, meaning that performing reliable company-to-company comparisons is more challenging.

The costs of maintaining the Company's network may be higher due to an inconsistent electric power supply.

Inconsistent power supply in the country caused by increased national demand and challenges in the power generation and distribution process is likely to affect the cost of maintaining the network. In the event of a power shortage, this may lead to increased usage of diesel fuel generators leading to higher operating expenditure costs with a possible adverse effect on profitability.

Inflation and increased interest rates could increase the Company's costs and decrease its operating margins.

The economy of Kenya has, during certain periods in the past, experienced high rates of inflation. For example, the inflation rates were 11.6%, 10.3% and 14.5% in 2004, 2005 and 2006, respectively. It is possible that Kenya will continue to experience high rates of inflation in the future. High rates of inflation could increase the Company's costs and decrease its operating margins. High interest rates could also adversely affect the Company's ability to obtain cost-effective debt financing in Kenya.

Risks relating to this Offer

There may be further investigations relating to the Company's shareholders.

The Parliamentary Public Investments Committee Fifteenth Report on the accounts of State Corporations 2007 (the "PIC Report") has, amongst other items, called on the Director of the KACC to immediately initiate investigations into the circumstances and manner in which Mobitelea Ventures Limited purchased shares in VKL from VIHBV.

Safaricom is unable to predict whether any such investigation following the PIC Report will be instigated or whether any such investigation (or other investigations related to similar subject matter) will result in any action that could directly or indirectly affect Safaricom's business or results of operations.

There is currently litigation relating to this Offer, the outcome of which is uncertain.

On 25 September, 2007, two current members of parliament and one former member of parliament, Hon. Peter Anyang Nyong'o, Hon. James Omingo Magara and Hon. Mwandawiro Mghanga, respectively, filed a lawsuit at the High Court (Miscellaneous Civil Application No. 1078 of 2007) to require that the initial public offering of Safaricom be conducted in accordance with the Privatization Act 2005, which by a Gazette Notice dated 7 December, 2007, came into effect on 1 January, 2008. On 3 October, 2007, the High Court dismissed the claim. However, on 2 November, 2007, the applicants moved to the Court of Appeal seeking to block the initial public offering of Safaricom pending the hearing of an intended appeal against the decision of the High Court. On 20 December, 2007, the Court of Appeal dismissed the application to block the process. Subsequent to the Privatisation Act coming into force on 1 January, 2008, the Privatisation Committee established under the Act has performed its statutory duties in relation to the conduct of the Offer. It is possible that there may be additional suits challenging this Offer and no prediction can be made as to their outcome.

Certain shareholders own significant amounts of the Company's shares, giving them a substantial amount of management control.

VKL currently owns 40% of the issued shares of the Company. VKL, in turn, is 87.5% beneficially owned by Vodafone International Holdings B.V. (a subsidiary of Vodafone Group Plc) and 12.5% beneficially owned by Mobitelea Ventures Limited. The GoK currently directly owns 60% of the issued shares of the Company, as a result of its acquisition of such shares from the GoK's wholly-owned subsidiary, Telkom Kenya. It is expected that after this Offer, the GoK, through the Treasury, will own 35% of the issued shares of the Company. VKL and the GoK, each having a significant ownership in Safaricom can, and, following completion of the Offer are each expected to continue to be able to, exercise control or influence over the Company's management and affairs, including:

- the composition of the Company's Board of Directors and through it, any determination with respect to the Company's business direction and policies, including the appointment and removal of officers and the declaration of dividends;
- the determination and allocation of business opportunities that may be suitable for the Company;
- the Company's acquisition or disposition of assets; and
- the Company's financing.

Neither VKL nor the GoK is obligated to provide the Company with financial support or to exercise its rights as a shareholder in the Company's best interests or in the best interests of the Company's minority shareholders. In addition, they may engage in activities that conflict with such interests. If their interests conflict with the interests of the Company's other shareholders, or if they choose to cause the Company to pursue strategic objectives that conflict with the interests of the Company's other shareholders (whether due to the different nature of their business or otherwise), those other shareholders could be disadvantaged by the actions that VKL and/or GoK may choose to pursue.

Settlement of the Offer Shares may take longer than expected.

Applications for Offer Shares will be processed on a manual and semi-automated basis and this process may take longer than expected due to high subscription rates, limited order processing capacity, mechanical breakdown, delays in opening brokerage accounts, delays in opening CDS accounts and/or clerical error in relation to the foregoing. In addition, whether an Applicant is applying for share certificates or immobilized shares through its CDS Account, settlement delays may occur for the reasons noted above or because of general system failure. Such delays have occurred in the recent past (e.g. in the recent Kenya Electricity Generating Company Limited initial public offering) and could occur with respect to this Offer. Accordingly, while the settlement period is expected to be 26 days from the date of the close of the Offer, the actual settlement period may be longer.

There are restrictions on foreign ownership of the Company's shares.

The Government currently allows up to 60% of any telecommunications company listed on the NSE to be owned by foreign investors. The Foreign Investors Regulations define a 'foreign investor' as being any person who is not a local investor in an East African Community Partner State. Vodafone Kenya Limited, which currently owns 40% of the Company, is considered to be a foreign investor under the regulations. If foreign ownership in a company is 60% at the time of listing on the NSE, the foreign owner is allowed to maintain (or reduce) but not to increase its shares. Foreign investors may be allowed to increase their investment with prior written approval from the CMA if the shares reserved for local investors are not fully subscribed. However, as a result of these restrictions, there may be reduced liquidity in the Company's shares for certain investors.

There is no existing market for the Company's shares and it is uncertain whether one will develop to provide shareholders with adequate liquidity.

Prior to this Offer, there has not been a public market for Safaricom's common shares. The GoK cannot predict whether investor interest in Safaricom will lead to the development of an active trading market on the NSE or otherwise or how liquid any market that does develop might be. The Offer price for the Company's shares is to be determined by consultations between the GoK and the Lead Transaction Advisors and may not be indicative of prices that will prevail in the open market following this Offer.

The Company may not be able to fulfil its dividend policy in the future.

On 6 November, 2007, the Company adopted a dividend policy that permits dividends to be paid if the Board of Directors finds that the payments are sustainable, after taking into account the sufficiency of distributable reserves and liquidity in order to ensure the Company's operational needs and/or business growth are not limited by the unavailability of funds, as well as the Company's known contingencies and compliance with any funding facility covenants.

Dividend payments are not guaranteed and the Board of Directors may decide, in its absolute discretion, at any time and for any reason, not to pay dividends. In the past, the Company's dividend policy was based on other considerations and past dividend payments should not be taken as an indication of future payments.

Further, the Company's dividend policy, to the extent implemented, will significantly restrict its cash reserves and may adversely affect the Company's ability to fund unexpected capital expenditures as well as the ability to make interest and principal repayments on its term loan. As a result, the Company may be required to borrow additional money or raise capital by issuing equity securities, which may not be possible on attractive terms or at all.

If the Company is unable to fulfil its dividend policy, or pay dividends at levels anticipated by investors, the market price of its shares may be negatively affected and the value of investments may be reduced.

The future sale of a substantial number of the Company's shares could negatively affect the market price of the shares.

Following the Offer, a significant number of ordinary shares could be sold by Vodafone Kenya and/or the GoK. The market price of the ordinary shares could be adversely affected as a result of these sales, or the public perception that such sales could occur.

The implementation of an employee share option plan may dilute your ownership interest.

The Company intends to adopt an employee share option plan following the Offer. See "Employee Stock and Option Plans" for more detailed information about the plan. This employee share option plan will be funded through either open market purchases, if permitted, or from the issuance of authorised but unissued ordinary shares of the Company. In the event authorised but unissued ordinary shares of the Company are used to fund the plan, shareholders would experience dilution in their ownership interest.

16. Selected Financial Data

The following selected financial data has been extracted, without material adjustment, from the Company's statements for each of the three years ended 31 March, 2005, 2006 and 2007 and for the six month periods ended 30 September, 2006 and 2007. These statements have been audited by the reporting accountant, with the exception of the figures for the six month period ended 30 September, 2006. The summary financial data should be read in conjunction with the "Operating and Financial Review" and with the "Reporting Accountants' Report" included in this Prospectus.[16]

	Twelve Months Ended 31 March				Six Months Ended 30 September		
	2005	2006	2007		2006	2007	
(MM)	(KShs)	(KShs)	(KShs)	(USD)	(KShs)	(KShs)	(USD)
Income Statement Data:							
Revenue	26,912	34,972	47,447	708	21,410	28,650	428
Operating expenses	(10,417)	(12,916)	(18,155)	(271)	(8,397)	(12,128)	(181)
Selling, general and administrative expenses	(2,397)	(3,497)	(4,801)	(72)	(2,139)	(3,541)	(53)
Depreciation and amortisation	(5,135)	(5,794)	(6,720)	(100)	(3,197)	(4,024)	(60)
Other operating income	8	11	17	0	3	4	0
Operating profit	**8,971**	**12,776**	**17,788**	**265**	**7,680**	**8,961**	**134**
Net financing income (expense)	(527)	(566)	(596)	(9)	(391)	1,575	24
% margin	33.3%	36.5%	37.5%	37.5%	35.9%	31.3%	31.3%
Financing costs	(527)	(566)	(596)	(9)	(391)	1,575	24
Profit before tax	**8,444**	**12,210**	**17,192**	**256**	**7,289**	**10,536**	**158**
Income tax expense	(2,589)	(3,785)	(5,182)	(77)	(2,222)	(3,247)	(48)
Net income	**5,855**	**8,425**	**12,010**	**179**	**5,067**	**7,289**	**110**
EBITDA	14,106	18,570	24,508	366	10,877	12,985	194
% margin	52.4%	53.1%	51.7%	51.6%	50.8%	45.3%	45.3%
Balance Sheet Data							
Cash and cash equivalents	437	2,917	5,887	88	4,229	3,918	58
Total assets	**34,374**	**43,945**	**56,408**	**842**	**47,952**	**67,367**	**1,005**
Borrowings	9,522	9,252	10,435	156	10,435	9,882	147
Total liabilities	19,029	23,166	23,619	353	22,106	31,289	467
Shareholders' equity	15,345	20,779	32,789	489	25,846	36,078	538
Cash Flow Data:							
Net cash provided from operating activities	14,298	14,431	21,111	318	10,585	10,827	162
Net cash used in investing activities	(12,421)	(11,388)	(16,332)	(247)	(7,464)	(12,797)	(191)
Net cash used in financing activities	(2,371)	(562)	(1,808)	(26)	(1,808)	0	0

[16] USD figures based on KShs/USD exchange rate of 67.0 and is provided purely for the purposes of comparison.

	Twelve Months Ended 31 March				Six Months Ended 30 September		
	2005	2006	2007		2006	2007	
Operating Data:							
Subscribers (in thousands)	2,513	3,944	6,082	6,082	4,644	7,956	7,956
Blended monthly ARPU (KShs)	1,105	902	799	12	802	665	10
Monthly outgoing voice minutes of use (in millions)	93	138	215	215	189	317	317
Blended annual churn (%)	22.8	36.2	32.9	32.9	47.7	23.5	23.5
(MM)	**(KShs)**	**(KShs)**	**(KShs)**	**(USD)**	**(KShs)**	**(KShs)**	**(USD)**
Cash outflows relating to capital expenditures:							
Capital expenditures	(12,440)	(11,402)	(16,338)	(244)	(7,468)	(12,804)	(191)

17. Operating and Financial Review

The Operating and Financial Review below is to be read together with this Prospectus as a whole, including, in particular, the risk factors discussed in "Risk Factors", the information contained in "Selected Financial Data", the audited financial statements of Safaricom for the fiscal years ended 31 March, 2005, 2006 and 2007, the audited financial statements at and for the six months ended 30 September, 2007 and the management accounts of Safaricom at and for the six months ended 30 September, 2006 and at and for the nine months ended 31 December, 2007.

Main Factors Affecting Revenue

Safaricom revenue arises primarily through the sales of mobile telecommunications services, and to a lesser extent, the sales of products associated with those services, consisting of handsets used by customers and starter packs.

Revenue generated in the mobile telecommunications sector varies according to the evolution of the number of subscribers and the ARPU (described below). The number of subscribers and ARPU have been driven by the introduction of prepaid offers in 2000 and the effective liberalization of the market in 2000 with the award of a second GSM licence (see the section of this Prospectus entitled "Regulatory Environment").

Subscribers

In terms of subscribers, the Company has driven the expansion of the market through aggressive sales and marketing campaigns targeted at the mass market and this is reflected by a significant increase in the mobile penetration rate. The mobile penetration rate measures the ratio of users of mobile telecommunications services to Kenya's total population. Mobile penetration has grown rapidly over the past four years and is expected to reach 32% by December, 2007. As of 31 December, 2007, it was estimated that there were 11.6 million mobile subscribers in Kenya. Please see the "Telecommunications Overview" section of this Prospectus for further detail.

Strong growth in the penetration has been supported, in particular, by several Safaricom initiatives targeting the prepaid mass market, including low-denomination prepaid airtime vouchers, reduced on-net tariffs with per second billing, wider rural network coverage, increased retail availability and promotion of low cost handsets.

As of 30 September, 2007, Safaricom held a 73% market share, while Celtel held a 25% market share. Please see the "Telecommunications Overview" section of this Prospectus for further detail. As of 30 September, 2007, the Company had 7.96 million total subscribers with prepaid subscribers accounting for almost 98.7% of total subscribers.

Churn

Subscriber churn is defined as the number of customers who disconnect from service, either involuntarily (due to suspected fraudulent use or non-payment) or voluntarily (due to customers switching to a competing network or terminating their use of a network's services, including customers who subsequently reactivate on the same network, known as rotational churn). Prepaid subscribers churn if they have not made or received a chargeable event for 120 days from the date of airtime expiry. The churn rate is calculated by dividing the churn over a specified period by the average number of customers over the same time period. In addition to churn, and as part of the monitoring of its subscriber base, the Company records the number of inactive subscribers at various times. Inactive subscribers are defined as those subscribers who have not made or received a chargeable event during the previous month. As with many prepaid subscriber dominated networks, particularly in emerging markets, the level of inactivity will change from time to time and the rates can typically vary between 20% and 45% of the total prepaid base.

Blended annual churn (encompassing prepaid and postpaid churn) has fluctuated over the past three fiscal years, from 22.8% to 36.2% to 32.9%, as of 31 March, 2005, 2006 and 2007, respectively. The increase in churn between the 2005 and 2006 fiscal years was mainly attributed to an increase in rotational churn caused by customers replacing their SIM cards due to loss. During the six-month period ended 30 September, 2007, blended annual churn decreased significantly from 47.7% to 23.5% year-over-year. This decrease is attributed to several initiatives to reduce churn described below.

Postpaid annual churn fluctuated over the past three fiscal years, from 4.5% to 4.6% to 6.6%, as of 31 March, 2005, 2006 and 2007, respectively. During the six-month period ended 30 September, 2007, postpaid annualized churn decreased from 6.0% to 4.3% year-over-year due to a change in the reporting method for churned postpaid subscribers whereby postpaid subscribers moving to prepaid plans are no longer included in churn calculations but treated as migrations.

Prepaid annual churn fluctuated over the past three fiscal years, from 23.1% to 36.8% to 33.4%, as of 31 March, 2005, 2006 and 2007, respectively. During the six-month period ended 30 September, 2007, prepaid annualised churn decreased significantly from 48.4% to 23.7% year-over-year. A major reason for this improvement was the success of the free SIMEX initiative (a programme which allows lost SIMs to be replaced at no extra cost), which reduced rotational churn. Other initiatives that have contributed to the reduction in churn include the Bonga loyalty programme and periodic reminder messages to inactive lines. The Company (in March 2007) also changed the calculation of churn so as to exclude those subscribers who had received a chargeable event in the previous 90 days.

ARPU

ARPU consists of the total revenue generated by outgoing calls, incoming calls, monthly fees, value-added services, SMS and other data services over a particular period, divided by the average customer base over the same period. ARPU excludes revenue derived from the acquisition of subscribers as well as SIM card replacements. The average customer base in a given period is the average of each month’s customer base over the period. ARPU is influenced by several factors, including the price and the usage of mobile services (voice in, voice out and value-added services).

Blended average monthly ARPU (which is inclusive of prepaid, postpaid and visitor) has fallen from KShs 1,105 to KShs 902 to KShs 799 over the past three fiscal years ended 31 March, 2005, 2006 and 2007, respectively. The decrease in ARPU was mainly attributed to the large growth in the subscriber base, resulting in lower average incoming traffic per user, network rollout in rural areas (characterized by lower spending power), and periodic downward review of retail tariffs. The subscriber base increased from 2.51 million to 3.94 million to 6.08 million, as of 31 March, 2005, 2006 and 2007, respectively. Other factors that have negatively impacted ARPU include increased competition (resulting in lower retail pricing), as well as decreasing local and international interconnection rates. Blended average monthly ARPU decreased from KShs 802 to KShs 665 between the six month periods ended 30 September, 2006 and 30 September, 2007, respectively. The decrease in ARPU was driven by the rapid increase in the subscriber base from 4.64 million to 7.96 million, as of 30 September, 2006 and 30 September, 2007 respectively, network rollout into rural areas and a downward review of retail tariffs.

Postpaid monthly ARPU[17] decreased from KShs 9,305 to KShs 6,945 to KShs 5,491, over the past three fiscal years ended 31 March, 2005, 2006 and 2007, respectively. In the six-month period ended 30 September, 2007, postpaid monthly ARPU decreased to KShs 4,076 in September, 2007 compared to KShs 5,574 in September, 2006. Prepaid monthly ARPU decreased from KShs 939 to KShs 764 to KShs 691, over the past three fiscal years ended 31 March, 2005, 2006 and 2007, respectively. In the six-month period ended 30 September, 2007, prepaid monthly ARPU decreased to KShs 594 in September, 2007 compared to KShs 694 in September, 2006.

The Company is seeking to mitigate the reducing ARPU by encouraging customer enrolment in the Bonga Loyalty Programme, stimulating usage of data services through new and innovative products such as M-PESA, as well as the future roll-out of 3G network services.

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[17] Visitor revenue is not included in the respective revenue figures used to derive prepaid and postpaid ARPU. Blended ARPU, however, includes visitor revenue.

Tariffs

Tariffs include access charges, or monthly subscription charges, and connection charges (the latter is charged only once at the time of connection). Over the last five years, the market for mobile telecommunications has experienced continued pressure on pricing.

In order to ensure that the Company's tariffs remain competitive and attractive to its subscribers, in June, 2007, the Company instituted a 9% price reduction in its general tariffs from an average of KShs 13.35 per minute to KShs 12.15 per minute, excluding taxes. This reduction led to increased call traffic that offset towards revenue loss.

Mobile network operators initiate frequent promotional offers in order to stimulate demand and usage of their services. The Company seeks to offset the negative impact of retail price cuts on ARPU by increasing its customer base, stimulating usage and encouraging adoption of data products.

Traffic

Outbound and visitor traffic has seen rapid development since 2005, owing to the large increase in the number of prepaid, postpaid customers, and visitors. Average monthly outgoing voice minutes over the past three fiscal years increased from 92.6 million to 138.4 million to 214.5 million, for the years ended 31 March, 2005, 2006 and 2007, respectively, and from 189.1 million to 317.2 million, for the six month periods ended 30 September, 2006 and 2007, respectively.

Kenya's tourism industry has also played a small part in this development, generating a large inflow of visitors (including Kenyans resident abroad), and should provide an important potential future revenue stream from visitor revenue through inbound roaming services. During the fiscal year ended 31 March, 2007, visitor revenue accounted for 3.1% of total revenue. In order to increase this traffic, the Company has entered into roaming agreements with major mobile telecommunications operators across the world.

Seasonality

Seasonality does not represent a significant factor in the mobile telecommunications sector. However, the Company does experience a mild seasonal peak in revenue during the month of December, due to the tendency of customers to use a higher level of mobile services during the holiday season.

Significant Accounting Policies and Estimates

In connection with the preparation of its financial statements, the Company must make certain estimates and use certain assumptions. The Company's management bases its estimates on its past experience and on various other assumptions that it deems reasonable under the circumstances.

Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. All other repairs and maintenance costs are charged to the profit and loss account during the financial period in which they are incurred.

Depreciation is calculated using the straight line method to write down the cost of each asset to its residual value over its estimated useful life, as follows:

Network infrastructure	3-10 years
Leasehold improvements	Life of lease
Equipment and motor vehicles	3-5 years

Capital work in progress, which represents additions to property, plant and equipment that have not yet been brought into use, is not depreciated. Additions are transferred into the above depreciable asset classes once they are brought into use.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each balance sheet date.

Property, plant and equipment are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units).

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit.

Income Taxes

Income tax expense is the aggregate of the charge to the income statement in respect of current income tax and deferred income tax.

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the Kenyan Income Tax Act.

Deferred income tax is provided in full, using the liability method, on all temporary differences arising between the tax bases of assets and liability and their carrying values for financial reporting purposes. Deferred income tax is determined using tax rates enacted or substantively enacted at the balance sheet date and are expected to apply when the related deferred income tax liability is settled.

Factors Affecting the Comparability of the Company's Results of Operations

In 2006, new and revised standards and interpretations became effective for the first time and have been adopted by the Company where relevant to its operations. The adoption of these new and revised standards and interpretations had no material effect on the Company's accounting policies or disclosures.

Standards, interpretations and amendments to published standards that are not yet effective

The following amendment to an existing standard and new standard are mandatory for the Company's accounting periods beginning on or after 1 January, 2007, but which the Company had not adopted for the March, 2007 accounts but adopted in the six months accounts for September, 2007.

IAS 1 Amendment, Capital Disclosures

The amendment to IAS 1 introduces disclosures about the level of the Company's capital and how it manages capital.

IFRS 7, Financial Instruments: Disclosures

IFRS 7 introduces new disclosures to improve the information about financial instruments. It requires the disclosure of qualitative and quantitative information about exposure to risks arising from financial instruments, including specified minimum disclosures about credit risk, liquidity risk and market risk, including sensitivity to market risk.

Results of Operations

The table below sets out data regarding the Company's statements of income for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

	Fiscal Year Ended 31 March			Six Months Ended 30 September	
(in millions, KShs)	**2005**	**2006**	**2007**	**2006**	**2007**
Revenue	**26,912**	**34,972**	**47,447**	**21,410**	**28,650**
Operating expenses	(10,417)	(12,916)	(18,155)	(8,397)	(12,128)
Selling, general and administrative expenses	(2,397)	(3,497)	(4,801)	(2,139)	(3,541)
Depreciation and amortisation	(5,135)	(5,794)	(6,720)	(3,197)	(4,024)
Other operating income	8	11	17	3	4
Operating profit	**8,971**	**12,776**	**17,788**	**7,680**	**8,961**
Financing costs	(527)	(566)	(596)	(391)	1,575
Profit before tax	**8,444**	**12,210**	**17,192**	**7,289**	**10,536**
Income tax expense	(2,589)	(3,785)	(5,182)	(2,222)	(3,247)
Net income	**5,855**	**8,425**	**12,010**	**5,067**	**7,289**

Revenue

Revenue arises through the sales of mobile telecommunications services, and, to a lesser extent, through the sales of products associated with those services, consisting of handsets and accessories used by customers and starter packs. Revenue is comprised of the following:

- *Voice*: Includes all outbound and visitor voice revenue, including outbound international roaming and inbound visitor voice revenue and interconnect revenue.

- *SMS and other data*: Includes SMS, fax and data revenue.

- *Acquisition*: Includes all revenue related to the acquisition of subscribers, including handsets, accessories, starter packs and connection revenue net of discounts.

- *Other*: Includes access fees, tariff migration, SIM replacement, value-added services and miscellaneous revenue.

The table below sets out data regarding the Company's revenue for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

	Fiscal Year Ended 31 March			Six Months Ended 30 September	
(in millions, KShs)	**2005**	**2006**	**2007**	**2006**	**2007**
Voice	23,483	30,566	41,508	18,547	25,384
SMS and other data	2,116	2,882	4,043	1,843	2,112
Acquisition	912	1,011	1,340	758	873
Other	401	513	556	262	281
Total revenue	**26,912**	**34,972**	**47,447**	**21,410**	**28,650**

Voice revenue increased by 30.2% between 2005 and 2006, by 35.8% between 2006 and 2007, and by 36.9% in the first six months of the 2008 fiscal year as compared to the same period in the prior year. These increases have been driven by the growth in the subscriber base, a result of the Company's continuing network expansion across the country. During the six month period ended 30 September, 2007, the subscriber base increased at a higher rate than voice revenue as the Company introduced changes to its retail tariff plans. This effect has had the impact of lowering blended monthly ARPU.

SMS and other data revenue increased by 36.2% between 2005 and 2006, by 40.3% between 2006 and 2007, and by 14.6% in the first six months of the 2008 fiscal year as compared to the same period in the prior year. These increases have been driven by the growth in the subscriber base. The slower growth realised during the six month period ended 30 September, 2007 can be attributed to a decrease in average SMS pricing rates.

Acquisition revenue increased by 10.9% between 2005 and 2006, by 32.5% between 2006 and 2007, and by 15.2% in the first six months of the 2008 fiscal year as compared to the same period in the prior year. The slower growth realised during the six month period ended 30 September, 2007 can be attributed to a decrease in the pricing of connection rates, which is consistent with the Company's overall strategy to increase subscriber growth.

Expenses

Expenses include operating expenses, selling, general and administrative expenses, and depreciation and amortization. The table below sets out data regarding the Company's expenses for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

	Fiscal Year Ended 31 March			**Six Months Ended 30 September**	
(in millions, KShs)	**2005**	**2006**	**2007**	**2006**	**2007**
Operating expenses	(10,417)	(12,916)	(18,155)	(8,397)	(12,128)
% of revenue	38.7%	36.9%	38.3%	39.2%	42.3%
Selling, general and administrative	(2,397)	(3,497)	(4,801)	(2,139)	(3,541)
% of revenue	8.9%	10.0%	10.1%	10.0%	12.4%
Depreciation and amortisation	(5,135)	(5,794)	(6,720)	(3,197)	(4,024)
% of revenue	19.1%	16.6%	14.2%	14.9%	14.0%
Total expenses	**(17,949)**	**(22,207)**	**(29,676)**	**(13,733)**	**(19,693)**
% of revenue	66.7%	63.5%	62.5%	64.1%	68.7%

Operating expenses increased by 24.0% between 2005 and 2006, by 40.6% between 2006 and 2007, and by 44.4% in the first six months of the 2008 fiscal year as compared to the same period in the prior year. Operating expenses have increased along with the growth in the network and subscriber base.

Selling, general and administrative expenses increased by 45.9% between 2005 and 2006, by 37.3% between 2006 and 2007, and by 65.5% in the first six months of the 2008 fiscal year as compared to the same period in the prior year. Selling, general and administrative expenses have increased along with the general growth of the business operations.

Depreciation and amortisation charges have increased in-line with the capital investments incurred over the past few years.

Operating expenses

Operating expenses are comprised of the following:

- *Interconnection*: Includes all costs associated with interconnection including domestic and overseas outbound charges and other roaming and signalling costs. Interconnection costs relate directly to the amount of traffic terminated on other networks.

- *Airtime*: Includes airtime top up card commissions and scratch card costs. Airtime costs relate directly to the growth in network usage.

- *Network*: Includes all network operating costs including network maintenance, security, power, transmission fees, maintenance and operating leases, and is impacted by the size and usage of the network.

- *Acquisition*: Includes all costs related to the acquisition of subscribers, including handsets and equipment, connection commissions, distribution, packaging and SIM card costs.
- *Retention*: Includes loyalty programme and other costs associated with the retention of subscribers.
- *Other*: Includes licence fees, visitor costs, VAS, billing and inter-company expenses.

The table below sets out data regarding the Company's operating expenses for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

	Fiscal Year Ended 31 March			Six Months Ended 30 September	
(in millions, KShs)	**2005**	**2006**	**2007**	**2006**	**2007**
Interconnection	(2,626)	(2,560)	(2,491)	(1,426)	(1,340)
Airtime	(2,540)	(3,611)	(5,805)	(2,500)	(3,458)
Network	(2,547)	(3,267)	(4,339)	(2,045)	(2,541)
Acquisition	(1,885)	(2,188)	(3,285)	(1,514)	(2,909)
Retention	(83)	(196)	(389)	(88)	(576)
Other	(736)	(1,094)	(1,846)	(824)	(1,304)
Total operating expenses	**(10,417)**	**(12,916)**	**(18,155)**	**(8,397)**	**(12,128)**
% of revenue	*38.7%*	*36.9%*	*38.3%*	*39.2%*	*42.3%*

Operating expenses have increased in line with the overall growth in the subscriber base and revenue as the majority of the cost components are directly tied to the volume of revenue.

Despite increases in the subscriber base and network traffic, interconnection costs decreased 6.0% in the first six months of the 2008 fiscal year as compared to the same period in the prior year as a result of the reduced interconnection rates implemented by the CCK in March, 2007.

Airtime costs increased 38.3% in the first six months of the 2008 fiscal year as compared to the same period in the prior year, along with the growth in airtime purchases.

Network costs increased 24.3% in the first six months of the 2008 fiscal year as compared to the same period in the prior year, along with the expansion of the core network, radio network and the associated increases in power and maintenance costs.

Acquisition and retention costs increased 92.1% and 554.5%, respectively, in the first six months of the 2008 fiscal year as compared to the same period in the prior year. Acquisition costs relate directly to the growth in the subscriber base. Retention costs increased due to the implementation of new subscriber retention initiatives such as the Bonga Loyalty Programme.

Other costs increased from 58.3% in the first six months of the 2008 fiscal year as compared to the same period in the prior year, due to higher inter-company expenses and, to a lesser extent, licence fees, which increase in-line with revenue.

Selling, general and administrative expenses

Selling, general and administrative expenses are comprised of the following:

- *Payroll and personnel*: Includes all employee and contractor salaries, benefits, pension contributions, training, recruitment and other costs associated with personnel.
- *Marketing and publicity*: Includes advertising, promotions, sponsorships and public relations costs.
- *General and administrative*: Includes all other general costs including professional service fees, office supplies, travel and entertainment, vehicle, rent and utilities, computer maintenance and other costs.

The table below sets out data regarding the Company's selling, general and administrative expenses for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

	Fiscal Year Ended 31 March			Six Months Ended 30 September	
(in millions, KShs)	**2005**	**2006**	**2007**	**2006**	**2007**
Payroll and personnel	(1,390)	(1,791)	(2,331)	(1,032)	(1,481)
Marketing and publicity	(384)	(821)	(1,207)	(561)	(1,254)
General and administrative	(623)	(885)	(1,263)	(546)	(806)
Total selling, general and administrative expenses	**(2,397)**	**(3,497)**	**(4,801)**	**(2,139)**	**(3,541)**
% of revenue	*8.9%*	*10.0%*	*10.1%*	*10.0%*	*12.4%*

Selling, general and administrative expenses have increased in-line with the overall growth of the business.

Payroll and personnel costs increased by 28.8% between 2005 and 2006, by 30.2% between 2006 and 2007, and by 43.5% in the first six months of the 2008 fiscal year as compared to the same period in the prior year. The growth in payroll and personnel costs reflects increases in both the number of employees and the average salary per employee, which have grown along with the business. During the first half of the 2008 fiscal year, the majority of net employee additions were made in the Customer Management and Technical functions of the business, as the Company now requires a higher level of support in both its customer-facing and network operations.

Marketing and publicity costs increased by 113.8% between 2005 and 2006 and by 47.0% between 2006 and 2007. These increases were driven by new marketing initiatives directed at attracting and retaining new and existing subscribers in an increasingly competitive environment. During the six month period ended 30 September, 2007, marketing and publicity costs increased by 123.5% as compared to the same period in the prior fiscal year, as the Company boosted its marketing budget in preparation for the entry of new competitors to the market.

General and administrative costs increased by 42.1% between 2005 and 2006, by 42.7% between 2006 and 2007, and by 47.6% in the first six months of the 2008 fiscal year as compared to the same period in the prior year. General and administrative expenses increased due to the expansion in organisational facilities and resources. In February, 2006, the Company leased a new office block on Waiyaki Way in Nairobi to increase total office space. The building currently serves as the corporate head office. In addition, the Company leased additional premises to serve as retail outlets in strategic locations within the key urban centres and refurbished several existing retail outlets. Another driver of general and administrative expenses includes the implementation of new software applications to enhance business process efficiency, particularly relating to the delivery of services. During the fourth quarter of the 2007 fiscal year, the Company invested in a new billing software to enhance the management of the postpay process.

Depreciation and amortisation

The table below sets out data regarding the Company's depreciation and amortization charges for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

	Fiscal Year Ended 31 March			Six Months Ended 30 September	
(in millions, KShs)	**2005**	**2006**	**2007**	**2006**	**2007**
Depreciation of property, plant and equipment	(4,810)	(5,469)	(6,394)	(3,034)	(3,861)
Amortisation of licenses and goodwill	(325)	(325)	(326)	(163)	(163)
Total depreciation and amortisation	**(5,135)**	**(5,794)**	**(6,720)**	**(3,197)**	**(4,024)**
% of revenue	*19.1%*	*16.6%*	*14.2%*	*14.9%*	*14.0%*

Depreciation and amortisation charges have increased in-line with the capital investments incurred over the past few years.

Operating Profit

The table below sets out data regarding the Company's operating profit for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

	Fiscal Year Ended 31 March			**Six Months Ended 30 September**	
(in millions, KShs)	**2005**	**2006**	**2007**	**2006**	**2007**
Operating profit	**8.971**	**12,776**	**17,788**	**7,680**	**8,961**
% margin	*33.3%*	*36.5%*	*37.5%*	*35.9%*	*31.3%*

The Company's operating profit margin decreased from 35.9% in the six months ended 30 September, 2006 to 31.3% in the six months ended September, 2007. This decrease was due to the Company embarking on a major expansion plan in terms of subscriber acquisitions. The individual impact of various elements of this strategy, including tariff reductions, increased marketing costs, system upgrades and new initiatives to reduce subscriber churn, on individual line items is described in the paragraphs above. Operating profit is also inclusive of other income, which is comprised of small gains on disposals of assets.

Financing Costs

The table below sets out data regarding the Company's financing costs for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

	Fiscal Year Ended 31 March			**Six Months Ended 30 September**	
(in millions, KShs)	**2005**	**2006**	**2007**	**2006**	**2007**
Interest payable	(427)	(409)	(477)	(243)	(255)
Interest receivable	23	74	258	132	1,361
Financing costs	(89)	(292)	42	14	1
Foreign exchange gains and losses	(34)	61	(419)	(294)	468
Total financing costs	**(527)**	**(566)**	**(596)**	**(391)**	**1,575**

During the six month period ended 30 September, 2007, the Company recorded an unrealised foreign currency gain of KShs 553 million due to the revaluation of its Dollar-denominated shareholder loans. For further discussion of borrowings, please refer to the "Liquidity and Capital Resources" section below.

During the six month period ended 30 September, 2007, the Company recorded KShs 1,202 million in interest income, representing interest receivable, from Telkom Kenya Ltd. This income is viewed as a one-off item and is not expected to occur in the future.

Income Tax

The Company is subject to a current statutory income tax rate of 30%. The statutory income tax rate will fall to 27% for three fiscal years following the initial public offering. Income tax consists of corporate income tax and deferred taxation. Deferred income taxation arises from temporary differences between the book and taxable values of assets or liabilities.

The table below sets out data regarding the Company's income tax expense for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

(in millions, KShs)	Fiscal Year Ended 31 March			Six Months Ended 30 September	
	2005	2006	2007	2006	2007
Corporate	(3,028)	(3,959)	(5,402)	(1,802)	(3,400)
Deferred	439	174	220	(420)	153
Total income tax expense	**(2,589)**	**(3,785)**	**(5,182)**	**(2,222)**	**(3,247)**

Liquidity and Capital Resources

Liquidity

Over the past three fiscal years, the Company's main source of liquidity has consisted of cash generated by its operating activities and by external borrowings.

Cash Flows

The table below sets out data regarding the Company's cash flows for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

(in millions, KShs)	Fiscal Year Ended 31 March			Six Months Ended 30 September	
	2005	2006	2007	2006	2007
Cash and cash equivalents at beginning of period	931	437	2,917	2,917	5,887
Net cash provided by operating activities	14,298	14,431	21,111	10,585	10,827
Net cash used in investing activities	(12,421)	(11,388)	(16,332)	(7,464)	(12,929)
Net cash used in financing activities	(2,371)	(562)	(1,808)	(1,808)	1
Cash and cash equivalents at end of period	**437**	**2,917**	**5,887**	**4,229**	**3,918**

Analysis of net cash from operating activities

Net cash from operating activities corresponds to operating cash flow, net of changes in the Company's working capital requirements. Net cash provided by operating activities increased by 0.93% between 2005 and 2006, by 46.3% between 2006 and 2007, and by 2.3% in the first six months of the 2008 fiscal year as compared to the same period in the prior year.

The increase between 2005 and 2006 was a result of a 28.9% increase in operating cash flow, combined with a lower cash inflow from working capital. This was the result of a smaller reduction in accounts payable and accrued expenses in 2006 as compared to 2005.

The increase between 2006 and 2007 was a result of a 34.4% increase in operating cash flow, reinforced by a larger cash inflow from working capital, due to a lower level of accounts receivable.

The increase in net cash provided by operating activities in the first six months of the 2008 fiscal year was a result of a 1.3% decrease in operating cash flow, combined with the offsetting effects of a large increase in accounts payable and a similar increase in accounts receivable.

Analysis of net cash used in investing activities

Net cash used in investing activities corresponds to the difference between acquisitions and disposal of tangible assets, intangible assets and financial assets, including payments for network operating licence. The difference between capital expenditures and net cash used in investing activities arises from other items such as the prepayment of long term operating lease rentals.

Net cash used in investing activities reduced by 8.3% between 2005 and 2006, but increased by 43.4% between 2006 and 2007, and increased by 71.5% in the first six months of the 2008 fiscal year as compared to the same period in the prior year. The large increases in net cash used in investing activities between 2006 and 2007, and in the first half of the 2008 fiscal year, was a result of an acceleration in the rollout of network sites and additions to the core network, as the Company aimed to service the rapid growth in subscribers and network utilisation.

Analysis of net cash used in financing activities

Net cash used in financing activities consists of cash proceeds and repayments arising from borrowing activities and the payment of dividends.

Net cash used in financing activities reduced by 76.3% between 2005 and 2006, but increased by 221.7% between 2006 and 2007. The decrease between 2005 and 2006 was a result of the settlement of loans during the 2006 fiscal year. The increase between 2006 and 2007 was mainly due to a drawdown of the syndicated loan. In the first six months of the 2008 fiscal year, net cash used in financing activities was minimal, as there were no drawdown or loan repayments incurred.

Capital Expenditures

The table below sets out data regarding the Company's capital expenditures for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

	Fiscal Year Ended 31 March			**Six Months Ended 30 September**	
(in millions, KShs)	**2005**	**2006**	**2007**	**2006**	**2007**
Total capital expenditure	**(12,440)**	**(11,402)**	**(16,338)**	**(7,468)**	**(12,804)**

Capital expenditures reduced by 8.3% between 2005 and 2006, increased by 43.3% between 2006 and 2007, and increased by 71.5% in the first six months of the 2008 fiscal year as compared to the same period in the prior year. Capital expenditures are dictated primarily around projected subscribers and therefore increases in-line with the growth of the subscriber base. Please refer to the paragraphs above for further detail.

Capital Resources

The Company currently maintains a loan facility of KShs 12.0 billion from a syndicate of local banks. The loan is secured by a fixed and floating charge over the present and future property and assets of the Company. The loan period is five years and repayment on the principal will commence in April, 2008.

The Company drew down KShs 1.2 billion during the 2007 fiscal year. The total loan drawn down as of 30 September, 2007 was KShs 6.2 billion, as compared to KShs 5.0 billion as of 31 March, 2006. Interest expense on the loan portion drawn down is payable quarterly in the month following the calendar quarter end by the Company at a margin of 1% over the reference 91-day Treasury Bill rate.

The weighted average effective interest rate as of 31 March, 2007 was 7.63%.

As of 30 September, 2007, the Company had outstanding loans from its shareholders, Telkom Kenya Ltd. and Vodafone Kenya Ltd., amounting to KShs 3,682 million in aggregate. The loans made in 2000 totalled to US Dollars 55 million and were outstanding in full as of 30 September, 2007. The intention at the time was for the loan amounts to be eventually converted into equity and hence the value of the loans were converted into Kenya Shillings at the prevailing exchange rate at the time. Hence, these loans were revalued as at 30 September, 2007. The loans were non-interest bearing and repaid in December, 2007.

The table below sets out data regarding the Company's borrowing facilities for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

(in millions)	Currency	Fiscal Year Ended 31 March 2005	2006	2007	Six Months Ended 30 September 2006	2007
Total facility						
ECA Facility	Euros	35	-	-	-	-
Commercial Paper	KShs	4,000	-	-	-	-
Syndicated Loan	KShs	2,500	-	12,000	12,000	12,000
Amount drawn						
ECA Facility	Euros	24	-	-	-	-
Commercial Paper	KShs	3,930	-	-	-	-
Syndicated Loan	KShs	-	5,017	6,200	6,200	6,200
Interest incurred						
ECA Facility	Euros	-	-	-	-	-
Commercial Paper	KShs	(240)	(317)	-	-	-
Syndicated Loan	KShs	-	-	(474)	-	-
Interest accrued						
ECA Facility	Euros	-	-	-	-	-
Commercial Paper	KShs	-	-	-	-	-
Syndicated Loan	KShs	-	-	-	66	83
Total debt						
In millions, Euros		24	-	-	-	-
In millions, KShs		3,930	5,017	6,200	6,266	6,283

During the fiscal year ended 31 March, 2006, the Company repaid all loans outstanding and drew KShs 5.0 billion of the KShs 12.0 billion facility. During the fiscal year ended 31 March, 2007, the Company drew a further KShs 1.2 billion of the KShs 12.0 billion facility resulting in a closing balance of KShs 6.2 billion.

The table below sets out data regarding the Company's net cash position for the fiscal years ended 31 March, 2005, 2006 and 2007, and for the six-month periods ended 30 September, 2006 and 2007.

(in millions, KShs)	Fiscal Year Ended 31 March 2005	2006	2007	Six Months Ended 30 September 2006	2007
Outstanding debt and accrued interest (a)	5,287	5,017	6,200	6,266	6,283
Shareholder loans (b)	4,235	4,235	4,235	4,235	3,682
Cash and cash equivalents (c)	437	2,917	5,887	4,229	3,918
Net cash [c - (a + b)]	**(9,085)**	**(6,335)**	**(4,548)**	**(6,272)**	**(6,047)**
Net cash excluding shareholder loans	**(4,850)**	**(2,100)**	**(313)**	**(2,037)**	**(2,365)**

During the first half of the 2008 fiscal year, the value of the shareholder loans decreased in Kenyan Shilling terms due to a favorable movement in the US Dollar exchange rate. The resulting foreign exchange gain is described in further detail in the Results of Operations.

Off-Balance Sheet Commitments

The Company's off-balance sheet commitments include the balance of contracts made with suppliers and unrealised documentary credits opened with banks. These commitments, amounting to KShs 580 million as of 31 March, 2007, relate to the ordinary business operations of telecommunications operators. The Company has also entered into commercial lease agreements with site owners.

The table below sets out data regarding the Company's off-balance sheet commitments for the fiscal years ended 31 March, 2005, 2006 and 2007, and the six month period ended 30 September, 2007.

	Fiscal Year Ended 31 March			**Six Months Ended 30 September**	
(in millions, KShs)	**2005**	**2006**	**2007**	**2006**	**2007**
Off-balance sheet	699	1,409	580	7,819	8,795
Future minimum operating lease payments:					
No later than 1 year	210	104	208	209	221
Later than 1 year and no later than 5 years	432	449	930	941	1,201
Later than 5 years	57	125	232	1,172	691

Contractual Obligations

The Company's contractual obligations as of 30 September, 2007 are the same as its off-balance sheet commitments described in the table above.

The table below sets out data regarding the Company's contractual obligations as of 30 September, 2007.

(in millions, KShs)	**Total**	**Less than 1 Year**	**1 -5 Years**	**Over 5 Years**
Long-term debt	6,200	310	1,201	-
Operating leases	2,113	221	1,321	691
Total	**8,313**	**531**	**7,091**	**691**

Disclosure of Qualitative and Quantitative Information about Market Risks

The Company is exposed to various types of market risks in connection to its business and operations.

Foreign Currency Risk

The Company is exposed to variations in exchange rates insofar as the breakdown of its collections in foreign currencies differs from the breakdown of its disbursements in foreign currencies.

The Company makes collections in foreign currencies relating to revenue from international operations and makes disbursements in foreign currencies relating to payments to suppliers for capital equipment, software, services, handsets and other user equipment and payment for interconnection with foreign operators. These disbursements are mainly denominated in Euros and US Dollars.

The portion of foreign currency disbursements denominated in Euros and US Dollars during the fiscal year ended 31 March, 2007 accounted for a combined 93% of foreign currency disbursements. Foreign currency disbursements may exceed the amount of foreign currency collections by a significant factor, and as a result, any increases in the rate of the Euro and US Dollar to Kenyan Shilling exchange rate may have an unfavorable impact on the Company's earnings.

Over the past three fiscal years, the Kenyan Shilling to Euro exchange rate decreased from KShs 95.4 as of 1 April, 2004 to KShs 91.8 as of 31 March, 2007. Over the same period, the Kenyan Shilling to US Dollar exchange rate decreased from KShs 77.7 as of 1 April, 2004 to KShs 68.8 as of 31 March, 2007. Over the same period, the Company's aggregate net foreign exchange loss was KShs 392.7 million. The Company mitigates its foreign exchange exposure by entering into forward exchange contracts.

The table below sets out the Company's net positions in foreign currencies as of 31 March, 2007. The assets denominated in foreign currencies consist mainly of receivables from foreign operators and cash balances held. The liabilities denominated in foreign currencies consist mainly of debts owing to foreign operators and suppliers. Assets and liabilities denominated in Euros and US Dollars are reported in their respective currencies. Other foreign currencies are reported in Euros.

(in millions, KShs)	**Euros**	**Dollars**	**Other (Euros)**
Assets denominated in foreign currencies	5	4	-
Liabilities denominated in foreign currencies	(9)	(10)	(5)
Net assets (liabilities)	**(4)**	**(6)**	**(5)**

Liquidity Risk

As of the date of this Prospectus, the Company has undrawn facilities of KShs 5.8 billion under its existing borrowings in addition to strong trading cash flows.

Interest Rate Risk

The Company currently borrows from the local debt market and therefore is only exposed to fluctuations in reference to the 91-day Treasury Bill rate.

Equity Risk

The Company currently does not hold a portfolio of securities.

Company's Future Outlook

The Kenyan mobile communications industry is expected to continue its high rate of development, in terms of mobile penetration and product expansion, over the next few years. After several years of strong growth, mobile penetration in Kenya still remains relatively low, particularly in comparison to penetration levels in developed markets. This implies that there is high potential for further industry subscriber expansion over the next few years.

The Company may face several operating challenges over the next few years. These challenges relate in particular to the uncertain market and regulatory environment that may materialise due to the entry of new competitors and investors to the overall telecommunications landscape in Kenya. However, the effects of increased competition should affect the industry as a whole, and should not be solely limited to the Company's operations.

The Company expects a more competitive industry landscape to place downward pressure on its share of gross additions. As a result, the Company's market share is expected to decrease going forward. Retail tariffs are likely to experience downward pressure, which will lower ARPU for both prepaid and postpaid subscribers for the overall industry. In addition, the expected increase in overall promotional, marketing and acquisition efforts may disrupt current market dynamics, potentially resulting in higher subscriber churn levels, acquisition costs and retention costs for all of the industry players. Enhanced competition will also create the need for the Company to maintain higher levels of selling, general and administrative expense levels. This is due to the potential requirement for higher advertising costs to protect the subscriber base and increased payroll costs to retain key managerial talent.

The Company expects capital expenditure levels to remain relatively high over the next few years. This is consistent with the Company's strategy to expand its GSM coverage footprint in rural areas and capacity levels in key urban areas. In addition, the Company expects to incur significant capital expenditures over the next five years in order to rollout Kenya's first 3G network. These capital investments will enhance the Company's ability to protect its share of gross subscriber additions, offer higher quality network coverage as well as capitalise on the high growth potential of the data market.

The Company is continuously reviewing its future strategy to remain competitive in the face of increasing competition in the overall telecommunications market, and, based on the change of the licensing strategy of the CCK, will be in the position to offer additional telecommunications services to its subscribers.

Subject to the award of a unified licence from the CCK in the near future, the Company may therefore enter into business relationships outside of its current mobile licence.

See "Risk Factors" for a discussion of the risks and uncertainties that could affect the Company's future outlook.

Discussion of Current Fiscal Year Performance

The total subscriber base is expected to continue to grow strongly during the final six months of the 2008 fiscal year. However, overall subscriber market share is expected to fall with the entry of new competitors.

Revenue is expected to increase at a rate lower than the growth in subscribers due to decreasing ARPU levels and the addition of new subscribers with lower usage characteristics.

The Company's profit margin is expected to end lower than in prior fiscal years but remain broadly in-line with the level reported in the financial results for the six-months ended 30 September, 2007, with the exclusion of extraordinary items. As mentioned previously, the decline in margin is a direct result of the Company's strategic decision to embark on a major expansion plan in terms of subscriber acquisitions, tariff reductions, increased marketing costs and new initiatives to reduce subscriber churn.

Capital expenditure during the first six months of the 2008 fiscal year was relatively high as the Company accelerated its planned network investment programme over the first half of the fiscal year in order to ensure that the core network could cope with the growing subscriber base. As a result, full-year capital expenditure is expected to end the year at a capital intensity level (defined as capital expenditure as a percentage of revenue) similar to the prior fiscal year.

Recent Developments

Trading Update for the Nine-Month Period Ended 31 December, 2007

Operating Results

As of 31 December, 2007, the Company had 9.2 million total subscribers consisting of 9.1 million and 113.5 thousand prepaid and postpaid subscribers, respectively. This compared to 5.3 million subscribers consisting of 5.2 million and 89.4 thousand prepaid and postpaid subscribers, respectively, as of 31 December, 2006. The continued strong growth in subscribers has been driven by new initiatives and marketing efforts such as reduced tariff rates, wide acceptance of low denominated top up vouchers, wider rural network coverage, strong retail availability and low cost handsets offerings. Average monthly outgoing voice minutes increased from 202.5 million to 351.9 million for the nine month periods ended 31 December, 2006 and 2007, respectively.

During the nine-month period ended 31 December, 2007, blended ARPU decreased to KShs 650, compared to KShs 816 during the nine-month period ended 31 December, 2006. Prepaid and postpaid ARPU decreased to KShs 583 and KShs 3,968, respectively, during the nine-month period ended 31 December, 2007. This compared to KShs 705 and KShs 5,708, respectively, during the nine-month period ended 31 December, 2006. This reflects the addition of subscribers with lower spending power as the network is rolled-out in rural areas coupled with reduced calling rates amidst intensified competition from other players in the industry (resulting in lower prices per minute).

During the nine-month period ended 31 December, 2007, blended churn decreased to 22.8%, compared to 38.4% during the nine-month period ended 31 December, 2006. Prepaid and postpaid churn decreased to 23.0% and 3.2%, respectively, during the nine-month period ended 31 December, 2007. This compared to 39.0% and 6.7%, respectively, during the nine-month period ended 31 December, 2006.

A major reason for this improvement was the success of the free SIMEX initiative (a programme which allows lost SIMs to be replaced at no extra cost), which reduced rotational churn. Other initiatives that have contributed to the reduction in churn include the Bonga loyalty programme and periodic reminder messages to inactive lines. The Company (in March 2007) also changed the calculation of churn so as to exclude those subscribers who had received a chargeable event in the previous 90 days.

The reduction on postpaid was largely due to a change in the reporting method for churned postpaid subscribers whereby postpaid subscribers moving to prepaid plans are no longer included in churn calculations but treated as migrations.

Financial Results

Revenue increased to KShs 45,389 million in the first nine months of fiscal year 2008, compared to KShs 34,162 million during the same period in 2007. This increase was mainly due to the growth in the Company's subscriber base.

Operating expenses increased to KShs 19,731 million in the first nine months of fiscal year 2008, compared to KShs 13,315 million during the same period in 2007. This increase in operating expenses follows the increase in number of subscribers and growth in revenue. During the third quarter of fiscal year 2008 there were some large one off expenses relating to software licences and dealer commissions, the largest being an upgrade to the Huawei IN as a result of the increased subscriber growth. These one off items accounted for a 2.3% reduction in EBITDA margin in the quarter.

Selling, general and administrative expenses increased to KShs 5,502 million in the first nine months of fiscal year 2008, compared to KShs 3,365 million during the same period in 2007. The increase in costs was driven by a higher number of personnel (mainly customer services and technical-oriented staff) to operate the growing business, increased marketing initiatives and higher administrative costs due to a wider network of retail outlets.

Depreciation and amortization increased to KShs 6,220 million in the first nine months of fiscal year 2008, compared to KShs 4,892 million during the same period in 2007. The charges have increased in tandem with the capital investments incurred over the past few years.

Operating profit and EBITDA increased to KShs 13,951 million and KShs 20,171 million, respectively, in the first nine months of fiscal year 2008, compared to KShs 12,607 million and KShs 17,499 million, respectively during the same period in 2007, reflecting operating profit and EBITDA margins of 30.7% and 44.4%, respectively. This compared to operating profit and EBITDA margins of 36.9% and 51.2%, respectively, during the nine-month period ended 31 December, 2006. Margins have declined over this period due to the Company embarking on a major expansion plan in terms of subscriber acquisitions (see "Operating and Financial Review - Results of Operations").

Profit before tax increased to KShs 15,689 million in the first nine months of fiscal year 2008, compared to KShs 12,080 million during the same period in 2007. Profit before tax was influenced by the unrealised foreign currency gain recorded during the second quarter (see "Operating and Financial Review - Results of Operations") and interest income recognised on the overdue account with TKL.

Net income increased to KShs 10,867 million in the first nine months of fiscal year 2008, compared to KShs 8,394 million during the same period in 2007. The net income increased due to the increase in profit before tax while the effective tax rate remained at 30.5%.

Net cash provided by operating activities increased to KShs 20,173 million in the first nine months of fiscal year 2008, compared to KShs 16,647 million during the same period in 2007. This increase was attributable to superior cash inflows from operating activities combined with an increase in accounts payables.

Net cash used in investing activities increased to KShs 18,801 million in the first nine months of fiscal year 2008, compared to KShs 13,370 million during the same period in 2007. Capital expenditures increased to KShs 17,146 million in the first nine months of fiscal year 2008, compared to KShs 13,374 million during the same period in 2007. The increases in net cash used in investing activities during the first nine months of fiscal year 2008 was a result of expanding the core network and switching capacity and an acceleration in the roll-out of sites in order to meet the growth in the subscriber base and the associated traffic.

Net cash used in financing activities increased to KShs 5,235 million in the first nine months of fiscal year 2008, compared to KShs 1,808 million during the same period in 2007. This increase was mainly due to the payment of a higher dividend in the first nine months of fiscal year 2008, compared to the same period in 2007.

As of 31 December, 2007, the Company held total cash and cash equivalents and total borrowings positions of KShs 2,025 million and KShs 9,200 million, respectively. During the third quarter of the fiscal year 2008, the Company repaid its outstanding shareholder loans of KShs 4,235 million. In the same period, it drew down a further KShs 3,000 million from the syndicated loan facility for network expansion.

The Company's operations have to some extent been affected by the period of political instability in Kenya in January and February. Especially during the first three weeks of January, distribution of scratchcards in some areas was disrupted and the normal banking systems in some areas experienced disruptions. These two factors combined to reduce the availability of scratchcards in the affected areas which in turn meant that some subscribers were unable to purchase and load airtime onto their accounts. While these events had a minor negative effect on the Company's January revenues, the effect on the Company's costs was negligible.

18. Regulatory Environment

Policy Overview

In March, 2006, the Government released the Information and Communications Technology Sector Policy Guidelines via the Kenya Gazette Notice Vol. CVIII – No. 24 and as further amended vide Kenya Gazette Number 7481 Vol. CIX No. 55 of 10th August, 2007.

This new policy has the following stated objectives:

a) Creating a modern and efficient telecommunications infrastructure in order to position Kenya as a hub of industrial, commercial and financial services in the region;

b) Developing an efficient, high capacity national telecommunications infrastructure to enhance service delivery to the public with special emphasis on health and educational institutions;

c) Promoting and strengthening research and development, innovation and manufacturing activities in the country; and

d) Promoting systematic and comprehensive expansion of telecommunications infrastructure and services with special attention to rural and urban marginalised areas.

The Government has declared to adopt the following strategies to achieve the above policy objectives:

a) Promote competition, increased customer choice and accelerated investment through liberalisation of the sector and the licensing of new players in the various telecommunications market segments;

b) Promote network and service unbundling, infrastructure sharing and collocation;

c) Establish technology-neutral licensing framework that enhances innovation in service delivery;

d) Restructure Telkom Kenya to promote efficiency;

e) Establish universal access mechanisms for promotion of wider access to telecommunications services;

f) Promote Public-Private partnership in the development of telecommunications infrastructure and equipment;

g) Collaborate with other countries to support regional telecommunications infrastructure project;

h) Integrate gender, youth, disadvantaged groups and people with special needs in developing the networks; and

i) Require physical infrastructure providers – for example, roads, railways, pipelines, property developers and power – to make provision for future installation of ICT facilities.

Legislation

The Kenya Communications Act (No. 2 of 1998)

The Kenya Communications Act (No. 2 of 1998) (the "Act") provides the framework for regulating the communications sector in Kenya. The Kenya Communications Regulations 2001 clarify and expound the Act.

The Act brought in fundamental structural changes in the sector. Key amongst the changes was the repeal of the Kenya Posts and Telecommunications Act (Cap 411) to separate regulatory and operational matters. The former Kenya Posts and Telecommunications Corporation ("KPTC") was split into three entities, namely, the CCK, Postal Corporation of Kenya and TKL.

Material Salient Features of the Kenya Communications Act

The Act established the CCK to assume the regulatory functions of the sector and provided for the transfer of the functions, powers and liabilities of KPTC and for connected purposes. The Act has total of 103 sections, which are contained in five thematic Parts supplemented by three Schedules. This review will only focus on those sections that pertain to the Company's operations.

PART II : Establishment of the CCK

Part II of the Act entitled "Communications Commission of Kenya" contains sections (3) to (19). Section (3) establishes the CCK with powers, inter alia, to license and regulate telecommunications services in Kenya.

The Act takes cognisance of the important role which Ministerial policy directives and international obligations with regard to communications play in the day-to-day operations of the CCK. In this regard, the Act obliges the CCK, in the performance of its functions, to have regard to:

- policy guidelines notified to the CCK by the Minister; and
- Kenya's international obligations relating to telecommunication, radio and postal services.

PART III : Licensing

Part III of the Act entitled "Telecommunication Services" deals with licensing and the regulatory role of the CCK with regard to telecommunications. The CCK's role in this regard is to ensure that there are provided throughout Kenya such telecommunications services as are reasonably necessary to satisfy the public demand. In this regard, the CCK is mandated to:

- protect the interest of all users of telecommunications services in Kenya with respect to prices charged for and the quality and variety of such services;
- maintain and protect effective competition between persons engaged in commercial activities connected with telecommunication services;
- encourage private investment in the telecommunications sector;
- promote international transit services; and
- enable persons providing telecommunications services and producing telecommunications apparatus to compete effectively in the provision of such services and apparatus outside Kenya.

This Part makes it mandatory for persons seeking to operate telecommunications systems or services to apply for necessary licences from the CCK. The CCK is empowered to review the applications and grant such licences. The Act also provides for the protection of communication facilities and information conveyed through such facilities. The procedures for applying for licences is in Part IV of the Act.

PART VII : Dispute Resolution

Section 102 establishes an Appeals Tribunal for the purpose of arbitrating in cases where disputes arise between the parties under the Act. The Tribunal consists of a Chairman who holds or has held a judicial office in Kenya or who is an advocate of not less than seven years' standing entitled to practice before any of the courts of Kenya and two other members with expertise in matters likely to come before the Tribunal.

Pursuant to Legal Notice No.2 of 2000, the Appeals Tribunal made rules to supplement the provisions in the Second Schedule relating to their meetings and procedure. These rules relate, inter alia, to the form and time of lodging an appeal, the service of a memorandum of appeal, and the procedure at the hearing of an appeal.

In summary, the Act provides a framework that has enabled the country to manage its transition from a monopolistic market structure, which combined both regulatory and operational issues to a multi-operator market structure. It has enabled the licensing of a number of regional telecommunications companies (in October, 2000) and three mobile telecommunications network operators, Safaricom, Celtel Kenya Ltd and Econet. TKL has also been awarded a licence.

The Act empowers the Minister to make regulations in order to enrich the provisions therein and to provide for operational details that cannot be provided for in a statute.

Currently, the Government and the CCK have embarked on a process of reviewing the entire Act. The stated objective is to evaluate its relevance in the current and planned info-communications market structure, with further liberalisation anticipated. The regulatory framework is therefore expected to continue evolving for the foreseeable future.

Telecommunications Licence Enforcement

Licence enforcement for the telecommunications sector is undertaken by the Telecommunications Licence Compliance/Enforcement Unit under the Licensing, Compliance and Standards Division of the CCK.

Enforcement is under the following broad heads:

Promotion and Enforcement of Fair Competition

It is the statutory obligation of the CCK to develop, promote and enforce the principle of fair competition among all telecommunications operators and service providers throughout Kenya. Acts of unfair competition are defined to include, but are not limited to, the following:

- Any abuse by an operator, either independently or with others, of a dominant position, which unfairly limits or excludes competition between such operator and any other party;
- Entering into an agreement or engaging in any concerted practice with any other party, which unfairly prevents, restricts or distorts competition; or
- The effectuation of anti-competitive changes in the market structure and in particular, anti-competitive mergers and acquisitions in the telecommunications sector.

The CCK investigates complaints of anti-competitive practices and has powers upon completion of the investigation, subject to due process, and on establishing breach of fair competition, to require an operator to:

- Cease and desist from the activity found to constitute unfair competition;
- Take remedial action to correct the commission/omission of unfair competition; and, failing which,
- Pay a penalty (max of KShs 500,000) for every month or part thereof during which the contravention of fair competition continues.

Enforcing Requirement for Licencing

Section 25 of the Act requires that every person involved in the provision of telecommunications services must be licensed by the CCK.

Sections 24 and 34 of the Act prohibit the operation of telecommunication systems and provision of telecommunication services by unlicensed persons and stipulate the penalties that shall be imposed on those that contravene the provisions of those sections.

The Telecommunications Licence Enforcement Unit is required to monitor the industry to ensure that only licensed operators/service providers offer telecommunications services in Kenya.

Enforcing Licence Conditions

Within the licences issued to telecommunications operators and service providers, there are several conditions that must be fulfilled within the period specified in those licences.

The CCK requires operators and service providers to file periodic compliance returns to monitor and ensure compliance with the licence conditions.

Operators who fail to comply with the licence conditions within the stipulated time frame are notified and given a specific period to remedy the contravention(s), failing which appropriate penalties (as provided for in the Act, specified in the licences and the CCK Regulations) are imposed.

Enforcing Telecommunications Standards

Operators are required to conform to the ITU's or any other internationally recognized organisation's standards. All telecommunications equipment connected to PSTN must be type-approved by the CCK.

The CCK’s enforcement unit in conjunction with its standards and type-approval section conducts routine inspections to the operators'/service providers' premises and/or their facilities.

Those not conforming to set standards are notified and given a specific period to remedy the situation, failing which penalties are imposed.

Persistent contravention of licence conditions by an operator may result in revocation of its licence.

19. Board of Directors, Senior Management and Corporate Governance

Directors

All directors of Safaricom are non-executive directors. Board members are appointed by the shareholders on a one director per 10% shareholding basis.

Mr Nicholas Nganga – Chairman

Mr Nganga joined the Board of Safaricom Ltd on 6 May, 2004 and was elected Chairman on 16 January, 2007. The holder of a BA degree from Makerere University, he served as Permanent Secretary in the Ministries of Finance, Foreign Affairs and Health and has been extensively involved in the tea industry. Currently, Mr Nganga is also Chairman of G4S Security and Vice-chair of the Council of the University of Nairobi.

Mr Joseph Kinyua – Non Executive Director

Mr. Kinyua was appointed the Permanent Secretary, Treasury, on 1 July, 2004. Mr. Kinyua, holds a Bachelors degree and a Masters degree in Economics from the University of Nairobi. Mr. Kinyua is a career economist having held various senior positions in the Central Bank of Kenya, International Monetary Fund, Ministry of Planning and National Development Ministry of Agriculture and Ministry of Finance. He is also a non-executive director of various companies such as Kenya Commercial Bank Limited, Kenya Airways Limited and the NSSF. He is a non-executive director of all state corporations and the other corporations with government shareholding.

Dr Bitange Ndemo – Non Executive Director

Prior to his appointment as Permanent Secretary, Ministry of Information and Communications, Dr. Ndemo was a Senior Lecturer at University of Nairobi's Business School. He taught Entrepreneurship, Management and Research Methods. Most of his research activities center on Small and Medium Enterprises in Kenya with emphasis on Social Enterprise. Dr. Ndemo holds a PhD in Industrial Economics from the University of Sheffield UK, an MBA from St. Thomas University, Minnesota and a Bachelors Degree in Finance and Accounting from the University of Minnesota. In the early 1990's, Dr. Ndemo was a Financial Systems Analyst with Medtronic Inc., a Fortune 500 company in the U.S.A.

His current position entails Policy formulation, and overseeing implementation of projects in the Information and Communication Technology (ICT) Sector. His goal is to lower the cost of accessing ICT (Connectivity, Hardware and Software) in Kenya and the region in general. His priority therefore has been to connect East Africa to the rest of the world through the under sea fibre optic cable. He is at the forefront of developing the demand-side of ICTs by actively promoting Business Process Outsourcing in both urban and rural centers. He has been instrumental in showcasing ICT entrepreneurial opportunities through Digital Villages in rural Kenya. By virtue of his position, Dr. Ndemo is a Director in several organizations including: Postal Corporation of Kenya, Telkom Kenya, Kenya Film Commission, ICT Board and Communication Commission of Kenya.

Ms Esther Koimett – Alternate Director to Mr Joseph Kinyua

Ms Koimett joined the Board of Safaricom on 24 May, 2005. She previously served on the Board between 11 April, 2001 and 5 September, 2002. She holds Bachelor of Commerce and MBA degrees from the University of Nairobi and is currently the Investment Secretary in the Treasury. She has also served as Permanent Secretary in the Ministry of Tourism and Information and Managing Director, Kenya Post Office Savings Bank.

Mr Gavin Darby – Non Executive Director

Mr Darby joined the Board of Safaricom on 31 August, 2004. He graduated from the University of Manchester Institute of Science and Technology with a BSc (Hons) in Management Sciences. He has extensive experience in sales and marketing – working at Spillers Foods, Johnson Wax and Coca-Cola. He became UK Chief Executive Officer for Vodafone Group in September, 2002, and Americas Region CEO in April, 2004 and has recently taken on responsibility for Africa, China and India.

Mr Robert Collymore – Non Executive Director

Mr Collymore joined the Board of Safaricom on 5 September, 2006. He is Vodafone Governance Director for Africa. Mr Collymore has spent most of his career in the telecommunications industry, starting with 15 years at British Telecommunications. In 2000, he was appointed Global Handset Purchasing Director responsible for Vodafone's handset business across 26 countries. Then in 2003, he moved to Japan as Consumer Marketing Director (Asia). In his current position, he sits on the board of Safaricom in Kenya as well as the Board of Vodacom.

Ms Nancy Macharia – Non Executive Director

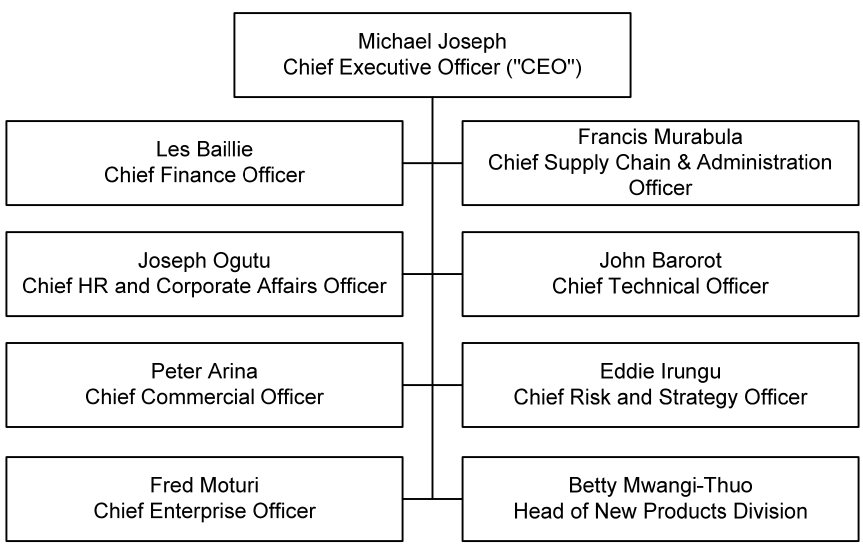
Ms Nancy Wambaire Macharia joined the Board of Safaricom on 16 January, 2007. A researcher and trainer in ICT, Ms Macharia is the Deputy Director, JKUAT Information Technology Centre. She holds a Master's degree in Computer Based Information Systems from Sunderland University in the UK. She is a member of the Computer Society of Kenya, the Research and Training committee of JKUAT and the ICT committee – JKUAT.

Mr J L G Maonga - Company Secretary

Appointed Company Secretary on 18 October, 2002, Mr J L G Maonga has a BA degree from the University of Nairobi. He is a Certified Public Secretary and a member of the Institute of Certified Public Secretaries of Kenya (ICPSK). He has over 20 years' experience in company secretarial and registration services.

Senior Management

The senior management of the Company consists of the following:



Upon the listing of the Company's ordinary shares and in accordance with the terms of the Amending Agreement, the CEO and CFO board appointments are subject to the approval of VKL. See "—Corporate Governance" below.

Biographies and duties of the members of Senior Management

Michael Joseph - Chief Executive Officer

Michael Joseph is directly contracted by Vodafone for secondment to Safaricom as the CEO of Safaricom, a position held since Vodafone's original investment in mid-2000. He has extensive international experience in the implementation and operation of large wireless and wireline networks, including operations in Hungary, Spain, Brazil, Peru, Argentina, Korea, United States, Australia and the Middle East. Mr. Joseph has specialised in licence acquisition, construction of new networks, turnaround management and start-up of new operations during his career that spans over 40 years starting as a pupil telecommunications technician to his current position. He has guided the Company from a subscriber base of fewer than 20,000 to over 8,247,000 as at the end of October 2007. Mr. Joseph has been the recipient of many awards, including CEO of the Year. Mr. Joseph reports to the Board of Safaricom.

Mr. Joseph is a U.S. citizen and obtained a B. Sc. (cum laude) in Electrical Engineering from the University of Cape Town and is a member of the Institute of Electrical and Electronic Engineers (I.E.E.E) and the Institute of Electronic Engineers (I.E.E), UK.

Les Baillie - Chief Financial Officer

Les Baillie is directly contracted by Vodafone for secondment to Safaricom as the CFO of Safaricom, a position held since Vodafone's original investment in mid-2000. He has extensive experience in the mobile telecommunications industry having joined Vodafone Group in the UK in 1986. During his time before joining Safaricom, he held several senior financial positions at Director level in Vodafone companies covering networks, service provider, value added services, data and radio paging. He has been involved in two start-up operations, in radio paging and in Safaricom. Mr. Baillie has led Safaricom through two fundraising exercises, the first in 2001 which was a KShs 4,000,000,000 bond, the largest non-government borrowing in East Africa, and more recently, a KShs 12,000,000,000 syndicated bank loan in 2006.

Mr. Baillie is a U.K. citizen a Fellow of the Chartered Institute of Management Accountants and holds a B.A. (Honours) degree from Reading University in the UK.

Peter Arina - Chief Commercial Officer

Peter Arina joined Safaricom in November, 2004 as Chief Commercial Officer responsible for the Commercial Division which comprises the Marketing, Sales, Customer Management and Commercial Planning departments

Mr. Arina previously worked in Unilever Kenya for 15 years having started his marketing and sales management career there in 1989. He gained extensive experience in Marketing and Sales through holding various positions in those functions. He became the Customer Development Director (Sales Director) reporting to the Chief Executive Officer (East Africa) in May, 2001, a position he held until October, 2004.

Mr. Arina is a Kenyan citizen and holder of a Bachelor of Commerce (Marketing) degree from the University of Nairobi.

John Barorot - Chief Technical Officer

John Barorot is the Chief Technical Officer of Safaricom. He joined Safaricom in 2000 as Senior Manager in Operations and Maintenance department (NMC Manager). He has risen through the ranks to become HOD Operations & Maintenance department in 2003 and later in 2005 to this current position of CTO.

Mr. Barorot has had extensive training and industrial attachments in many countries including UK, Belgium, Hungary and South Africa amongst others. He is responsible for the cellular network planning, network rollout, network maintenance, network quality and information technology.

Mr. Barorot is a Kenyan citizen who has over 16 years experience in the telecommunications industry. He holds an upper second class Bachelor of Technology degree in electrical and communications, from Moi University.

Eddie Irungu - Chief Risk and Strategy Officer

Eddie Irungu is the Chief Risk and Strategy Officer of Safaricom. He has been in this position since April, 2005.

Mr Irungu joined Safaricom from BAT Equatorial Africa where he was responsible for the Audit and Assurance function in BAT Equatorial Africa comprising of 22 countries within Eastern, Southern and Central Africa. Prior to that, Eddie worked for PricewaterhouseCoopers in the United Kingdom and Ernst & Young in South Africa where he was the Audit Manager in charge of the audit of Telkom South Africa and was involved in the Telkom South Africa initial public offering leading to the company being listed on the Johannesburg Stock Exchange and the New York Stock Exchange.

Mr. Irungu is a Kenyan citizen and has a B. Sc. (Honours) in Civil Engineering from the University of Nairobi. He is a Chartered Accountant and a member of both the Institute of Chartered Accountants in England and Wales and the South African Institute of Chartered Accountants.

Joseph Ogutu - Chief Human Resources and Corporate Affairs Officer

Joseph Ogutu joined Safaricom in May 2005 from Telkom Kenya where he was the principal assistant to the Managing Director and Chief Strategy and Regulatory Officer.

Mr. Ogutu is responsible for Legal Services, Regulatory and Public Policy, and Human Resources.

Mr. Ogutu has over 20 years' experience in the communications industry. During this period, he was actively involved in the reform of the sector including the drafting of the Postal and Telecommunication Policy Paper that led to the restructuring of the defunct Kenya Posts and Telecommunications Corporation and subsequent establishment of CCK, Telkom Kenya and Postal Corporation of Kenya. He has also been involved in the establishment of the institutional framework for the Eastern Africa Submarine Cable System (Eassy).

Mr. Ogutu is a Kenyan citizen and a graduate of Economics from the University of Nairobi.

Francis Murabula - Chief Supply Chain and Administration Officer

Mr. Murabula joined Safaricom in November, 2007 as the Chief Supply Chain and Administration Officer responsible for procurement, logistics, facilities management and security, which have been consolidated under one division to increase efficiencies, customer service and provide support for business growth.

Mr. Murabula has over 16 years' experience in operations and supply chain management. He joined from Kenya Commercial Bank where he was the Head of Procurement over a three year period during which he was instrumental in the development and implementation of group procurement policies and procedures. Prior to that Mr. Murabula worked at British American Tobacco as Procurement Manager, Logistics Manager and Production Manager respectively where he was involved in the implementation of various supply chain best practices. Mr. Murabula has also worked at General Motors as an engineer responsible for development of local industry production capacity and quality control.

Mr. Murabula is a Kenyan citizen and holds a Bachelor of Technology Degree from Moi University. He is a certified project manager and is currently pursuing post-graduate studies in business and procurement.

Fred S. Moturi - Chief Enterprise Officer

Fred Moturi joined Safaricom in January, 2008 as Chief Enterprise Officer responsible for the deployment of converged communication services for the Enterprise sector (small- and medium-size enterprises, large corporate, Government and the public sector).

Mr Moturi has over 10 years' experience as a senior business executive responsible for business development and management in the ICT and Telecoms sector across Africa.

Prior to Safaricom, Mr Moturi held various senior responsibilities in Accelon (a Pan-West Africa broadband services company) since its inception as GM enterprise sector, Chief Marketing Officer, Managing Director Ghana and as Group CEO based in Lagos - Nigeria. As CEO of Accelon Mr. Moturi was instrumental in leading an organization that was seen as a market leader in broadband sector in West Africa that was subsequently acquired by Dimension Data, a global network services and converged communications Services Company.

Prior to Accelon, Mr Moturi held various regional responsibilities within the Dimension Data Group based in South Africa, having joined as a Business Development Manager for Africa (in 1997) and eventually as Director for Africa operations in charge of the African expansion strategy as well as management of the country offices and partners across the sub-Sahara Africa continent.

Mr. Moturi is a Kenyan citizen and holder of a Bachelor of Science (Mathematics) degree from the University of Nairobi and a Master in Business Administration from the University of Witwatersrand Business Schools in South Africa.

Betty Mwangi – Thuo - Head of New Products Division

Betty Mwangi -Thuo joined Safaricom in December, 2007 as Head of the New Products Division and is charged with managing Safaricom's M-PESA business. The division also comprises Simu Ya Jamii and Safaricom's GSMA projects.

Ms Mwangi has over 10 years experience in the telecommunications industry with the last 6 years spent at Afsat Communications Ltd as the Chief Marketing Officer. She was responsible for developing and managing the distributor network for the iWay business in 26 countries in Africa. She also worked with GlaxoSmithKline for a period of 5 years in various management positions that culminated in Demand and Special Projects Management for the business in East Africa and Interoperability for Africa and Middle East during the merger.

Ms Mwangi is a Kenyan citizen and has a B. Eng (Hons) in Electrical and Electronic Engineering from the Victoria University of Manchester and also has an MBA from the University of Leicester - both in the UK. She is also a Chartered Marketer and a member of the Chartered Institute of Marketing and the Kenya Institute of Management.

Changes in Directors / Senior Management

Mr. Joseph and Mr. Baillie have both been involved in the growth of the Company since its inception in 2000. Both are eligible for retirement, in mid-2009 and at the end of 2009, respectively, as per the terms of their contracts and entitlements. The process of succession planning is core to the Company and will help ensure the availability of suitably-qualified candidates, should Mr. Joseph or Mr. Baillie choose to exercise the option to retire.

Director Emoluments

The total aggregate remuneration paid and benefits in kind granted to the Directors by the Company in the last two years are set out in the chart below.

	Year end 30 March, 2006	**Year ended March, 2007**	**Six Months ended 30 Sept. 2007**
		(KShs '000)	
Fees for service as a director	350	450	260
Other emoluments to non-executive directors	1,151	1,479	652
Total	1,501	1,929	912

Directors Interest

None of the Directors has a direct or beneficial interest in the share capital of the Company.

Directors Transactions

Apart from the payments of Directors' fees, the directors have no other dealings or transactions with the Company.

There are no arrangements whereby any of the directors have or have agreed to waive future emoluments and there are no arrangements for the waiver of emoluments during the past financial year.

The Directors appointed by Vodafone Kenya Limited have waived their sitting allowances.

Arrangements for Appointment of CEO and CFO

The CEO, Mr. Michael Joseph, was appointed pursuant to the provisions of a Shareholders Agreement dated 25 January, 1999 which provided that the Chief Executive Officer (then referred to as the General Manager responsible for the day-to-day operations of the Company was to be nominated by Vodafone Kenya Limited.

The CFO, Mr. Les Baillie, was appointed pursuant to the said Shareholders Agreement of 25 January, 1999 on secondment from Vodafone. The Agreement provided that whenever officers were seconded from Vodafone Group Plc, the Director representing Vodafone Kenya Limited would nominate the said officers pursuant to the Shareholders Agreement (as amended).

Pursuant to the Amending Agreement, the appointment of any Managing Director/CEO and the Financial Director/CFO is the responsibility of the Board and is subject to a veto by any Director appointed by Vodafone Kenya.

Employees

Breakdown by Category

Details of Safaricom's total number of employees, including a breakdown by category are shown in the table below.

	As of 31 March					**As of 30 September**
Department	**2003**	**2004**	**2005**	**2006**	**2007**	**2007**
Marketing	6	8	13	20	24	27
Distribution	16	22	33	43	46	53
Customer Care	274	300	378	485	619	677
Administration Functions	37	37	39	54	78	79
Finance	49	56	42	51	71	87
Human Resources	18	18	19	21	28	34
Networks	100	121	136	183	223	247
IT & Billing	35	32	36	43	56	67
Total	**535**	**594**	**696**	**900**	**1,145**	**1,271**

Summary of change in workforce over the past 5 years

	As of 31 March				
	2003	**2004**	**2005**	**2006**	**2007**
Total	535	594	696	900	1,145

As can be seen from the above table, Safaricom has a fairly stable workforce.

Corporate Governance

Pursuant to the terms of the Amending Agreement (referred to in the section of this Prospectus entitled "Principal and Selling Shareholders—Relationship between Safaricom and Principal Shareholders"), the corporate governance measures discussed in this "—Corporate Governance" subsection have been included in the new Articles of Association:

- the Board of Directors shall consist of no more than 10 directors and no fewer than 7 directors, one of whom shall be the Managing Director/Chief Executive Officer;
- VKL and GoK Entity shall be entitled to appoint and remove one director (appointed by it) for each part of its shareholding which represents ten percent (10%) in nominal value of the issued and fully paid share capital of the Company.

GoK agreed with VKL that after listing, none of the following resolutions would be deemed to have been passed if any VKL appointed director voted against them:

- the approval of the business plan, including material modifications thereto;
- the approval of the annual budget, including material modifications thereto; and
- the appointment of the Managing Director/Chief Executive Officer and the Financial Director/Chief Financial Officer.

General Shareholders Meetings

Under the terms of the Company's Articles of Association (the "Articles"), the Company must hold an annual general meeting, with not more than fifteen months elapsing between the date of one annual general meeting and the next such meeting. Such meetings shall be held at such times and places within Kenya as the Directors shall, from time to time, appoint.

No business can be conducted at any general meeting unless a quorum is present. Unless otherwise provided in the Articles, fifty members present in person or by proxy (or represented in accordance with the Articles) together holding in aggregate not less than 40% of the issued share capital of the Company shall be a quorum.

Subject to any rights or restrictions attached to any class(es) of shares, on a show of hands every member present in person shall have one vote, and on a poll every member present in person or by proxy (or represented in accordance with the Articles) shall have one vote for each share for which he is the holder.

Audit Committee

On 6 November, 2007, the Board of Directors of Safaricom approved terms for the appointment of an Audit Committee, which shall be chaired by a non-executive director who is not the Chairman of the Board and shall consist of three non-executive and independent Board members, at least one of whom shall be designated a "financial expert". The Company's CEO, CFO and Chief Risk and Strategy Officer will be permanent invitees to the Audit Committee meetings and the Chief Risk and Strategy Officer shall act as secretary. A quorum for meetings shall consist of any two members of the Committee and there should be a minimum of three meetings per year (plus any time that the Company proposes to issue a press release with its half year or full year financial results).

The primary function of the Audit Committee is to assist the Board in overseeing:

- the Company's risk management process and adequacy of internal controls, including reviewing compliance with the code of ethics and laws relating to money laundering and combating corruption, reviewing reports from internal audit and ensuring that appropriate remedial actions are taken;

- financial reporting and approval of the annual financial statements and reports, including considering of findings of material weaknesses in accounting and financial control systems; and

- performance and independence of the external and internal auditors.

The Audit Committee is vested with the authority to investigate any activity that it has responsibility for under the terms of reference and shall have access to sufficient funds to fulfill its duties.

20. Employee Stock and Option Plans

Safaricom Employee Incentive Schemes

Two schemes to provide management with the ability to attract, retain and motivate its current and future workforce have been established and the intention is that they will run concurrently, although they will only become operational after the Company is listed.

Due to the current regulatory framework, both schemes are set up as separate unit trusts with the Trustee holding shares in the Company under the unit trusts and issuing units in the unit trusts to employees under certain terms.

Scheme One – Employee Share Purchase Plan ("ESPP")

The ESPP has been setup before the Offer without any initial shareholding in the Company. It is envisaged that the ESPP will acquire shares through the purchase of shares through the NSE either as part of the Offer or at any time thereafter providing the ESPP with the necessary flexibility. The Company will then offer employees the right to purchase units (representing shares) in the scheme. The Company may assist in paying for these units by offering employees deferred payment schemes. As part of the Offer, the employees will not be able to sell the units (representing the shares) for a specified period of time. They will in effect be offered the units at today's prices with the chance to pay for them over a specified period of time, but will only be allowed to sell them at the end of the specified period (and at the then prevailing market price). Should the employee leave employment with the Company before the date on which they may sell their units, they will only be entitled to the money which they have paid for those units regardless of the current market price of the shares.

Scheme Two – Employee Share Option Plan ("ESOP")

Under the ESOP, the Company may offer employees (as defined in the ESOP) the option, without any obligation, to purchase units in the scheme (representing shares in the Company) at a specified future date. The option will be offered at the price of the shares on the date of offer. However the employee may not exercise the option until a specified date, at which time he/she may take up the offer at the price on the offer date regardless of the current market price. The trustee will be issued shares by the Company to hold in the unit trust for the benefit of the exercising employee. At this time the Company may assist the employee in paying for the shares by the issuance of a savings or loan plan. Should the employee leave employment with the Company before the date on which they may exercise their option, the option will lapse and they will have no entitlement or claim thereunder. In the terms of the Articles of Association, up to 5% of the authorised share capital is available for issue to the ESOP Trustee upon exercise by an employee of an option. Such shares will rank fully pari passu with the issued share capital for the time being (see dilution risks discussed in the section entitled "Risk Factors—The implementation of an employee share option plan may dilute you ownership interest.") and will form part of the NSE listed share capital.

Any post-IPO ESOP will be subject to approval by the Capital Markets Authority.

21. Principal and Selling Shareholders

Ownership of Share Capital and Voting Rights in the Company

As at the date hereof the share capital and voting rights in the Company are held as follows:-

Shareholder	*Number of Ordinary Shares*	*%*	*% of voting rights*
GOK	24,000,000,000	60	60
VKL	16,000,000,000	40	40

Safaricom is owned by two shareholders, 60% of the issued share capital of the Company now being held by the GoK (previously held by TKL) and 40% held by VKL, which is 87.5% beneficially owned by Vodafone International Holding B.V. (an indirectly wholly-owned subsidiary of Vodafone Group Plc) and 12.5% beneficially owned by Mobitelea Ventures Limited.

No other person has a direct, or indirect, beneficial ownership in the Company of 3% or more.

Authorised Share Capital

The authorised share capital of the Company consists of 119,999,999,600 ordinary shares, par value KShs 0.05 per share, and five non-voting, non-participating redeemable preference shares, par value KShs 4.00 each.

The Shareholders

VKL's holding company, Vodafone Group Plc ("Vodafone")

Vodafone is the world's leading international mobile communications group, with over 252 million proportionate customers as at 31 December, 2007. Vodafone currently has equity interests in mobile networks situated in 25 countries, with a significant presence in Europe, the Middle East, Africa, Asia Pacific and the United States.

Internationally, Vodafone has built a highly regarded portfolio of GSM and 3G licensed businesses. Vodafone has demonstrated its operational and competitive strengths across many markets, and developed leading operators in terms of market share and competitive strength in many of its mobile investments. Vodafone has an Egyptian operating company and Vodacom, in which Vodafone holds a 50% equity interest, has operations in Tanzania, Democratic Republic of Congo, Mozambique, Lesotho and South Africa.

Vodafone is committed to the development of the Kenyan cellular market as part of its international network. Vodafone has made its Kenyan operation part of a truly international network for its customers. The amount of investment Vodafone has made is among the largest ever made by any foreign company in Kenya. In addition to providing Safaricom with managerial expertise and extensive experience in conducting mobile operations, Vodafone also provides Safaricom with the opportunity to be a member of its global procurement group and to benefit from Vodafone's experience in other countries. Vodafone and Safaricom have also entered a co-operation agreement setting out the framework under which they work together in Kenya. See "Statutory and General Information—Material Contracts—Cooperation Agreement with Vodafone Marketing Sarl" for more information.

Shareholders' Agreements and Relationship between Safaricom and Principal Shareholders

The relationship between the Company and its shareholders is defined by the Company's Articles of Association and the Co-operation and Shareholders Agreement dated 25 January, 1999, as amended by an agreement dated 26 May, 2000 (the "Shareholders Agreement"). The Shareholders Agreement was further amended under an agreement entered into between the GoK, TKL, VKL, Vodafone International Holdings B.V. ("VIHBV") and the Company dated 21 November, 2007 (the "Amending Agreement"). This Amending Agreement nullifies certain provisions of the Shareholders Agreement and facilitates GoK's intention to offer shares of Safaricom to the public by way of this initial public offering of shares. Under the terms of the Amending Agreement, the Shareholders Agreement automatically terminates with effect from the listing of shares of the Company on the NSE.

Under the terms of a share sale agreement dated 8 November, 2007 between GoK and TKL, TKL sold all its shares in the Company to the GoK free from all claims or encumbrances.

Further, the parties to the Amending Agreement agreed that following this Offer, VKL and GoK (or a GoK entity) could sell further shares in the Company to the public. Both or either of VKL and GoK (or a GoK entity) are entitled to sell their shares to a strategic investor subject to obtaining all regulatory approvals and consents and to a right of first refusal in favour of the shareholder not wishing to sell, namely where only one shareholder proposes to sell, such sale may not be effected until such shares have been offered to the other party on terms at least as favourable as those offered to the strategic investor.

Shareholder Synergies

Safaricom's shareholders combine global strength in the international mobile communications market with local knowledge and relationships.

Safaricom's local shareholders, Vodafone Kenya Limited and, until recently Telkom Kenya Limited, who have always had the backing of the GoK, have provided the Company with their understanding of the Kenyan business environment and telecommunications market. GoK, having now acquired TKL's shareholding in Safaricom, plans to continue to support the Company.

GoK

The GoK holds shares in Safaricom through the Permanent Secretary to the Treasury, a body corporate established pursuant to the Permanent Secretary to the Treasury Incorporation Act (Cap. 101 Laws of Kenya). The corporation is empowered to transfer or otherwise dispose of any property vested in it upon such terms as the corporation deems fit.

Senior Management

Under the terms of the Shareholders Agreement, the CEO and CFO were nominated by Vodafone Kenya. Under the Amending Agreement, any proposed change of the CEO and CFO positions of Safaricom can be made by the Board but is subject to a veto by any Director appointed by Vodafone Kenya. See "Directors, Senior Management and Corporate Governance" for more information.

Specific rights of Vodafone

For a discussion of the specific rights of Vodafone Kenya with respect to the corporate governance of the Company, see the section of this Prospectus entitled "Directors, Senior Management and Corporate Governance—Corporate Governance".

Specific rights of GoK

For a discussion of the specific rights of the GoK with respect to the corporate governance of the Company, see the section of this Prospectus entitled "Directors, Senior Management and Corporate Governance—Corporate Governance".

Selling Shareholder

The Offer Shares are being offered by GoK. Vodafone Kenya is not divesting any of its shares as part of the Offer. See the section of this Prospectus entitled "Additional Corporate Information" for information on the shareholding structure before the Offer and the expected shareholding structure after the Offer.

22. Taxation on Income of Shares

The comments below are of a general nature based on taxation law and practice in Kenya as at the date of this Prospectus and are subject to any changes thereafter. They relate only to the position of persons who are the absolute beneficial owners of the Offer Shares. This section does not purport to be a complete analysis of all tax considerations relating to the Offer Shares and so should be treated with appropriate caution. Prospective investors should consult their own professional advisors concerning the possible tax consequences of purchasing, holding and/or selling Shares and receiving payments of dividends and/or other amounts in respect of the Offer Shares under the applicable laws of their country of citizenship, residence or domicile.

Dividend Payments: Withholding tax at the rate of 5% will be deducted from dividend payments made to Kenya resident shareholders of the Company as well as citizens of the East African Community Partner States and at 10% for non-resident shareholders in terms of prevailing legislation as set out in the Kenya Income Tax Act (which is subject to revision through changes in Government policy). Non-residents may be entitled to a tax credit in their country of residence, either under domestic law or under the tax treaties referred to below. If an Applicant is tax exempt, he/she will be required to provide a certified copy of the Tax Exemption Certificate.

Stamp Duty: So long as the Offer Shares are listed on the NSE no stamp, registration or similar duties or taxes will be payable in Kenya in connection with the transfer of the Shares in accordance with current legislation.

Tax Treaties: Kenya has entered into double taxation treaties with Canada, Denmark, Germany, India, Norway, Sweden, the United Kingdom and Zambia. Treaties with Italy, Uganda and Tanzania have been signed but are not yet in force.

23. Statutory and General Information

Principal Objects of the Company (as set out at clause 3(1) and 3(2) of the Memorandum of Association):

(1) To take on licence, install, establish and operate commercial cellular telecommunications systems.

(2) To purchase, take on licence or otherwise acquire, construct, install, establish, maintain, operate, turn to account and deal with apparatus and equipment for the transmission of messages and information any means.

Important Extracts from the Articles of Association

A. THE SHARES

Article 8

Except as required by law, no person shall be recognised by the Company as holding any share upon any trust, and the Company shall not be bound by or be compelled in any way to recognise (even when having notice thereof) any equitable, contingent, future or partial interest in any share or any interest in any fractional part of a share or (except only as by these Articles or by law otherwise provided) any other rights in respect of any shares except an absolute right to the entirety thereof in the registered holder.

Article 9

Without prejudice to any special rights previously conferred on the holders of any existing shares or class of shares, any share in the Company may be issued with such preferred, deferred or other special rights or such restrictions, whether in regard to dividend, voting, return of capital or otherwise as the Company may from time to time by ordinary resolution determine.

Article 10

Subject to the provisions of Section 60 of the Act, any preference shares may, with the sanction of a special resolution, be issued upon the terms that they are or, at the option of the Company, are liable to be redeemed on such terms and in such manner as the Company may by special resolution determine.

Article 11

If, at any time, the share capital is divided into different classes of shares, the rights attached to any class (unless otherwise provided by the terms of issue of the shares of that class) may, whether or not the Company is being wound up, be varied with the consent in writing of the holders of three-fourths of the issued shares of that class, or with the sanction of a special resolution passed after a separate general meeting of the holders of the shares of the class. To every such separate general meeting the provisions of these Articles relating to general meetings shall apply mutatis mutandis, but so that the necessary quorum shall be two persons at least holding or representing by proxy one-third of the issued shares of the class and that any holder of shares of the class present in person or by proxy, or in the case of a corporation by a representative appointed in accordance with Article 88 may demand a poll.

Article 12

The rights conferred upon the holders of the shares of any class issued with preferred or other rights shall not, unless otherwise expressly provided by the terms of issue of the shares of that class, be deemed to be varied by the creation or issue of further shares ranking pari passu therewith.

Article 13

(a) Unless otherwise authorised by special resolution of the Members in a general meeting whenever the Directors propose to issue any shares they shall offer them in the first instance to Members (other than preference shareholders not specifically entitled to them under the terms of issue of their preference shares) in proportion as nearly as may be to the number of existing shares held by them. Such offer shall be made by notice specifying the number of shares to which the Member is entitled and limiting a time (not less than twenty-one days)within which the offer, if not accepted, will be deemed to be declined and, after the expiration of that time (if the offer is not accepted) or on the earlier receipt of an intimation from the Member to whom the offer is made that he declines to accept the shares offered, the Directors shall offer such shares to the other Members who have taken up the shares originally offered to them in their entirety in proportion as nearly as may be to the number of existing shares held by them and thereafter in the same manner to the Members who may desire to subscribe for shares. The Directors may allot or dispose of, to such persons and upon such terms as it may decide, any shares which have not been taken up by at the end of such process and such shares which by reason of the ratio which the number of shares offered bears to the total number of existing issued shares, cannot in the opinion of the Directors be conveniently offered under this Article. The preceding provisions of this Article shall not however confer on any Member any rights of preemption in respect of the disposal by any Member of their Rights to take up any shares that they shall be entitled to in accordance with the preceding clause.

(b) Members shall only be entitled to receive, pursuant to the foregoing provision, shares of the same class as the class of shares then held by them immediately before such offer.

(c) Notwithstanding the rights of preemption granted to the Members of the Company either under Article 13 (a) and (b) above or under any other law, the Directors may generally and unconditionally allot and issue to the Trustees of any Employee Share Option Plan (‘ESOP’) or Employee Share Purchase Plan (‘ESPP’), as may from time to time be required to be held by them for the purposes of the ESOP and / or ESPP, ordinary authorised but unissued shares ranking pari passu with all issued ordinary shares but subject to the terms of the ESOP and / or ESPP, provided that the number of ordinary shares issued or to be issued to the Trustees for their use in the ESOP and ESPP shall not in aggregate exceed five percent (5%) of the authorised share capital in the Company from time to time.

B. ALTERATION OF CAPITAL

Article 56

The Company may, from time to time by ordinary resolution, increase the share capital by such sum to be divided into shares of such amount, as the resolution shall direct, or, in default of such direction, as the Directors shall determine.

Article 57

Any new shares may be offered at par, at a premium or (subject to the provisions of the Act) at a discount as the Directors may decide.

Article 58

The new shares shall be subject to the same provisions with reference to the payment of calls, lien, transfer, transmission, forfeiture and otherwise as the shares in the original share capital.

Article 59

The Company may, by ordinary resolution:

(a) consolidate and divide all or any of its share capital into shares of larger amount than its existing shares;

(b) sub-divide its existing shares, or any of them, into shares of smaller amount than is fixed by the Memorandum of Association subject, nevertheless, to the provisions of the Act;

(c) cancel any shares which, at the date of the passing of the resolution, have not been taken or agreed to be taken by any persons;

(d) convert such shares into stock;

(e) convert ordinary shares into redeemable preference shares.

And may, by special resolution and subject to compliance with the requirements of the Act, reduce its share capital, any capital redemption reserve fund and any share premium account in any manner and with, and subject to, any incident authorised and consent required, by law.

C. TRANSFER OF SHARES

Article 27

The transfer of any share in the Company shall be in writing in any usual or common form and shall be signed by the Vendor and the transferee. The Vendor shall be deemed to remain the holder of the share until the name of the transferee is entered in the Register of Members in respect thereof. All instruments of transfer, when registered, shall be retained by the Company.

Article 28

The Directors may decline to register the transfer of a share (not being a fully paid share) to a person of whom they do not approve, and they may also decline to register the transfer of a share on which the Company has a lien.

Article 29

The Directors may also refuse to register any instrument of transfer of shares, if:-

(a) the registration fee of Kenya Shillings 500/- (or such lesser fee (if any) as the Directors may from time to time prescribe as the registration fee) is not paid to the Company in respect thereof; or

(b) it is not accompanied by the certificate for the shares to which it relates, and such other evidence as the Directors may reasonably require to show the rights of the transferor to make the transfer; or

(c) it is of shares of more than one class; or

(d) the transferee named therein is:-

  (i) an infant person; or

  (ii) a person incapable by reason of mental disorder of managing and administering his property and affairs; or

  (iii) a partnership in its partnership name; or

(e) in the case of a transfer to joint holders, they exceed four in number; or

(f) the instrument of transfer fails to comply with Article 159 hereof; or

(g) the transfer fails to comply with any Foreign Investor Regulations from time to time in force.

Article 30

If the Directors refuse to register a transfer they shall within sixty (60) days after the date on which the transfer was lodged with the Company send to the transferee notice of the refusal.

Article 31

The registration of transfers may be suspended at such times and for such periods as the Directors may from time to time determine, provided always that such registration shall not be suspended for more than thirty (30) days in any year.

Article 32

The Company shall be entitled to charge a fee not exceeding Kenya Shillings 50/- on the registration of every probate, letters of administration, certificate of death or marriage, power of attorney, or other instrument.

D. GENERAL MEETINGS

Article 60

The Company shall in each Year hold a general meeting as its annual general meeting in addition to any other meetings in that year, and shall specify the meeting as such in the notices calling it. Not more than fifteen months shall elapse between the date of one annual general meeting of the Company and that of the next. Annual and extraordinary general meetings shall be held at such times and places within Kenya as the Directors shall, from time to time, appoint.

Article 61

All general meetings other than annual general meetings shall be called extraordinary general meetings.

Article 62

The Directors may, whenever they think fit, convene an extraordinary general meeting, and extraordinary general meetings shall also be convened on such requisition, or, in default, may be convened by such requisitionists, as provided by Section 132 of the Act. If at any time there are not sufficient Directors capable of acting to form a quorum, any two Directors, any Director appointed by VKL in accordance with Article 89(b) any Director appointed by PST in accordance with Article 89(c) or any ten Members of the Company may convene an extraordinary general meeting in the same manner as nearly as possible as that in which meetings may be convened by the Directors.

E. NOTICE OF GENERAL MEETINGS

Article 63

Every general meeting shall be called by twenty-one days notice in writing at the least. The notice shall be exclusive of the day on which it is served or deemed to be served and of the day for which it is given, and shall specify the place, the day and the hour of meeting and, in case of special business, the general nature of that business, and shall be given, in manner hereinafter mentioned or in such other manner, if any, as may be prescribed by the Company in general meeting, to such persons as are, under the regulations of the Company, entitled to receive such notices from the Company.

Provided that a meeting of the Company shall, notwithstanding that it is called by shorter notice than that specified in this Article be deemed to have been duly called if it is so agreed:

(a) in the case of a meeting called as the annual general meeting, by all Members entitled to attend and vote thereat and otherwise in accordance with the provisions of Section 133(3) of the Act; and

(b) in the case of any other meeting, by a majority in number of the Members having a right to attend and vote at the meeting, being a majority together holding not less than ninety-five per cent (95%) in nominal value of the shares giving that right.

Provided always that if the Company shall then be listed on the Nairobi Stock Exchange a copy of such notice be sent to the Nairobi Stock Exchange at the same time as notices are sent to the Members.

Article 67

No business shall be transacted at any general meeting unless a quorum of Members is present at the time when the meeting proceeds to business; save as herein otherwise provided, fifty Members present in person or by proxy or represented in accordance with Article 88, together holding in aggregate not less than forty percent (40%) of the issued share capital of the Company shall be a quorum.

Article 72

At any general meeting a resolution put to the vote of the meeting shall be decided on a show of hands unless a poll is (before or on the declaration of the result of the show of hands) demanded by:

(a) the chairman of the Meeting; or

(b) by any five Members present in person or by proxy; or

(c) by any Member or Members present in person or by proxy and representing not less than one-tenth of the total voting rights of all the Members having the right to vote at the meeting.

The Chairman shall before declaring whether or not any resolution shall have been carried on a show of hands enquire whether there is any Member or any Members present in person or by proxy and representing not less than one-tenth of the total voting rights of all Members having the right to vote at the meeting who require the taking of a poll on the resolution, and where the Chairman acts as proxy for any Member or Members representing not less than one-tenth of the total voting rights of all Members having the right to vote at the meeting, and the result of a resolution put to a show of hands would, if declared, be contrary to the aggregate voting instructions held by him in respect of that resolution, the Chairman himself must demand a poll on the resolution, subject to such compliance and unless a poll is so demanded, a declaration by the Chairman of the Meeting that a resolution has, on a show of hands, been carried or carried unanimously or by a particular majority or lost or not carried by a particular majority and an entry to that effect in the book containing the minutes of the proceedings of the Company shall be conclusive evidence of the fact without proof of the number or proportion of the votes recorded in favour of or against such resolution. The demand for a poll may be withdrawn at any time.

F. VOTES OF MEMBERS

Article 76

Subject to any rights or restrictions for the time being attached to any class or classes of shares, on a show of hands every Member present in person shall have one vote, and on a poll every Member present in person or by proxy or being a corporation, by a representative appointed in accordance with Article 87, shall have one vote for each share of which he is the holder.

Article 77

In the case of joint holders the vote of the senior who tenders a vote, whether in person or by proxy, shall be accepted to the exclusion of the votes of the other joint holders; and for this purpose seniority shall be determined by the order in which the names stand in the Register.

Article 78

A Member incapable by reason of mental disorder of managing and administering his property and affairs may vote, whether on a show of hands or on a poll, by his receiver, or other person authorised by any Court of competent jurisdiction to act on his behalf, and such person may on a poll vote by proxy.

Article 79

No Member shall be entitled to be present at any general meeting or to vote on any question, either personally or by proxy or by a representative appointed in accordance with Article 87, at any general meeting or on a poll or to be reckoned in a quorum whilst any call or other sum shall be due and payable to the Company in respect of any of the shares held by him, whether alone or jointly with any other person.

G. CORPORATIONS

Article 87

Any Corporation which is a Member of the Company may, by resolution of its Directors or other governing body, or by notification in writing under the hand of some officer of such corporation duly authorised in that behalf, appoint such person as it thinks fit to act as its representative at any meeting of the Company or of any class of Members of the Company. The production at a meeting of a copy of a resolution certified by one Director (other than the appointee if he himself shall be a Director) and the Secretary, if any, of such Corporation to be a true copy of the resolution, shall be accepted by the Company as sufficient evidence of the validity of his appointment. The person so appointed shall be entitled to exercise the same powers on behalf of such Corporation as it could exercise if it were an individual Member of the Company.

H. UNTRACED MEMBERS

Article 88

(a) The Company may sell (in such manner and for such price as the Directors think fit) any shares or stock of a Member or any share or stock to which a person is entitled by transmission if:

i. for a period of six (6) years no cheque or warrant sent by the Company in the manner authorised by these Articles has been cashed; and

ii. no communication has been received by the Company from the Member, or any other person entitled, and during such period at least three (3) dividends in respect of the shares or stock in question have been declared payable by the Company; and

iii. the Company has at the expiration of the said period of 6 years by advertisement in a newspaper having national circulation given notice of its intention to sell such share or stocks; and

iv. the Company has not during the period of six (6) years preceding and six (6) months after the advertisement received any information reasonably satisfactory to the Directors as to either of the actual whereabouts or of the actual existence of the Member or entitled person; and

v. the Company (if being then listed on a Securities Exchange) has given notice to the Security Exchange on which it is listed of its intention to make the sale.

(b) To give effect to any such sale the Directors may appoint any person to execute as transferor an instrument of transfer of such shares or stock:

i. The instrument of transfer shall be as effective as if it had been executed by the registered holder of or the person entitled by transmission to such shares or stock and the title of the transferee shall not be affected by any irregularity or invalidity of the proceedings.

ii. The net proceeds of the sale shall belong to the Company which shall be obliged to account to the Member or other person entitled for an amount equal to the net proceeds (after deducting the expenses of the advertisement and transaction costs of the Company properly incurred) and the Company shall enter the name of the former Member or other person in the books of the Company as a creditor for that amount.

iii. No trust shall be created in respect of the debt, no interest shall accrue or be payable in respect of it and the Company shall not be required to account for any money earned on the net proceeds, which may be employed in the business of the Company or invested in such investments as the Directors think fit.

iv. If after a further period of three (3) years from the date of the instrument of transfer referred to above no claim has been made by the former Member or person previously entitled to the net proceeds, the net proceeds shall become the absolute property of the Company and no person shall have any claim whatsoever against the Company arising therefrom.

I. DIRECTORS

Article 89

(a) Unless and until otherwise from time to time determined by an special resolution of the Company, the number of Directors (excluding alternates) shall not be less than seven (7) nor more than ten (10) in number.

(b) So long as VKL holds ten percent (10%) or more of the nominal value of the issued and fully paid share capital of the Company excluding any shares hereafter issued pursuant to any share issuance pursuant to Article 13(c), VKL shall have the right to appoint, remove or replace (up to a maximum of four such nominated directors) one Director as their nominee in respect of each and every complete ten percent (10%) held by VKL of the issued and fully paid share capital of the Company excluding any shares hereafter issued pursuant to any share issuance pursuant to Article 13(c). All appointments, removals or replacements of Directors in respect hereof shall be by notice in writing served upon the Company Secretary.

(c) So long as PST holds ten percent (10%) or more of the nominal value of the issued and fully paid share capital of the Company, excluding any shares hereafter issued pursuant to any issuance of shares to any pursuant to Article 13(c) PST shall have the right to appoint, remove or replace (up to a maximum of three such nominated directors) one Director as their nominee in respect of each and every complete ten percent (10%) held by PST of the issued and fully paid share capital of the Company excluding any shares hereafter issued pursuant to Article 13(c). All appointments, removals or replacements of Directors in respect hereof shall be by notice in writing served upon the Company Secretary.

(d) If at any time the number of Directors falls below the minimum number fixed by or in accordance with these Articles, the remaining Directors may act for the purpose of convening a general meeting or for the purpose of bringing the number of Directors to such minimum, and for no other purpose.

Article 90

At the first Annual general meeting of the Company following the Initial Public Offering all the Directors other than the Managing Director and any other Director being at the time in the employment of the Company or any of its Subsidiaries or any Director appointed by a Shareholder pursuant to Article 89(b) or 89(c) shall retire from office. At the annual general meeting in every subsequent year one third of the Directors, other than the Managing Director and any other Director being at the time in the employment of the Company or any of its Subsidiaries for the time being, or any Director appointed by a Shareholder pursuant to Article 89(b) or 89(c), if their number is not three or a multiple of three, then the number nearest to, but not less than one third shall retire from office.

Article 91

Notwithstanding the provision of Article 90 above any Director who retires from office shall be eligible for re-election.

Article 92

No person, other than a Director retiring at a meeting, shall be eligible for appointment as a Director at any general meeting, unless not less than seven nor more than twenty one days before the day appointed for the meeting, there shall have been delivered to the Secretary of the Company notice in writing signed by the Shareholder, duly qualified to attend and vote at the meeting for which the notice has been given, of his intention to propose such person for election and notice in writing, signed by the person to be proposed of his willingness to be elected.

Article 93

The Directors shall cause to be kept a Register of the Directors' holdings of shares and debentures of the Company and of its subsidiaries or holding Company(s) (if any) required by the Act, and shall cause the same to be available for inspection during the period and by the persons prescribed, and shall produce the same at every annual general meeting as required by the Act.

Article 94

The Directors, other than those whose remuneration as an executive of the Company is determined by agreement between them and the Company, shall be entitled to such remuneration for their services as the Company may, from time to time, in general meeting determine and such remuneration shall be divided among the Directors in such proportion and manner as they may determine or, failing such determination, equally, except that in such event any Director holding office for less than a year shall only rank in such division in proportion to the period during which he has held office during such year. The Directors shall also be entitled to be repaid by the Company all such reasonable travelling (including hotel and incidental) expenses as they may incur in attending meetings of the Board, or of committees of the

Board, or general meeting, or which they may otherwise properly incur in or about the business of the Company.

Article 95

Any Director who by request performs special services or goes or resides abroad for any purposes of the Company may be paid such extra remuneration by way of salary, percentage of profits or otherwise as the Directors may determine.

Article 96

Directors shall not be required to hold any share qualification but shall be entitled to receive notice of and to attend and speak at all general meetings of the Company or at any separate meeting of the holders of any class of Shares of the Company.

J. ALTERNATE DIRECTORS

Article 97

Any Director may appoint another Director or any person (provided that with the exception of the alternates of any Directors nominated in accordance with Article 89(b) and 89(c) any such person has received the approval of the Board) to be his Alternate to act in his place at any meetings of the Board at which he is unable to be present. Such appointee shall be entitled, in the absence of his appointor, to exercise all the rights and powers of a Director and to attend and vote at meetings of the Board at which his appointor is not personally present and, where he is a Director, to have a separate vote on behalf of his appointor in addition to his own vote. A Director may, at any time, revoke the appointment of an Alternate appointed by him. The remuneration of an Alternate shall be payable out of the remuneration if any of his appointer and shall be such proportion thereof as shall be agreed between them.

K. POWERS AND DUTIES OF DIRECTORS

Article 102

The business of the Company shall be managed by the Directors who may pay all expenses incurred in promoting the Company, and may exercise all such powers of the Company as are not, by the Act or by these Articles, required to be exercised by the Company in general meeting, and the exercise of the said powers shall be subject also to the control and regulation of any general meeting of the Company, but no resolution of the Company in general meeting shall invalidate any prior act of the Directors which would have been valid if such resolution had not been passed PROVIDED ALWAYS THAT any resolution relating to the following matters shall not be deemed to have been passed if any Director appointed by VKL pursuant to Article 89(b) or his Alternate votes against it:

(a) the approval of any business plan or the material modification of any existing business plan; or

(b) the approval of the annual budget or the material modification to any part of an approved annual budget; or

(c) the appointment of the Managing Director/Chief Executive Officer; or

(d) the appointment of the Financial Director/Chief Financial Officer.

Article 103

The Directors may subject to the provisions of Article 102 from time to time appoint one or more of their body to the office of Managing Director or Manager for such period and on such terms and with such powers, and at such remuneration (whether by way of salary, or commission, or participation in profits, or partly in one way, and partly in another), as they may think fit and, subject to the terms of any agreement entered into in any particular case, may revoke any such appointment. Without prejudice to any right to treat such determination as a breach of any such agreement as aforesaid the appointment of such a Director to office as aforesaid shall be subject to determination ipso facto if he ceases from any cause to be a Director, or if the Company in general meeting resolves that his tenure of the office of Managing Director or Manager be determined.

Article 104

The Directors may exercise all the powers of the Company to borrow or raise money and to mortgage or charge its undertaking, property and uncalled capital and to issue debentures, debenture stock, legal and equitable mortgages and charges and other securities whether outright or as security (principal or collateral) for any debt, liability or obligation of the Company or of any third party.

Article 108

A Director may contract with and be interested in any way, whether directly or indirectly, in any actual or proposed contract or arrangement with the Company, either as vendor, purchaser or otherwise, and shall not be liable to account for any profit made by him by reason of any such contract or arrangement, provided that the nature of the interest of the Director in such contract or arrangement is declared at the meeting of the Board at which the question is first taken into consideration if his interest then exists or, in any other case, at the next meeting of the Board held after he became interested and it shall be the duty of the Director so to declare his interest in accordance with Section 200 of the Act. No Director, other than any Director nominated by VKL, shall vote as a Director in respect of any contract or arrangement in which he is interested and, if he does vote, his vote shall not be counted but he shall, nevertheless, be counted in the quorum present at the meeting. For the purposes of this Article 108, a Director's interest includes any interest of a Connected Person. These prohibitions may, at any time, be suspended or relaxed, to any extent, by the Company in general meeting and they shall not apply:

(a) to any arrangement for giving a Director any security for advances or by way of indemnity or to any allotment to or any contract or arrangement for the underwriting or subscription by a Director of shares or securities of the Company; or

(b) to any contract or dealing in which the Director is interested by reason only of his being a director or other officer, employee or nominee of any Government or corporation or company which, being a Member of the Company or holding shares in a corporation or company which is a Member of the Company, is interested in such contract or dealing whether directly or indirectly and this exception shall not cease to have effect merely by reason of the fact that the Director is also a shareholder or creditor of any such Government, corporation or company or of any corporation or company in which it is interested.

L. DISQUALIFICATION OF DIRECTORS

Article 112

The office of Director shall be vacated if the Director:

(a) ceases to be or is prohibited from being a Director by virtue of any provision of the Act; or

(b) becomes bankrupt or makes any arrangement or composition with his creditors generally; or

(c) becomes incapable by reason of mental disorder of exercising his functions as Director; or

(d) resigns his office by notice in writing to the Company; or

(e) is absent either in person or by his alternate, without the previous sanction of the Directors, for a period of more than six months from meetings of the Directors held during such period and the Directors resolve that his office be vacated accordingly; or

(f) is removed by his appointor pursuant to Article 89 (b) or 89 (c).

Article 113

The Directors shall have power at any time, and from time to time, to appoint a person as an additional Director either to fill a casual vacancy or as an addition to the existing Directors but so that the total number of Directors shall not exceed the maximum authorised by these Articles; but any person so appointed shall retire from office at the next following ordinary general meeting, but shall be eligible for election by the Company at that meeting as an additional Director but shall not be taken into account in determining the Directors who are to retire by rotation at such meeting. Provided always that the power conferred on the Directors by this Article to appoint an additional Director to fill a casual vacancy or as an addition to the existing Directors shall not apply where such vacancy is caused or addition required by the removal of a Director by his appointor in accordance with Article 89(b) or 89(c).

Article 114

The Company may from time to time by special resolution increase or reduce the number of Directors.

Article 115

The Company may by ordinary resolution, remove any Director (other than a Director nominated in accordance with Article 89(b) or 89(c)) before the expiration of his period of office, and, without prejudice to the powers of the Directors under Article 114 hereof, may by an ordinary resolution appoint another person in his stead; the person so appointed shall be subject to retirement at the same time as if he had become a Director on the day on which the Director in whose place he is appointed was last elected a Director. Such power of removal may be exercised notwithstanding anything in these Articles or in any agreement between the Company and such Director but without prejudice to any claim such Director may have for damages for breach of contract of service between him and the Company.

M. PROCEEDINGS OF DIRECTORS

Article 116

(a) Unless otherwise agreed by the Directors all meetings of the Board shall take place in Nairobi. The Directors may meet together for the dispatch of business, adjourn and otherwise regulate its Meetings as it thinks fit. Questions arising at any meeting shall be determined by a majority of votes and the Chairman shall not have a second and casting vote in the event of any deadlock. The Secretary, on the instructions of a Director, shall at any time summon a Board meeting. At least fourteen clear days' notice (excluding of the date of service and the date of meeting) of all Board meetings shall, unless waived by all Directors, be given in the manner hereinafter mentioned to all Directors and Alternates. All such notices shall give reasonable particulars of the matters to be discussed and shall enclose copies of the relevant papers for discussion.

(b) Notwithstanding the foregoing, the Directors, and any committee of the Directors, shall be deemed to meet together if, being in separate locations they are nonetheless linked by conference telephone or other communication equipment which allows those participating to hear and speak to each other and a quorum for such meetings shall nonetheless be in accordance with Article 117. Such meeting shall be deemed to take place where the largest group of those participating is assembled, or if there is no such group, where the Chairman of the meeting then is.

Article 117

The quorum necessary for the transaction of the business of the Directors shall be a majority in number of the Directors for the time present either personally or by Alternate, provided that at least one Director appointed by every person having exercised the right to appoint a Director in accordance with Article 89(b) or 89(c) shall be present and provided further that one person whether a Director or not, although a duly appointed Alternate for any number of Directors, shall not constitute a quorum.

N. DIVIDENDS AND RESERVE

Article 130

The Company in general meeting may declare dividends, but no dividend shall exceed the amount recommended by the Directors.

Article 131

The Directors may from time to time pay to the Members such interim dividends (including therein the fixed dividends payable upon any preference or other shares at stated times) as appear to the Directors to be justified by the profits of the Company.

Article 132

No dividend shall be paid otherwise than out of profits.

Article 136

The Directors may deduct from any dividend payable to any Member all sums of money (if any) presently payable by him to the Company on account of calls or otherwise in relation to the shares of the Company.

Article 139

No dividend shall bear interest against the Company.

Article 140

All dividends, interest or other sum payable and unclaimed for twelve (12) months after having become payable may be invested or otherwise made use of by the Directors for the benefit of the Company until claimed and the Company shall not be constituted a trustee in respect thereof. All dividends unclaimed for a period of six (6) years after having been declared or become due for payment shall (if the Directors so resolve) be forfeited and shall cease to remain owing by the Company.

O. CAPITALISATION OF PROFITS

Article 146

The Company in general meeting may upon the recommendation of the Directors resolve that it is desirable to capitalise any part of the amount for the time being standing to the credit of any of the Company's reserve accounts or to the credit of the profit and loss accounts or otherwise available for distribution, and accordingly that such sum be set free for distribution amongst the Members who would have been entitled thereto if distributed by way of dividend and in the same proportions on condition that the same be not paid in cash but be applied either in or towards paying up any amounts for the time being unpaid on any shares held by such Members respectively or paying up in full unissued shares or debentures of the Company to be allotted and distributed credited as fully paid up to and amongst such Members in the proportion aforesaid, or partly in the one way and partly in the other, and the Directors shall give effect to such resolution Provided that a share premium account and a capital redemption reserve fund may, for the purposes of this Article, only be applied in the paying up of unissued shares to be issued to Members of the Company as fully paid bonus shares.

Article 147

Whenever such a resolution as aforesaid shall have been passed the Directors shall make all appropriations and applications of the undivided profits resolved to be capitalised thereby, and all allotments and issues of fully paid shares or debentures, if any, and generally shall do all acts and things required to give effect thereto, with full power to the Directors to make such provision by the issue of fractional certificates or by payment in cash or otherwise as they think fit for the case of shares or debentures becoming distributable in fractions, and also to authorise any person to enter on behalf of all the Members entitled thereto into an agreement with the Company providing for the allotment to them respectively, credited as fully paid up, of any further shares or debentures to which they may be entitled upon such capitalisation, or (as the case may require) for the payment up by the Company on their behalf, by the application thereto of their respective proportions of the profits resolved to be capitalised, of the amounts or any part of the amounts remaining unpaid on their existing shares, and any agreement made under such authority shall be effective and binding on all such Members.

P. WINDING UP

Article 160

If the Company shall be wound up the liquidator may, with the sanction of a special resolution of the Company and any other sanction required by the Act, divide amongst the Members in specie or kind the whole or any part of the assets of the Company (whether they shall consist of property of the same kind or not) and may, for such purpose set such value as he deems fair upon any property to be divided as aforesaid and may determine how such division shall be carried out as between the Members or different classes of Members. The liquidator may, with the like sanction, vest the whole or any part of such assets in trustees upon such trusts for the benefit of the contributories as the liquidator, with the like sanction, shall think fit, but so that no Member shall be compelled to accept any shares or other securities whereon there is any liability.

Provisions of the Memorandum of Association relating to borrowing powers

Clause 3 (21) - To borrow or raise or secure the payment of money in such manner as the Company thinks fit and to secure the same or the payment or repayment or performance of any debt liability contract guarantee or other engagement incurred or to be entered into by the Company in any way and in particular by any legal or equitable mortgage or charge upon any of the Company's property or by the issue of debentures charged upon any of the Company's property present future (including its uncalled capital) or by the issue of any security whether registrable or not; and to purchase; redeem and pay off any such securities.

Principal Establishments

Safaricom does not own any land or buildings and leases all its premises for offices and care centres, as well as sites for the Mobile Switching Centres ("MSCs") and Base Station Controllers ("BSCs"). The leases are for a minimum term of six years and are either registered or in the process of registration/renewal. Some leases contain an option to renew subject to agreement on terms. A few of its establishments are held pursuant to licences. Details of the leases relating to its principal establishments are set out below.

Location of Establishment	Property Description	Legal Owner	Lease Term	Status of Lease/Licence
Safaricom Headquarters (Waiyaki Way)	L.R. No. 209/15029 (part)	Caribon Limited	12 years from 1 August, 2005 with an option to renew for a further 12 year term	Lease pending registration
Safaricom Care Centre (Safaricom House)	L. R. No. 209/13263 Nairobi	Buna Agencies Limited	6 years from 1 June, 2006	Registered
Queen of Apostles (Mobile Switching Centre)	L. R. No. 9612 Nairobi	Archdiocese of Nairobi Registered Trustees	9 Years 11 months from 24 September, 2002 with an option to renew for a further two 6 year terms	Registered

Material Contracts

The following is a summary of material contracts entered into by the Company relating to the provision of its mobile telecommunications services:

Agreement for the supply of GSM equipment with Siemens Atea S.A. (now Nokia Siemens Networks)

Subject Matter	A cellular system supply framework agreement for the supply of GSM equipment (switches)
Date	12 April, 2001
Parties	Siemens Atea S.A. and Safaricom Limited
Term & Termination Provisions	The Agreement is for a duration of 5 years from 12 April, 2001. Thereafter it will continue unless terminated by either party giving the other 6 months' written notice. The supplier may also terminate the contract if invoices remain unpaid after a 30 day demand notice.
Start Date	12 April, 2001
Liability	The total of either party's liabilities arising from this Agreement whether in tort or contract shall not exceed 4 million euros for causes of action arising in the same calendar year
Governing Law & Dispute resolution	The Agreement is governed by English law. Disputes shall be resolved by arbitration conducted under the rules of the International Chamber of Commerce

Interconnection Agreement with Telkom Kenya Limited

Subject Matter	A bilateral agreement to connect and keep connected the telecommunication systems of Safaricom Limited and Telkom Kenya Limited in accordance with their respective licences.
Date	21 December, 2001
Parties	Telkom Kenya Limited and Safaricom Limited
Term & Termination Provisions	The Agreement shall remain in force for 4 years from 26 May, 2001 and shall thereafter continue in force unless terminated by a 1 year's written notice.
Start Date	26 May, 2001
Liability	Any party found to be liable to the other for the breach of its obligations under the Agreement shall be liable to pay up to KShs 100 million for any one event or series of connected events and up to KShs 200 million for all events whether connected or not, in any 12 month calendar period.
Governing Law & Dispute resolution	The Agreement is governed by Kenyan law. Disputes shall be resolved by arbitration conducted by the CCK.

Interconnection Agreement with Celtel Limited

Subject Matter	A bilateral agreement to connect and keep connected the telecommunication systems of Safaricom Limited and Celtel Limited in accordance with their respective licences.
Date	18 September, 2002
Parties	Celtel Limited and Safaricom Limited
Law applicable	Kenyan
Term & Termination Provisions	The agreement shall remain in force for 5 years from 18 September, 2002, and shall continue in force unless terminated by 12 months' written notice.
Fee/amount payable	Agreed interconnection charges (reviewable by agreement failing which the charges shall be determined by the CCK): National mobile termination service - KShs 6.28/= per minute Terminating access service for SMS - KShs 2 per message.
Liability	Any party found to be liable to the other for breach of its obligations under the Agreement shall be liable to pay up to KShs 45 million for any one event or series of connected events and up to KShs 100 million for all events whether connected or not, in any 12 month calendar period.
Governing Law & Dispute resolution	The Agreement is governed by Kenyan law. Disputes shall be resolved by arbitration conducted by the CCK.

Equipment Supply Contracts with Huawei Technologies Co. Ltd

Subject Matter	Supply, installation and commissioning of equipment on Safaricom's cellular mobile network by Huawei Technologies Co Ltd for Safaricom's intelligent network project
Date	26 November, 2004 (phase one)
Parties	Huawei Tech Investment Co Ltd (incorporated in Hong Kong) and Safaricom Limited
Term & Termination Provisions	For unlimited duration from 26 November, 2004 unless terminated by either party with 30 days' written notice. Software Licence and maintenance agreement runs for a term of 10 years from 26 November, 2004.
Contract Price	USD 14,626,936 ex VAT and Customs (phase I) USD 12,349,488.68 ex VAT and Customs (phase II)
Liability	The total of either party's liabilities arising from this Agreement whether in tort or contract shall not exceed the contract price.
Governing Law & Dispute resolution	The Agreement is governed by English law. Disputes shall be resolved by arbitration conducted under the rules of the International Chamber of Commerce

Transportation Services Contract with DHL Worldwide Express Ltd and DHL Danzas (now called DHL Global Forwarding)

Date	15 November, 2005
Parties	DHL Worldwide Express Limited & DHL Danzas Limited (now called DHL Global Forwarding) and Safaricom Limited.
Term/Duration	Three years from 1 November, 2005
Termination Provisions	The Agreement may be terminated by either party issuing 4 months' written notice, or immediately upon the other party committing a material breach of the Agreement.
Fee/amount payable	Approximately KShs 7.2 million per month in fixed fees: additional fees are based on the volume of deliveries/imports etc and based on agreed tariff schedules. DHL reserves the right to make emergency surcharges to recover costs associated with temporary or industry wide situations which could not be reasonably anticipated at the commencement of the Agreement.
Governing Law & Dispute resolution	The Agreement is governed by Kenyan law, and disputes shall be settled by arbitration. The seat of arbitration is Nairobi.

Co-operation Agreement with Vodafone Marketing Sarl

Subject Matter	Agreement to regulate co-operation between Vodafone Marketing Sarl (VMS) and Safaricom. It sets out the framework under which they will work together in Kenya with a view to increasing international roaming revenue by marketing, promoting and advertising Vodafone Global Products & Services under the internationally recognised Vodafone brand to be provided to Safaricom. VMS is responsible for developing the Vodafone Group's global service footprint through the "partner network" programme. The overall objectives are: ● increasing roaming revenue for members of the Vodafone Group and Safaricom ● adoption of a dual brand and coordination brand and advertising initiatives ● co-operating in the acquisition of, service provision to and management of internationally operating corporate customers entering into reciprocal roaming agreements between members of the Vodafone Group, Safaricom and any partner network
Date	16 October, 2006 and amended on 19 November, 2007
Parties	Vodafone Marketing Sarl (incorporated in Luxembourg) and Safaricom Limited.
Term & Termination Provisions	The Agreement is for a duration of 3 years from 1 October, 2006. Thereafter, it shall continue indefinitely on a two year rolling basis if no notice of termination is issued 6 months before the expiry of any such two year period. Amendment No. 1 to the Agreement is for a duration from 1 October, 2006 to 30 September, 2010.
Fee/amount payable	For the financial year 1 April, 2007 to 31 March, 2008 – Safaricom shall pay Vodafone a participation fee of: (i) for the period 1 April, 2007 to 30 September, 2007, 0.8% of Safaricom's Total Annual Revenue; (ii) for the period from 1 October, 2007 to 31 March, 2008, 0.5% (capped at EUR 1.05 million) For all other financial years during the term of Agreement. Safaricom shall pay Vodafone a participation fee of the lower of 0.5% of Safaricom's Total Annual Revenue or EUR 2.1 million. Total Annual Revenue is the total annual consolidated sales generated by the mobile operations of Safaricom and its subsidiaries in Kenya calculated in accordance with the relevant local GAAP and including but not limited to airtime revenue, national and international roaming revenue, monthly subscription charges(postpaid), connection fees, installation fees, data revenue, information service fees. Any amounts payable shall be net of taxes, set off or any other deductions. <u>Other payments</u>: Safaricom may participate where agreed by VMS in the Vodafone Group's global arrangements for the procurement and/or supply chain management of handsets, SIM cards and other hardware and/or software components with third party suppliers. In consideration Safaricom shall pay VMS 6% of the aggregate gross amount payable by the Company to vendors in consideration of the procured products. <u>Support & Consulting</u>: The parties shall provide employees to each other on a commercial basis. VMS will reimburse Safaricom at cost plus 5% subject to approvals by VMS. <u>Credit Note</u>: On date of Amendment No. 1 to the Agreement, VMS shall issue a credit note to Safaricom in the amount of EUR 300 thousand. On 1 October, 2008, VMS will issue another credit note to Safaricom in the amount of EUR 300 thousand.
Liability	Liability is limited to the participation fee.
Governing Law & Dispute resolution	The Agreement is governed by the law of England and Wales. Disputes shall be resolved through arbitration.

M-PESA Agreements

Agreement	M-PESA managed services agreement
Subject Matter	Vodafone shall provide the managed services to Safaricom and shall authorise Safaricom to operate the M-PESA service in Kenya. Safaricom shall market and offer the M-PESA service to prospective customers, agents and merchants in Kenya and will be responsible for all associated end user facing activities including customer care, first line support, marketing, recruitment, training and day to day financial operations of the bank account in accordance with the bank account operations agreement and Safaricom shall pay Vodafone the services fee for the provision of the managed services and licence to operate the M-PESA service in Kenya.
Date	23 February, 2007
Parties	Vodafone Marketing Sarl and Safaricom Limited
Law applicable	England and Wales
Term/Duration	The Agreement shall remain in force for an initial term of 5 years. The terms of the Agreement to be reviewed after 6 months of commencement.
Start Date	23 February, 2007
Fee/amount payable	Services fee paid by Safaricom computed as 32.5% of the annual M-PESA revenue payable in quarterly instalments in arrears. This may be adjusted by agreement between the parties once the quarterly profit of M-PESA in respect of any 4 consecutive quarters is above EUR 24,000,000 but the same shall not exceed 50% of the profit.
Material terms	Exclusive agreement for 5 years. However this shall not apply if (i) the parties agree that the M-PESA solution may be offered by Vodafone to other parties in Kenya and have agreed the commercial terms for that, (ii) any authority that has jurisdiction over Safaricom in a supervisory or regulatory capacity requires either party to procure that the M-PESA solution be made available to other parties, (iii) if at any time after the expiry of 24 months following the commencement date the services fee payable in respect of any quarter is 33% or more below the anticipated amount set out in the budget (estimated at KShs 346 million for the 1st year). All intellectual property rights in M-PESA belongs to Vodafone and are licensed to Safaricom under a trademark licence agreement.
Termination Provisions	That either party can terminate the Agreement by giving the other party at least 6 months written notice. However, in the event of withdrawal by either Party from the provision of Managed Services at any time during the life of the Agreement, the withdrawing Party shall grant to the other Party a non-exclusive, non-transferable license to operate the Services in Kenya.
Liability	If a party is found to be liable to the other for the breach of its obligations under the Agreement such party shall be liable to pay up to 15 million euros.
Dispute resolution	Arbitration in Paris

Borrowings by the Company

Lenders	Barclays Bank of Kenya Ltd (BBK), Standard Chartered Bank Kenya Ltd (SC), Kenya Commercial Bank Ltd (KCB), Stanbic Bank Limited (SB), Citibank N.A. (CITI) Commercial Bank of Africa Ltd, Co-operative Bank of Kenya Ltd, CFC Bank Ltd and NIC Bank Ltd
Agreement	Facility Agreement comprising: (a) Syndicated Term Loan for a total of KShs 10,000,000,000 (Facility A) from all the Banks listed above (b) Syndicated Revolving Loan (Facility B) of KShs 1,600,000,000 (KShs 400,000,000 each from BBK, KCB, SC, SB) (c) Revolving Loan (Facility C) from CITI of KShs 400,000,000 to be drawn in US Dollars
Date	29 March, 2006
Interest	● Kenya Shilling portion: 1% above 91 day GoK treasury bill rate ● USD portion: 1% above LIBOR
Security	Debenture dated 18 April, 2006
Secured Assets	● Floating charge over all assets of the Company
Repayment Covenants	● Repayment of Facility A is in seven installments from 30 April, 2008 to 31 March, 2011 ● Facility B and C are repayable on the last day of their respective interest periods. ● Lenders shall be compensated for compliance and administrative costs.
Material Restrictions	No distribution of dividends is permitted under the borrowing arrangements if there is continuing default of repayment under the Facility Agreement or where the ratio of net financial indebtedness on the most recent date to annualized EBITDA for the relevant period ended on that relevant date exceeds 1.50:1.00.

Vendors

The Company has several supplier relationships of importance, all of which have been negotiated in a commercial manner and which reflect the scope of its operations in Kenya and in particular the nature of the telecommunication equipment and services needed to support its network.

Key clauses in the contracts are their termination clauses, dispute resolution clauses and warranty clauses. The term commitment in the termination clauses are not unusual in the context of purchase of telecommunication equipment and services and leaves the Company with wide flexibility to enter into contracts on more favourable terms with other suppliers at the end of the current contract. They also provide for adequate notice periods for termination thus the Company is given ample time to look for a replacement supplier upon the unfortunate occurrence of such an eventuality. The dispute resolution clauses provide for arbitration as the mode of dispute resolution thus the Company can expedite the process of resolving disputes with more certainty than would have been the case if it was subjected to the onerous and time consuming dispute resolution process inherent in the Kenyan court system. The warranty clauses contain ample warranties from the suppliers which provide the Company with a level of comfort in terms of the reliability of the equipment it purchases.

The most important contracts are with:

- Siemens Atea S.A, a Belgian provider of GSM equipment, for the purchase of GSM equipment (now called Nokia Siemens Networks).

- Telkom Kenya Ltd, a Kenyan provider of telecommunication services, facilitating interconnection between the Company's network and that of Telkom Kenya thereby allowing customers of both networks to communicate.

- Celtel Kenya Ltd, a Kenyan provider of mobile telecommunication services, facilitating interconnection between the Company's network and that of Celtel Kenya thereby allowing customers of both networks to communicate.

- Huawei Technologies Co Ltd, a Hong Kong based provider of cellular mobile network equipment, for the purchase of equipment that enables the operation of the Company's intelligent network project.

- DHL Worldwide Express Ltd and DHL Danzas Ltd, a global provider of transport logistics solutions headquartered in Germany, for the provision of transport logistic services to the Company.

In addition to the above, the Company regularly purchases equipment from a variety of dealers depending on the best price and quality combination prevailing at the time of purchase.

The Company has not entered into any supply contracts which contain any onerous or unreasonable terms and the Company is not reliant on any one supplier for material goods and services.

Dependency on licences, contracts and vendors

The Company operates under several licences that have been granted to it by the CCK. The majority of the Company's current operations operate under the GSM licence awarded on 1 July, 1999, however, the Company ran a trial of its 3G services and was awarded a 3G licence in November, 2007 and plans to launch commercial 3G services in 2008. In addition, the Company has an IGS/ITS licence. The Company depends on a small number of suppliers to provide it with key equipment and services (e.g., the bulk of the Company's network equipment is sourced from Nokia Siemens Network). While the Company has other options, any failure by the Company's current vendors to provide equipment or services to the Company could result in service disruptions until a new vendor is found. In addition, as is the case with most mobile telecommunications providers, the Company is dependent upon access to networks that it does not control. As a consequence, it has entered into leases, interconnection agreements and roaming agreements in order to gain access to key equipment and/or to provide expanded services to its customers. For more detail on the Company's arrangements in this regard, see "Business Overview—Licences", "Risk Factors—Risks Relating to the Company's Business and Industry—The Company relies on a limited number of third parties for key equipment and services", "—The Company is dependent upon interconnection agreements, transmission, leased lines and properties, roaming arrangements and international connectivity" and "—Material Contracts" (immediately above).

Material Litigation

The Company is involved in 30 legal proceedings, of which two are presently in arbitration. Of these, none is expected to have a significant effect on the Company's financial position.

Estimated expenses of the Offer

Item	Cost(1)	Entity bearing the expense
Lead Transaction Advisors	KShs 0.05	Vendor
Receiving Bank	KShs 94,043,034	Vendor
Registrar	KShs 4,785,000	Vendor
Reporting Accountants	KShs 2,314,200	Vendor
Legal Advisors	KShs 2,759,200	Vendor
Printing	KShs 48,140,000	Vendor
Public Relations	KShs 5,046,000	Vendor
Advertising	KShs 2,082,200	Vendor
Lead and co-sponsoring Stockbrokers	KShs 2,204,000	Vendor
Brokerage commission (approximate)	KShs 750,000,000	Vendor
Company, Officers and Directors' Indemnity Insurance	KShs 13,500,000	Company
CMA Fees	KShs 150,000,000	Vendor
NSE Fees	KShs 1,500,000	Company
Audit Fees	KShs 11,680,000	Company
Legal Fees (Company Advisors)	KShs 11,050,000	Company
Total	**KShs 1,099,103,634**	

(1) Inclusive of value added tax (except for Legal Fees (Company Advisor))and reimbursables

General Information

1. There have been no interruptions in the Company's business which may have or have had during the past nine months a significant effect on the Company's financial position.

2. The Company does not hold directly or indirectly any interest in the capital of any other undertaking.

3. There are no arrangements under which future dividends are waived or agreed to be waived.

4. The Company has not made any loans to third parties.

5. The Directors of the Company are not aware of any shareholder, director or member of the corporation's management, supervisory or administrative bodies that intend to hold more than 5% of the Offer Shares.

6. There are no categories of persons having preferential subscription rights for the Company's authorised but unissued capital.

7. The Company does not have any shares that do not represent capital of the Company, nor does the Company have any outstanding convertible debt securities, exchangeable debt securities or debt securities with warrants.

8. The Company has not made any investments in other undertakings over the last five financial years or during the current financial year.

9. The Company has made numerous investments in its core network and network expansion in Kenya, as discussed under "Business Overview—Network" and "Operating and Financial Review—Discussion of Current Fiscal Year Performance". All such investments have been financed by internally generated cash or through the Company's commercial borrowings. With respect to the Company's principal future investments, please see Note 21 to the Accountant's Report contained in Part I of the Appendix to this Prospectus and "Operating and Financial Review—Company's Future Outlook".

10. The Company has not made any acquisitions of any securities in or the business undertaking of, any company or business enterprise or any immovable property or other property in the nature of a fixed asset. In addition, the Company has not made any disposals of property during the past five years, other than in the normal course of business (i.e., disposal of obsolete or no longer required assets).

11. Neither Vodafone nor any of its subsidiaries will participate in the Offer.

12. Taking into account the borrowing facilities that the Company has available to it described under "Operating and Financial Review—Capital Resources", the Company's Board of Directors believes that it has sufficient working capital and its operating cash flows can provide for its present and future requirements. The Company has net negative working capital which is largely due to the high percentage of prepay revenue, and hence low trade debtors, combined with the large investment in fixed assets. However the Company has strong net cash from generating activities and forecasts its capital requirements on a regular basis to ensure it is able to meet all its commitments from its own internally generated cash and from any borrowings that are available.

13. The financial statements in the Prospectus have been prepared in Kenya Shillings only.

Documents for Inspection

The following documents, or copies thereof, will be available for inspection at Safaricom House, Waiyaki Way, Nairobi for the duration of the Offer, during normal business hours:

1. Certificate of Incorporation & Memorandum and Articles of Association of the Company.

2. Agreement for supply of GSM equipment between Siemens ATEA S.A. and the Company dated 12 April, 2001.

3. Interconnection Agreement between Telkom Kenya Limited and the Company dated 21 December, 2001

4. Interconnection Agreement between Celtel Ltd and the Company dated 18 September, 2002.

5. Equipment supply contract between Huawei Technologies Co. Ltd and the Company dated 26 November, 2004.

6. Transportation Services Contract between DHL Worldwide Express Ltd, DHL Danzas and the Company dated 15 November, 2005.

7. Co-operation Agreement between Vodafone Marketing Sarl and the Company dated 16 October, 2006 and Amendment No. 1 thereto dated 19 November, 2007.

8. An agreement in relation to Safaricom Limited dated 21 November, 2007 (referred to elsewhere herein as the Amending Agreement).

9. Facility Agreement between Barclays Bank of Kenya Ltd, Standard Chartered Bank Kenya Ltd, Kenya Commercial Bank Ltd, Stanbic Bank Ltd, Citibank N.A., Commercial Bank of Africa Ltd, Co-operative Bank of Kenya Ltd, CFC Bank Ltd and NIC Bank Ltd as lenders, and the Company as borrower, dated 29 March, 2006, together with the Debenture granted by the Company dated 18 April, 2006 and the Deed of Partial Release dated 19 December, 2007.

10. Copies of service agreements entered into with managers in the last 2 financial years.

11. Trust Deed dated 11 December, 2007 in relation to the Safaricom Limited Employee Share Option Plan including the deed of amendment dated 3 March, 2008.

12. Trust Deed dated 11 December, 2007 in relation to the Safaricom Employee Share Purchase Plan including the deed of amendment dated 3 March, 2008.

13. The audited accounts of the Company, for each of the five financial years of the Company preceding the publication of this Prospectus and the six month period ended 30 September, 2007, including all notes, reports and other information required by the Companies Act (Cap 486).

14. Share Sale Agreement dated 8 November, 2007 between GoK and Telkom Kenya Limited.

14 March 2008

The Directors
Safaricom Limited
Safaricom House
P O Box 46350 00100
Nairobi

Dear Sirs,

REPORTING ACCOUNTANTS' REPORT ON SAFARICOM LIMITED

The Controller and Auditor General is responsible for the statutory audit of Safaricom Limited books of account in accordance with section II of the State Corporations Act, as amended by the Statute Law (Miscellaneous Law Amendment Act), 2002 and has acted as the auditor of the company for the two years ended 31 March 2007.

Section 39 (1) of the Public Audit Act 2003 empowers the Controller and Auditor General to appoint other auditors to carry out the audit on her behalf. Accordingly, PriceWaterhouseCoopers were appointed to carry out the audit for the two and a half years ended 30 September 2007.

PricewaterhouseCoopers have acted as auditors of the company for the three years to 31March 2005 covered in this report.

We report hereunder on the results of Safaricom Limited in respect of each of the five years and six months ended 30 September 2007 and on the assets and liabilities at 30 September 2007 being the date to which the last audited financial statements were prepared.

A. INTRODUCTION

The financial information set out in this report is compiled by reference to the audited financial statements of Safaricom Limited for the five years ended 31 March 2007 and for the six months ended 30 September 2007.

We have not audited any information relating to Safaricom Limited.

Adjustment

The financial statements for the year ended 31 March 2007 have been adjusted to reclassify the proposed dividends of Sh 4,000,000,000 shown as a separate component of equity to retained earnings. The revised International Accounting Standard No. 10 stipulates that if an entity declares dividends to holders of equity instruments after the balance sheet date, the entity shall not recognise those dividends as a liability at the balance sheet date. This reversal has had the effect of increasing the retained earnings by Sh 4,000,000,000 and eliminating the proposed dividend account. The overall shareholders' funds remain unchanged.

Audit report

The financial statements of Safaricom Limited have received unqualified audit reports throughout the period covered by this report.

B. DIRECTORS' RESPONSIBILITY

The directors of Safaricom Limited are responsible for the preparation of the financial statements and financial information to which this Accountants' report relates and from which it has been prepared. Our responsibility is to compile the financial information set out in this report from the financial statements.

C. COUNTRY OF INCORPORATION AND PRINCIPAL ACTIVITIES

Safaricom Limited is domiciled and incorporated in Kenya under the Companies Act (Cap. 486) and its principal activity is to provide mobile phone services, both voice and data, and sale of mobile phones and accessories.

D. CURRENCY

The financial statements are expressed in Kenya Shillings Thousands (Sh'000).

E. ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented.

(a) Basis of preparation

The financial statements are prepared in accordance with International Financial Reporting Standards (IFRS).

The measurement basis applied is the historical cost basis, except for the revaluation of Financial Instruments.

Adoption of new and revised standards

At the date of preparation of this Accountants' report, the following standards and interpretations were in issue but not yet effective:

IFRIC 11 on Company and Treasury Share Transactions
IFRIC 12 on Service Concession Arrangements
IFRIC 13 – IAS 18 Revenue: Customer Loyalty Programs
IFRIC 14 – IAS 19 Employee benefits: Effect of Minimum Funding Requirements on Asset Ceiling.
IFRS 8 on Operating Segments
IAS 23 – Borrowing Costs (revised)

The adoption of these standards and interpretations, when effective, will not have material impact on the financial statements of the company. These changes mainly impact on disclosure requirements.

(b) Revenue recognition

Sales of mobile phones and starter packs are recognized in the period in which the company delivers products to the customer, the customer has accepted the products and collectability of the related receivables is reasonably assured.

Airtime revenue is recognized as and when the airtime is used by the customer.

Revenue represents the fair value of the consideration receivables for sales of goods and services, and is stated net of value-added tax (VAT), excise duty, rebates and discounts.

Interest income is recognised on a time proportion basis using the effective interest method.

E. ACCOUNTING POLICIES (Continued)

(c) Translation of foreign currencies

Transactions are recorded on initial recognition in Kenya Shillings, being the currency of the primary economic environment in which the company operates (the functional currency). Transactions in foreign currencies are converted into Kenya Shillings using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in the income statement.

(d) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when its probable that future economic benefits associated with the item will flow to the company and the cost of the item can be measured reliably. All other repairs and maintenance costs are charged to the income statement during the financial period in which they are incurred.

Depreciation is calculated using the straight line method to write down the cost of each asset to its residual value over its estimated useful life, as follows:

Network infrastructure	3 – 10 years
Leasehold improvements	Life of lease
Equipment and motor vehicles	3 – 5 years

Capital work in progress, which represents additions to property, plant and equipment that have not yet been brought into use, is not depreciated. Additions are transferred into the above depreciable asset classes once they are brought into use.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each balance sheet date.

Property, plant and equipment are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the assets' carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units).

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit.

(e) Intangible assets

Network licence fees are capitalized at cost. Licence fees are amortised over the period of the licence. The annual charge is calculated in proportion to the expected usage of the network during the start up period and on a straight-line basis thereafter. Amortisation is charged from commencement of the service of the network.

(f) Accounting for leases

Leases in which a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the income statement on a straight-line basis over the period of the lease.

E. ACCOUNTING POLICIES (Continued)

(g) Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined by the weighted average method. The cost of inventories comprises purchase price and other incidental costs. Net realizable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses.

(h) Financial instruments

Financial assets and liabilities are recognised in the company's balance sheet when the company has become a party to the contractual provisions of the instrument.

Trade receivables

Trade receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. A provision for impairment of receivables is established when there is objective evidence that the company will not be able to collect all the amounts due according to the original terms of receivables. The amount of the provision is the difference between the carrying amount and the present value of expected cash flows, discounted at the effective interest rate. The amount of the provision is recognized in the income statement.

Trade payables

Trade payables are stated at their nominal value.

Borrowings

Borrowings including bank overdraft, are initially measured at fair value, net of transaction costs and are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period.

Derivative financial instruments

Derivatives are initially recognised at fair value at the date a derivative contract is entered into and are subsequently remeasured to their fair value at each balance sheet date. The resulting gain or loss is recognised in income statement immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in income statement depends on the nature of the hedge relationship. The company designates certain derivatives as either hedges of the fair value of recognised assets or liabilities or firm commitments (fair value hedges), hedges of highly probable forecast transactions or hedges of foreign currency risk of firm commitments(cash flow hedges).

E. ACCOUNTING POLICIES (Continued)

(i) Employee benefits

Retirement benefit obligations

The company operates a defined contribution retirement benefit scheme for its employees. A defined contribution plan is a pension plan under which the company pays fixed contributions into a separate entity. The company has no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

The assets of the scheme are held in separate trustee administered funds, which are funded by contributions from both the company and employees. The company and all its employees also contribute to the National Social Security fund, which is a defined statutory contribution scheme.

The company's contributions to the defined contribution schemes are charged to the income statement in the year to which they relate.

Other entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognized as an expense accrual.

(j) Income tax

Income tax expense is the aggregate of the charge to the income statement in respect of current income tax and deferred income tax.

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the Kenyan Income Tax Act.

Deferred income tax is provided in full, using the liability method, on all temporary differences arising between the tax bases of assets and liability and their carrying values for financial reporting purposes. Deferred income tax is determined using tax rates enacted or substantively enacted at the balance sheet date and are expected to apply when the related deferred income tax liability is settled.

(k) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are not accrued for until ratified in an annual general meeting.

E. ACCOUNTING POLICIES (Continued)

(l) Financial Risk Management Objectives and Policies

Financial risk management

The company's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by the finance department under policies approved by the Board of Directors. Finance identifies, evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative and non-derivative financial instruments and investing excess liquidity.

The company has policies in place to ensure that sales are made to customers with an appropriate credit history.

Market risk

(i) Foreign exchange risk

The company is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the US dollar and Euro. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities.

The company manages foreign exchange risk arising from future commercial transactions and recognised assets and liabilities using forward contracts, but has not designated any derivative instruments as hedging instruments.

At 30 September 2007, if the Shilling had weakened/strengthened by 5% against the US dollar with all other variables held constant, the impact on pre tax profit for the year would have been Shs 18 million (2006: Shs 35 million) higher/lower, mainly as a result of US dollar payables and bank balances.

At 30 September 2007, if the Shilling had weakened/strengthened by 5% against the Euro with all other variables held constant, the impact on pre tax profit for the year would have been Shs 128 million (2006: Shs 39 million) higher/lower, mainly as a result of Euro payables and bank balances.

(ii) Price risk

The company does not hold investments that would be subject to price risk; hence this risk is not relevant.

(iii) Cash flow and fair value interest rate risk

The company holds interest bearing assets in form of call and fixed deposits. The company also has borrowings in the form of a syndicated loan at rates determined quarterly in advance. As at 30 September 2007, an increase/decrease of 10 basis points would have resulted in an increase/decrease in pre-tax profit of Shs 45 million.

E. ACCOUNTING POLICIES (Continued)

(l) Financial Risk Management Objectives and Policies (Continued)

Credit risk

Credit risk is managed on a company-wide basis. Credit risk arises from cash and cash equivalents, deposits with banks, as well as trade and other receivables. The company credit controller assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board. The utilisation of credit limits is regularly monitored.

The amount that best represents the company's maximum exposure to credit risk as at 30 September 2007 is made up as follows:

Receivables	**Fully performing Shs'000**	**Past due Shs'000**	**Impaired Shs'000**
Dealers	465,185	27,239	100,119
Post-pay	651,710	236,659	182,222
Roaming and interconnect	801,723	234,873	40,308
Telkom Kenya Limited	1,455,246	1,539,811	-
Others	809,570	-	-

The amount that best represents the company's maximum exposure to credit risk as at 31 March 2007 is made up as follows:

Receivables	**Fully performing Shs'000**	**Past due Shs'000**	**Impaired Shs'000**
Dealers	470,772	6,922	114,748
Post-pay	82,500	745,447	42,069
Roaming and interconnect	821,195	112,692	36,204
Telkom Kenya Limited	337,045	1,224,189	-
Others	(787,613)		

The customers under the fully performing category are paying their debts as they continue trading. The default rate is low.

The debt that is overdue is not impaired and continues to be paid. The credit control department is actively following this debt. In addition, the company has bank guarantees of Shs 532 million and Shs 362 million as at September and March 2007 respectively, which can be enforced in the event of customer default. Further, for dealers, the debt is partially covered by future residual commission payments.

Telkom Kenya Limited balances will be offset against related payables and a dividend due to them of Shs 2,400,000,000.

The debt that is impaired has been fully provided for. However, debt collectors as well as the legal department are following up on the impaired debt.

E. ACCOUNTING POLICIES (Continued)

(l) Financial Risk Management Objectives and Policies (Continued)

	Fully performing Shs'000	Past due Shs'000	Impaired Shs'000
Cash and cash equivalents as at September 2007	3,918,226	-	-
Cash and cash equivalents as at March 2007	5,887,692	-	-

Cash and cash equivalents are fully performing.

Liquidity risk

Prudent liquidity risk management includes maintaining sufficient cash to meet company obligations. The treasury function reviews the cash forecast monthly and determines cash requirement. Cash generated from operations is healthy but if a heavy cash requirement is necessary a draw down of the syndicated loan can be made. The limit of the loan is Shs 12 billion and the amount disbursed to date is Shs 6.2 billion.

The table below analyses the company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

	Less than 1 mth Shs'000	Between 1 – 3 mths Shs'000	Over 3 mths Shs'000
At 30 September 2007:			
- borrowings – shareholder loans	-	3,682,250	-
- borrowings – bank borrowings	-	-	5,890,000
- dividends declared	-	4,000,000	-
- tax payable	-	-	165,837
- trade and other payables	14,089,625	2,030,360	1,120,558
At 31 March 2007:			
- trade and other payables			
	9,919,977	***1,999,625***	***470,544***

E. ACCOUNTING POLICIES (Continued)

(l) Financial Risk Management Objectives and Policies (Continued)

Capital risk management

The company's objectives when managing capital are to safeguard the company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the company may adjust the amount of dividends paid to shareholders or sell assets to reduce debt.

Consistent with others in the industry, the company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as equity plus net debt.

The constitution of capital managed by Safaricom is as shown below:

	30 September 2007 Shs'000	**31 March 2007 Shs'000**
Share capital	1	1
Share premium	3,849,999	3,849,999
Retained earnings	32,227,986	28,939,307
	36,077,986	**32,789,307**
Equity		
Total borrowings	9,882,250	10,435,000
Less: cash and cash equivalents	(3,918,226)	(5,887,692)
Net debt	**5,964,024**	**4,547,308**
Total capital	**42,042,010**	**37,336,615**
Gearing	14%	12%

(m) Critical judgements in applying accounting policies and key sources of estimation uncertainty

In the process of applying the company's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within current and future financial years. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The critical areas of accounting estimates and judgements in relation to the preparation of these financial statements are as set out below:

Impairment of assets

At each balance sheet date, the company reviews the carrying amount of its assets to determine whether there is any indication that these assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of impairment.

Property, plant and equipment

Critical estimates are made by directors in determining the useful lives and residual values to property, plant and equipment based on the intended use of the assets and the economic lives of those assets. Subsequent changes in circumstances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

F INCOME STATEMENTS FOR THE FIVE YEARS TO 31 MARCH 2007 AND SIX MONTHS ENDED 30 SEPTEMBER 2007

	Notes	30 September 2007 (6 months) Sh'000	31 March 2007 (12 months) Sh'000	31 March 2006 (12 months) Sh'000	31 March 2005 (12 months) Sh'000	31 March 2004 (12 months) Sh'000	31 March 2003 (12 months) Sh'000
Sales	1	28,649,801	47,447,490	34,971,944	26,911,918	18,857,645	14,304,441
Cost of sales		(12,128,280)	(18,155,340)	(12,915,720)	(10,416,948)	(7,310,407)	(5,917,384)
Gross profit		16,521,521	29,292,150	22,056,224	16,494,970	11,547,238	8,387,057
Other operating income		3,646	17,250	10,555	8,450	11,404	2,797
Distribution costs		(1,360,395)	(1,389,832)	(952,864)	(480,939)	(382,979)	(486,609)
Administrative expenses		(1,404,318)	(2,147,902)	(1,659,680)	(1,293,339)	(1,406,629)	(1,088,554)
Other operating expenses		(4,799,910)	(7,983,147)	(6,678,066)	(5,757,821)	(3,804,975)	(2,583,864)
Operating profit	2	8,960,544	17,788,519	12,776,169	8,971,321	5,964,059	4,230,827
Finance income/(costs)	4	1,575,237	(595,780)	(565,626)	(526,855)	(834,461)	(1,108,068)
Profit before income tax		10,535,781	17,192,739	12,210,543	8,444,466	5,129,598	3,122,759
Income tax expense	5	(3,247,102)	(5,182,308)	(3,785,087)	(2,589,086)	(1,680,955)	(1,079,390)
Profit for the year		7,288,679	12,010,431	8,425,456	5,855,380	3,448,643	2,043,369
Dividends per share(Sh'000)	6	-	400.00	299.17	-	-	-
Earning per share (Sh'000)							
- basic and diluted	7	728.87	1,201.04	842.55	585.54	344.86	204.34

G BALANCE SHEETS FOR THE LAST FIVE YEARS TO 31 MARCH 2007 AND AS AT 30 SEPTEMBER 2007

ASSETS	Notes	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
NON-CURRENT ASSETS							
Property, plant & Equipment	8	51,670,932	42,731,653	32,791,283	26,861,240	19,241,755	14,665,168
Prepaid operating lease rentals	9	2,205	2,487	4,223	4,690	7,153	7,076
Intangible assets	10	2,204,767	2,368,083	2,679,247	3,004,003	3,328,761	3,966,291
Deferred income tax	11	1,308,949	1,156,272	936,452	762,488	356,032	144,210
		55,186,853	46,258,495	36,411,205	30,632,421	22,933,701	18,782,745
CURRENT ASSETS							
Inventories	12	1,902,101	1,234,645	1,101,022	579,679	613,095	217,517
Receivables and prepayments	13	6,222,016	3,027,407	3,515,266	2,724,537	2,091,611	2,725,128
Cash and cash equivalents	14	3,918,226	5,887,692	2,917,454	437,184	930,895	1,791,439
Derivative financial instruments	18	137,420	-	-	-	-	-
		12,179,763	10,149,744	7,533,742	3,741,400	3,635,601	4,734,084
TOTAL ASSETS		**67,366,616**	**56,408,239**	**43,944,947**	**34,373,821**	**26,569,302**	**23,516,829**
SHAREHOLDERS' FUNDS AND LIABILITIES							
CAPITAL & RESERVES							
Share capital	15	1	1	1	1	1	1
Share premium		3,849,999	3,849,999	3,849,999	3,849,999	3,849,999	3,849,999
Retained earnings		32,227,986	28,939,307	16,928,876	11,495,093	5,639,713	2,191,070
Hedging reserve		-	-	-	-	(77,068)	(112,525)
Shareholders' Funds		36,077,986	32,789,307	20,778,876	15,345,093	9,412,645	5,928,545
NON-CURRENT LIABILITIES							
Borrowings	16	5,890,000	10,435,000	9,235,000	6,836,975	9,496,882	10,837,892
CURRENT LIABILITIES							
Borrowings	16	3,992,250	-	16,726	2,684,908	2,340,806	2,133,935
Payables and accrued expenses	17	17,240,543	12,390,146	10,568,573	8,777,985	4,771,745	4,122,268
Current income tax	5	165,837	754,046	354,099	650,860	437,127	494,189
Derivative financial instruments	18	-	39,740	-	78,000	110,097	-
Dividends payable	6	4,000,000	-	2,991,673	-	-	-
		25,398,630	13,183,932	13,931,071	12,191,753	7,659,775	6,750,392
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		**67,366,616**	**56,408,239**	**43,944,947**	**34,373,821**	**26,569,302**	**23,516,829**

H STATEMENT OF CHANGES IN EQUITY FOR THE FIVE YEARS TO 31 MARCH 2007 AND SIX MONTHS ENDED 30 SEPTEMBER 2007

	Share capital Sh'000	Share premium Sh'000	Retained earnings Sh'000	Hedging reserve Sh'000	Total Sh'000
At start of year 1 April 2002	1	3,849,999	147,701	-	3,997,701
Far value loss on interest rate swap	-	-	-	(160,750)	(160,750)
Deferred tax on fair value loss	-	-	-	48,225	48,225
Net losses recognized directly in equity	-	-	-	(112,525)	(112,525)
Profit for the year	-	-	2,043,369	-	2,043,369
At end of year 31 March 2003	1	3,849,999	2,191,070	(112,525)	5,928,545
Far value gain on interest rate swap	-	-	-	50,653	50,653
Deferred tax on fair value gain	-	-	-	(15,196)	(15,196)
Net gain recognized directly in equity	-	-	-	35,457	35,457
Profit for the year	-	-	3,448,643	-	3,448,643
At end of year 31 March 2004	1	3,849,999	5,639,713	(77,068)	9,412,645
Transfer to income statement	-	-	-	110,097	110,097
Deferred tax on transfer	-	-	-	(33,029)	(33,029)
Net transfer to income statement	-	-	-	77,068	77,068
Profit for the year	-	-	5,855,380	-	5,855,380
At end of year 31 March 2005	1	3,849,999	11,495,093	-	15,345,093
Profit for the year	-	-	8,425,456	-	8,425,456
Dividends:					
- Declared for 2006	-	-	(2,991,673)	-	(2,991,673)
At end of year 31 March 2006	1	3,849,999	16,928,876	-	20,778,876
Profit for the year	-	-	12,010,431	-	12,010,431
At end of year 31 March 2007	1	3,849,999	28,939,307	-	32,789,307
Dividend:					
-Declared for 2007	-	-	(4,000,000)	-	(4,000,000)
Profit for the period	-	-	7,288,679	-	7,288,679
At end of period 30 September 2007	1	3,849,999	32,227,986	-	36,077,986

I CASH FLOW STATEMENTS FOR THE FIVE YEARS TO 31 MARCH 2007 AND HALF YEAR TO 30 SEPTEMBER 2007

	Notes	30 September 2007 (6 months) Sh'000	31 March 2007 (12 months) Sh'000	31 March 2006 (12 months) Sh'000	31 March 2005 (12 months) Sh'000	31 March 2004 (12 months) Sh'000	31 March 2003 (12 months) Sh'000
CASH FLOWS FROM OPERATING ACTIVITIES							
Cash generated from operations	19	13,707,531	26,289,389	19,020,921	17,516,473	10,617,626	4,155,447
Interest received	4	1,360,837	258,218	74,446	22,726	36,041	72,854
Interest paid	4	(253,193)	434,968	(408,527)	(426,669)	(598,911)	(600,654)
Income tax paid	5	(3,987,988)	(5,002,191)	(4,256,146)	(2,814,838)	(1,965,035)	(618,870)
Net cash from operating activities		10,827,187	21,110,448	14,430,694	14,297,692	8,089,721	3,008,777
INVESTING ACTIVITIES							
Purchase of property, plant and equipment		(12,803,386)	(16,337,975)	(11,402,143)	(12,440,172)	(7,747,137)	(6,702,634)
Proceeds from disposal of property, plant and equipment		6,733	21,164	13,980	19,280	32,506	19,800
Payment of license	10	-	(15,000)	-	-	-	-
Net cash used in investing activities		(12,796,653)	(16,331,811)	(11,388,163)	(12,420,892)	(7,714,631)	(6,682,834)
FINANCING ACTIVITIES							
Repayment of bank borrowings		-	(16,726)	(5,286,883)	(2,359,224)	(1,215,421)	-
Borrowing during the year/period		-	1,200,000	5,016,726	-	-	4,576,077
Other financing costs paid		-	-	(292,104)	(11,287)	(20,213)	(511,351)
Dividend paid		-	(2,991,673)	-	-	-	-
NET CASH GENERATED FROM/ (USED IN) FINANCING ACTIVITIES		-	(1,808,399)	(562,261)	(2,370,511)	(1,235,634)	4,064,726
(Decrease)/increase in cash and cash equivalents		(1,969,466)	2,970,238	2,480,270	(493,711)	(860,544)	390,669
MOVEMENTS IN CASH AND CASH EQUIVALENTS							
At start of year		5,887,692	2,917,454	437,184	930,895	1,791,439	1,400,770
(Decrease)/increase		(1,969,466)	2,970,238	2,480,270	(493,711)	(860,544)	390,669
At end of year	14	3,918,226	5,887,692	2,917,454	437,184	930,895	1,791,439

J NOTES TO THE FINANCIAL STATEMENTS

	30 September 2007 (6 months) Sh'000	31 March 2007 (12 months) Sh'000	31 March 2006 (12 months) Sh'000	31 March 2005 (12 months) Sh'000	31 March 2004 (12 months) Sh'000	31 March 2003 (12 months) Sh'000
1. Analysis of sales by category						
Revenue from services	27,975,409	46,741,998	34,578,594	26,371,630	18,099,068	12,952,195
Revenue from sales of mobile phones handsets and starter packs	674,392	705,492	393,350	540,288	758,577	1,352,246
	28,649,801	47,447,490	34,971,944	26,911,918	18,857,645	14,304,441
2. Operating profit						
The following items have been charged/(credited) in arriving at operating profit:						
Directors emoluments – fees	260	450	350	220	-	-
Depreciation on property, plant and equipment	3,861,020	6,393,676	5,468,675	4,809,855	3,149,448	1,845,875
Amortisation of intangible assets	163,316	326,163	324,757	324,758	637,530	699,919
Inventories expensed under cost of sales	1,836,990	1,925,756	1,932,142	2,115,035	-	-
Repairs and maintenance expenditure on property, plant and equipment	30,077	30,226	12,722	8,424	6,718	11,055
Profit on disposal of property, plant and equipment	(3,646)	(17,250)	(10,555)	(8,448)	(11,404)	(2,797)
Operating lease rentals						
- buildings	88,649	154,584	107,236	78,252	50,179	44,320
- sites	102,264	160,416	220,793	105,636	63,145	39,733
Receivables – provision for impairment losses	39,529	227,773	65,093	36,821	6,730	26,902
Employee benefits expenses (Note 3)	1,004,857	1,522,666	1,169,575	805,282	682,682	507,470
Auditors' remuneration	8,800	11,050	10,495	5,057	4,400	3,767
Exceptional transfer from hedging reserve deficit	-	-	-	77,068	-	-
3. Employee benefits expenses						
The following items are included within employee benefits expense:						
Salaries & wages	955,572	1,448,589	1,115,373	744,255	643,207	478,170
Retirement benefits costs:						
- Defined contribution scheme	47,414	71,331	52,098	59,399	37,972	28,027
- National Social Security Fund	1,871	2,746	2,104	1,628	1,503	1,273
	1,004,857	1,522,666	1,169,575	805,282	682,682	507,470
4. Finance (income)/costs						
Interest expense – bank borrowings	253,193	434,968	124,890	118,915	176,988	600,654
Interest expense – medium term note	-	-	197,706	230,551	421,923	-
Net foreign exchange losses/(gains)	85,157	419,030	(60,559)	33,759	241,617	76,514
Other financial (income)/costs	-	-	292,104	11,288	20,213	511,351
Interest rate swaps: cash flow hedges	-	-	85,931	77,068	-	-
Interest income	(1,360,837)	(258,218)	(74,446)	(22,726)	(26,280)	(80,451)
Forward foreign exchange contracts	-	-	-	78,000	-	-
Foreign exchange gain on shareholders' loans	(552,750)	-	-	-	-	-
	(1,575,237)	595,780	565,626	526,855	834,461	1,108,068

J NOTES TO THE FINANCIAL STATEMENTS (Continued)

5. Income tax expense

	30 September 2007 (6 months) Sh'000	31 March 2007 (12 months) Sh'000	31 March 2006 (12 months) Sh'000	31 March 2005 (12 months) Sh'000	31 March 2004 (12 months) Sh'000	31 March 2003 (12 months) Sh'000
Current income tax	3,399,779	5,402,128	3,959,051	3,028,571	1,907,973	1,161,853
Deferred income tax credit (Note 11)	(152,677)	(219,820)	(173,964)	(439,485)	(227,018)	(68,958)
Prior years' under provision of current tax	-	-	-	-	-	1,495
Prior years' over provision of deferred tax	-	-	-	-	-	(15,000)
Income tax expense	3,247,102	5,182,308	3,785,087	2,589,086	1,680,955	1,079,390

The tax on the company's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	30 September 2007 (6 months) Sh'000	31 March 2007 (12 months) Sh'000	31 March 2006 (12 months) Sh'000	31 March 2005 (12 months) Sh'000	31 March 2004 (12 months) Sh'000	31 March 2003 (12 months) Sh'000
Profit before income tax	10,535,781	17,192,739	12,210,543	8,444,466	5,129,598	3,122,759
Tax calculated at the statutory income tax rate of 30%	3,160,735	5,157,822	3,663,163	2,533,340	1,538,880	936,828
Tax effect of:						
- income not subject to tax	-	-	-	(33)	(672)	-
- expenses not deductible for tax purposes:	62,971	24,486	121,924	55,779	142,747	156,067
Prior years' under provision of current tax	(101)	-	-	-	-	1,495
Prior years' over provision of deferred tax	23,497	-	-	-	-	(15,000)
Income tax expense	3,247,102	5,182,308	3,785,087	2,589,086	1,680,955	1,079,390
Movement in current income tax in the year:						
At the start of period	754,046	354,099	650,860	437,127	494,189	(50,289)
Charge for the period	3,399,779	5,402,128	3,959,051	3,028,571	1,907,973	1,163,348
Paid in the period	(3,987,988)	(5,002,181)	(4,255,812)	(2,814,838)	(1,965,035)	(618,870)
At the end of year	165,837	754,046	354,099	650,860	437,127	494,189

6. Dividends Per Share

Dividends per share is calculated by dividing the paid or proposed dividends by the number of ordinary shares in issue during the period as follows:

	30 September 2007 (6 months)	31 March 2007 (12 months)	31 March 2006 (12 months)	31 March 2005 (12 months)	31 March 2004 (12 months)	31 March 2003 (12 months)
Dividends (Sh'000)	-	4,000,000	2,991,673	-	-	-
Number of shares in issue	10,000	10,000	10,000	10,000	10,000	10,000
Dividends per share (Sh'000)	-	400.00	299.17	-	-	-

At the annual general meeting held on 11 September 2007, a dividend in respect of the year ended 31 March 2007 amounting to Sh 4,000,000,000 was declared. At a meeting held on 7 March 2006, the board of directors declared payment of a special dividend of Sh 2,991,672,932 to the shareholders.

J NOTES TO THE FINANCIAL STATEMENTS (Continued)

7. Earnings Per Share

Earnings per share is calculated based on the profit attributable to shareholders divided by the number of ordinary shares in issue in each period as follows:

	30 September 2007 (6 months)	31 March 2007 (12 months)	31 March 2006 (12 months)	31 March 2005 (12 months)	31 March 2004 (12 months)	31 March 2003 (12 months)
Profit after taxation (Sh'000)	7,288,679	12,010,431	8,425,456	5,855,380	3,448,643	2,043,369
Number of shares in issue	10,000	10,000	10,000	10,000	10,000	10,000
Basic earnings per share (Sh'000)	728.87	1,201.04	842.55	585.54	344.86	204.34

Diluted earnings per share is the same as the basic earnings per share.

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
8. Property, plant and equipment						
COST – Net book value						
Network infrastructure	37,240,108	35,040,271	26,615,933	18,734,651	13,189,438	8,958,556
Capital work in progress	12,069,855	5,469,446	4,995,302	7,407,899	5,259,446	5,024,809
Leasehold improvement	434,675	383,264	351,792	171,119	240,871	314,341
Equipment and motor vehicles	1,926,294	1,838,672	828,256	547,571	552,000	367,462
	51,670,932	42,731,653	32,791,283	26,861,240	19,241,755	14,665,168

9. Prepaid operating lease rentals

Prepaid operating lease rentals relate to payments made in advance for the rental of sites on which the company's equipment is located.

The analysis of prepaid operating lease rentals is as follows:

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
At start of year	262,393	206,633	68,874	50,994	33,342	18,252
Additions	131,880	216,176	358,552	123,516	80,797	54,823
Amortisation charge for the year	(102,264)	(160,416)	(220,793)	(105,636)	(63,145)	(39,733)
At end of year	292,009	262,393	206,633	68,874	50,994	33,342
Current portion	(289,804)	(259,906)	(202,410)	(64,184)	(43,841)	(26,266)
Non current portion	2,205	2,487	4,223	4,690	7,153	7,076

J NOTES TO THE FINANCIAL STATEMENTS (Continued)

10. Intangible assets

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
Cost:						
At start of year	4,250,000	4,235,000	4,235,000	5,610,733	5,610,733	5,610,733
Additions	-	15,000	-	-	-	-
Adjustment on opening balance*	-	-	-	(1,375,733)	-	-
At end of year	4,250,000	4,250,000	4,235,000	4,235,000	5,610,733	5,610,733
Amortisation:						
At start of year	1,881,917	1,555,753	1,230,996	2,281,972	1,644,442	944,523
Charge for the year	163,316	326,164	324,757	324,758	637,530	699,919
Adjustment on opening balance*	-	-	-	(1,375,733)	-	-
At end of year	2,045,233	1,881,917	1,555,753	1,230,997	2,281,972	1,644,442
Net book value	2,204,767	2,368,083	2,679,247	3,004,003	3,328,761	3,966,291
Comprising:						
Licence fees	2,204,767	2,368,083	2,679,247	3,004,003	3,328,761	3,653,518
Good will	-	-	-	-	-	312,773
	2,204,767	2,368,083	2,679,247	3,004,003	3,328,761	3,966,291

* Adjustment on opening balances in 2005 relates to fully amortised goodwill written off.

11. Deferred income tax

Deferred income tax is calculated using the enacted income tax rate of 30%. The movement on the deferred income tax account is as follows:

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
At start of year	1,156,272	936,452	762,488	356,032	144,210	12,027
Credit to income statement	152,677	219,820	173,964	439,485	227,018	68,958
(Credit)/charge to equity	-	-	-	(33,029)	(15,196)	48,225
Prior years' over provision	-	-	-	-	-	15,000
At end of year	1,308,949	1,156,272	936,452	762,488	356,032	144,210

Deferred income tax assets and liabilities and deferred income tax charge/(credit) in the income statement are attributable to the following items:

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
Deferred income tax assets						
Accelerated capital allowances	(1,187,196)	(968,759)	(930,855)	(692,829)	(277,956)	(50,410)
Unrealised exchange loss	(42,793)	(31,837)	(3,938)	(115,022)	(86,310)	(52,363)
Provisions	(280,785)	(155,699)	(21,034)	(18,402)	(2,019)	(51,098)
Derivative financial instruments	-	-	-	(23,400)	(33,029)	-
	(1,510,774)	(1,156,295)	(955,827)	(849,653)	(399,314)	(153,871)
Deferred income tax liabilities						
Unrealised exchange gains	201,825	23	19,375	87,165	43,282	9,661
	(1,308,949)	(1,156,272)	(936,452)	(762,488)	(356,032)	(144,210)

J NOTES TO THE FINANCIAL STATEMENTS (Continued)

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
12. Inventories						
Network spare parts	1,548,375	912,980	950,744	383,744	352,971	-
Less: Provision for impairment losses	(301,359)	(251,235)	(150,000)	-	-	-
	1,247,016	661,745	800,744	383,744	352,971	-
Handsets and accessories	407,050	294,395	119,533	35,561	130,841	131,076
Scratch cards	154,119	97,774	61,545	42,519	51,111	10,305
Starter packs	78,816	168,574	90,925	96,479	58,992	61,782
Stationery and other stocks	15,100	12,157	28,275	21,376	19,180	8,078
Goods in transit	-	-	-	-	-	6,276
	1,902,101	1,234,645	1,101,022	579,679	613,095	217,517

13. Receivables and prepayments

Trade receivables	2,312,913	1,660,484	1,108,031	786,417	634,455	362,853
Less: Provision for impairment losses	(322,649)	(306,811)	(112,955)	(56,122)	(32,399)	(30,418)
	1,990,264	1,353,673	995,076	730,295	602,056	332,435
Prepayments	803,608	699,340	767,236	334,258	265,046	336,112
Amounts due from related companies (Note 22)	3,031,232	472,426	1,637,937	1,604,704	1,145,802	1,904,269
Other receivables	396,912	501,968	115,017	55,280	78,707	152,312
	6,222,016	3,027,407	3,515,266	2,724,537	2,091,611	2,725,128

14. Cash and cash equivalents

The year end cash and cash equivalents comprise the following:

Cash at bank and in hand	1,901,676	2,331,204	2,857,018	412,295	503,361	250,964
Short term bank deposits	2,016,550	3,556,488	38,000	-	127	163,147
Escrow Bank Account	-	-	22,436	24,889	427,407	1,377,328
	3,918,226	5,887,692	2,917,454	437,184	930,895	1,791,439
Weighted average interest rates:	%	**%**	**%**	**%**	**%**	**%**
Short term deposits	7.95	5.00	6.00	4.90	3.08	6.00
Escrow bank account	-	-	4.00	4.62	2.58	2.20

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held at call with banks.

J NOTES TO THE FINANCIAL STATEMENTS (Continued)

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
15. Share capital						
Authorised:						
- 19,999,800 ordinary shares with a par value of 10 cents per share.	2,000	2,000	2,000	2,000	2,000	2,000
- 5 non-voting, non-participating, deferred shares of Sh 4 each.	-	-	-	-	-	-
Total authorised share capital	2,000	2,000	2,000	2,000	2,000	2,000
Issued:						
10,000 ordinary shares at 10 cents per share	1	1	1	1	1	1
5 non-voting, non-participating deferred shares at Sh 4 per share	-	-	-	-	-	-
Total issued share capital	1	1	1	1	1	1

16. Borrowings

The borrowings are made up as follows:

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
Non current						
Bank borrowings	5,890,000	6,200,000	5,000,000	2,601,975	3,581,882	3,360,862
Shareholders' loans (Note 22)	-	4,235,000	4,235,000	4,235,000	4,235,000	4,235,000
Medium term note	-	-	-	-	1,680,000	3,200,000
Interest rate swap	-	-	-	-	-	42,030
	5,890,000	10,435,000	9,235,000	6,836,975	9,496,882	10,837,892
Current						
Bank borrowings	310,000	-	16,726	1,004,908	820,806	1,215,215
Medium term note		-	-	1,680,000	1,520,000	800,000
Interest rate swap	-	-	-	-	-	118,720
Shareholders' loans (Note 22)	3,682,250	-	-	-	-	-
	3,992,250	-	16,726	2,684,908	2,340,806	2,133,935
Total borrowings	9,882,250	10,435,000	9,251,726	9,521,883	11,837,688	12,971,827

The company has a loan facility of Sh 12 billion from a syndicate of international banks. The borrowing are secured by a fixed and floating charge over the company's property and assets, both present and future. The shareholders have also pledged 40% of their shares in the company as security to the lenders.

The company has, to date, drawn Sh 6.2 billion out of this facility. The loan period is five years and repayment on the principal will start in April 2008.

The interest for the bank borrowings is payable quarterly at a margin of 1% over the reference 91 day treasury bill rate.

16. Borrowings (Continued)

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
Weighted average effective interest rates at the year end were:						
- bank borrowings	7.92%	7.63%	3.67%	3.58%	3.08%	6.75%
- medium term note	-	-	9.33%	9.25%	2.58%	9.42%
	=========	=========	=========	=========	=========	=========

In the opinion of the directors, the carrying amounts of non current borrowings approximate to their fair value.

Sub-ordination of the shareholder loans

The shareholders' loans comprise a loan of US $ 33 million made by Telkom Kenya Limited and another of US $ 22 million made by Vodafone Kenya Limited in May 2000. The conditions of the loans were that they would be converted into equity so they were considered to be investments hence not repayable to the lenders. As a result, the loans were treated as non-monetary liabilities and translated at the agreed rate at that time and maintained in the books as local currency loans. The loans are non-interest bearing.

In November 2007, an agreement was reached to repay the loans at the original amounts disbursed that is, US $ 55 million. As a result, the loans have been translated using the closing rate as at 30 September 2007 of Shs 66.95 to the US $.

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
17. Payables and accrued expenses						
Trade payables	4,313,854	3,564,727	2,219,639	3,222,498	664,871	337,303
Accrued expenses	10,713,332	6,243,667	6,378,822	4,355,339	3,352,586	3,206,772
Other payables	2,213,357	2,581,752	1,970,112	1,200,148	754,288	578,193
	17,240,543	12,390,146	10,568,573	8,777,985	4,771,745	4,122,268
	========	========	========	=========	========	========
18. Derivative financial instruments						
Forward foreign exchange contracts – fair value hedges (asset)/liability	(137,420)	39,740	-	78,000	110,097	-
	=========	=========	=========	=========	=========	=========

19. Cash generated from operations

Reconciliation of profit before income tax to cash generated from operations:

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
Profit before income tax	10,535,781	17,192,739	12,210,543	8,444,466	5,129,598	3,122,759
Adjustments for:						
Interest income	(1,360,837)	(258,218)	(74,446)	(22,726)	(26,280)	(80,451)
Interest expense	253,193	(434,968)	322,596	349,466	598,911	600,654
Exchange loss/(gains) on borrowings	(552,750)	419,030	(77,667)	43,553	242,032	-
Finance costs – interest rate swaps	-	-	85,931	-	-	-
Other financing (income)/costs	-	-	292,104	11,288	20,213	511,351
Fair values loss on financial instruments	(177,160)	39,740	-	155,068	-	
Depreciation	3,861,020	6,393,676	5,468,675	4,809,855	3,149,448	1,845,875
Prepayment of operating lease rentals	(131,880)	(216,176)	(358,552)	(123,516)	(80,797)	(54,823)
Amortisation of prepaid operating lease rentals	102,264	160,416	220,793	105,636	63,145	39,733
Amortisation of intangible assets	163,316	326,164	324,757	324,758	637,530	699,919
Profit on sale of property, plant and equipment	(3,646)	(17,250)	(10,555)	(8,448)	(11,404)	(2,797)
Changes in working capital						
- Receivables and prepayments	(3,164,711)	545,380	(652,503)	(612,583)	641,331	(1,086,038)
- Inventories	(667,456)	(133,623)	(521,343)	33,416	(395,578)	(122,775)
- Payables and accrued expenses	4,850,397	1,821,573	1,790,588	4,006,240	649,477	(1,317,960)
Cash generated from operations	13,707,531	26,289,389	19,020,921	17,516,473	10,617,626	4,155,447
	========	========	========	=========	=========	========

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
20. Contingent liabilities						
Guarantees – customs and excise duties	-	-	43,933,317	44,833,917	43,933,917	43,933,917
Guarantees to third parties	6,339,047	17,332,351	2,192,072	1,423,003	3,399,132	37,156,779
	6,339,047	17,332,351	46,125,389	46,256,920	47,333,049	81,090,696

21. Commitments

Capital commitments

Capital expenditure contracted for at the balance sheet date but not recognised in the financial statements is as follows:

	30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
Property, plant and equipment	8,795,454	580,278	1,408,527	698,725	796,073	6,699,141
Operating lease commitments						
The future minimum lease payments under non-cancellable operating lease are as follows:						
Not later than 1 year	221,338	208,108	104,047	210,014	126,024	98,094
Later than 1 year and no later than 5 years	1,201,107	949,535	448,694	432,042	469,950	444,366
Later than 5 years	690,839	231,653	125,050	57,148	39,017	125,316
	2,113,284	1,389,296	677,791	699,204	634,991	667,776

Forward exchange contracts commitments

The company has entered into forward exchange contract agreements with a local bank to buy foreign currency at specified dates to enable it pay its foreign suppliers when the amounts are due. The contracts run to March 2008. The committed amounts as at 30 September 2007 are US $ 25 million and Euro 35 million. Based on the forward exchange rates the equivalent local currency value is Shs 4,670,130,000.

22 Related party transactions

The company has two shareholders: Telkom Kenya Limited incorporated in Kenya and Vodafone Kenya Limited whose ultimate parent is Vodafone Group Plc incorporated in the United Kingdom. Vodafone Group Plc is responsible for the management of the company. The company also has a Kama Kawaida contract with Vodacom Tanzania a company that is controlled by Vodacom South Africa, whose ultimate parent is Vodafone Group Plc.

The following transactions were carried out with related parties:

		30 September 2007 Sh'000	31 March 2007 Sh'000	31 March 2006 Sh'000	31 March 2005 Sh'000	31 March 2004 Sh'000	31 March 2003 Sh'000
(a)	**Sale of services**						
	- Telkom Kenya Limited	898,155	1,497,297	2,036,109	3,320,015	3,125,830	3,364,650
	- Vodafone Group Plc	76,853	137,998	140,322	114,346	93,225	55,207
	- Vodacom Tanzania	83,055	-	-	-	-	-
	- Vodafone Kenya Limited	75	-	-	-	-	-
		1,058,138	1,635,295	2,176,431	3,434,361	3,219,055	3,419,857
(b)	**Purchase of services**						
	- Telkom Kenya Limited	50,893	429,250	1,038,267	1,038,267	845,474	1,232,253
	- Vodafone Group Plc	20,729	28,751	325,137	325,137	297,473	279,503
	- Vodacom Tanzania	80,649	-	-	-	-	-
		152,271	458,001	1,363,404	1,363,404	1,142,947	1,511,756
(c)	**Key management compensation**						
	Salaries and other short-term employment benefits	102,439	177,466	134,665	109,924	100,433	83,014
(d)	**Directors' remuneration**						
	Fees for services as a director	260	450	350	220	-	-
(e)	**Outstanding balances arising from sale and purchase**						
	Amounts due from:						
	- Telkom Kenya Limited	2,995,056	455,994	1,632,859	1,603,985	1,137,763	1,848,122
	- Vodafone Limited	18,546	16,432	5,078	719	8,039	56,147
	- Vodacom Tanzania	16,924	-	-	-	-	-
	- Vodafone Kenya Limited	706	-	-	-	-	-
		3,031,232	472,426	1,637,937	1,604,704	1,145,802	1,904,269
(f)	**Loans from shareholders**						
	- Telkom Kenya Limited	2,209,350	2,541,000	2,541,000	2,541,000	2,541,000	2,541,000
	- Vodafone Kenya Limited	1,472,900	1,694,000	1,694,000	1,694,000	1,694,000	1,694,000
		3,682,250	4,235,000	4,235,000	4,235,000	4,235,000	4,235,000

J NOTES TO THE FINANCIAL STATEMENTS (Continued)

g) Loans to the directors of the company

There were no loans to the directors of the company at 30 September 2007.

h) Contingencies

The company had no guarantees on bank loans to its related parties at 30 September 2007.

K CONSENT

We consent to the inclusion of this report in the prospectus in the form and context in which it appears.

L OPINION

In our opinion, the financial information set out in this Accountants' Report gives, for the purposes of the prospectus, a true and fair view of the state of affairs of the company at the dates stated and of the results for the years then ended.

Yours faithfully

DELOITTE & TOUCHE
CERTIFIED PUBLIC ACCOUNTANTS (KENYA)

28 March 2008

The Directors
Safaricom Limited
Safaricom House
P O Box 46350 00100
Nairobi

Dear Sirs,

INTERIM REVIEW REPORT FOR THE NINE MONTHS ENDED 31 DECEMBER 2007

We have reproduced in full below, the independent auditors' interim review report by PricewaterhouseCoopers on the condensed interim financial statements of Safaricom Limited for the nine months to 31 December 2007. The condensed income statement, the condensed balance sheet, the condensed statement of changes in equity and the condensed cash flows for the nine months to 31 December 2007 are set out on pages 162 to 165.

Interim Review Report by PricewaterhouseCoopers

REPORT OF THE INDEPENDENT AUDITOR TO THE DIRECTORS OF SAFARICOM LIMITED

Introduction
We have reviewed the accompanying condensed balance sheet of Safaricom Limited as of 31 December 2007 and the related condensed statements of income, changes in equity and cash flows for the nine-month period then ended. Management is responsible for the preparation and presentation of this condensed interim financial information in accordance with International Accounting Standard 34 "Interim Financial Reporting". Our responsibility is to express a conclusion on this interim financial information based on our review. Management did not issue interim financial statements in the prior year and hence we did not perform an audit or review of interim financial information as of and for the period ended 31 December 2006.

Scope of Review
We conducted our review in accordance with International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity." A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion
Based on our review, nothing has come to our attention that causes us to believe that the accompanying condensed interim financial information is not prepared, in all material respects, in accordance with International Accounting Standard 34 "Interim Financial Reporting".

Other matters
This report, including the conclusion, has been prepared for and only for the company for the purpose of inclusion in the Company prospectus to be used in the initial public offering of the Company's shares and for no other purpose. We do not, in producing this report, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

PricewaterhouseCoopers

PricewaterhouseCoopers
Certified Public Accountants — 4 March 2008
Nairobi

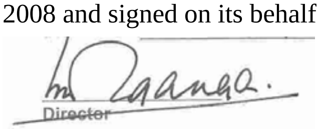
Profit and loss account

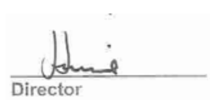
	Notes	Nine months ended 31 December 2007 Shs'000	Nine months ended 31 December 2006 Shs'000
Sales	5	45,389,183	34,161,679
Cost of sales		(19,731,679)	(13,315,007)
Gross profit		25,657,504	20,846,672
Other operating income		15,887	16,814
Distribution costs		(1,954,589)	(986,044)
Administrative expenses		(2,259,095)	(1,533,064)
Other operating expenses		(7,508,676)	(5,737,713)
Operating profit	6	13,951,031	12,606,665
Finance income	7	2,161,480	248,772
Finance costs	7	(423,934)	(775,289)
Profit before income tax		15,688,577	12,080,148
Income tax expense	8	(4,821,856)	(3,685,730)
Profit for the year		10,866,721	8,394,418
Earnings per share for profit attributable to the equity holders of the Company			
- basic and diluted (Shs per share)	9	1,086,672	839,442

Balance sheet

	Notes	31 December 2007 Shs'000	31 March 2007 Shs'000
CAPITAL EMPLOYED			
Share capital	10	1	1
Share premium	10	3,849,999	3,849,999
Retained earnings		35,806,028	24,939,307
Proposed dividends		-	4,000,000
Shareholders' funds		39,656,028	32,789,307
Non-current liabilities			
Borrowings	12	6,480,000	10,435,000
		46,136,028	43,224,307
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	13	53,941,757	42,731,653
Prepaid operating lease rentals	14	2,061	2,487
Intangible assets	15	3,755,015	2,368,083
Deferred income tax		1,370,409	1,156,272
		59,069,242	46,258,495
Current assets			
Inventories	16	1,914,657	1,234,645
Receivables and prepayments	17	5,039,306	3,027,407
Cash and cash equivalents	18	2,025,053	5,887,692
		8,979,016	10,149,744
Current liabilities			
Payables and accrued expenses	19	18,858,835	12,390,146
Current income tax		316,465	754,046
Borrowings	12	2,720,000	-
Derivative financial instruments	11	16,930	39,740
		21,912,230	13,183,932
Net current liabilities		(12,933,214)	(3,034,188)
		46,136,028	43,224,307

The interim financial statements on pages 162 to 182 were approved for issue by the board of directors on 4 March 2008 and signed on its behalf by:





By /s/ Nicholas Nganga

By /s/ Nancy W. Macharia

Statement of changes in equity

	Share capital	Share premium	Retained earnings	Total
	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 March 2006				
At start of period	1	3,849,999	11,495,093	15,345,093
Profit for the period	-	-	8,425,456	8,425,456
Dividends:				
- Declared for 2006	-	-	(2,991,673)	(2,991,673)
At end of period	1	3,849,999	16,928,876	20,778,876
Period ended 31 December 2006				
At start of period	1	3,849,999	16,928,876	20,778,876
Profit for the period	-	-	8,394,418	8,394,418
	1	3,849,999	25,323,294	29,173,294
Year ended 31 March 2007				
At start of year	1	3,849,999	16,928,876	20,778,876
Profit for the year	-	-	12,010,431	12,010,431
At end of year (includes proposed dividend of Shs 4,000,000,000)	1	3,849,999	28,939,307	32,789,307
Period ended 31 December 2007				
At start of period	1	3,849,999	28,939,307	32,789,307
Profit for the period	-	-	10,866,721	10,866,721
Declared dividend	-	-	(4,000,000)	(4,000,000)
	1	3,849,999	35,806,028	39,656,028

Cash flow statement

	Notes	Nine months ended 31 December 2007 Shs'000	Nine months ended 31 December 2006 Shs'000
Operating activities			
Cash generated from operations	21	24,617,374	20,570,831
Interest received	7	1,429,980	248,772
Interest paid	7	(400,357)	(388,014)
Income tax paid		(5,473,573)	(3,784,170)
Net cash from operating activities		20,173,424	16,647,419
Investing activities			
Purchase of property, plant and equipment	13	(17,146,370)	(13,374,485)
Proceeds from disposal of property, plant and equipment		19,057	19,051
Payment of license fee	15	(1,673,750)	(15,000)
Net cash used in investing activities		(18,801,063)	(13,370,434)
Financing activities			
Repayment of bank borrowings	12	-	(16,726)
Proceeds from borrowings	12	3,000,000	1,200,000
Repayment of shareholder loans	12	(4,235,000)	-
Dividend paid	9	(4,000,000)	(2,991,673)
Net cash used in financing activities		(5,235,000)	(1,808,399
(Decrease)/Increase in cash and cash equivalents		(3,862,639)	1,468,586
Movement in cash and cash equivalents			
At start of period		5,887,692	2,917,454
(Decrease)/Increase		(3,862,639)	1,468,586
At end of period	18	2,025,053	4,386,040

Notes

1 General information

Safaricom Limited is incorporated in Kenya under the Companies Act as a private limited liability company, and is domiciled in Kenya. The address of its registered office is:

L.R. No. 13263
Safaricom House, Waiyaki Way
P.O Box 46350 – 00100
NAIROBI

The company has a country wide dealer network to handle distribution and selling of its products and services. The company also has nine retail centres spread countrywide: four in Nairobi, two in Mombasa, one each in Kisumu, Nakuru and Eldoret.

2 Basis for preparation

The annual financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below. The financial statements are presented in Kenya Shillings (Shs), rounded to the nearest thousand.

These condensed interim financial statements are prepared in compliance with IAS 34, Interim Financial Reporting. They comprise the condensed balance sheet at 31 December 2007 and 31 March 2007; the condensed profit and loss account for the interim nine-month periods to 31 December 2007 and 31 December 2006; the respective condensed statements of changes in equity and condensed cash flow statements for the interim nine-month period then ended, and a condensed summary of significant accounting policies and other explanatory notes.

The accounting policies adopted in the preparation of these condensed financial statements are consistent with those of the annual financial statements for the year ended 31 March 2007.

Adoption of new and revised standards

In 2007, the following new and revised standards and interpretations became effective for the first time and have been adopted by the company where relevant to its operations. The comparative figures have been restated as required, in accordance with the relevant requirements.

- *IAS 1 Amendment, Capital Disclosures.* The amendment to IAS 1 introduces disclosures about the level of the company's capital and how it manages capital

- *IFRS 7, Financial Instruments: Disclosures.* IFRS 7 introduces new disclosures relating to financial instruments. This standard does not have any impact on the classification or measurement of the company's financial instruments.

Notes (continued)

2 Basis for preparation (continued)

Standards, interpretations and amendments to published standards that are not yet effective

The following amendment to an existing standard and new standard and interpretations will be mandatory for the company's accounting periods beginning on or after 1 January 2008, but which the company has chosen not to early adopt:

- *IFRIC 11 – Company and Treasury Share Transactions* – from 1 January 2008
- *IFRIC 12 – Service Concession Arrangements* – from 1 January 2008
- *IFRS 8 – Operating segments* – from 1 January 2009
- *IAS 23 – Borrowing costs (revised)* – from 1 January 2009

The directors' view is that the new standards will not have any significant impact on the company.

3 Financial risk management

The company's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by the finance department under policies approved by the Board of Directors. Finance department identifies, evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative and non-derivative financial instruments and investing excess liquidity.

The company has policies in place to ensure that sales are made to customers with an appropriate credit history.

4 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances.

(i) Critical accounting estimates and assumptions

Property, plant and equipment
Critical estimates are made by the directors in determining depreciation rates for property, plant and equipment.

Income taxes
Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

Notes (continued)

4 Critical accounting estimates and judgements (continued)

(ii) Critical judgements in applying the entity's accounting policies

In the process of applying the company's accounting policies, management has made judgements in determining whether assets are impaired.

In making provisions for inventory losses, management considers the age and obsolescence of inventory.

Provision for bad debts is provided after failure of the customer to pay and assessment of his ability to settle the debt in future.

In preparing its tax computation, management has assumed that the licence fee payments are tax deductible.

5 Analysis of sales by category

	Nine months ended 31 December 2007 Shs'000	**Nine months ended 31 December 2006 Shs'000**
Voice	39,966,958	29,520,425
SMS and other data	3,442,101	3,085,623
Acquisition	1,494,025	1,116,147
Other	486,099	439,484
	45,389,183	34,161,679

Notes (continued)

6 Expenses by nature

The following items have been charged in arriving at operating profit:

	Nine months ended 31 December 2007 Shs'000	Nine months ended 31 December 2006 Shs'000
Depreciation on property, plant and equipment (Note 13)	5,933,095	4,645,382
Employee benefits expenses	2,361,095	1,905,253
Sales and advertising	1,622,848	541,917
Amortisation of intangible assets (Note 15)	286,818	244,505
Travel and accommodation	264,676	141,453
Consultancy	213,896	32,716
Utilities	174,289	129,580
Computer support	203,639	132,815
Operating lease rentals		
- buildings	151,216	199,003
- sites (Note 14)	164,493	100,546
Receivables – provision for impairment losses	46,220	90,325
Repairs and maintenance expenditure on property, plant and equipment	23,626	21,796
Auditor's remuneration	8,800	6,064
Office upkeep	185,690	64,776
Other operating expenses	81,959	690
	11,722,360	8,256,821

7 Finance income/ (costs)

Interest income	1,429,980	248,772
Transaction gain on shareholders' loans	731,500	-
	2,161,480	248,772
Finance costs		
Interest expense - bank borrowings	(400,357)	(388,014)
Net trading foreign exchange (losses)/gains	(23,577)	(387,275)
	(423,934)	(775,289)
Net finance income/(costs)	1,737,546	(526,517)

Notes (continued)

7 Finance income/ (costs) (continued)

The company had obtained shareholder loans comprising US $ 33 million made by Telkom Kenya Limited and another of US $ 22 million made by Vodafone Kenya Limited in May 2000. The conditions of the loans were that they would be converted into equity so they were considered to be investments hence not repayable to the lenders.

The loans were repaid in December 2007 translated at Shs 63.70 to the US $ resulting in a transaction gain of Shs 731,500,000. This exchange difference has been dealt with in the profit and loss account.

8 Income tax expense

	Nine months ended 31 December 2007 Shs'000	**Nine months ended 31 December 2006 Shs'000**
Current income tax	5,035,992	3,604,328
Deferred income tax	(214,136)	81,402
Income tax expense	4,821,856	3,685,730

The tax on the company's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	Nine months ended 31 December 2007 Shs'000	**Nine months ended 31 December 2006 Shs'000**
Profit before income tax	15,688,577	12,080,148
Tax calculated at the statutory income tax rate of 30% (2006: 30%)	4,706,573	3,624,044
Tax effect of:		
- expenses not deductible for tax purposes	91,786	93,967
- income not subject to tax	-	(2,081)
- under/(over) provision of deferred tax in prior periods	23,497	(30,200)
Income tax expense	4,821,856	3,685,730

Notes (continued)

9 Earnings and dividends

i) Basic and diluted earnings per share

Basic and diluted earnings per share are calculated on the profit attributable to the members of Safaricom Limited and on the 10,000 shares in issue at the nine months periods ended 31 December 2007 and 31 December 2006.

The company had no potentially dilutive shares outstanding at 31 December 2007 and 31 December 2006.

	Nine months ended 31 December 2007	Nine months ended 31 December 2006
	Shs'000	Shs'000
Profit for the period (Shs '000)	10,866,721	8,394,418
Number of shares (thousands)	10	10
Basic and diluted earnings per share (Shs)	1,086,672	839,442

ii) Dividends

At the annual general meeting held on 11 September 2007, a dividend in respect of the year ended 31 March 2007 amounting to Shs 4,000,000,000 was declared (2006 special dividend declared: Shs 2,991,673,000). In the nine months to 31 December 2007, this dividend was paid.

Notes (continued)

10 Share capital

	Number of issued shares	Ordinary shares Shs'000	Share premium Shs'000
Balance as at 1 April 2005, 1 April 2006 and 1 April 2007			
- Ordinary shares	10,000	1	3,849,999
- Non-voting, non-participating deferred shares	5	-	-
Balance at 31 December 2006 and 31 December 2007	10,005	1	3,849,999

The total authorised number of ordinary shares is as follows;

- 19,999,800 ordinary shares with a par value of 10 cents per share

- 5 non-voting, non-participating, deferred shares of Shs 4 each

11 Derivative financial instruments

	31 December 2007 Shs'000	31 March 2007 Shs'000
Forward foreign exchange contracts (liabilities)	16,930	39,740

The company has entered into forward exchange contract agreements with a local bank to buy foreign currency at specified dates to enable it pay its foreign suppliers when the amounts are due. The contracts run to March 2008 and will be settled gross.

The committed amounts as at 31 December 2007 are US$ 21 million and Euro 15 million. Based on the forward exchange rates the equivalent local currency value is Shs 2,807,780,000.

Foreign exchange forward contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed price. These contracts represent liabilities.

Notes (continued)

12 Borrowings

The borrowings are made up as follows:

	31 December 2007 Shs'000	31 March 2007 Shs'000
Non current		
Bank borrowing	6,480,000	6,200,000
Shareholders loans (Note 21)	-	4,235,000
	6,480,000	10,435,000
Current		
Bank borrowing	2,720,000	-
Total borrowings	9,200,000	10,435,000

Movement in borrowings

	1 January 2007 Shs'000	Repayments Shs'000	Borrowings Shs'000	31 December 2007 Shs'000
Bank borrowings	6,200,000	-	3,000,000	9,200,000
Shareholders loans	4,235,000	(4,235,000)	-	-
Total	10,435,000	(4,235,000)	3,000,000	9,200,000

	1 April 2006 Shs'000	Repayments Shs'000	Borrowings Shs'000	31 December 2006 Shs'000
Bank borrowings	5,016,726	(16,726)	1,200,000	6,200,000
Shareholders loans	4,235,000	-	-	4,235,000
Total	9,251,726	(16,726)	1,200,000	10,435,000

Notes (continued)

12 Borrowings (continued)

The company has a loan facility of Shs 12 billion from a syndicate of international banks. The loan is secured by a fixed and floating charge over the property and assets, both present and future. The shareholders have guaranteed the loans and have also pledged 40% of their shares in the company as security to the lenders.

The loan period is five years. The interest on the loan is payable quarterly at a margin of 1% over the reference 91 day treasury bill rate.

The loan is divided into 3 facilities which are repayable on diverse dates as follows:

- Facility B and C totalling Ksh 2 billion are repayable in March 2008;

- Facility A totalling Ksh 7.2 billion is repayable at six month intervals from April 2008.

Repayment of the shareholder loans

The shareholder loan comprised a loan of US $ 33 million made by Telkom Kenya Limited and another of US $ 22 million made by Vodafone Kenya Limited in May 2000. The conditions of the loans were that they would be converted into equity so they were considered to be investments hence not repayable to the lenders. The loans are non-interest bearing.

The loans were repaid in December 2007 translated at Shs 63.70 to the US $ resulting in a transaction gain of Shs 731,500,000. This exchange difference has been dealt with in the profit and loss account.

Notes (continued)

13 Property, plant and equipment

	Network infrastructure Shs'000	Capital work in progress Shs'000	Leasehold improvements Shs'000	Vehicles & equipment Shs'000	Total Shs'000
At 1 April 2007					
Cost	55,452,777	5,469,446	1,002,203	3,891,063	65,815,489
Accumulated depreciation	(20,412,506)	-	(618,940)	(2,052,391)	(23,083,837)
Net book amount	35,040,271	5,469,446	383,263	1,838,672	42,731,652
Period ended 31 December 2007					
Opening net book amount	35,040,271	5,469,446	383,263	1,838,672	42,731,652
Additions	13,089,490	3,183,236	143,476	730,168	17,146,370
Transfers	17,824	-	-	(17,824)	-
Disposals	-	(206)	-	(2,964)	(3,170)
Depreciation charge	(5,244,711)	-	(43,949)	(644,435)	(5,933,095)
Closing net book amount	42,902,874	8,652,476	482,790	1,903,617	53,941,757
At 31 December 2007					
Cost	68,560,091	8,652,476	1,145,679	4,600,443	82,958,689
Accumulated depreciation	(25,657,217)	-	(662,889)	(2,696,826)	(29,016,932)
Net book amount	42,902,874	8,652,476	482,790	1,903,617	53,941,757

Notes (continued)

13 Property, plant and equipment (continued)

	Network infrastructure Shs'000	Capital work in progress Shs'000	Leasehold improvements Shs'000	Vehicles & equipment Shs'000	Total Shs'000
At 1 April 2006					
Cost	41,271,148	4,995,302	902,563	2,312,431	49,481,444
Accumulated depreciation	(14,655,215)	-	(550,771)	(1,484,175)	(16,690,161)
Net book amount	26,615,933	4,995,302	351,792	828,256	32,791,283
Year ended 31 December 2006					
Opening net book amount	26,615,933	4,995,302	351,792	828,256	32,791,283
Additions	8,632,155	3,846,475	30,937	864,918	13,374,485
Transfers	8,182	-	(314)	(7,868)	-
Disposals	-	-	-	(2,237)	(2,237)
Depreciation charge	(4,187,372)	-	(53,563)	(404,446)	(4,645,382)
Closing net book amount	31,068,898	8,841,777	328,852	1,278,623	41,518,150
At 31 December 2006					
Cost	49,911,485	8,841,777	933,186	3,167,244	62,853,692
Accumulated depreciation	(18,842,587)	-	(604,334)	(1,888,621)	(21,355,542)
Net book amount	31,068,898	8,841,777	328,852	1,278,623	41,518,150

Notes (continued)

14 Prepaid operating lease rentals

Prepaid operating lease rentals relate to payments made in advance for the rental of sites on which the company's equipment is located.

The analysis of prepaid operating lease rentals is as follows:

	31 December 2007 Shs'000	31 December 2006 Shs'000
At start of period	262,393	206,633
Additions	216,587	158,334
Amortisation charge for the period	(164,493)	(100,546)
At end of period	314,487	264,421

15 Intangible assets – License fees

	31 December 2007 Shs'000	31 December 2006 Shs'000
Cost		
At start of period	4,250,000	4,235,000
Additions	1,673,750	15,000
At end of period	5,923,750	4,250,000
Accumulated amortisation		
At start of period	1,881,917	1,555,754
Charge for the period	286,818	244,505
At end of period	2,168,735	1,800,259
Net book value	3,755,015	2,449,741

Notes (continued)

15 Intangible assets – License fees (continued)

The balance sheet amounts are analysed as follows:

	31 December 2007 Shs'000	31 March 2007 Shs'000
Cost	5,923,750	4,250,000
Accumulated depreciation	(2,168,735)	(1,881,917)
Net book value	3,755,015	2,368,083

In October 2007, the company was awarded the 3G licence by Communication Commission of Kenya (CCK) at a fee of US $ 25 million.

The licence operates under the same umbrella as the network licence and is amortised over the remaining useful life of the network license.

16 Inventories	31 December 2007 Shs'000	31 March 2007 Shs'000
Network spare parts	1,544,287	912,980
Less: Provision for impairment losses	(301,359)	(251,235)
	1,242,928	661,745
Handsets and accessories	307,114	294,395
Scratch cards	82,596	97,774
Starter packs	133,206	168,574
Stationery and other stocks	148,813	12,157
	1,914,657	1,234,645

Notes (continued)

17 Receivables and prepayments

	31 December 2007 Shs'000	31 March 2007 Shs'000
Trade receivables	2,851,303	1,660,484
Less: Provision for impairment losses	(353,031)	(306,811)
	2,498,272	1,353,673
Prepayments	913,264	699,340
Amounts due from related companies (Note 22)	69,960	472,426
Other receivables	1,557,810	501,968
	5,039,306	3,027,407

The carrying amounts of receivables and prepayments approximate their fair value.

Movements on the provision for impairment of trade receivables are as follows:

	31 December 2007 Shs'000	31 December 2006 Shs'000
At start of year	306,811	112,955
Provision in the year	46,220	103,329
Receivables written off as uncollectible	-	(13,004)
At end of period	353,031	203,280

18 Cash and cash equivalents

The year-end cash and cash equivalents comprise the following:

	31 December 2007 Shs'000	31 March 2007 Shs'000
Cash at bank and in hand	1,696,857	2,331,204
Short term bank deposits	328,196	3,556,488
	2,025,053	5,887,692

Notes (continued)

18 Cash and cash equivalents (continued)

The weighted average effective interest rate on short-term bank deposits at the period-end was 9% (31 March 2007: 5%).

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held at call with banks.

19 Payables and accrued expenses

	31 December 2007 Shs'000	**31 March 2007 Shs'000**
Trade payables	6,626,116	3,564,727
Amounts due to related companies (Note 22)	873,508	314,464
Accrued expenses	9,902,998	5,929,203
Other payables	1,456,213	2,581,752
	18,858,835	12,390,146

Accruals relate to network infrastructure equipment which has been received but not invoiced. Other payables relate to items such as taxes payable, customer deposits and deferred revenue.

20 Contingent liabilities

As at 31 December 2007, the company had given bank guarantees of Shs 1,339,047 (31 March 2007: Shs 17,331,351) to Kenya Power and Lighting Company and I&M Bank Limited. The guarantee to I&M Bank Limited is equivalent to three months rent for the care centre which is located in I&M Bank Limited building.

In addition, a guarantee of Shs 8,000,000 has been given to the banks against credit cards for staff use during business travel.

Notes (continued)

21 Cash generated from operations

Reconciliation of profit before income tax to cash generated from operations:

	Nine months ended 31 December 2007 Shs'000	Nine months ended 31 December 2006 Shs'000
Profit before income tax	15,688,577	12,080,148
Adjustments for:		
Interest income (Note 7)	(1,429,980)	(248,772)
Interest expense (Note 7)	400,357	388,014
Fair value (gain)/loss on financial instruments	(22,810)	-
Depreciation (Note 13)	5,933,095	4,645,382
Prepayment of operating lease rentals (Note 14)	(216,587)	(158,334)
Amortisation of prepaid operating lease rentals (Note 14)	164,493	100,546
Amortisation of intangible assets	286,818	244,505
Profit on sale of property, plant and equipment	(15,887)	(16,814)
Changes in working capital		
– Receivables and prepayments	(1,959,379)	824,985
– Inventories	(680,012)	(70,992)
– Payables and accrued expenses	6,468,689	2,782,163
Cash generated from operations	24,617,374	20,570,831

22 Related party transactions

The company has two shareholders: Government of Kenya (GoK) and Vodafone Kenya Limited whose ultimate parent is Vodafone Group Plc incorporated in the United Kingdom.

By virtue of the 60% shareholding held by the GoK, Safaricom is a state corporation within the meaning of the State Corporations Act (Chapter 446) Laws of Kenya. Until 20 December 2007, the shares now held by GoK were held by Telkom Kenya Limited which is also a state corporation under the Act.

The company also has a Kama Kawaida contract with Vodacom Tanzania Limited, a company that is controlled by Vodacom South Africa (Pty), whose ultimate parent is Vodafone Group Plc.

Notes (continued)

22 Related party transactions (continued)

The following transactions were carried out with related parties:

	Nine months ended 31 December 2007 Shs'000	Nine months ended 31 December 2006 Shs'000
i) Sale of services		
Telkom Kenya Limited	-	1,302,896
Vodafone Group Plc	198,995	106,084
Vodacom Tanzania Limited	93,039	7,525
Vodafone Kenya Limited	75	-
	292,109	1,416,505
ii) Purchase of services		
Telkom Kenya Limited	-	1,095,690
Vodafone Group Plc	897,323	22,645
Vodacom Tanzania Limited	152,864	8,878
	1,050,187	1,127,213
iii) Key management compensation		
Salaries and other short-term employment benefits	120,149	85,949
iv) Directors' remuneration		
Fees for services as a director	160	280
Other emoluments to non-executive directors	800	1,130
	960	1,410

Notes (continued)

22 Related party transactions (continued)

v) Outstanding balances arising from sale and purchase of goods/services

	Nine months 31 December Shs'000	Nine months 31 December Shs'000
Amounts due from:		
- Telkom Kenya Limited	-	455,994
- Vodafone Group Plc	63,897	16,432
- Vodacom Tanzania Limited	5,358	-
- Vodafone Kenya Limited	705	-
	69,960	472,426
Amounts due to:		
- Vodafone Group Plc	873,508	314,464

vi) Loans from shareholders

- Telkom Kenya Limited	-	2,541,000
-Vodafone Kenya Limited	-	1,694,000
	-	4,235,000

The shareholder loan comprises a loan of US $ 33 million made by Telkom Kenya Limited and another of US $ 22 million made by Vodafone Kenya Limited in May 2000. The loans were non-interest bearing.

The loans were paid in December 2007.

vii) Loans to directors of the company

There were no loans to directors of the company at 31 December 2007 and 31 December 2006.

22 Related party transactions (continued)

viii) Contingencies

The company had no guarantees on bank loans to its related parties at 31 December 2007 and 31 December 2006.

Yours faithfully

Deloitte & Touche

DELOITTE & TOUCHE
CERTIFIED PUBLIC ACCOUNTANTS (KENYA)

Appendix- Part II

Legal Opinion

[ ] March 2008

Government of the Republic of Kenya
acting through the
Permanent Secretary to the Treasury
Ministry of Finance
Harambee Avenue
P O Box 30007-00100
NAIROBI

The Directors
Safaricom Limited
Safaricom House
Waiyaki Way
P O Box 46350-00100
NAIROBI

Dear Sirs,

PUBLIC OFFERING OF 10,000,000,000 GOVERNMENT OF KENYA ORDINARY SHARES OF KSHS 0.05 EACH IN THE SHARE CAPITAL OF SAFARICOM LIMITED

We, the undersigned, have been instructed to act as legal advisors to the Government of Kenya ("GoK" or "the Vendor") in relation to the offer for sale of twenty five percent of the issued ordinary shares of Safaricom Limited ("Safaricom") being 10,000,000,000 shares of KShs 0.05 each (the "Offer").

The consortium consisting of the law firms- Muriu Mungai & Company, Muthaura Mugambi Ayugi & Njonjo and Kipkorir, Titoo & Kiara are Advocates of the High Court of Kenya, practicing and qualified as such to practice in Kenya, and to advise upon the Laws of Kenya. In addition, the consortium has incorporated the consultancy services of Stephenson Harwood, who have advised on certain non-Kenyan law aspects.

Unless otherwise stated or the context otherwise requires, words and terms defined in the Prospectus ("the Prospectus") dated [●] and issued in relation to the Offer bear the same meaning in this Opinion.

1. <u>Documents and Records Examined</u>

In providing this Opinion for the purposes of the prospectus relating to the offer (the Prospectus), we have examined originals or copies of the following documents:

(1) the certificate of incorporation of Safaricom, its memorandum and articles of association in force as at the date of the Prospectus;

(2) the license granted by the Communications of Kenya Commission on 1st July 1999 granting Safaricom rights to operate mobile telecommunications systems and provide mobile telecommunications services, together with subsequent licenses granted in relation thereto permitting Safaricom (a) to operate an international gateway and provide international telecommunications services under the license with effect from 30th July 2006, and (b) to operate Third Generation Mobile Communications Services with effect from 18th October 2007;

(3) evidence that the Cabinet of the Government of Kenya has approved the sale of such of its shares in Safaricom amounting to 25% of the issued ordinary shares, to the public;

(4) extracts from a meeting of the board of directors of Safaricom dated 29th February 2008 approving the Prospectus so far as it relates to the information provided by the Company as at

the date of the meeting and approving the listing of Safaricom's ordinary shares on the Nairobi Stock Exchange;

(5) a circular resolution of the members of Safaricom dated 3rd March 2008 resolving:

(a) to subdivide the ordinary shares of Safaricom from a par value of KShs 0.10 per share to KShs 0.05 per share;

(b) to increase the authorised share capital of Safaricom from KShs 2,000,000.00 made up of 19,998,800 ordinary of KShs 0.10 each and five non voting, non participating, deferred shares of KShs 4.00 each, to KShs 6,000,000,000.00 by the creation of an additional 119,960,000,000 new ordinary shares of KShs 0.05 each to rank *pari passu* in all respects with the existing ordinary shares in the capital of Safaricom;

(c) to capitalize the sum of KShs 1,999,999,000.00 being part of the sum standing to the credit of the share premium account of Safaricom as at 30 September 2007 and appropriating such sum to the holders of ordinary shares in the Register of Members as at the close of business on 21 December 2007 on condition that the same be not paid in cash but be applied in payment in full of 39,999,980,000 ordinary shares of KShs 0.05 in the capital of Safaricom, and that such shares to be allotted, distributed and credited as fully paid up ordinary shares of KShs 0.05 each to and amongst such holders in the proportion of 1,999,999 new ordinary shares for every one of the 20,000 (twenty thousand) ordinary shares then in issue and that such new shares shall rank for all purposes pari passu with the existing issued ordinary shares of Safaricom; and

(d) each of the five non voting non participating deferred shares of par value KShs 4.00 each be and are hereby converted into one non voting redeemable preference share of par value KShs 4.00 carrying only the right to preference to repayment of the paid up par value in the event of a liquidation of the Company, such shares to be redeemed at any time by the Board of the Company subject to and in accordance with the provisions of the Companies Act;

(6) a circular resolution of the members of Safaricom dated 3rd March 2008 adopting new articles of association in accordance with the terms of the resolution;

(7) a letter of no objection to the Offer dated 7th November 2007 from the Communications Commission of Kenya;

(8) the Prospectus; and

such other records and documents provided by the Vendor and Safaricom as we have considered necessary and appropriate for the purposes of this Opinion.

2. Assumptions

With respect to matters of fact, we have relied on the representations of the Vendor, Safaricom and its officers and advisors. For the purposes of this opinion we have assumed the following:

(1) All written information supplied to us by the Vendor, Safaricom and by its officers and advisors is true, accurate and up to date;

(2) The authenticity of documents submitted as originals, the conformity with the original documents of all documents submitted as copies and the authenticity of the originals of such latter documents;

(3) The genuineness of all signatures on all documents provided; and

(4) All licenses, agreements and other relevant documents have been duly authorised, executed and delivered by the parties to those documents other than Safaricom.

3. Opinion

In our opinion, based on the information made available to us by the Vendor and Safaricom and subject to (i) the foregoing; (ii) paragraph 4 of this Opinion; (iii) any matters set out in the Prospectus; (iv) the reservations set out below; and (v) any matters not disclosed to us:

(1) Safaricom is a company limited by shares, duly incorporated in Kenya pursuant to the provisions of the Companies Act (Chapter 486 of the Laws of Kenya), with power to execute, deliver and exercise its rights and perform its obligations pursuant to the Offer, and such execution, delivery and performance have been duly authorised by appropriate corporate action;

(2) the existing share capital of Safaricom has been authorized and issued in conformity with all applicable laws and has received all necessary authorizations;

(3) the rights and obligations of Safaricom and the GoK as vendor as contemplated in the offer constitute valid and binding rights and obligations enforceable according to their terms;

(4) the transactions contemplated by the Offer and the performance by GoK and Safaricom of their respective obligations thereunder will not violate any laws of Kenya;

(5) all authorisations, approvals, consents, licences, exemptions, filings, registrations and notifications with governmental or public bodies or authorities of or in Kenya required in connection with the Offer have been obtained and given in proper form and are in full force and effect;

(6) Safaricom has obtained the requisite licenses to operate the mobile telecommunications business within the Republic of Kenya and in that regard is additionally authorized to install, operate and provide third generation mobile telecommunications systems and services;

(7) Safaricom continues to maintain its statutory books at its registered office;

(8) Safaricom does not own any immovable properties and with regard to material plant and equipment, all substantial installations and premises are secured by leases, agreements for lease or licenses;

(9) save for the contracts specifically disclosed in the Prospectus, Safaricom has not entered into any material contracts (within the meaning set out in paragraph 14 of the Third Schedule to the Companies Act i.e. contracts not entered into in the ordinary course of business carried on by Safaricom) and there is no other agreement or arrangement concerning the offer;

(10) there is no material litigation or arbitration, prosecution or other civil or criminal legal action in which Safaricom or its Directors as Directors of Safaricom are involved which shall have a material effect on the Safaricom business;

(11) there are no other material items not mentioned in the Prospectus of which we are aware with regard to the legal status of Safaricom and the Offer.

4. Further Opinions

Based upon and subject as aforesaid, and without prejudice to the generality of the foregoing, we are also of the opinion that:

(1) the Prospectus has been dated in accordance with section 43(4) of the Companies Act;

(2) a copy of the Prospectus, together with the documents required under Section 43 of the Companies Act, have been delivered to the Registrar of Companies for registration in accordance with section 43(a) of the Companies Act, duly signed by every person named in the Prospectus as a director of Safaricom or by his agent duly authorized in writing, and a statement to such effect appears on the face of the Prospectus in accordance with section 43 (3) of the Companies Act;

(3) this Prospectus contains statements made by Messrs Deloitte & Touche Certified Public Accountants and by ourselves, all of whom are experts for the purposes of Section 42(1) of the Companies Act. In accordance with Section 42(1) of the Companies Act, Deloitte & Touche and we have given, and have not before the delivery of this Prospectus for registration withdrawn, our consent to the issue of the Prospectus with the statements by us included in the form and context in which they are included;

(4) the Offer Shares shall rank *pari passu* in all respects with the existing Ordinary Shares in the issued share capital of Safaricom, including the right to participate in full in all dividends and/or other distributions declared in respect of such share capital with effect from the financial year of Safaricom commencing on 1st April 2008;

(5) application has been duly made to, and permission duly granted by, the Capital Markets Authority in respect of the Offer pursuant to the Capital Markets (Securities) (Public Offers, Listing and Disclosure) Regulations 2002 and the First Schedule thereto;

(6) in addition to the information required to be included by the Companies Act, the Prospectus includes such information as is required under the Capital Markets (Securities) (Public Offers, Listing and Disclosure) Regulations 2002 and the First Schedule thereto regarding:-

(a) the assets and liabilities financial position, profits and losses, and prospects of the issuer of the securities; and

(b) the rights attaching to those securities.

Based on the foregoing, we are of the opinion that the Offer is in conformity with all applicable laws and has received all necessary authorisations.

5. Reservations

This letter and the opinions given in it are governed by Kenyan law and relate only to Kenyan law as applied by the Kenyan courts as at today's date. We express no opinion in this letter on the laws of any other jurisdiction.

We as the legal advisors confirm that we have given and have not, prior to the date of the Prospectus, withdrawn our written consent to the inclusion of the legal opinion in the form and context in which it appears.

Yours faithfully

Muriu Mungai & Co.

Muthaura Mugambi Ayugi & Njonjo

Kipkorir, Titoo & Kiara

Appendix- Part III

Authorised Selling Agents

The Vendor has appointed specific Authorised Selling Agents to this Offer and these Authorised Selling Agents have signed Agency Agreements with the Vendor which contain various terms and conditions that each Authorised Selling Agent is required to comply with. The Authorised Selling Agents are either Members of the NSE as licenced by the CMA or commercial banks licenced by the Central Bank of Kenya. The Authorised Selling Agents are set out below.

Licenced Investment Banks

Dyer & Blair Investment Bank Ltd
Nairobi Office
10th Floor, Loita House, Loita Street
P O Box 45396 00100 Nairobi
Tel: 3240000

Dyer & Blair Investment Bank Ltd
Mombasa Office
Moi Avenue/Mnazi Mmoja Road
P O Box 80456, 080100
Tel: (041) 2319040 /2319041/ 2319042
Shares@dyerandblair.com

CFC Financial Services Limited
Head Office
2nd Floor, CFC Centre, Chiromo Road
P O Box 47198 00100, Nairobi
Tel: 3638900, 3755000; 0721371941

CFC Financial Services Limited
Downtown Office
1st Floor, CFC Bank, Kimathi St,
Tel: 221452/3; 221671; 0724253453

CFC Financial Services Limited
Mombasa Office
Ground Floor, TSS Towers, Nkrumah Road
Tel: (041) 2228865; 2224181

CFC Financial Services Limited
Naivasha Office
1st Floor, CFC Heritage house, Moi House
Tel: (050) 2020484

CFC Financial Services Limited
Nakuru Office
2nd Floor, Riva Business Centre, Kenyatta Ave.
Tel: (051) 2215187

Standard Investment Bank Limited
16th Floor, ICEA Building, Kenyatta Avenue
PO Box 13714 00800 Nairobi
Tel: 220225/227004/240296/252776
17th Floor, Hazina Tower
Tel: 213028
info@standardstocks.com

Drummond Investment Bank Limited
Hughes Building, 2nd Floor,
Kenyatta Avenue
P.O. Box 45465 - 00100, Nairobi
Tel. 318689/318690 Fax. 223061
info@francisdrummond.com

Suntra Investment Bank Limited
7th & 10th Floor, Nation Centre, Kimathi Street
P O Box 74016 00200, Nairobi
Tel: 2870000/223329/30
info@suntra.co.ke

Apex Africa Investment Bank Limited
Head Office
4th Floor, Rehani House, Koinange Street
P O Box 43676 00100, Nairobi
Tel: 242170/ 220517

Apex Africa Investment Bank Limited
Mombasa Branch office
Office no. 29, 1st Floor, Kadherbhoy Building
Nkrumah Road
Tel: (041) 2229996/ 2229319

Apex Africa Investment Bank Limited
Nakuru Branch Office
Tehra Africa Investment Services
Hyrax Complex, 1st Floor, Office No. 22
Tel: (051) 2213603/ 0724-844849

Apex Africa Investment Bank Limited
Kirieni-Murang'a-Nyeri Branch Office
2nd Floor, Murata Sacco Building, Kirieni
Tel: (060) 51445
invest@apexafrica.com

CFC Financial Services Limited
Eldoret Office
2nd Floor, National Bank House, Oloo Street
Tel: (053) 2060993

CFC Financial Services Limited
Kisumu Office
3rd Floor, Block C, Mega Plaza,
Oginga Odinga Road
Tel: (057) 2020890
cfcfs@cfcgroup.co.ke

Kestrel Capital Investment Bank
5th Floor, ICEA Building, Kenyatta Avenue
P O Box 40005 00100, Nairobi
Tel: 251758/ 251893/0722205897
info@kestrelcapital.com

Renaissance Capital (Kenya) Ltd
Purshottam
Place Suite 810, 7th Floor
Chiromo Road, Westland
P.O. Box 40560-00100
Nairobi
Tel: +254 20-3601822

Afrika Investment Bank Limited
13th Floor, Finance House
Loita Street
P O Box 11019 00100, Nairobi
Tel: 212989/210178/343629/39
info@afrikainvestmentbank.com

Sterling Investment Bank Limited
11th Floor, Finance House, Loita Street
P O Box 45080 00100, Nairobi
Tel: 213914/ 244077
Fax: 218261
info@sterlingstocks.com

Faida Investment Bank Limited
1st Floor, Windsor House
University Way
P O Box 45236 00100 , Nairobi
Tel: 243811-13
info@faidastocks.com

Licensed Stockbrokers

Crossfield Securities Limited
5th Floor, IPS Building, Kimathi Street
P O Box 34137 00100 Nairobi
Tel: 246036/ 242534/35
crossfield@wananchi.com

Discount Securities Limited
International House, 4th Floor
Mama Ngina Street
P O Box 42489 00100, Nairobi
Tel: 2773000
discount@dsl.co.ke

Solid Investment Securities Limited
1st Floor, Kimathi House, Kimathi Street
P O Box 63046 00200, Nairobi
Tel: 2016482/3 0724951703
sisl@solidkenya.com

African Alliance Securities Kenya Limited
Kenya Re Towers, Ground Floor
Upper Hill, off Ragati Road
P O Box 27639 00506 Nairobi
Tel: 2718720/ 2712709/2710978/2735154
info@africanalliance.co.ke

Ngenye Kariuki and Company Limited
8th & 15th Floors, Corner House, Kimathi St.
P O Box 12185 00400 Nairobi
Tel: 224333/ 220052/220141
ngenyekari@wananchi.com

Reliable Securities Limited
6th Floor, IPS Building, Kimathi Street
P O Box 50338 00200, Nairobi
Tel: 241350/4179
info@reliablesecurities.co.ke

Bob Mathews Stockbrokers Ltd
Nginyo Towers, 3rd Floor, Koinange Street
P.O. Box 73253 – 00200
Tel 311898/313492/310540
bobmathews@bobmathewstocks.com

Branch Network; Equity Bank Coverage

Nairobi Branches	Rift Valley Branches	41. Isiolo
1. Four Ways	21. Kericho	42. Garissa
2. Tom Mboya	22. Eldoret	43. Meru
3. Mamangina	23. Nakuru Gate House	44. Embu
4. Community	24. Nakuru Kenyatta Av.	45. Mwea
4. Community Corporate	25. Narok	46. Machakos
5. Harambee Av	26. Kapsabet	Central Branches
6. Kimathi street	27. Litein	47. Kerugoya
7. Kariobangi	28. Naivasha	48. Nyeri
8. Knut House	29. Ongata Rongai	49.Nyahururu
9. Gikomba	30.Molo	50.Muranga
10. Moi Avenue	31. Kitale	51.Thika Kenyatta Highway
10. Moi Avenue Corporate	Western/Nyanza Branches	52. Thika
11. Industrial Area	32. Nyamira	53. Kagio
12. Four Ways Corporate	33. Kisii	54. Kikuyu
13. Tom Mboya	34. Kisumu	55. Othaya
14. KenPipe Embakasi	35. Kakamega	56. Kangema
15. Kawangware	36. Bungoma	57. Karatina
16. Westlands		58. Kiriaini
Coast Branches	Eastern Branches	59. Murarandia
17. Malindi	37. Chuka	60. Kangari
18. Mombasa Digo Road	38. Nkubu	
19. Mombasa Digo Road	39. Matuu	Central Branches
20. Ukunda	40. Maua	Kiambu
Mobile Units		

A. THIKA	B. KERUGOYA	C. MURARANDIA
1. Mundoro	5. Kimunye	8. Ichichi
2. Munyuine	6. Kamande	9. Kahuro
3. Gatura	7. Kagumo	
4. Gakoe		
D. KANGEMA	E. KANGARI	F. EMBU
10. Kiruri	20. Kirere	26. Runyenjes
11. Kihoya	21. Gikoe	27. Siakago
12. Wanjerere	22. Mununga	
13. Kanyenyaini	23. Ndakaini	G. CHUKA
14. Mioro	24. Ndunyu-chege	28. Chogoria
15. Gacharegeini	25. Hekima girls	
16. Wanyeji		I. NAIVASHA
17. Kiamara	H. OTHAYA	30. Njabini
18. Ichichi	29. Kagicha	31. Engineer
19. Gikoe		
J. MERU	K. KIRIAINI	L. NYAHURURU
32. Mitunguu	34. Kagicha	37. Ol-kalou
33. Gitongo	35. Kairo	38. Subukia
	36. Gikoe	39. Miharati
		40. Kinamba
M. MURANG'A	N. KERICHO	O. MUMIAS-BUTERE
41. Maragua	42. Litein	43. Mumias
	O. NORTHERN KENYA	
	44. Wajir	
	45. Moyale	

	46. Marsabit	
	47. Turkana	
	48. Mandera	

Branch Network; PostBank Coverage

NAIROBI AREA (CBD)	30. Tom Mboya	RIFT VALLEY Locations
1. Head Office Branch	31. Ronald Ngala	59. Kapsabet
2. Wabera Street	32. Viwandani	60. Gilgil
3. Market Street	33. Enterprise Road	61. Nakuru
4. Customer Service Centre	34. Ngong Hills	62. Eldoret
NAIROBI NORTH Locations	35. Wote	63. Kitale
5. Githurai	36. Athi River	64. Molo
6. Mwingi	COAST Locations	65. Naivasha
7. Kiambu	37. Mombasa	66. Nyahururu
8. Kikuyu	38. Malindi	67. Kabarnet
9. Westlands	39. Moi Avenue	68. Bomet
10. Limuru	40. Kilifi	69. Nandi Hills
11. Thika	41. Voi	70. Kericho
12. Ruiru	42. Mtwapa	71. Narok
13. Ngara	43. Ukunda	WESTERN Locations
14. Uthiru	44. Malindi	72. Sare Awendo
15. Garissa	45. Likoni	73. Luanda
16. Ruiru	46. Kisauni	74. Kisumu
17. Karuri	47. Chaani	75. Kisii
18. Matuu	48. Mariakani	76. Busia
NAIROBI SOUTH Locations	MT.KENYA Locations	77. Mumias
19. Afya Centre	49. Nyeri	78. Kakamega
20. Cannon House	50. Embu	79. Siaya
21. Jogoo Road	51. Karatina	80. Bungoma
22. Kenyatta Market	52. Meru	81. Busia
23. Nacico	53. Nanyuki	82. Suna-Migori
24. Kitui	54. Kerugoya	83. HomaBay
25. Machakos	55. Muranga	84. Webuye
26. Ongata Rongai	56. Chuka	
27. Kibwezi	57. Wanguru	OPENING SOON
28. Karen	58. Isiolo	Taveta
29. Kangundo		Maua

Branch Network; National Bank of Kenya Coverage

A. NAIROBI AREA	B. WESTERN LOCATIONS	C. MT KENYA LOCATIONS
1. Kenyatta Avenue	9. Kisii	27. Karatina
2. Harambee Avenue	10. Bungoma	28. Nyeri
3. Hill Plaza	11. Busia	29. Meru
4. Hospital (KNH) branch	12. Sare Awendo	
5. JKIA agency	13. Kisumu	
6. Times Tower sub branch		
7. Wilson Airport agency	E. NAIROBI NORTH	G. EASTERN LOCATIONS
8. Card Center branch	21. Limuru	30. Kitui
D. RIFT VALLEY	22. Ruiru	
14. Kitale		
15. Nakuru	F. COAST LOCATIONS	
16. Molo	23. Portway Hse	
17. Narok	24. Moi Airport agency	
18. Kapsabet	25. Port Agency (Kilindini)	
19. Moi University agency	26. Nkurumah Rd.	
20. Eldoret		

Branch network; Citibank

Citibank NA Kenya
Upper Hill Road
P.O. Box 30711-00100,
Nairobi

Licensed Authorised Depositories

Barclays Bank of Kenya Limited
Barclays Plaza, Loita Street
P O Box 30120 - 00100, Nairobi
Tel: 332230
Fax: 213915
barclays.kenya@barclays.com

Kenya Commercial Bank
7th Flour, Kencom House, Moi Avenue
P O Box 48400-00100 Nairobi
Tel: 3270000, 2852000 , 2851000,
Fax: 216405

NIC Bank Limited
NIC Bank House, Upper Hill
P O Box 44599-00100, Nairobi
Tel: 2888000/2718200
Fax: 2888512/05
info@nic-bank.com

Equity Bank
NHIF Building, 14th floor
P.O.Box 75104-00200, Nairobi
Tel: 020-2736620/17/24
Cell: 0722209591/ 0733602500
Fax: 020-2737276
info@ebsafrica.co.ke

CFC Bank
CFC Centre, Chiromo Road, Westlands
P.O. Box 72833-00200, Nairobi
Tel: +254-02-3638000
Fax: +254-02-3752905-7
enquiries@cfcbank.co.ke

African Banking Corporation Limited
Mezzanine floor, ABC Bank, Koinange Street
P O Box 46452-00100, Nairobi
Tel: +254-20-223922, 251540/1
Fax: +254-20-222437
headoffice@abcthebank.com

Co-operative Bank of Kenya
Co-operative House, Haile Selassie Avenue
P O Box 48231 – 00100 Nairobi
Tel: 3276000/3276100
Fax: 219831
bankhouse@co-opbank.co.ke

National Bank of Kenya
National Bank Building
P O Box 72866-00200, Nairobi
Tel: 226471/339690
info@nationalbank.co.ke

Stanbic Bank Limited
Stanbic Bank Building
P O Box 30550-00100, Nairobi
Tel: 241350/4179
Fax: 310601
stanbickenya@stanbic.com

I&M Bank Limited
I&M Bank House, 2nd Ngong Ave,
P.O. Box 30238 - 00100 Nairobi
Tel: 254-020 2711994 - 8, 310105-7
Cell: 0722 202093, 0734 600178
Fax: 254-020 2713757, 2716372
invest@imbank.co.ke

Dubai Bank Kenya Limited
ICEA Buildng, Ground floor Kenyatta Avenue
P O Box 11129-00400, Nairobi
Tel: +254-20-311114/09/23/24/82
Cell: 0720 777776, 0733 999903
Fax: +254-20-245242
info@dubaibank.co.ke

Appendix- Part V

Form of Guarantee

[LETTERHEAD OF BANK/LICENSED AUTHORISED DEPOSITORIES]

Joseph Kinyua
Permanent Secretary to the Treasury
Ministry of Finance
P O Box [ ]
Nairobi-00100

Date:

Dear Sirs

GUARANTEE IN RESPECT OF PAYMENT FOR ALLOCATION OF SHARES TO [name of QII]

WHEREAS [*name of QII* **]** (hereinafter called the Investor) has by an application form dated [ ] applied for [ ] ordinary shares ("the Sale Shares") in Safaricom Limited being offered for sale by you as set out in the Prospectus dated [DATE] (hereinafter referred to as the Prospectus).

AND WHEREAS it has been stipulated by you in the Prospectus that the Investor shall furnish you with an irrevocable on demand guarantee for the full value of the price of the Sale Shares.

AND WHEREAS we (**name of Guarantor**) have agreed to give this Guarantee:

NOW at the request of the Investor and in consideration of your allocating to the Investor the Sale Shares or such lesser number as you shall in your absolute discretion determine, we hereby irrevocably undertake to pay you, promptly upon your first written demand declaring the Investor to be in default and without delay or argument, such sum as may be demanded by you up to a maximum sum of ___________________________ without your needing to prove or to show grounds or reasons for your demand or the sum specified therein.

This guarantee will remain in force up to and including the closure of business **[DATE]** and any demand in respect thereof should reach us not later than the above date and time. Upon expiry it automatically becomes NULL and VOID whether the original is returned to us for cancellation or not and any claim or statement received after expiry shall be ineffective.

This guarantee shall be governed and construed in accordance with the laws of Kenya.

IN WITNESS WHEREOF THIS LETTER OF GUARANTEE HAS BEEN EXECUTED BY US UNDER SEAL THIS DAY OF 2008.

Sealed with the Common Seal of)
)
)
)
Director)
)
)
)
Director/Secretary)
)
)
)

Addendum dated 28 March, 2008 replacing in its entirety Appendix – Part I(B) (Reporting Accountants' Interim Review Report for the Nine Months ended 31 December 2007) of the Prospectus dated 14 March, 2008

SAFARICOM LIMITED

(Incorporated in Kenya under the Companies Act (Cap 486))

Registration Number C.8/2002

Addendum dated 28 March, 2008 to the Prospectus dated 14 March, 2008

in respect of

an offer for sale by the Government of Kenya of 10,000,000,000 shares with a par value of Kenya Shillings Five Cents (KShs 0.05) each in the ordinary share capital of Safaricom comprising a public offer of 25% of the issued ordinary Safaricom shares

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This Addendum to the Prospectus is issued in compliance with the Companies Act (Cap 486), the Capital Markets Act, (Cap 485A) and the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002.

IMPORTANT NOTICE

Potential investors are hereby notified that that this Addendum dated 28 March, 2008 corrects subscriber numbers for 31 December, 2006 stated under "**Operating and Financial Review - Trading Update for the Nine-Month Period Ended 31 December, 2007- Operating Results**" on page 99 and replaces in its entirety Appendix - Part I(B) of the Prospectus dated 14 March, 2008.

Potential investors are advised that they should read in their entirety both the Prospectus dated 14 March, 2008 and this Addendum dated 28 March, 2008 before making any investment decision.

The Offer does not constitute an offer to issue or sell, or the solicitation of an offer to subscribe for or buy, securities in any jurisdiction in which such an offer or solicitation would be unlawful. The Offer consists of an offering outside the United States of America (the "United States") of shares pursuant to Regulation S ("Regulation S") under the US Securities Act 1933, as amended (the "Securities Act"). The shares have not been, and will not be, registered under the Securities Act or any state securities laws and may not be offered, sold, pledged or otherwise transferred in the United States or to, or for the account or benefit of, U.S. persons absent registration or an exemption from registration under the Securities Act.

The Offer does not constitute an offer or solicitation of an offer to the public in the United Kingdom or Germany. The Offer Shares have not been, nor will they be, registered under the applicable securities laws of Australia, Canada and Japan. Subject to certain exceptions, the Offer Shares may not be offered or sold, directly or indirectly, in or into Australia, Canada or Japan or to or for the account or benefit of any national, resident or citizen of Australia, Canada or Japan.

A description of these and certain other restrictions to which the Offer and sale of the Offer Shares are subject are set out in full in the section of the Prospectus entitled "Features of the Offer—Part I—General—Selling Restrictions".

Definitions in this Addendum are the same as in the Prospectus unless stated otherwise.

The statements on page 99 of the Prospectus dated 14 March, 2008 under "**Operating and Financial Review - Trading Update for the Nine-Month Period Ended 31 December, 2007- Operating Results**" dated 14 March, 2008 which read "As of 31 December, 2007, the Company had 9.2 million total subscribers consisting of 9.1 million and 113.5 thousand prepaid and postpaid subscribers, respectively. This compared to 5.0 million subscribers consisting of 4.9 million and 87.5 thousand prepaid and postpaid subscribers, respectively, as of 31 December, 2006" have been revised to correct the subscriber numbers as of 31 December, 2006. The new statements read "As of 31 December, 2007, the Company had 9.2 million total subscribers consisting of 9.1 million and 113.5 thousand prepaid and postpaid subscribers, respectively. This compared to 5.3 million subscribers consisting of 5.2 million and 89.4 thousand prepaid and postpaid subscribers, respectively, as of 31 December, 2006."

Appendix – Part I(B)

28 March 2008

The Directors
Safaricom Limited
Safaricom House
P O Box 46350 00100
Nairobi

Dear Sirs,

INTERIM REVIEW REPORT FOR THE NINE MONTHS ENDED 31 DECEMBER 2007

We have reproduced in full below, the independent auditors' interim review report by PricewaterhouseCoopers on the condensed interim financial statements of Safaricom Limited for the nine months to 31 December 2007. The condensed income statement, the condensed balance sheet, the condensed statement of changes in equity and the condensed cash flows for the nine months to 31 December 2007 are set out on pages 4 to 7.

Interim Review Report by PricewaterhouseCoopers

REPORT OF THE INDEPENDENT AUDITOR TO THE DIRECTORS OF SAFARICOM LIMITED

Introduction

We have reviewed the accompanying condensed balance sheet of Safaricom Limited as of 31 December 2007 and the related condensed statements of income, changes in equity and cash flows for the nine-month period then ended. Management is responsible for the preparation and presentation of this condensed interim financial information in accordance with International Accounting Standard 34 "Interim Financial Reporting". Our responsibility is to express a conclusion on this interim financial information based on our review. Management did not issue interim financial statements in the prior year and hence we did not perform an audit or review of interim financial information as of and for the period ended 31 December 2006.

Scope of Review

We conducted our review in accordance with International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity." A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying condensed interim financial information is not prepared, in all material respects, in accordance with International Accounting Standard 34 "Interim Financial Reporting".

Other matters

This report, including the conclusion, has been prepared for and only for the company for the purpose of inclusion in the Company prospectus to be used in the initial public offering of the Company's shares and for no other purpose. We do not, in producing this report, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

PricewaterhouseCoopers

PricewaterhouseCoopers
Certified Public Accountants — 4 March 2008
Nairobi

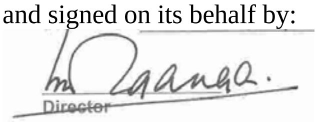
Profit and loss account

	Notes	Nine months ended 31 December 2007 Shs'000	Nine months ended 31 December 2006 Shs'000
Sales	5	45,389,183	34,161,679
Cost of sales		(19,731,679)	(13,315,007)
Gross profit		25,657,504	20,846,672
Other operating income		15,887	16,814
Distribution costs		(1,954,589)	(986,044)
Administrative expenses		(2,259,095)	(1,533,064)
Other operating expenses		(7,508,676)	(5,737,713)
Operating profit	6	13,951,031	12,606,665
Finance income	7	2,161,480	248,772
Finance costs	7	(423,934)	(775,289)
Profit before income tax		15,688,577	12,080,148
Income tax expense	8	(4,821,856)	(3,685,730)
Profit for the year		10,866,721	8,394,418
Earnings per share for profit attributable to the equity holders of the Company			
- basic and diluted (Shs per share)	9	1,086,672	839,442

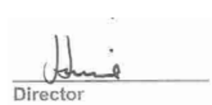
Balance sheet

	Notes	31 December 2007 Shs'000	31 March 2007 Shs'000
CAPITAL EMPLOYED			
Share capital	10	1	1
Share premium	10	3,849,999	3,849,999
Retained earnings		35,806,028	24,939,307
Proposed dividends		-	4,000,000
Shareholders' funds		39,656,028	32,789,307
Non-current liabilities			
Borrowings	12	6,480,000	10,435,000
		46,136,028	43,224,307
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	13	53,941,757	42,731,653
Prepaid operating lease rentals	14	2,061	2,487
Intangible assets	15	3,755,015	2,368,083
Deferred income tax		1,370,409	1,156,272
		59,069,242	46,258,495
Current assets			
Inventories	16	1,914,657	1,234,645
Receivables and prepayments	17	5,039,306	3,027,407
Cash and cash equivalents	18	2,025,053	5,887,692
		8,979,016	10,149,744
Current liabilities			
Payables and accrued expenses	19	18,858,835	12,390,146
Current income tax		316,465	754,046
Borrowings	12	2,720,000	-
Derivative financial instruments	11	16,930	39,740
		21,912,230	13,183,932
Net current liabilities		(12,933,214)	(3,034,188)
		46,136,028	43,224,307

The interim financial statements on pages 3 to 23 were approved for issue by the board of directors on 4 March 2008 and signed on its behalf by:



By /s/ Nicholas Nganga



By /s/ Nancy W. Macharia

Statement of changes in equity

	Share capital	Share premium	Retained earnings	Total
	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 March 2006				
At start of period	1	3,849,999	11,495,093	15,345,093
Profit for the period	-	-	8,425,456	8,425,456
Dividends:				
- Declared for 2006	-	-	(2,991,673)	(2,991,673)
At end of period	1	3,849,999	16,928,876	20,778,876
Period ended 31 December 2006				
At start of period	1	3,849,999	16,928,876	20,778,876
Profit for the period	-	-	8,394,418	8,394,418
	1	3,849,999	25,323,294	29,173,294
Year ended 31 March 2007				
At start of year	1	3,849,999	16,928,876	20,778,876
Profit for the year	-	-	12,010,431	12,010,431
At end of year (includes proposed dividend of Shs 4,000,000,000)	1	3,849,999	28,939,307	32,789,307
Period ended 31 December 2007				
At start of period	1	3,849,999	28,939,307	32,789,307
Profit for the period	-	-	10,866,721	10,866,721
Declared dividend	-	-	(4,000,000)	(4,000,000)
	1	3,849,999	35,806,028	39,656,028

Cash flow statement

	Notes	Nine months ended 31 December 2007 Shs'000	Nine months ended 31 December 2006 Shs'000
Operating activities			
Cash generated from operations	21	24,617,374	20,570,831
Interest received	7	1,429,980	248,772
Interest paid	7	(400,357)	(388,014)
Income tax paid		(5,473,573)	(3,784,170)
Net cash from operating activities		20,173,424	16,647,419
Investing activities			
Purchase of property, plant and equipment	13	(17,146,370)	(13,374,485)
Proceeds from disposal of property, plant and equipment		19,057	19,051
Payment of license fee	15	(1,673,750)	(15,000)
Net cash used in investing activities		(18,801,063)	(13,370,434)
Financing activities			
Repayment of bank borrowings	12	-	(16,726)
Proceeds from borrowings	12	3,000,000	1,200,000
Repayment of shareholder loans	12	(4,235,000)	-
Dividend paid	9	(4,000,000)	(2,991,673)
Net cash used in financing activities		(5,235,000)	(1,808,399
(Decrease)/Increase in cash and cash equivalents		(3,862,639)	1,468,586
Movement in cash and cash equivalents			
At start of period		5,887,692	2,917,454
(Decrease)/Increase		(3,862,639)	1,468,586
At end of period	18	2,025,053	4,386,040

Notes

1 General information

Safaricom Limited is incorporated in Kenya under the Companies Act as a private limited liability company, and is domiciled in Kenya. The address of its registered office is:

L.R. No. 13263
Safaricom House, Waiyaki Way
P.O Box 46350 – 00100
NAIROBI

The company has a country wide dealer network to handle distribution and selling of its products and services. The company also has nine retail centres spread countrywide: four in Nairobi, two in Mombasa, one each in Kisumu, Nakuru and Eldoret.

2 Basis for preparation

The annual financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below. The financial statements are presented in Kenya Shillings (Shs), rounded to the nearest thousand.

These condensed interim financial statements are prepared in compliance with IAS 34, Interim Financial Reporting. They comprise the condensed balance sheet at 31 December 2007 and 31 March 2007; the condensed profit and loss account for the interim nine-month periods to 31 December 2007 and 31 December 2006; the respective condensed statements of changes in equity and condensed cash flow statements for the interim nine-month period then ended, and a condensed summary of significant accounting policies and other explanatory notes.

The accounting policies adopted in the preparation of these condensed financial statements are consistent with those of the annual financial statements for the year ended 31 March 2007.

Adoption of new and revised standards

In 2007, the following new and revised standards and interpretations became effective for the first time and have been adopted by the company where relevant to its operations. The comparative figures have been restated as required, in accordance with the relevant requirements.

- *IAS 1 Amendment, Capital Disclosures.* The amendment to IAS 1 introduces disclosures about the level of the company's capital and how it manages capital

- *IFRS 7, Financial Instruments: Disclosures.* IFRS 7 introduces new disclosures relating to financial instruments. This standard does not have any impact on the classification or measurement of the company's financial instruments.

Notes (continued)

2 Basis for preparation (continued)

Standards, interpretations and amendments to published standards that are not yet effective

The following amendment to an existing standard and new standard and interpretations will be mandatory for the company's accounting periods beginning on or after 1 January 2008, but which the company has chosen not to early adopt:

- *IFRIC 11 – Company and Treasury Share Transactions* – from 1 January 2008
- *IFRIC 12 – Service Concession Arrangements* – from 1 January 2008
- *IFRS 8 – Operating segments* – from 1 January 2009
- *IAS 23 – Borrowing costs (revised)* – from 1 January 2009

The directors' view is that the new standards will not have any significant impact on the company.

3 Financial risk management

The company's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by the finance department under policies approved by the Board of Directors. Finance department identifies, evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative and non-derivative financial instruments and investing excess liquidity.

The company has policies in place to ensure that sales are made to customers with an appropriate credit history.

4 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances.

(i) Critical accounting estimates and assumptions

<u>Property, plant and equipment</u>
Critical estimates are made by the directors in determining depreciation rates for property, plant and equipment.

<u>Income taxes</u>
Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

Notes (continued)

4 Critical accounting estimates and judgements (continued)

(ii) Critical judgements in applying the entity's accounting policies

In the process of applying the company's accounting policies, management has made judgements in determining whether assets are impaired.

In making provisions for inventory losses, management considers the age and obsolescence of inventory.

Provision for bad debts is provided after failure of the customer to pay and assessment of his ability to settle the debt in future.

In preparing its tax computation, management has assumed that the licence fee payments are tax deductible.

5 Analysis of sales by category

	Nine months ended 31 December 2007 Shs'000	Nine months ended 31 December 2006 Shs'000
Voice	39,966,958	29,520,425
SMS and other data	3,442,101	3,085,623
Acquisition	1,494,025	1,116,147
Other	486,099	439,484
	45,389,183	34,161,679

Notes (continued)

6 Expenses by nature

The following items have been charged in arriving at operating profit:

	Nine months ended 31 December 2007 Shs'000	Nine months ended 31 December 2006 Shs'000
Depreciation on property, plant and equipment (Note 13)	5,933,095	4,645,382
Employee benefits expenses	2,361,095	1,905,253
Sales and advertising	1,622,848	541,917
Amortisation of intangible assets (Note 15)	286,818	244,505
Travel and accommodation	264,676	141,453
Consultancy	213,896	32,716
Utilities	174,289	129,580
Computer support	203,639	132,815
Operating lease rentals		
- buildings	151,216	199,003
- sites (Note 14)	164,493	100,546
Receivables – provision for impairment losses	46,220	90,325
Repairs and maintenance expenditure on property, plant and equipment	23,626	21,796
Auditor's remuneration	8,800	6,064
Office upkeep	185,690	64,776
Other operating expenses	81,959	690
	11,722,360	8,256,821

7 Finance income/ (costs)

Interest income	1,429,980	248,772
Transaction gain on shareholders' loans	731,500	-
	2,161,480	248,772
Finance costs		
Interest expense - bank borrowings	(400,357)	(388,014)
Net trading foreign exchange (losses)/gains	(23,577)	(387,275)
	(423,934)	(775,289)
Net finance income/(costs)	1,737,546	(526,517)

Notes (continued)

7 Finance income/ (costs) (continued)

The company had obtained shareholder loans comprising US $ 33 million made by Telkom Kenya Limited and another of US $ 22 million made by Vodafone Kenya Limited in May 2000. The conditions of the loans were that they would be converted into equity so they were considered to be investments hence not repayable to the lenders.

The loans were repaid in December 2007 translated at Shs 63.70 to the US $ resulting in a transaction gain of Shs 731,500,000. This exchange difference has been dealt with in the profit and loss account.

8 Income tax expense

	Nine months ended 31 December 2007 Shs'000	**Nine months ended 31 December 2006 Shs'000**
Current income tax	5,035,992	3,604,328
Deferred income tax	(214,136)	81,402
Income tax expense	4,821,856	3,685,730

The tax on the company's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	Nine months ended 31 December 2007 Shs'000	**Nine months ended 31 December 2006 Shs'000**
Profit before income tax	15,688,577	12,080,148
Tax calculated at the statutory income tax rate of 30% (2006: 30%)	4,706,573	3,624,044
Tax effect of:		
- expenses not deductible for tax purposes	91,786	93,967
- income not subject to tax	-	(2,081)
- under/(over) provision of deferred tax in prior periods	23,497	(30,200)
Income tax expense	4,821,856	3,685,730

Notes (continued)

9 Earnings and dividends

i) Basic and diluted earnings per share

Basic and diluted earnings per share are calculated on the profit attributable to the members of Safaricom Limited and on the 10,000 shares in issue at the nine months periods ended 31 December 2007 and 31 December 2006.

The company had no potentially dilutive shares outstanding at 31 December 2007 and 31 December 2006.

	Nine months ended 31 December 2007	Nine months ended 31 December 2006
	Shs'000	Shs'000
Profit for the period (Shs '000)	10,866,721	8,394,418
Number of shares (thousands)	10	10
Basic and diluted earnings per share (Shs)	1,086,672	839,442

ii) Dividends

At the annual general meeting held on 11 September 2007, a dividend in respect of the year ended 31 March 2007 amounting to Shs 4,000,000,000 was declared (2006 special dividend declared: Shs 2,991,673,000). In the nine months to 31 December 2007, this dividend was paid.

Notes (continued)

10 Share capital

	Number of issued shares	Ordinary shares Shs'000	Share premium Shs'000
Balance as at 1 April 2005, 1 April 2006 and 1 April 2007			
- Ordinary shares	10,000	1	3,849,999
- Non-voting, non-participating deferred shares	5	-	-
Balance at 31 December 2006 and 31 December 2007	10,005	1	3,849,999

The total authorised number of ordinary shares is as follows;

- 19,999,800 ordinary shares with a par value of 10 cents per share

- 5 non-voting, non-participating, deferred shares of Shs 4 each

11 Derivative financial instruments

	31 December 2007 Shs'000	31 March 2007 Shs'000
Forward foreign exchange contracts (liabilities)	16,930	39,740

The company has entered into forward exchange contract agreements with a local bank to buy foreign currency at specified dates to enable it pay its foreign suppliers when the amounts are due. The contracts run to March 2008 and will be settled gross.

The committed amounts as at 31 December 2007 are US$ 21 million and Euro 15 million. Based on the forward exchange rates the equivalent local currency value is Shs 2,807,780,000.

Foreign exchange forward contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed price. These contracts represent liabilities.

Notes (continued)

12 Borrowings

The borrowings are made up as follows:

	31 December 2007 Shs'000	31 March 2007 Shs'000
Non current		
Bank borrowing	6,480,000	6,200,000
Shareholders loans (Note 21)	-	4,235,000
	6,480,000	10,435,000
Current		
Bank borrowing	2,720,000	-
Total borrowings	9,200,000	10,435,000

Movement in borrowings

	1 January 2007 Shs'000	Repayments Shs'000	Borrowings Shs'000	31 December 2007 Shs'000
Bank borrowings	6,200,000	-	3,000,000	9,200,000
Shareholders loans	4,235,000	(4,235,000)	-	-
Total	10,435,000	(4,235,000)	3,000,000	9,200,000

	1 April 2006 Shs'000	Repayments Shs'000	Borrowings Shs'000	31 December 2006 Shs'000
Bank borrowings	5,016,726	(16,726)	1,200,000	6,200,000
Shareholders loans	4,235,000	-	-	4,235,000
Total	9,251,726	(16,726)	1,200,000	10,435,000

Notes (continued)

12 Borrowings (continued)

The company has a loan facility of Shs 12 billion from a syndicate of international banks. The loan is secured by a fixed and floating charge over the property and assets, both present and future. The shareholders have guaranteed the loans and have also pledged 40% of their shares in the company as security to the lenders.

The loan period is five years. The interest on the loan is payable quarterly at a margin of 1% over the reference 91 day treasury bill rate.

The loan is divided into 3 facilities which are repayable on diverse dates as follows:

- Facility B and C totalling Ksh 2 billion are repayable in March 2008;

- Facility A totalling Ksh 7.2 billion is repayable at six month intervals from April 2008.

Repayment of the shareholder loans

The shareholder loan comprised a loan of US $ 33 million made by Telkom Kenya Limited and another of US $ 22 million made by Vodafone Kenya Limited in May 2000. The conditions of the loans were that they would be converted into equity so they were considered to be investments hence not repayable to the lenders. The loans are non-interest bearing.

The loans were repaid in December 2007 translated at Shs 63.70 to the US $ resulting in a transaction gain of Shs 731,500,000. This exchange difference has been dealt with in the profit and loss account.

Notes (continued)

13 Property, plant and equipment

	Network infrastructure Shs'000	Capital work in progress Shs'000	Leasehold improvements Shs'000	Vehicles & equipment Shs'000	Total Shs'000
At 1 April 2007					
Cost	55,452,777	5,469,446	1,002,203	3,891,063	65,815,489
Accumulated depreciation	(20,412,506)	-	(618,940)	(2,052,391)	(23,083,837)
Net book amount	35,040,271	5,469,446	383,263	1,838,672	42,731,652
Period ended 31 December 2007					
Opening net book amount	35,040,271	5,469,446	383,263	1,838,672	42,731,652
Additions	13,089,490	3,183,236	143,476	730,168	17,146,370
Transfers	17,824	-	-	(17,824)	-
Disposals	-	(206)	-	(2,964)	(3,170)
Depreciation charge	(5,244,711)	-	(43,949)	(644,435)	(5,933,095)
Closing net book amount	42,902,874	8,652,476	482,790	1,903,617	53,941,757
At 31 December 2007					
Cost	68,560,091	8,652,476	1,145,679	4,600,443	82,958,689
Accumulated depreciation	(25,657,217)	-	(662,889)	(2,696,826)	(29,016,932)
Net book amount	42,902,874	8,652,476	482,790	1,903,617	53,941,757

Notes (continued)

13 Property, plant and equipment (continued)

	Network infrastructure Shs'000	Capital work in progress Shs'000	Leasehold improvements Shs'000	Vehicles & equipment Shs'000	Total Shs'000
At 1 April 2006					
Cost	41,271,148	4,995,302	902,563	2,312,431	49,481,444
Accumulated depreciation	(14,655,215)	-	(550,771)	(1,484,175)	(16,690,161)
Net book amount	26,615,933	4,995,302	351,792	828,256	32,791,283
Year ended 31 December 2006					
Opening net book amount	26,615,933	4,995,302	351,792	828,256	32,791,283
Additions	8,632,155	3,846,475	30,937	864,918	13,374,485
Transfers	8,182	-	(314)	(7,868)	-
Disposals	-	-	-	(2,237)	(2,237)
Depreciation charge	(4,187,372)	-	(53,563)	(404,446)	(4,645,382)
Closing net book amount	31,068,898	8,841,777	328,852	1,278,623	41,518,150
At 31 December 2006					
Cost	49,911,485	8,841,777	933,186	3,167,244	62,853,692
Accumulated depreciation	(18,842,587)	-	(604,334)	(1,888,621)	(21,355,542)
Net book amount	31,068,898	8,841,777	328,852	1,278,623	41,518,150

Notes (continued)

14 Prepaid operating lease rentals

Prepaid operating lease rentals relate to payments made in advance for the rental of sites on which the company's equipment is located.

The analysis of prepaid operating lease rentals is as follows:

	31 December 2007 Shs'000	31 December 2006 Shs'000
At start of period	262,393	206,633
Additions	216,587	158,334
Amortisation charge for the period	(164,493)	(100,546)
At end of period	314,487	264,421

15 Intangible assets – License fees

	31 December 2007 Shs'000	31 December 2006 Shs'000
Cost		
At start of period	4,250,000	4,235,000
Additions	1,673,750	15,000
At end of period	5,923,750	4,250,000
Accumulated amortisation		
At start of period	1,881,917	1,555,754
Charge for the period	286,818	244,505
At end of period	2,168,735	1,800,259
Net book value	3,755,015	2,449,741

Notes (continued)

15 Intangible assets – License fees (continued)

The balance sheet amounts are analysed as follows:

	31 December 2007 Shs'000	31 March 2007 Shs'000
Cost	5,923,750	4,250,000
Accumulated depreciation	(2,168,735)	(1,881,917)
Net book value	3,755,015	2,368,083

In October 2007, the company was awarded the 3G licence by Communication Commission of Kenya (CCK) at a fee of US $ 25 million.

The licence operates under the same umbrella as the network licence and is amortised over the remaining useful life of the network license.

16 Inventories

	31 December 2007 Shs'000	31 March 2007 Shs'000
Network spare parts	1,544,287	912,980
Less: Provision for impairment losses	(301,359)	(251,235)
	1,242,928	661,745
Handsets and accessories	307,114	294,395
Scratch cards	82,596	97,774
Starter packs	133,206	168,574
Stationery and other stocks	148,813	12,157
	1,914,657	1,234,645

Notes (continued)

17 Receivables and prepayments

	31 December 2007 Shs'000	31 March 2007 Shs'000
Trade receivables	2,851,303	1,660,484
Less: Provision for impairment losses	(353,031)	(306,811)
	2,498,272	1,353,673
Prepayments	913,264	699,340
Amounts due from related companies (Note 22)	69,960	472,426
Other receivables	1,557,810	501,968
	5,039,306	3,027,407

The carrying amounts of receivables and prepayments approximate their fair value.

Movements on the provision for impairment of trade receivables are as follows:

	31 December 2007 Shs'000	31 December 2006 Shs'000
At start of year	306,811	112,955
Provision in the year	46,220	103,329
Receivables written off as uncollectible	-	(13,004)
At end of period	353,031	203,280

18 Cash and cash equivalents

The year-end cash and cash equivalents comprise the following:

	31 December 2007 Shs'000	31 March 2007 Shs'000
Cash at bank and in hand	1,696,857	2,331,204
Short term bank deposits	328,196	3,556,488
	2,025,053	5,887,692

Notes (continued)

18 Cash and cash equivalents (continued)

The weighted average effective interest rate on short-term bank deposits at the period-end was 9% (31 March 2007: 5%).

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held at call with banks.

19 Payables and accrued expenses

	31 December 2007 Shs'000	31 March 2007 Shs'000
Trade payables	6,626,116	3,564,727
Amounts due to related companies (Note 22)	873,508	314,464
Accrued expenses	9,902,998	5,929,203
Other payables	1,456,213	2,581,752
	18,858,835	12,390,146

Accruals relate to network infrastructure equipment which has been received but not invoiced. Other payables relate to items such as taxes payable, customer deposits and deferred revenue.

20 Contingent liabilities

As at 31 December 2007, the company had given bank guarantees of Shs 1,339,047 (31 March 2007: Shs 17,331,351) to Kenya Power and Lighting Company and I&M Bank Limited. The guarantee to I&M Bank Limited is equivalent to three months rent for the care centre which is located in I&M Bank Limited building.

In addition, a guarantee of Shs 8,000,000 has been given to the banks against credit cards for staff use during business travel.

Notes (continued)

21 Cash generated from operations

Reconciliation of profit before income tax to cash generated from operations:

	Nine months ended 31 December 2007 Shs'000	Nine months ended 31 December 2006 Shs'000
Profit before income tax	15,688,577	12,080,148
Adjustments for:		
Interest income (Note 7)	(1,429,980)	(248,772)
Interest expense (Note 7)	400,357	388,014
Fair value (gain)/loss on financial instruments	(22,810)	-
Depreciation (Note 13)	5,933,095	4,645,382
Prepayment of operating lease rentals (Note 14)	(216,587)	(158,334)
Amortisation of prepaid operating lease rentals (Note 14)	164,493	100,546
Amortisation of intangible assets	286,818	244,505
Profit on sale of property, plant and equipment	(15,887)	(16,814)
Changes in working capital		
– Receivables and prepayments	(1,959,379)	824,985
– Inventories	(680,012)	(70,992)
– Payables and accrued expenses	6,468,689	2,782,163
Cash generated from operations	24,617,374	20,570,831

22 Related party transactions

The company has two shareholders: Government of Kenya (GoK) and Vodafone Kenya Limited whose ultimate parent is Vodafone Group Plc incorporated in the United Kingdom.

By virtue of the 60% shareholding held by the GoK, Safaricom is a state corporation within the meaning of the State Corporations Act (Chapter 446) Laws of Kenya. Until 20 December 2007, the shares now held by GoK were held by Telkom Kenya Limited which is also a state corporation under the Act.

The company also has a Kama Kawaida contract with Vodacom Tanzania Limited, a company that is controlled by Vodacom South Africa (Pty), whose ultimate parent is Vodafone Group Plc.

Notes (continued)

22 Related party transactions (continued)

The following transactions were carried out with related parties:

	Nine months ended 31 December 2007 Shs'000	Nine months ended 31 December 2006 Shs'000
i) Sale of services		
Telkom Kenya Limited	-	1,302,896
Vodafone Group Plc	198,995	106,084
Vodacom Tanzania Limited	93,039	7,525
Vodafone Kenya Limited	75	-
	292,109	1,416,505
ii) Purchase of services		
Telkom Kenya Limited	-	1,095,690
Vodafone Group Plc	897,323	22,645
Vodacom Tanzania Limited	152,864	8,878
	1,050,187	1,127,213
iii) Key management compensation		
Salaries and other short-term employment benefits	120,149	85,949
iv) Directors' remuneration		
Fees for services as a director	160	280
Other emoluments to non-executive directors	800	1,130
	960	1,410

Notes (continued)

22 Related party transactions (continued)

v) Outstanding balances arising from sale and purchase of goods/services

	Nine months 31 December Shs'000	Nine months 31 December Shs'000
Amounts due from:		
- Telkom Kenya Limited	-	455,994
- Vodafone Group Plc	63,897	16,432
- Vodacom Tanzania Limited	5,358	-
- Vodafone Kenya Limited	705	-
	69,960	472,426
Amounts due to:		
- Vodafone Group Plc	873,508	314,464

vi) Loans from shareholders

- Telkom Kenya Limited	-	2,541,000
-Vodafone Kenya Limited	-	1,694,000
	-	4,235,000

The shareholder loan comprises a loan of US $ 33 million made by Telkom Kenya Limited and another of US $ 22 million made by Vodafone Kenya Limited in May 2000. The loans were non-interest bearing.

The loans were paid in December 2007.

vii) Loans to directors of the company

There were no loans to directors of the company at 31 December 2007 and 31 December 2006.

Notes (continued)

22 Related party transactions (continued)

viii) Contingencies

The company had no guarantees on bank loans to its related parties at 31 December 2007 and 31 December 2006.

Yours faithfully

Deloitte & Touche

DELOITTE & TOUCHE
CERTIFIED PUBLIC ACCOUNTANTS (KENYA)